

HDFC Life Insurance Company Ltd. (HDFCLIFE)

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Listing Department Listing Department

National Stock Exchange of India Limited BSE Limited

Exchange Plaza, Plot No C/1, Block G, Sir PJ Towers,

Bandra -Kurla Complex, Dalal Street,

Bandra (East), Fort,

Mumbai - 400 051 Mumbai – 400 001

NSE Symbol: HDFCLIFE BSE Security Code: 540777

Dear Sir/ Madam,

Sub: Transcript of earnings conference call for the quarter and year ended March 31, 2023

We wish to inform you that pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of the earnings conference call with analysts and investors held on Wednesday, April 26, 2023, to discuss the financial results of the Company for the quarter and year ended March 31, 2023.

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The said transcript has also been hosted on the Company's website at:

<https://www.hdfclife.com/about-us/investor-relations>.

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This is for your information and appropriate dissemination.

Thanking you,

For HDFC Life Insurance Company Limited

Narendra Gangan

General Counsel, Chief Compliance Officer & Company Secretary

Encl. As above

Page 1 of 26

"HDFC Life Insurance Company Limited
Q4 FY23 Earnings Conference Call"

April 26, 2023

HDFC Life Insurance Company Limited

April 26, 2023

Page 2 of 26

Moderator : Ladies and gentlemen, good day, and welcome to the HDFC Life Insurance Company Limited Earnings Conference Call.

I now hand the conference over to Ms. Vibha Padalkar – MD and CEO of HDFC Life. Thank you, and over to you, ma'am.

Vibha Padalkar : Thank you, Darwin. Good evening, everyone. Thank you for participating in this conference call to discuss the financial highlights of the year ended March 31st, 2023. Our results, which include the investor presentation, press release, and regulatory disclosures, have already been made available on both our website and the stock exchanges. Accompanying me are Suresh Badami, Deputy Managing Director; Niraj Shah, CFO; Eshwari Murugan, our Appointed Actuary, and Kunal Jain, representing Investor Relations. I will provide an overview of our FY23 results, and be happy to respond to any queries following that.

As was done in the previous quarter, we will be presenting the financials including the acquired business. Therefore, it is possible that the numbers from the previous year may not be entirely comparable.

Before I proceed, I would like to take this opportunity to congratulate Niraj on his elevation to the Board of HDFC Life as Executive Director and CFO.

As you may be aware, the RBI has permitted HDFC Bank or HDFC Ltd to increase their shareholding in HDFC Life to more than 50% prior to the effective date, thus clearing any uncertainty around HDFC Bank's eventual shareholding in us. We look forward to collaborating with our parent to be, towards creating value for all stakeholders.

Moving onto our operating performance during the year :

We closed the year with a strong growth of 27% in individual WRP with a market share of 16.5% and 10.8% in the private and overall sector respectively, clocking expansion of 40 and 70 basis points respectively. We continue to grow faster than the private industry and be ranked amongst the top 3 life insurers across individual and group businesses. In terms of Individual WRP, we have outpaced the private industry over multiple timeframes including, in the past 3, 5 and 7 years, thereby consistently demonstrating growth leadership.

As you are aware, the fourth quarter saw budget announcements with respect to changes in tax regulations, effective April 1, 2023. Individual WRP growth till February was about 15% and did not have any impact of budget changes. The new business premium recorded in the month of March 2023 was buoyed on account of the additional demand, especially in the non-par and high-ticket size segment. The incremental business can be estimated for us as the difference between actual growth for the year of 27% and extrapolation of the 11M growth trajectory of around 15-16%. In the month of March, we were able to leverage the opportunity, by offering competitive solutions whilst managing profitability and adhering to a calibrated risk

HDFC Life Insurance Company Limited

April 26, 2023

Page 3 of 26

management approach. In this month we stood number one across agency, broCa, bancassurance as well as sales through our website, which quadrupled. As a result, we registered a growth of 56% in Q4, more than 2x growth of the industry and ranked #1 amongst private players.

Looking ahead, the medium to long term growth opportunity in our sector remains intact. The long-term guaranteed savings product proposition is unique and the returns offered are best in class, even after the recent tax changes. We believe that the opportunity has only widened with the tax changes for certain other asset classes. Moreover, protection and annuity remain areas that are exclusive to life insurers.

In light of the above, we remain confident about being able to grow our APE in FY24, after adjusting for the additional business that was generated in March and we will continue to aspire for higher than industry

growth. Our focus will be on broadening our customer base and increasing number of policies sold and the lives covered. The building blocks for this are in place, aided by our diversified network of distribution partnerships and agency distribution, which was boosted by our acquisition of Exide Life. These avenues give us the ability to reach out to multiple customer segments, across tier 2 and 3 cities and deepen our reach. Further, our largest distributor and our parent to be, HDFC Bank, has embarked upon its branch expansion in Tier 2 and 3 locations which will be complementary to our strategy. We recognise that the persistency and mortality experience would be different for some of these segments, and the same is being factored in our overall actuarial assumptions. Our distribution continues to be supported by suitable product propositions for this segment.

Our overall product mix remains balanced. Amongst the savings products, non-par savings was at 45%, participating products at 27% and ULIP at 19% of individual APE. The non-par share increased to 53% in Q4, due to the higher demand and is expected to normalise in FY24. Within the non-par segment, our shorter tenure product Sanchay FMP comprised about 13% to 15%. There has been an increase in protection share in total NBP from 24% in FY22 to 29% in FY23. Our overall protection APE grew by about 20% in FY23. This was led by our market leadership in credit life, delivering strong growth of 46%, across nearly 300+ partnerships. Retail protection trends remain encouraging with sequential growth of over 50% and YoY growth of over 40% in Q4. Our FY24 outlook for retail protection is positive on the back of the growth trends experienced over the last 3 quarters across channels.

On the retirement front, we have steadily gained market share in the annuity business. Our annuity business in FY23 grew by 18% on received premium basis compared to a 2% growth for the industry. APE growth is much higher at 59% due to a pickup in our regular premium annuity product - Systematic Retirement Plan during the year.

HDFC Life Insurance Company Limited

April 26, 2023

Page 4 of 26

Moving onto key financial and operating metrics:

Our new business margin for the year was 27.6% thereby delivering value of new business of Rs. 3,674 cr. which is a growth of 37%. Margin neutrality, after considering the acquired business, was achieved well ahead of target. The full year margin factors in an investment of Rs. 50 crore that was made towards our technology transformation strategic initiative named 'Project Inspire', which I had spoken about in the last analyst call.

We expect to continue our VNB expansion in FY24, through faster than industry APE growth, whilst maintaining close to FY23 margins. We will increase our investments in technology and distribution, including our propriety channels to take advantage of digital opportunities as well as achieve our growth objective. We anticipate further investments of about Rs. 100 crore each in FY24 and FY25 towards Project Inspire to make us agile and future-ready, by providing a 360 degree view of our customers, seamless integration with new partners, resulting in an improved customer experience and productivity across channels.

Our embedded value stood at 39,527 Crore as on March 31st, 2023, with an operating return on embedded value of 19.7% for FY23. Profit after tax for FY23 stood at Rs. 1,360 Crore, a robust YoY increase of 13%. This is despite the increased new business strain arising from higher growth in Q4. The profit emergence continues to be aided by strong growth of 27% in back book surplus. The Board has recommended a final dividend of Rs. 1.90 per share, translating to a payout of about 30% of our PAT, in line with our dividend payout ratio since FY17. Our Solvency ratio was 203% as on March 31, 2023. Renewal collection trends continue to be healthy on the back

of steady persistency. Our 13th and 61st month persistency for limited and regular pay policies stood at 87% and 52% respectively compared to 87% and 54% last year. Next on channel performance:

Our bancassurance channel grew by over 25% in FY23 based on individual APE. We are witnessing robust growth in all our partnerships. Our collaboration with HDFC Bank remains strong as we strive to enhance insurance accessibility to the bank's customer base.

Our agency channel witnessed strong growth, surpassing company level growth by more than 1.5 times in terms of individual APE. It has grown at a 5 year CAGR of 34%, almost doubling its share from 11% in FY18 to 20% in FY23 aided partly by a strong performance in the market place as well as by inorganic growth. Our focus remains on enhancing activation and productivity of our financial consultants, and aim to drive growth by expanding our presence in new territories and reaching out to a wider range of customers.

Our subsidiary, HDFC Pension Management Company, doubled its AUM in a year and a half to exceed Rs 45,000 Cr as of 31st March 2023. It is the largest and fastest growing pension fund manager in both Retail and Corporate NPS AUM segments. Our market share has increased

HDFC Life Insurance Company Limited
April 26, 2023

Page 5 of 26

from 36.9% to 41.2% over the last year with 60% growth in AUM. Our subsidiary HDFC International has received the final approval from the concerned regulatory authority, enabling us to establish a branch in GIFT City. We are excited about the new opportunities it presents for us to expand our global presence as we target to commence operations in Q1 of FY24.

Moving on to Regulations:

IRDAI is proposing several changes that would enhance insurance penetration, facilitate sustainable growth and ease the operating environment. We are enthused about the new EoM regulations, which provide greater flexibility for cost management, encourage the development of longer-term products, and improve persistency by offering higher allowances on renewals. These changes will also aid in the revival of the pension segment.

Slide 5 of our investor deck plots how we have fared better than the industry post every major turbulence. The first significant disruption was in FY11 post the new Unit Linked guidelines. The second was when HDFC Bank adopted open architecture in FY18. The third upheaval was the pandemic with the industry being hit both by business disruption along with a massive surge in claims as well as change in UL tax exemption limit in FY21. The latest disruption is due to the budget announcement made on 1st Feb 2023.

Between the first and second disruption, i.e. UL to open architecture, we delivered 2 times industry growth. Between the second and third disruption, i.e. open architecture to Covid, we delivered 1.5 times industry growth. In the last 3 years, we delivered 2 times industry growth despite Covid and the UL tax changes.

We have consistently doubled on all key metrics including New business premium, Renewal premium, Value of new business, Embedded value, amongst others, across multiple blocks of 4 years. Being able to deliver a predictable performance, predicated on sustainable business practices remains a hallmark of our way of conducting business.

Hence, we believe that the recent changes, whether on taxation, business models or regulations, are part of the growth pangs of the private life insurance sector that has only recently reached adulthood. The larger companies with strong corporate governance and disclosure standards are poised to fare better holistically, on growth, profitability, business quality as well as risk management.

To conclude, our focus remains to provide a wide range of insurance products that cater to the diverse needs of our customers, thereby ensuring their financial security. Furthermore, we are dedicated to leveraging technology and digital

advancements to create a smooth and convenient

customer journey. We are optimistic about the growth prospects of the industry and are committed to driving a significant increase in insurance penetration in line with the regulator's vision.

HDFC Life Insurance Company Limited
April 26, 2023

The detailed disclosure on our results is available in our investor presentation. We are happy to take questions now .

Moderator : We will now begin the question -and-answer session. The first question is from the line of Suresh Ganapathy from Macquarie Group. Please go ahead.

Suresh Ganapathy : I have got 2-3 questions . First, you said something about the contribution of high -ticket policies. Just to understand this a bit better, your full year APE growth was 37% and your Q4 APE growth was more than 70%? What is the contribution of high -ticket policies to the overall business done in Q4? Can you tell in percentage terms for greater than Rs. 5 lakh business ?

Niraj Shah: For the year, it was in the region of about 12%-14% and for Q4, it was about 35 %. And that's the reason why we referenced actual growth and normalized growth. You could take 27% as actual growth and 16% as normalized growth, the delta would be the impact of the budget.

Suresh Ganapathy : It's a bit confusing. Full year, you ended at 37% . So, what is the normalized growth ?

Niraj Shah : 27% is full year actual growth . Till February, we were at 16% growth . The budget impact was actually in the month of March, which is the incremental business . That's what we called out.

Vibha Padalkar : February had next to no impact. Most of the impact came from about the second week of March. And there, the delta works out to about Rs. 1,000 crores.

Suresh Ganapathy : Okay. Now the other 2 questions . You had a 37% VNB growth for FY23, means there is a very strong base. So, on the backdrop of this strong base, can you deliver a strong VNB growth heading into FY24?

Vibha Padalkar : Yes, we are very confident, that we should be able to deliver growth that is in line with the APE growth while holding margins. The only caveat is the investment in tech transformation of about Rs. 250 crores which we talked about. Out of this, we have spent Rs. 50 crores this year . Rs. 100 crores would be the outlay in FY24 and FY25 . We should be able to deliver similar margins except for the tech transformation.

Suresh Ganapathy: And the last 2 questions, one is on the relationship with HDFC Bank. In an earlier call, you mentioned that the contribution has come down from 50% to 45% -47%. What is the target here? Any conversation with Sashi that you have done, which you can share ? Can you increase this to 60% ? Can you give us some guidance on it? And finally, on the EOM guidelines, how does this work? Depending upon players' competitive advantage either in product or distribution, can there be adverse effects ? If I want to pay a banker more, I can pay more. If I want to push a particular non -PAR product, I can pay more and push it and create an adverse effect in that particular channel because it gives complete freedom and flexibility. Do you think that's the way it plays out or there'll be fair competition in the entire market?

HDFC Life Insurance Company Limited

April 26, 2023

Vibha Padalkar : On the first point, we don't track a channel as a percentage of our overall composition because different channels can grow at different rates and by targeting that bancassurance and HDFC Bank's share has to be a particular percentage point, then you have to calibrate others. So, that's not how we look at it. In terms of the counter share at HDFC Bank , as Sashi and Srini have articulated, is that as they are now our parent to be and that the market share should start inching up. Those are conversations that will fall in place because if you were to look at it, it's not

just

in HDFC Bank, but in all the other new partnerships . We have been making significant inroads even without them being our parent. So, it is in terms of do we have the depth, triangulation between product, pricing, brand, claim settlement, etc. And if we are making inroads in other banks, then even here as a parent, that should organically happen. And of course, we will be the best in terms of presence in branches . So, you should start seeing that trending upwards, but not tracking in terms of percentage of our business, but certainly, the percentage of the business that's being done by HDFC Bank.

On the second question about EOM, it all depends on how the regulator is looking at it . It is to move towards a principle -based approach to sell more longer -term products which very well augurs to how we've been selling. And this is an aspect wherein we pride ourselves that we have one of the biggest share of longer -term products. We also give some of this information. So, not very onerous for us and it also depends on affordability , since different companies have different levels of expense of management. 100 minus the expense of management is the maximum that you can go to. At the same time, we hope that everyone triangulates in terms of distributor, customer economics and regulators direction to bring cost down. So, it's a 3 -way triangulation, which will evolve. For us, we have 300 partners, and these conversations are going on, keeping this principle -based approach in mind.

Moderator : The next question is from the line of Deepika Mundra from JP Morgan. Please go ahead.

Deepika Mundra : In terms of margin guidance that you mentioned, it being flattish next year, could you comment on the key drivers between the merger synergies , expenses as well as product mix?

Vibha Padalkar : Yes, sure. I'll start off and hand it over to Niraj. The way we look at this is that VNB certainly, like I mentioned, will be driven by APE growth. There will be more margin extraction from some of the products, for example, protection. The quarter-on-quarter trend is also the re in our investor presentation and that will continue to go up. I also mentioned about credit life continuing to do well. So, that will continue to give us the upside.

In terms of investments that we have made in a lot of partnerships, whether it is in AU Small Finance Bank, India Post Payment Bank, Yes Bank and so on. As you know, we have to invest ahead in terms of manpower before the revenue starts kicking in. So, we expect that also to happen. Similar is with the acquisition of Exide Life in Tier-2 and 3 locations. The costs have already been incurred and are being carried in our P&L and reflected in our margins. So, the upside should start coming in, in terms of productivity increase. Niraj, do you want to add to that?

HDFC Life Insurance Company Limited
April 26, 2023

Page 8 of 26

Niraj Shah : No Vibha, you covered it.

Deepika Mundra : Any comments on potential for composite license and how do you think about the health offering in conjunction with HDFC ERGO? Or would you like to do it stand-alone?

Vibha Padalkar : If you recall, out of all the committees that were formed, HDFC Life chaired the Development and Penetration Committee. And in that report, we did ask for composite license. So, it's no surprise that, it has come through. We asked for a whole host of other things like the genesis of Bima Sugam and to have a marketplace. We talked about being allowed to distribute other financial services products, including products that are regulated by IRDAI and other regulators. We're happy that this is hopefully seeing light of day wherein the bill gets passed and we are able to do this.

Now, if you are allowed to do this, the next step is the regulator needs to form regulations to be able to say what is it that they would like to see. But assuming that they are on-board

to your

last question, we're not really interested in re-distributing the pie. We want to grow the pie. And when you triangulate that, wherein 60% -70% is still out of pocket expense and the numbers are not even a percent in terms of penetration, much lower than what it is in life insurance, then I think we would be doing dis-service by just redistributing the pie. So, we don't really want to play just in the mediclaim space, but having to juxtapose between life and mediclaim.

There are many layers. It could be in terms of riders. It could be in terms of embedding health solutions within a life product and so on. We do have a few ideas on which we are ready to press the button if we are allowed to sell it. At the very least, our ask in the earlier committee has been to allow us to distribute health products if not to manufacture. Yes, that is admittedly not the best outcome, but at least that.

So, all these options are open and worldwide health fits much closer with life and underwriting becomes easier with an understanding of the person's health condition. We'll wait and watch, but we certainly have our plan ready, depending on any of these avatars that we're allowed to do.

Moderator : The next question is from the line of Avinash Singh from Emkay Global. Please go ahead.

Avinash Singh : A couple of questions. First one is on your back book surplus. If I were to adjust for last year's excess mortality reserve, probably the back book surplus revision looks like 7% -8%, typically much weaker than your trajectory. If you can provide some more colour on that. That's my question one. And second question is just to repeat perhaps, in terms of FY24 outlook. On this strong bumper base, do you expect APE to grow in FY24? And on margin I'm a bit confused because you are seeing a positive trajectory for retail protection. You are going to see probably more granular growth as far as non-par policies are concerned and some synergies from HDFC Life-Exide merger as their base performance will improve going forward as well. Yet you are being guarded on margin guidance. These are my questions.

HDFC Life Insurance Company Limited
April 26, 2023

Page 9 of 26

Niraj Shah : I'll start with the margin question. What Vibha did mention is that there will be a couple of things here. One is in terms of product mix, we said that there will be more longer-term business that we would expect to get over the next year. We will look at product mix beyond that. As we've said, in terms of protection for the quarter, we had a significant growth ~40%, and we expect protection to continue to grow on a normalized base as we go forward. Some of these things will help in margin accretion. That will be balanced by the investments that we have made, and we continue to make in building our distribution in terms of people on the ground as well as in terms of the technology investments that Vibha spoke about. We started that, and we'll continue with that over the next couple of years. So, the idea really is to generate VNB growth out of APE growth. We did mention that we are fairly confident about delivering growth next year on a

normalized basis and our aspiration will be to continue to grow faster than the industry. On our VNB growth, we expect it to come from APE growth next year while maintaining margins in spite of all the investments that we will make. And of course, there will be adjustments that will happen as the year progresses in terms of how the market evolves. There was an earlier question around EoM and the practices that may be followed across the industry. So, we'll have to look at all of that as well. But all in all, we have talked about directionally how we would like to approach it, and that's how we are looking at margins for next year. As far as the question on EB surplus is concerned, even on a normalized basis, we are looking at adjusting for the

COVID number, 18% to 20% EB surplus growth. So, that is something that we believe has been achieved, and it's something that we will expect to continue.

Avinash Singh : No, my question was on the back book surplus that's on Slide 10. The Rs 34.9 bn in FY22, if you normalize for excess mortality reserve for COVID, it goes up to Rs 41.4 bn. And from there, with Rs 44.2 bn in FY23, it's like some 7% -8% growth. That is a lot muted considering your past. Of course, FY21 and FY22 had some COVID impact. So, what is driving this sort of a slower trajectory of back book surplus. Is it Exide Life or is it something else?

Niraj Shah : I think what you're doing is basically taking the full COVID impact into the EB surplus, that's not really the right way to look at it because there is a new business impact as well. So, you have to actually distribute the impact on new business and also on existing business surplus. If you back that out, then you get to the number I mentioned.

Eshwari Murugan : To add to that, there will be some other impacts like we have our assumption changes or some operating variances that would flow into the IGAAP. So, just completely including the COVID impact would not be the right way to look at the underwriting profit or the existing business profit emergence.

Moderator : The next question is from the line of Sanketh Godha from Avendus Spark. Please go ahead.

Sanketh Godha : Vibha, just wanted to understand that HDFC bank, which will ultimately become a 50% owner, whether it will be a new fresh capital infusion or it will be a secondary market purchase? So, to HDFC Life Insurance Company Limited

April 26, 2023

Page 10 of 26

understand, if there is fresh capital infusion, the way HDFC Limited did in the early part of this year, then what kind of capital or solvency you would be looking at? After you answer that question, I have a couple of data keeping questions.

Vibha Padalkar : Yes, sure. At this point in time, we haven't had concrete discussions with HDFC Bank. We will, over the next few days. But we don't require extra capital. As you know, we raised Rs. 2,000 crores. So, in all probability, it will be secondary.

Sanketh Godha : And if I look at the unwind rate, probably it is lower compared to what it was last year, which you guided at the start of the year, at around 8%. So, given the interest rates are a little higher, can we expect that your ROE V next year could be driven by better unwind rate?

Eshwari Murugan: Yes. Like we mentioned in the first quarter, we have computed the unwind for the year based on assets that we had and the cash flow pattern at the start of the year. For the coming year i.e. FY24, we will do the same exercise. And based on the computation, we will let you know what the unwind rate is in the first quarter. But yes, as you rightly said, as the interest rate curve has gone up, we expect the unwind rate to be higher. But it's not that it is going to be only influenced by the interest rate increase in the shorter end because at the longer end, the interest rates have been fairly similar. So, depending upon the composition of the cash flows that comprise the VIF, the unwind rate will be influenced by the average of the movement. And then we'll definitely let you know the computation in the first quarter of the year.

Sanketh Godha : And last question, 12% -13% of the entire year's business, which is high ticket entirely gets disrupted. So, assuming it entirely gets disrupted or you can't regain that business in FY24, then is your confidence of APE growth largely driven by the market share increase in HDFC Bank? Or additional business could come from some other channels? I just want to understand the thought process because 10% disruption, means 100 becomes 90 and at 90 even if business grows by 20% next year, then the growth we are looking at is 7-8%. So, in that sense what gives you con

fidence that APE growth could be driven even if high ticket gets disrupted next year?

Suresh Badami : Just to let you know, even until February before this spike came in March because of the budget changes, we were growing in the range of 15% -16%. And if you really look at the growth which has come in, has come across product segments and has come across different channels. Our proprietary channels, which is agency and direct have been growing. A lot of our new banca partners and partners other than HDFC Bank have also given us great support. So, whether it's Yes Bank, Bandhan or IDFC, we have been tremendously supported in terms of growth from them. And we see that trend continuing as they expand.

The third piece, of course, is the fact that there are certain opportunities, which we see in the

smaller ticket par and non-par because that will be a segment which will open up and the number of policies that we'll be able to gather from there should be fairly high.

HDFC Life Insurance Company Limited

April 26, 2023

Page 11 of 26

Lastly, most importantly, we do believe that now with HDFC Bank as parent, they will give us a fair amount of spike in terms of market share, and we are working towards that in close coordination with them. So, we will definitely, like how we have done in the past, target to grow faster than the industry, we're fairly confident of that. Whether we are confident of 10% to 15% growth, I think, like Vibha, mentioned earlier, there have been 4-5 instances of disruption in the market and across all those disruptions, you will find that we have somehow managed to grow in the range of anywhere between 10-15%. And we are hoping that even in this case, we'll be able to replicate that.

Niraj Shah : Just to add to that, apart from on the distribution side that Suresh spoke about. On the product front itself, this whole premise of 100 going to 90 and 90 being the starting position is something that we don't necessarily believe in. Because even after the budget changes and specifically more after the other announcements that were made around debt mutual funds, we believe that this product category still is incomparable. There is no product proposition that exists over this period of time, which gives this kind of proposition even on a post-tax basis. So, we don't really subscribe to the thought process of the starting position being lower. Of course, the bump up that has happened, we are looking at normalizing that. But the starting position in our mind, will not be less than 100 from that perspective. And we'll aspire to grow from a normalized base.

Vibha Padalkar : And I want to add one more point to this. While there's a lot of talk and focus on more than Rs. 5 lakhs ticket size, an important data point is that in the month of March, our below Rs. 5 lakh ticket size business grew by close to 50%. So, it is not that there is no growth there. Another data point is in that unit-linked, after this Rs. 2.5 lakh tax change happened, our composition of unit-linked for higher ticket size has actually gone up significantly. Rather one would have expected it to have gone down. So, there is a fair bit of decoupling between tax being the reason, at least for our section of customers, and it's actually translating into their buying behavior.

Moderator : The next question is from the line of Swarnabh Mukherjee from B&K Securities. Please go ahead.

Swarnabh Mukherjee : So, first question is on the cost structure. Given the VNB walk that you have provided, we have had a very strong scale up in FY23. Despite that, I see that VNB has a negative impact coming from fixed cost absorption, while I would have thought that because of strong growth, there would be some amount of operating leverage actually playing out in a positive manner. So, I wanted to understand how to read this and what will be the proportion of variable cost in this cost structure which is resulting in this? And also, if you could look at it from the lens of EoM ratio glide path. Where are we? Our EoM ratio is closer to 20%, the number that you report. So, how should we look at it? Are we above the limits that IRDA calculations prescribe and how the glide path will be? So, this would be my first question.

And secondly, in terms of persistency, I see that in 61st month bracket, there is a drop in persistency while in all other cohorts, you have improved the persistency. Just wanted to

HDFC Life Insurance Company Limited

April 26, 2023

Page 12 of 26

understand, is this related to some kind of persistency challenge in ULIP book that has played out particularly or anything else to read into that?

Niraj Shah : Yes, I'll just quickly start with the second question on persistency. 61st month that you're referring to, it's largely the impact of the merger. There were certain cohorts of the acquired business, which was historically trading at lower persistency. While there has been improvement across the business that has happened over the last few years in Exide Life, the business that was written 6 or 7 years back, did indeed have poorer persistency. That is something that is getting addressed and that was the impact that you saw. If you look at whether it's category-wise in terms of product segment or ticket size, persistency across the board has been improving over the past few years, and we expect that trend to continue as we go forward.

To your question on VNB trajectory, there has been clearly, some operating leverage that we saw in Q4 because of the volume pickup. Some of that got neutralized by the investments that we have made and continue to make on the people front as well as on the technology front that we spoke about. And this also does carry the impact of Exide Life business, which was operating at a particular scale. And while some of the synergies have been realized in this period and the cost of acquisition or the cost of writing business has come down from over 100% to 70-75%.

We expect that to go down even further going forward.

Swarnabh Mukherjee : Got it. Just a follow-up on this answer. The Rs. 100 crore investment that we plan to make this

year, how much headroom does it leave us to push some kind of favourable terms in terms of commission in certain products? Do we have a lot of headroom given that we would also have to have a glide path for EOM directionally, which should be lower?

Vibha Padalkar : I didn't understand the question. Are you asking whether we can afford the Rs. 100 crores within EOM ? Yes, very comfortably we can because we do have a fair bit of headroom and have had for the last several years. We have been one of the few companies that have been compliant both at the company level as well as at a segment level. So, no issue at all on that front.

Moderator : The next question is from the line of Madhukar Ladha from Nuvama Wealth. Please go ahead.

Madhukar Ladha : First, I missed out a little bit in the beginning. So, when you say the growth in this quarter was 16% that was normalized and 11% was the high-ticket size tax impact, right? So, are these numbers on what basis? These numbers are for the full year or for the quarter because for the full year, the individual APE has grown about 39% year-over-year. And for the quarter, it's at about 75%, right? I didn't quite follow these numbers.

Vibha Padalkar : Madhukar, you need to take Exide Life into the base. So, the growth is 27%. What we explained at the beginning of the call is that if you were to look at where we were trending, which is YTD Feb, we were trending about 15% -16%. So, from 27%, if you back out 15% -16%, which comes to about Rs. 1,000 crores, could be attributed to what we said is the March effect.

HDFC Life Insurance Company Limited

April 26, 2023

Page 13 of 26

Madhukar Ladha : No, I missed the Exide Life

part in the earlier part of the call. Sorry about that. And the other thing also about this Project Inspire, what exactly are you trying to do out here?

Vibha Padalkar : So, it is a holistic transformation of everything from having a 360-degree view of the customer and looking at various capabilities. For eg. We are looking at our application architecture, the IT governance model, road map on the cloud strategy, while we've embarked upon it, suitability of our tech assets in terms of how much would be on-prem, how much would be on cloud, to look at our overall architecture. Typically, we would have the core policy admin system, every life insurer, whether in India or abroad would have that and then you have a middleware. But that does reduce our speed to market, both in terms of customer propositions, partner integration, new products and so on. Apart from having a single view i.e. 360-degree view of the customer that I mentioned, we would like to have a 360-degree view of the family as well with a lot of adjacencies that we can triangulate as well as having a data strategy at the core of it. So, it's not only tech but tech plus data. We already have a data lab in Bangalore. And how do we use data also enriched by what IIB is trying to do, Bima Sugam will hopefully happen. And triangulating that, how can we reduce the pain that a customer goes through in terms of underwriting? How can we give pre-approved sum assured? How can we have customer nudges? How can we triangulate where in exactly like you have where we start watching a movie on one device and then end up on a handheld device when you're traveling. Similarly, how can we have a customer conversation on sales or servicing on one platform and end up seamlessly on another platform and many things like that? When the time is right, we do intend to have a Tech day, and we haven't had one for some time, wherein we would like to showcase to all of you in terms of the inroads that we have made in this journey.

Madhukar Ladha : And one final question. So, you also mentioned that you saw growth of about 50% year-over-year in the less than Rs. 5 lakh category. So, are you worried or what are your thoughts on how much pre-buying has happened, so that people keep their Rs. 5 lakh limit available for FY24 and beyond. Could that sort of dampen sales a little bit in FY24?

Vibha Padalkar : I just want to put out very categorically, and Niraj mentioned this and Suresh mentioned it as well, but I just want to mention this again, I have no doubt in my mind about the prospects of life insurance, and that has nothing to do with here and now tax or no tax. Because now, there is parity, which is rightly so between similar kinds of products. With that, Niraj also alluded, even if I exclude life cover thrown in, our IRRs are better and the product proposition, that's the most important, there's no other product that gives long-term assurance of return. I think we're somewhere minimizing it and narrowing it down to an IRR conversation that an HNI will want. That cannot be further away from truth. Another part is that a lot of HNI whether fortunately or unfortunately, have very low tax rate. So, tax is often not the driver for it. And the fact that you get no ambiguity in terms of what am I going to get 20 years from now, no other product can give that. So, that doesn't change and that's what gives us the confidence that we go back to basics in terms of engaging with the customer and explaining some of the nuances. And to say that, okay, if unfortunately, something were to happen to you, your dependents will get this no matter whether a person is there or not. Suresh, would you like to add?

HDFC Life Insurance Company Limited

April 26, 2023

Page 14 of 26

Suresh Badami : I think Vibha covered it, but one is not the issue in terms of whether pre-buying has happened. I think the fact that now almost every

body who is in less than Rs. 5 lakhs category in terms of the number of unique lives that we can cover can see this as a product that they can buy because it's a very strong value proposition below Rs. 5 lakhs in any case. Because that has not gone away below Rs. 5 lakhs. So, the number of customers who may want to look at this almost like an 80 C even from a tax perspective, it's almost similar to that to say why don't I invest at least Rs. 5 lakhs into it, and we should be able to broad base. And this is really in line with the vision to say that with the smaller ticket size, everybody should have insurance in India. We should be now able to maybe drive multiple policies because the product proposition remains very strong. Vibha Padalkar : And the last point I want to make is that in the overall objective of going back to basics, HDFC Life has always been a middle class, upper middle class and affordable segment focused insurer. Somewhere market was pulling us into the high net-worth segment. So, it is, in a way, playing to our strength to come back to the core of what we are comfortable with, wherein the levels of underwriting, especially on mortality are not compromised. This is because it's not difficult to say, I won't ask any questions, I'll ask very few questions, I will keep this on my books. You just have to triangulate with a lot of public information that is available for a lot of insurers that have kept more and retained, more and more on the books. Now for some of these, there's no reason to believe why that retention at high ticket sizes is okay, and it's going to pan out the way it is going to pan out. So, my limited point is that we are now playing to the strengths of HDFC Life, and that's what gives us also the comfort and the confidence that the growth will be unaffected. Moderator : The next question is from the line of Nidhesh from Investec. Please go ahead.

Nidhesh Jain : 2 questions. So, first, on protection, the growth that we have seen in this quarter, is it any channel specific? Or are we seeing broad-based growth? If you can comment on the growth, how we have seen on our agency side, specifically on the protection. Secondly, if you could share the mix of APE, which is coming from more than Rs. 5 lakh category because I remember that when the budget announcement came at that point of time, we have said that such policies contribute around 10% to 12% of our business. And I believe in Q4 that share of business would have gone up quite significantly from those policies. So, what is the share for the full year from Rs. 5 lakhs plus policies in our APE?

Vibha Padalkar : So, the growth, if you were to look at, almost all channels have done fairly well. But one noteworthy aspect that is showing very good traction is our bancassurance channel and on the back of some of the product launches that we've had. And another noteworthy aspect is that other than the top 10 cities, we are beginning to see traction in the protection space. We're delighted by the kind of a traction that we are seeing. Of course, somewhat early days because we're talking about a quarter, but that is quite noticeable. If you were to look at HDFC Bank itself, the branch activation on protection, and this is there on Slide 15, that has increased by 50% year-on-year. That focus will only increase, and we had multiple conversations with HDFC Bank to say that this is an opportunity, it's a question of focus and there are solutions such as the return of HDFC Life Insurance Company Limited
April 26, 2023

Page 15 of 26

premium to give lighter touch underwriting. All of that has come through and worked well. To summarize all channels have done well, but noteworthy is what we see in bancassurance. Sorry, your second question?

Nidhesh Jain: What is the share of high ticket /more than Rs. 5 lakh policies for full year? We remember that the last time when you shared the

data, that number was around 10% to 12%. Given that we have seen very sharp growth in Q4, that number would have been quite high. So, what is the number for the full year?

Vibha Padalkar : Yes, until February, it was 10-12% and for the month of March, Niraj has given this number.

Niraj Shah : About 1/3 for the month of March.

Nidhesh Jain : And when we're talking about normalized base, should we remove the entire number from FY23 APE? Or should we just remove Rs. 1,000 crores of delta that we have seen in March '23?

Niraj Shah : Yes, Nidhesh. That's what we should do because honestly, a lot of it is conjecture in terms of what will happen to greater than Rs 5 lakh category, less than Rs 5 lakh category. And we'll all have different point of view on that. But, if we look at the data as to what was the growth YTD February, which was normalized growth and what has happened in March. If you back that out and take 15% -16% as the normalized growth for the year, that's what we would have actually achieved had it not been for the budget and that's what we are working with. And then various segments within that will anyway evolve as the business progresses going forward.

Nidhesh Jain : Sure. So we are guiding that on a Rs. 12,300 crores of APE, we expect positive growth next year?

Niraj Shah : Yes, absolutely.

Nischint Chawathe : If I look at the increase in existing business surplus, is a part of it contributed because of the merger as well ?

Niraj Shah : No, Nishchint . If you just look at the stand -alone business, which we now don't track, there isn't any significant accretion to the PAT or EB surplus coming from the acquired business because of the cost at which the business is getting done. At the time of acquisition, the cost was over 100% , though now we've brought it down significantly below that. So, there isn't any significant EB surplus generation from that business yet.

Nischint Chawathe : And any specific drivers that you could call out for this EB growth?

Vibha Padalkar : Our product mix has been changing quite significantly over the years, and it is taking longer for profits to emerge. If you recall, we started on this non -par and some of the new par products about 4 -5 years ago, and that has increased in its intensity. So, it has taken about 4 to 5 years for

HDFC Life Insurance Company Limited

April 26, 2023

Page 16 of 26

those profits to emerge as against a unit -linked product or even some par category products , where profits will emerge sooner , over a 2-3 years kind of a time horizon. You want to add anything, Eshwari?

Eshwari Murugan : Just to add to that, unlike the earlier product mix where we wrote more of unit-linked products, profits would be coming mostly in the first 5 years and not much later on. The contracts that we're writing now are longer term in nature and we will continue to get the profits over a period of 25 -30 years . This means that after say 5-10 years, the backbook surplus emergence or the growth will be much higher. However, as we are in the transition period of the last 5 years business getting replaced, the emergence or the growth looks lower.

Nischint Chawathe : And just 1 more question about the business that you're looking at from the new branches of HDFC Bank. You somewhere mentioned that the persistency outcomes and the mortality outcomes would be different. Does it mean that margins in those branches would be a little lower?

Vibha Padalkar : We don't really see it that way . It's an overall portfolio approach, and it will be subsumed within the company -level margin.

Niraj Shah : So, Nischint, just to add to what Vibha mentioned, the good thing is that we've been tracking our persistency across geographies, customer segments and there has been an improvement across the board. And that's the reason why we're very confident about getting into Tier-2, Tier-3 with very good experience

now compared to what we would have done probably seen 3 to 5 years back. So, what we are saying that , can we expect Tier-1 kind of persistency in a Tier -3 market? Maybe not. However, we believe that our Tier-3 persistency will keep improving from where it is today . So, all of this would be priced into our products, and we will ensure that this is factored into our assumption setting as well.

Moderator : The next question is from the line of Akshen Thakkar from Fidelity.

Akshen Thakkar : Most of my questions have been answered. Just going back to the point on growth . On the statement of 27% and 15% growth , that's largely towards retail APE, right? The group business shouldn't get impacted by that?

Vibha Padalkar : That's right. Yes.

Akshen Thakkar : All right. So broadly, just assume Rs. 1,000 crores of excess APE and then think about growth . The way you're thinking about it is on a normalized base, you see industry-leading growth after removing the Rs. 1,000 crores.

Vibha Padalkar : That's right. Yes.

Moderator : The next question is from the line of Supratim Datta from Ambit Capital. Please go ahead.

HDFC Life Insurance Company Limited

April 26, 2023

Page 17 of 26

Supratim Datta : So, 2 questions here. One, on the annuity side, it looks like the growth in the fourth quarter slowed. So, is there any particular reason for that? And number 2 would be, do you see a scope for this Rs. 5 lakh threshold that is there now, also being taken away going forward? Based on that, what kind of product innovations are you looking at?

Vibha Padalkar : Yes. So, on the annuity front, we held our market share and continue to be robust even in Quarter 4. Overall, it was an industry thing in terms of what are the government employees doing and is there some deferment or are there lesser funds that are flowing into annuity . Sometimes the release is not done by the public sector undertaking and a myriad of issues like that. You want to add anything, Suresh?

Suresh Badami : No, I think frankly, the idea was also to maximize on the opportunity in the non -par segment. The March numbers were almost like a full year number of what normally happens across some of the others. So, the volume, the channel, everything was devoted to this. And we ensured that we didn't slow down on annuity . We continue to maintain our market share as such. Also, like

Vibha mentioned, some of the group annuity numbers depends on a lot of other factors on the ground in terms of how many people are coming in. Having said that, the channels on the field were quite swamped with the kind of budget related business, which flowed into us, thanks to the brand as well as the product.

In fact, our annuity business in FY 23 grew by almost 18% on received premium basis compared to a 2% growth for the industry. So, you can see that the focus on annuity, like we've been saying, continues to be there.

Supratim Datta : And on the second question?

Vibha Padalkar : Sorry, can you just repeat that question?

Supratim Datta : So, what I was saying is that now you have been given a Rs. 5 lakh threshold, but a similar threshold has not been given to debt mutual funds or fixed deposits. So, should the government take that away, what would be your strategy? Have you started strategizing for a similar event or not?

Vibha Padalkar : Yes, absolutely. And it goes back to what I mentioned that we have no doubt in our mind that the whole concept of reinvestment risk is very well understood. See, if this had happened just when we had launched Sanchay Plus and nobody else in the industry was selling Sanchay plus, then people would not have appreciated what reinvestment risk does and long-term assurance of returns. Now that almost every player amongst our peer set is selling some avatar of this product, a category has been born over the last 2-3 years, and there's a pull for this product, and it is

well

understood versus the nuances of fixed deposit or a debt mutual fund.

So, we believe that it will go back to the basics of asset allocation. If a person has, say, Rs. 50 lakhs, maybe there could be Rs. 30 lakhs allocated into a Sanchay Plus kind of a product. The

HDFC Life Insurance Company Limited

April 26, 2023

Page 18 of 26

rest 20 lakhs or 10 lakhs each could be allocated into other forms of savings which will give him more liquidity. That could happen, but it's not going to go down to 0. And that's what gives us the confidence. The Rs. 5 lakh going away will be somewhat of an unfortunate outcome because of the fact that people do need to save longer term. It is something that they don't dip into, at the shortest or the first emergency or first discretionary spending. That is very important. But yes, we do believe that it goes back to the fundamentals of what this product has to offer, and that's not going to change.

Last point here is that the math very clearly shows that the post-tax IRR is more attractive versus any other product that is there. And also, today, people buy annuity. Just now we talked about annuity, and you raised a valid point that we are market leaders by a mile. Annuity is taxed, and that is something that is factored in by people. So, it doesn't deter people from buying annuity. And these are not only people who are buying annuity because that's the feature, but also people buy annuity in the open market. So, longevity risk is very well understood, and that's only going to increase as our population shifts more and more towards age of 50 and above.

Moderator : The next question is from the line of Parag Thakkar from Anvil Wealth. Please go ahead.

Parag Thakkar : So, first of all, congratulations to the entire team and HDFC Group that you got through the relaxation due to which HDFC Bank would be able to increase stake. And definitely, with skin in the game, I can also understand that now the entire machinery of HDFC Bank, will be more willing to sell HDFC Life products. Another trend, is that in order to mobilize more and more deposits, including HDFC Bank, which is taking the lead from the front because of merger with HDFC Limited, many other banks are also opening branches in Tier-2, Tier-3, Tier-4 cities. So, I would ask whether HDFC Life is focused on developing products for this Tier-2, Tier-3, Tier-4 cities where HDFC Bank is now going to open branches, or any other banks are also going to open branches to attract those customers where the ticket sizes might be small and the insurance penetration might be negligible.

Niraj Shah : Absolutely. So, thanks for the question. We just discussed in terms of our progression to Tier-2, Tier-3 in terms of quality of business. That gives us the confidence that as we broaden our customer base in these branches that you're talking about across not just HDFC Bank but other new partnerships that we have like AU Small Finance Bank and some of the other larger banks which are also increasing presence in Tier-2, Tier-3, and also, our variable agency business, which is primarily in Tier-2, Tier-3 markets. We are very confident of being able to not just distribute and get growth out of that, but get growth with quality and maintaining our profitability.

In terms of product constructs, yes, definitely, what we have to address is in terms of recognizing that the kind of documentation that's probably available in Tier-1, Tier-2 may not be available in Tier-3. We are looking at a lot of solutions around that as well. A lot of information is now available across third-party databases, which we are able to leverage. In lower ticket size typically the kind of underwriting, from a medical perspective, that's required is a lot limited.

HDFC Life Insurance Company Limited

April 26, 2023

Page 19 of 26

We are already in arrangements and discussions with our reinsurers to

be able to participate in

this kind of an opportunity and the reinsurers are fairly enthusiastic about it. So, all of this put together gives us a lot of confidence in our ability to not just create products and reach out to these customers, but do that business at scale and on a sustainable basis.

Parag Thakkar : Yes. So, if we put all this together, that the banks are opening branches in Tier-2, Tier-3 towns where insurance penetration is not there. Looking at this, if you just leave aside FY 24, where you have a disadvantage of a very high base of FY23 because of the budget thing. What is the overall expectation of growth over the next 3 to 4 years, considering the under penetration of insurance and considering the fact that now banks are opening branches everywhere in order to mobilize deposits?

Suresh Badami : You're absolutely right. Our whole strategy of ensuring that we reach to every segment in every part of the country, is something we have been working on for the past several years. And of course, we have the advantage of HDFC Bank, which now has increased their branch network to 7,800. They added some 638 branches even during the last quarter, and 1,479 for the full year. But if you really look at it, whether it's Bandhan in the East, whether it's CSB, SIB, Ujjivan, Equitas, whether it's Capital Small Finance Bank, Utkarsh, whether it's AU Small Finance Bank, a lot of them have very strong regional presence, and we've been actually getting extremely good support, like I mentioned earlier, from all of them.

So, clearly, if we have to work with them, we will find our growth and our product strategy also syncing with what they are doing. Of course, now we have the added advantage of acquiring Exide Life. If you remember, the entire proposition of looking at the acquisition of Exide Life was to look at the South market, which was a little weak for us as well as the Tier-2, Tier-3 markets. There's a lot of learning, which has come in terms of their product and the way that they go about their business, whether it's in terms of the venue marketing, or in terms of the agency model that they have, which we plan to now scale that up and take it across.

Thirdly, more importantly, I think being pioneers in technology, we've had a fairly strong presence in a lot of ecosystem partners. Now with multiple things happening in terms of the India stack, in terms of 5G, in terms of mobile penetration, in terms of how we've been working in the past, we do believe that there is again an opportunity in terms of increasing the NOPs as well as our penetration into the Tier-2, Tier-3 markets. Clearly, this year, we will focus in terms of how do we expand in some of these markets. And of course, the regulator is also looking at some of the other initiatives like Bima Vi staar and Bima Vahak. These are great initiatives to be able to take markets beyond even the Tier-2, Tier-3.

Parag Thakkar : HDFC Bank is increasing stake and HDFC Life does not need capital. So, mostly, it will happen through a secondary route, right? And generally Standard Life has been selling stakes in the past.

So, what is the stance over there?

HDFC Life Insurance Company Limited

April 26, 2023

Page 20 of 26

Vibha Padalkar : So, you're right. In all probability, it will be secondary because we don't need capital. And you're also right that Aberdeen has been a seller. And there's a last bit that is there of 1.66% more because it is part of the promoter group. So, these are all conversations to be had between HDFC Bank and who they want to buy the stake from. And I guess that should materialize in the next month or so.

Moderator : The next question is from the line of Dipanjan Ghosh from Citi. Please go ahead.

Dipanjan Ghosh : Just 2 or 3 data keeping questions. If you can provide your rider attachment rates. Second, some colour on the credit life growth maybe across you

r channel partners, maybe segregate it across

some of the channel partners out there on the MFI side. And lastly, on the annuity margins, we have seen the market leader take multiple rate hikes. So, how are the margins shaping up across that particular business segment without taking into consideration the mix change within annuities?

Vibha Padalkar : Yes. On rider, we are growing. Not really giving out specifics of that, but the focus continues to be there at every product that we can attach and at every channel level. Yes, there are pushes and pulls, but that has grown fairly well, both in terms of individual and group riders. Your second question was in terms of MFI.

Dipanjan Ghosh : Sorry. On the credit life business across channels.

Vibha Padalkar : Yes, credit life. We are very happy in terms of how well distributed it has been over the years. And the reason why we are happy is that there are many possible business disruptions. One kind of a sector goes up or down or one kind of a line of business is unattractive, mortgage is

unattractive for something, or it is attractive for something else, etc. So, it's about 1/3 rd, 1/3rd, 1/3rd. So, MFIs is about 1/3 rd and HDFC group is about less than 1/3 rd and balance is whole host of marquee banks and NBFCs. And similarly, we are very well spread across the lines of business as well.

Dipankar Ghosh : And maybe the last part on the annuity margins and how that is shaping up for the industry ?

Vibha Padalkar : Very robust. And I was a bit surprised, I thought we were the market leaders on annuities in the private sector.

Dipankar Ghosh : I was referring to the PSU player out there.

Niraj Shah : So, the annuity market has been developing quite well. And what we are really seeing is a fairly calibrated approach from all the players who are participating in this. It is primarily the 3 or 4 large players who are writing this business. If you were to track in terms of how the market is behaving, you'll find fairly frequent repricing that is happening in the marketplace as a consequence of any changes in the interest rate environment. That's something that we expect to continue to see, given that this is a long-term risk management product, and we will be in a

HDFC Life Insurance Company Limited

April 26, 2023

Page 21 of 26

position to manage our spreads and maintain higher than company level profitability in the annuity business as we go forward because of the market conduct that we have seen over the past many years since this product category has expanded.

Across the whole business, there are multiple sources from which this business really comes. As Vibha mentioned before, in terms of discretionary savings as a segment has been growing in the annuity business. As the NPS business becomes larger, it is also contributing fairly well to this category of business. And we did discuss in terms of some of the regulatory changes that have happened more recently in terms of EoM. We do expect that the pension category as a product will also get revived very shortly. When that happens, that will also become a feeder to the annuity business as it was till a few years back.

Moderator : We have the next question from the line of Nitin Agarwal from Motilal Oswal. Please go ahead.

Nitin Agarwal : So, Vibha, the first question is how easy do you think it will be to redesign the KRA and change the overall strategy, focusing on granularity so as to limit the impact of budgetary changes? And also, if you can provide as to how April has trended so far to suggest the impact of new tax laws?

Vibha Padalkar : So, on the first one, it's going back. If you look at 3 to 4 years previously, we were doing exactly this, wherein we were selling to more and more customers. We were selling a lot more to middle class, upper middle-class kind of customers as well as solving for how do we broad-base growth. So, it's going

back to that. It plays to our strength, again, because of the DNA. So, I think it's a question of maybe a quarter or so, if at all. This was coming. And really, one point I want to make is that even if the budget had not come, this is exactly what we would have done. And this is something that my management team is very aware of that our focus has been to go back to basics about number of policies because broad basing and getting more customers was equally important. And so, this is not really a budget led recalibration of KRA sheets, and that gives me a fair bit of confidence.

As regards April, this is a forward-looking statement, and that's something that we will give you an indication when we report our June numbers.

Nitin Agarwal : And one more question as to how do you see the HDFC Bank counter share now moving over coming years?

Suresh Badami : Obviously, once they become the parent, they will see the overall strategy more closely. We expect a huge amount of support in terms of how HDFC Life is being looked at. It's not that we don't have that support right now. But I think the way we are looking at it is in any of the business that we do, we have always looked at the right balance between the quality of the business as well as the risk that we take. And given the relationship that we have at all levels across the bank and their comfort with HDFC Life brand, we do see the counter share moving up. In various forums, we've had the senior management of both the entities saying that we will inch it back up to the 70% mark. And I don't see any reason why we shouldn't be heading there.

HDFC Life Insurance Company Limited

April 26, 2023

Page 22 of 26

Obviously, it is open architecture and HDFC Bank has very clearly stated that they would want to remain in the open architecture model. So, we will have to be competitive, whether it's in terms of product or whether it's in terms of servicing. So, those actions clearly are planned for us, but you will see a sequential quarter-on-quarter growth in terms of our market share, and we are working very closely with the team there to see how we can take this up.

Moderator : We have the next participant in queue, Ms. Pallavi Deshpande from Sameeksha Capital with the next question. Please go ahead.

Pallavi Deshpande : I wanted to know what would be the share of ROP in the product mix? And any expected hardening on the reinsurance front ?

Niraj Shah : So, ROP overall would be about 20 -odd percent of the business. It has gradually expanded over the last couple of years. We started in single digits a couple of years back and now it has caught on as we go deeper into Tier-2, Tier-3 markets . Also , the Exide Life business was catering to this segment. So, we are around 20 -odd percent at this point in time.

On the reinsurance front, it's been a fair bit of conversations that we've had with them in terms of how they are looking at the market place now . Two of the reinsurers are fairly active now. I did mention some time back that they are fairly excited about now getting back to the growth mode . From a pandemic perspective, there was a bit of defensiveness of course, at that point in time, but all of that is now gone. Clearly, i t is in terms of ensuring that we are back to growth in this segment. There is a lot of excitement around the protection growth coming back, and there is a fair bit of enthusiasm among the reinsurers on that front as well in terms of taking on new risks, new segments as well as deepening the current business.

Also, the good bit here is that some of the practices have been put in place, which will safeguard the interests of the customer as well as the insurers and the reinsurers and we expect that to continue. Pricing will continue to reflect the changing risk environment. So, as you go deeper into Tier-2, Tier-3 markets, the mortality experience is likely to be different and that will g

et

priced in as appropriate.

Pallavi Deshpande : Lastly, on the banca channel, which you mentioned HDFC Bank, which products would you focus on?

Vibha Padalkar : We are having a balanced product mix at HDFC Bank, and that will continue. Really, it's all the products that we have. The only nuance there, which I alluded to one of the earlier callers is that we are also having a SURU focused strategy, which is semi -urban and rural areas and looking at non-top 10 cities . And there, we have seen a fair bit of traction for us in both protection as well as some of the easier underwritten products. So, that will continue.

Suresh Badami : So, if I can also add, I think really, the way we are looking at our product mix also is in terms of the overall opportunity on the product penetration at every branch level. So, we understand at a

HDFC Life Insurance Company Limited

April 26, 2023

Page 23 of 26

specified person level or FLS level , what is the opportunity in terms of being able to be par active, non -par active, term active. So, while Vibha mentioned that we always drive a balanced product mix, our objective would be to make sure that we totally penetrate in terms of the customer base on whether it's the annuity opportunity, whether it's in terms of the par opportunity less than Rs. 5 lakhs as well as the term. And in certain markets, we will sell ROP. But somehow across all the channels and the segments, we should be able to get to the right product mix with the right quality.

Moderator : The next question is from the line of Viraj Shah from Axis Capital. Please go ahead.

Viraj Shah : So, the first thing that I wanted to understand is that with the merger going through, the kind of branch addition that is expected to be done in the next 2 years would be about 1,200 to 1,500. I wanted to understand where could this take the bancassurance contribution to in the overall distribution pie? And what kind of impact could it have on the distribution expenses itself? Could they significantly come down with the addition of the branches and the bancassurance network going up?

And the second question was, there have been various reports about some GST and income tax notices being sent to the company. Is there any ask in terms of what could be the amount? What are the charges? And what could be an impact of this on the company?

Suresh Badami : Yes. So, let me answer the first thing about the branch expansion and what will be the bancassurance contribution. Really, we don't look at that, that way. I think Vibha answered in one of the earlier questions that, we don't target by contribution. Yes, obviously, bancassurance will go up because the branches are expanding, and it's not just at HDFC Bank. I think all our partners - there are like 300 partners, 28 partners on the scheduled bank side, where we'll be expanding, and we can see that growing. But similarly, there are other investment in terms of growing the agency business or where we have a broking partner or where we have large other direct relationships, I think that will also continue to grow. So, the way we look at it, each of our channels, in some sense, are regular business lines, and each of them is headed by a channel CEO, who is looking at end -to-end growth, profitability and quality of business. So, yes, we do believe the bancassurance growth will be there and we will gain share in HDFC Bank and when they expand, maybe the HDFC Bank contribution will go up. But really, the idea would be to ensure that we have a diversified distribution mix as well as grow each of the other channels. And obviously, the cost structures will depend on whether we can get the scale and can get the volumes. I think we have demonstrated that in the past also in terms of brand expansion and we have amongst the best -in-class productivity across most of our banca partners.

And on the GST, I'll just hand it over to Niraj.

Niraj Shah : So, on the GST front, as you are aware, this is an industry -wide issue, and there has been a request for information to be provided around the deductions that have been availed off on the input tax credit. We've been cooperating with the authorities and giving them all the requisite

HDFC Life Insurance Company Limited

April 26, 2023

Page 24 of 26

information. We await to hear from them in terms of a formal show cause notice . Future course of action will obviously be determined based on what we hear from them. As of now, we are not in the receipt of any such communication from the authorities.

Moderator : The next question is from the line of Neeraj Toshniwal from UBS India. Please go ahead.

Neeraj Toshniwal : So, first question is on the product line margin. If I look at the product mix, it has moved significantly towards higher margin products. But in terms of margin outcome not much improvement seen. So any gaps here or we would see it is largely because of the investments we are doing? Or there has been some weakness because of the higher pool coming in because of high competition in the last 15 days? How to think about it?

Vibha Padalkar : If you're talking about the waterfall of margin, is that what you're referring to?

Neeraj Toshniwal : Yes, that is one question. You can see the result that new business profile has gone down significantly from what was there in nine months. But yes, I wanted to understand any change or drop in any product level margins we have seen?

Vibha Padalkar : No. So, actually, that's a very good point because there is intense competition that you see . Even if you saw that even in the month of March in terms of giving very aggressive rate on non-par, we stayed away from doing that, and that just means preservation of product level margins. You will find the same thing, especially on aggregator platforms. We are rarely the cheapest because then the pricing becomes extremely thin . So, even if one or two lives are worse off than what you have factored in assumptions, then it becomes a problem . So, we have a very calibrated approach and there's been no drop in product level margins. So, I mean when you compare, say March versus before March or Q4 versus Q4 before , there's nothing that is changed at a product level.

Neeraj Toshniwal : Got it. So, what kind of margin you expect over the next 2 -3 years . Obviously next year , you said that it will be somewhat flattish . But, over the next 2 -3 years, where do we aspire to kind of reach in terms of margin profiling ?

Vibha Padalkar : Over a period of time, as the synergies between HDFC Bank and us as its subsidiary starts coming through, then you would see some level of margin expansion. Also, there are some optionalities that we talked about that are there in the Insurance Bill, whether it is in terms of being allowed to do some part of health, health riders or whether it is in terms of being able to distribute other financial products. So, there are a lot of optionalities that are out there . There is also GIFT city, because you're talking about next 2 to 3 years. Apart from our base, which should not change , we will be able to layer it and be first mover in many things that we already are. So, that will start showing some margin uptake once this year, which has a couple of moving parts settles down . Then we should get back on to the upward movement on margin.

HDFC Life Insurance Company Limited

April 26, 2023

Page 25 of 26

Neeraj Toshniwal : So, why I'm asking this particularly because at one point, we were the leaders in margins compared to peers . Now, I think everybody has passed that . I just wanted to know what are the different levers, because we have the best products and still margin -wise, we are probably not the best . So, wanted to know when we are getting back to that?

Vibha Padalkar : Yes. So, a couple of points here. When

you say that we're not the best in margins, I think one

thing is that we need to look at, are we holding market share. So, if you look at HDFC Life, we are holding market share as well as growing market share and holding our positioning. So, we are amongst the top 3 life insurers in any which way that you look, in terms of new business and renewal premium and that continues. So, if you were to give up one or two positions, then the margins can be much higher. So, that triangulation between top line , margins, VNB growth, EVOP will be there for us . So, all of that is a holistic score card. That is point number 1.

Number 2 is that, if you look at the consistency of margins because if you take one particular cut, then one can say that, in this period, you've not grown in terms of margin. But if you look at the 4 -year period which is what we put out in our investor presentation charts , that if you look at any 4 -year period, we have doubled in all parameters. So, you would agree that, that is not an easy ask and we will continue to do that. Even way forward , over the next 4 years, we will continue to double. So, whether it is embedded value, assets under management, value of new

business and so on. So, that kind of a trajectory, we have time and again showed over many cohorts of 4 years and not just one cohort of 4 years, and we'll continue to do that. So, margins will go up over time in a nutshell.

Sorry, last point I want to make on margins is that there is very little in terms of headwinds because, there are companies wherein the banks have not adopted open architecture. So, it's more in terms of , is that the right approach? And do customers really need a choice because , down the line, if customers don't have a choice in this world, then in all probability, the younger ones at least are going to wander into other ecosystems. Whether , it is into an aggregator platform, whether it is into some other kind of digital platform and perhaps at least explore and eventually buy. So, information asymmetry cannot contain as a way of life. And so those headwinds do exist, which is not the case in HDFC Life.

Neeraj Toshniwal : So, that was like my second question in terms of HDFC Bank, will you get support in terms of market benchmark rates also because now then they become parent instead of second cousin .

Also, what will be the timeline for the 70% walle t share, I think we are at 57 -58%, how much time line have we kind of baked in to reach that target 70% mark?

Suresh Badami : I think, once the entire merger is through, and I'm sure the Bank will be busy with the merger.

But yes, already once you become a subsidiary, and we have those discussions, we will want to inch it up quarter -on-quarter. Now how fast, frankly, we'll be able to get to the 70% mark is in terms of the broad direction which comes in from the Bank as well as probably the hard work that we need to put in from HDFC Life. But we do see this happening. It is difficult to put a timeline to it, but yes, as early as possible, given the efforts on both sides.

HDFC Life Insurance Company Limited

April 26, 2023

Page 26 of 26

Neeraj Toshniwal : So, first part was on the cost side. Will we get support on the commissions i.e. market benchmark rate, or we will continue what we are paying currently?

Vibha Padalkar : Look, right now, we're just focused on how we work more closely with HDFC Bank and other conversations will follow because the merger announcement or the 50% stake has just come in.

The ink has still not dried. And I'm sure over the next few months, we will have those kinds of conversations .

Moderator : I would now like to hand the conference over to Ms. Vibha Padalkar for closing comments. Over to you, ma'am.

Vibha Padalkar : Thank you all for joining us on the call today. Please feel free to reach out to our IR team if you require further information or have any follow -up qu

eries. We look forward to speaking with you again. Thank you, and good night.

Call: Jul 2023

July 28, 2023

Ref. No.: HDFC Life/CA/2023-24/45

Listing Department Listing Department
National Stock Exchange of India Limited BSE Limited
Exchange Plaza, Plot No C/1, Block G, Sir PJ Towers,
Bandra-Kurla Complex, Dalal Street,
Bandra (East), Fort,
Mumbai- 400 051 Mumbai – 400 001
NSE Symbol: HDFCLIFE BSE Security Code: 540777

Dear Sirs,

Sub: Transcript of earnings conference call for the quarter ended June 30, 2023

We wish to inform you that pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of the earnings conference call with analysts and investors held on Friday, July 21, 2023 to discuss the financial results of the Company for the quarter ended June 30, 2023.

The said transcript has also been hosted on the Company's website at:

<https://www.hdfclife.com/about-us/investor-relations>

This is for your information and appropriate dissemination.

Thanking you,

For HDFC Life Insurance Company Limited

Narendra Gangan
General Counsel, Chief Compliance Officer &
Company Secretary

Encl. As above

NARENDRA
GANGANDigitally signed by NARENDRA
GANGAN Date: 2023.07.28 20:05:21 +05'30'
Page 1 of 23

HDFC Life Insurance Company Limited
Q1 FY24 Earnings Conference Call
July 21 , 202 3

HDFC Life Insurance Company Limited
July 21, 2023

Page 2 of 23

Moderator: Ladies and gentlemen, good day, and welcome to the Q1 FY24 Earnings Conference Call of HDFC Life Insurance Company Limited.

I now hand the conference over to Ms. Vibha Padalkar, MD and CEO of HDFC Life. Thank you, and over to you, ma'am.

Vibha Padalkar : Thank you, Michelle. Good evening, everyone. Thank you for participating in this conference call to discuss the financial highlights of the quarter ended June 30, 2023. Our results, which include the investor presentation, press release and regulatory disclosures, have already been made available on both our website and the stock exchanges. Accompanying me are Suresh Badami , Deputy Managing Director; Niraj Shah , ED and CFO; Eshwari Murugan , our appointed Actuary; and Kunal Jain representing Investor Relations.

I will provide an overview of our Q1 FY24 results, and we will be happy to respond to any queries thereafter. We are happy to report that the merger of HDFC Limited with HDFC Bank has been successfully completed and that we are now a subsidiary of HDFC Bank. As you may know , HDFC Limited recently has increased its stake in HDFC Life to more than 50% and as a result, HDFC Bank now holds 50.4% in HDFC Life. Our focus is on strengthening our partnership with HDFC Bank, enhancing collaboration, and maximizing customer engagement within our group.

Moving onto our operating performance for the quarter:

For ease of comparison, all previous year numbers in our disclosures are on a merged basis i.e. after including the performance of our then subsidiary, Exide Life Insurance.

We closed the quarter with a robust growth of 12% in individual WRP, which was 1.5x of private industry, despite coming off a strong March. Our Q1 FY24 market share was 16.4% and 10.6% in the private and overall sector, clocking an expansion of 60 and 90 basis points respectively.

Over the last 4 years, despite facing open architecture and intense competition from unlisted insurers, our market share has steadily increased from 12.5% in FY19 to 16.5% in FY23 in the private sector and 7.2% to 10.8% at an overall industry level.

We anticipate that growth will progressively accelerate as the year progresses, with Q2 expected to outpace Q1, and H2 showing stronger growth compared to H1 , after adjusting for the one-time excess demand in the month of March.

We have also been able to grow the number of individual policies sold by 9% in Q1 FY24, in line

with our stated objective of broadening our customer base. We expect our efforts to enhance our distribution capability to reflect in the growth of policy count during the course of the year. We covered more than 2 lakh lives in retail policies and 1.6 crore lives overall in Q1 FY24, a growth of 8% and 34% respectively, over Q1 FY23. Retail sum assured recorded an

HDFC Life Insurance Company Limited
July 21, 2023

Page 3 of 23

increase of 55% and overall sum assured 73%, and our overall market share in Q1 FY24 was 16.9%. We feel privileged to have led the way in helping bridge the protection gap in the country by being the market leader in terms of total sum assured.

Our overall product mix remains balanced. Amongst the savings products, non-par savings stood at 33%, participating products at 26%, ULIP at 25% of individual APE. Other categories which include annuity and protection were 9% and 6% respectively. This quarter witnessed product launches in the pension and ULIP categories, which have been specifically tailored to meet previously unaddressed customer requirements and paving the way for new product sub-categories.

Overall protection has grown by 35% in Q1 FY24 on a new business premium basis. Retail protection trends remain encouraging with YoY growth of 45% in Q1 FY24. While the growth is accentuated by a favourable base, we do believe that the pickup in protection is sustainable and growth is likely to be healthy for the year.

In Q1 FY24, our annuity business contributed to 19% of the new business premium with APE growth of 51%, mainly driven by increased demand for our limited pay annuity product - Systematic Retirement Plan.

Moving onto key financial and operating metrics:

On a like for like consolidated basis i.e. including our erstwhile subsidiary, Exide Life, our new business margin for the quarter was 26.2% as against 25.1% in Q1 FY23. This has enabled us to deliver value of new business of Rs. 610 crore, which is a growth of 18%. We had achieved margin neutrality in FY23 and would have continued to do so in Q1 FY24, had the demand up-fronting in March due to the sun-setting of tax benefits not happened. We are 'capacitized' for higher growth, with upfront investments in manpower, distribution infrastructure and technology. Having said that, with new business APE growth expected to be better in H2, we expect our full year FY24 margins to be similar to FY23 NBM by the end of the year. As indicated by us earlier, we expect VNB expansion in FY24 to be led by APE growth rather than any significant margin expansion.

Our embedded value stood at Rs. 41,843 crore as on June 30, 2023, with an operating return on embedded value of 16% for the quarter. Profit after tax for Q1 FY24 was Rs. 415 crore, representing a YoY increase of 15%. The profit emergence from our back book continues to show strong growth of 19%. We have included an additional slide in the presentation to provide some perspective on the timing of profit emergence across product categories and correlation to VIF or value of in-force at an overall company level. The board recommended a dividend of Rs 1.90 per share aggregating to a pay-out of Rs. 408 crores, subject to approval by our shareholders.

Our solvency ratio was 200% as on June 30, 2023. Renewal collection trends continue to be healthy on the back of steady persistency. Our 13th and 61st month persistency was 87% and

HDFC Life Insurance Company Limited
July 21, 2023

Page 4 of 23

53% respectively versus 87% and 52% last year, despite making inroads into tier 2 and 3 towns.

Persistency has seen an improvement across product categories, cohorts and geographies over the last few years. Over the last 3 years, our persistency has improved from 89% to 92% in Tier 1 markets, from 84% to 87% in tier 2 markets and from 80% to 84% in tier 3 markets. This performance gives us the confidence to continue our

our journey of deepening our customer engagement beyond metro cities.

Next on channel performance:

Our bancassurance channel has grown by over 25% in Q1 FY24 based on individual APE. We are witnessing robust growth across all our large partnerships. With HDFC Bank as our promoter, we will work towards enhancing the availability and accessibility of insurance across the bank's customer base and increasing our market presence within the Bank's operations.

Our Agency channel grew by more than 1.5x company growth in terms of individual APE. We continue to increase our agent network by adding over 15,000 agents in Q1 FY24.

With respect to our acquisition, we are effectively realizing synergies both in terms of revenue generation and expense management and our efforts are on track.

We are proud to be recognized as one of India's top 10 best companies to work for by 'Great Place to Work'. We are the only insurance company to receive this recognition, which is a testament to our unwavering commitment to creating a people-centric workplace.

While we remain optimistic about growth opportunities in the life insurance sector, our vision extends beyond just business growth. Following a customer-centric approach, we remain steadfast in our mission to insure India and ensure financial security for families and individuals across the nation. We believe that widespread financial protection is a crucial aspect of economic growth, and we are enthusiastic about collaborating with our regulator to contribute meaningfully to this collective effort.

The detailed disclosure on our results is available in our investor presentation. We are happy to take questions now.

Moderator: The first question is from the line of Suresh Ganapathy from Macquarie Capital.

Suresh Ganapathy: Yes, Vibha 2 questions. One is on the HDFC Bank channel. The counter share was 55% in FY23. Has it changed this quarter? Have you seen better traction and any color on that?

Vibha Padalkar: Yes, Suresh. This has been targeted in the sense that some of the branches that have been somewhat of laggards, there has been a fairly deep and joint focus on those, and that has seen traction. And hence, overall, close to about, just shy of 100 basis points has been the traction

HDFC Life Insurance Company Limited

July 21, 2023

Page 5 of 23

that we have seen. Between 50 to 100 basis points, depending on which zone you see, in terms of overall market share. So early days, but in the positive direction.

Another interesting point, while that was not your question is our uptick in protection at HDFC Bank. And hence, we are also collaborating in terms of what are the right products to sell. So there, we have managed to make a fair bit of in-road. This is something we have always been mentioning that protection levels at HDFC Bank can be higher, and that is something that we have managed to do and will continue to do.

Suresh Ganapathy : Yes, I had one more question on VNB margins and growth . Your original guidance was 15% APE growth, excluding the INR1,000 crores one -off of last year, right? That translates into a 7% reported APE growth. No w if I were to extrapolate saying that the margins are flat, you are looking at, say, 7% VNB growth.

My point here is your margins are lower than your competitors , which is closer to 30%. What explains this and the fact that you would expect better synergies coming from Exide Life , then why is the margin projection a bit more conservative despite protection actually growing pretty fast?

Vibha Padalkar: Yes. A few points here. I'll come to the peer comparison later. First is that in the first quarter of last year, we did not have Exide Life, and we did mention at that point in time that Exide Life had low single -digit margins. From H1 onwards, we started showing consolidated margin. If you were to look at Slide 24 of our investor presentation, we have given

even the walk for both ,

with Exide Life and without Exide Life.

Second point is margin neutrality . So we feel reasonably confident that by the end of the year, there will be margin neutrality. One of the reasons or perhaps the only reason of falling slightly short of margin neutrality against stand -alone HDFC Life margins in Q1 is purely because of the tax reason.

Typically, our growth rate has been in the range of 17 -18% versus current APE growth of 13%. So there is that shortfall given we are capitalized for 17 -18% growth . Once we start making up for that shortfall , margins will rise ; and month -on-month, we have continued to trend upwards. It's more in terms of fixed cost leverage because of the capitalization.

Suresh Ganapathy : But won't protection help you ? The fact that it's growing faster ?

Vibha Padalkar: It will in terms of volume, I have to sell 3 protection policies for 1 saving policy . In terms of VNB, while protection has gone up, non -par savings has gone down. So to some extent, there has been a trade -off. In terms of product mix , Unit-Linked has gone up slightly this quarter because of strong markets. Q1 FY23 Unit -Linked was 23% versus 25% this quarter , a 200 basis points increase , which will correct over a period of time. But in customer's interest, typically, when markets do well, there is a bit of uptick in Unit -Linked and Par has gone down a little bit. So there have been trade -offs between protection versus others.

HDFC Life Insurance Company Limited

July 21, 2023

Page 6 of 23

If this scenario had panned out , wherein protection uptick had happened and tax changes had not happened, margin uplift would have happened very significantly. If you recall, just 2 or 3 months ago, post-tax changes, the industry expected a best-case scenario of flat growth . Against that, a 13% growth goes to show that tax being the only play has been clearly refuted. Every month, we have grown very well and each month has successively been better than the earlier months. This gives us the confidence about Quarter 2 being better than Quarter 1. And overall, H2 being better than H1. Overall, we have grown 1.5x the industry. Now coming to your question on industry. Suresh, we can get to 30% if we were to lose market share. But our market share, as you see, has actually expanded by 90 bps . There will always be a trade -off, if we want to stay relevant. We don't want to lose our ranking amongst the top 3 , including LIC in the life insurance space.

If you look at Slide 6, you'll see that every year from FY19 to FY 23, we have grown faster than the private and overall sector and our market share has expanded . We were 12.5% in FY19, and we've reached 16.5% in FY23. That is the philosophy of triangulating and not wanting to lose our position in terms of ranking.

That hopefully answers your question as to why can't it be 30% . I can easily be at 30%. It is this triangulation wherein we will grow brick by brick. The pause was only because of tax .

This year, we will come out with similar margins to last year, and next year, we will continue to move upwards.

Moderator: The next question is from the line of Adarsh from CLSA.

Adarsh: Vibha , Congrats. You and I -Pru have seen a good pickup in protection , so just wanted to ask how sustainable this pickup looks? What are the factors driving this now?

Vibha Padalkar: Yes. I'll hand this over to Suresh.

Suresh Badami: There are multiple elements because of which we are seeing an uptick in protection. First, we see customer demand , which we believe will be sustainable. We see this demand in HDFC Life web search , which is happening in terms of protection .

Clearly, we are seeing a customer led demand. The second piece is that we are now looking at

higher activation of our frontline sales across all geographies in a very calibrated and product-centric approach. What we are trying to do is trying to see whether we can have return of premium products in the Tier 2 /3 markets and whether we can have a better mix of term products in larger markets. Based on this, we have been trying to grow the overall retail protection.

On credit life, given that we are a little agnostic in terms of how our protection is growing between retail and credit life, we have managed to maintain our market share across most of our credit life partners and their disbursements have grown.

HDFC Life Insurance Company Limited

July 21, 2023

Page 7 of 23

Our penetration, in terms of volume and value has grown across verticals. We are also using brand awareness in terms of protection. You must have recently seen the Rishabh Pant campaign that we have done. We do believe that with the combination of visibility, data analytics and specific customer level efforts, we will be able to push protection. This focused effort will probably remain right through the year.

Vibha Padalkar: And last point I want to mention here, Adarsh, is that if you just look at Slide 16 in our product mix, if you look at the bancassurance you will see that term has gone up from 4% to 5%. On 50% of our business, you're looking at an uptick. It was 3% and then it was 4% in Quarter 1 of last year and then 5%. That kind of meaningful growth that you're beginning to see is what I had alluded to in an earlier question.

I want to stress that this is without doing anything adventurous on the underwriting guidelines or even on pricing. This is on a calibrated but focused basis. Of course, some of this is also, whatever we went through during COVID and then repricing in terms of price increases. One has to socialize that all of these changes had happened and people had deferred decisions to buy protection.

This is a combination of all of that coming through. On savings, what we did as a sector forced us to also focus on protection, which we alluded to in April earnings call.

Suresh Badami: I think it's not just the product features but also activation. There's a lot of effort spent on our efficiencies, how do we look at the overall end-to-end throughput, the speed of being able to convert the policies which logged-in, and we are seeing significant upward movement on that front also.

Adarsh: Got it. The broker channel has seen a doubling of the share of term. Does that include online players?

Suresh Badami: That is right. Some of the players like PolicyBazaar are now moved from a web aggregator to a broking code. So they are reflected under the Broker channel.

Adarsh: Got it. And my second question is, if you go back to the last call, what you have been saying is that because of the merger of the parent, the share you will end the year or you aspire to end the year at is 70% wallet share. This is a very big move from where we were last year. So obviously, you started moving in that direction this quarter, small changes in Q1, as you mentioned. What's the big change that will happen on ground for you? And do you see that playing out to up to 70%? Or it will be a little more gradual?

Suresh Badami: I'll add on to what Vibha mentioned in the first answer to Suresh. We have seen a slight increase of 0.5% to 1% in terms of our market share increase at HDFC Bank. But to your point, I think it will be gradual because it is going to be calibrated both at the Bank level as well as at our level.

HDFC Life Insurance Company Limited

July 21, 2023

Page 8 of 23

We have identified multiple levers on how do we increase our market share. Whether it is at certain branches or in certain geographies where we believe we need to put in more effort. Whether it is for certain products that we need to focus on jointly or whether it is in terms of manpower that we need to deploy at a certain number of branches.

And there are these 6-7 levers where there is a high level

engagement between the bank, third-

party team and our team on what is it that we want to do. Clearly, we don't want to dilute any underwriting standards or change too much in terms of pricing.

It will be moving up in a calibrated manner. But given the messaging, which has come from the senior management of the Bank coupled with the ground level effort that our team has been putting in, we can see the traction has started to show across multiple geographies.

Adarsh: Got it. Thanks for the clarification. Just wanted to check, Vibha that 70% still remains an aspiration by the year-end or on-ground implementation can be a little more spaced out?

Vibha Padalkar: Yes. The 70% is not a number that we are articulating . It's up to the Bank and how they see it. It's not even been a month since the final consummation of the merger. The Bank will be in a new avatar of a conglomerate as against just the Bank. As that organically starts seeping in, the leadership at the Bank have said how we can upsell many things to the customer. It is a strategy that will be led by the Bank as the parent . What Suresh alluded to are all the things that we are doing so that no stone is left unturned to meet them halfway and say that, we've earned our spur. We have done xyz things, and we have been efficient on conversion , on how we're handling complaints and so on.

And then it's up to the Bank to see how they execute what they have already started articulating , in terms of various bouquet of products that they can upsell to the customer. But yes, it will be brick by brick, Adarsh, in terms of how we collaborate. But it is being done every day. On a daily basis, these conversations are happening at various levels.

Moderator: The next question is from the line of Anuj Singla from Bank of America.

Anuj Singla : So Vibha, following up on protection only. Can you give some color on how the strategy of growth in Tier 2 /3 cities have progressed on the policy split side, if you can give some color how the policy split that has been shaping up since we started this focus?

And secondly, can you also talk about how the mix of protection is changing in Tier 2 /3. Like you mentioned in your remarks, more ROP probably and maybe lower ticket size. So , should we expect the VNB margins of protection growth in these cities being lower versus the back - book?

Vibha Padalkar: Yes, sure. I will just step back and explain why we were hesitant. Earlier, we were a little hesitant because of a couple of things, lesser of salaried individuals, non-standard income proofs and how we process that from an underwriting perspective. Also , reinsurers were
HDFC Life Insurance Company Limited
July 21, 2023

Page 9 of 23

hesitant against the COVID backdrop. Now some of those things we have managed to iron out with reinsurers wherein we've gone in a detailed manner to say from a strategy perspective, we want to get into Tier 2 and 3.

Now how do we make ourselves comfortable with non -standard income proof. We started off by piggy backing and learning from a lot of NBFCs that do this. Yes, they don't know medical underwriting, but at least do financial underwriting. While doing that, we started to take less than INR 50 lakh cover on our books.

And then having conversations with reinsurers to say this book is something that they can look at and whether they want to do a quota share on that book because we had already started writing that business and showing skin in the game rather than just being a pass-through .

Then we look at the return of premium because just in terms of pitch for that segment, we realized that it's probably being seen even more so as an expense and okay, I get protection, but I'll get my money back. And like we've always said, we don't want to sit in judgment in terms of what should the customer be doing and thinking ; just the way all of us on this call are able to think

how our priorities are different.

So we said fine, we'll do that as long as we are able to explain that these are all the different protection products that they have as a choice as against only return of premium.

We had some preconceptions that the ticket sizes will be quite small. And we were actually surprised at the ticket sizes of Tier 1 versus Tier 2 . If Tier 1 is a little bit over INR 1 lakh , say, about Rs. 1.3 lakh then Tier 2 was about Rs. 85,000 and not Rs. 50,000 or Rs. 40,000 . We were also surprised that when we started going deeper, the Tier 3 ticket sizes were in the range of Rs. 70,000 to Rs. 75,000. So , we were able to get more and more comfortable with that. Now the only thing left is persistency.

In different cohorts, whether it is protection or whether it is in savings, persistency is going to be different. And we are no longer afraid of it because demand is away from the top 10 cities. Over a period of time, we will disclose persistency in these cohorts and we certainly track it internally . What is the persistency in Tier I, like I shared just now. As long as within that cohort, the persistency is the same or slightly better, then the mix impact is something we should not be afraid of. And it was a bit of a revelation moment for us after Exide Life.

Because what happened with Exide Life, and we told you this, that the persistency of Exide Life business was inferior to HDFC Life business. However, the persistency of Exide Life business stand -alone has started improving by about 400 basis points on almost every cohort just because of some simple things like getting standing instructions, making callings and calling well in advance .

We realized that we are okay with that as long as in those cohorts, the persistency is what it is. And this improvement is something that we will continue to see. And over the last 3 years, like
HDFC Life Insurance Company Limited
July 21, 2023

I've mentioned in my opening remarks also, that the improvement is something we have seen across these cohorts.

It's a combination of underwriting risk that we see as well as the product pitch to the customer. Thanks to EoM guidelines and many other things, the distributors are also aligned to it. We are getting over what will persistency be, what will mortality experience be and so on.

As long as we're pricing it right, even the mortality experience, while it is likely to be inferior to perhaps the salaried metro kind of a profile, is an opportunity that can be mined in a sensible manner.

Anuj Singla : Got it, Vibha. And the second question is on EoM regulations. How do you see the commission levels? Is there some commission pressure? And how is the competitive landscape on the distribution side changing because of this?

Vibha Padalkar: The reason the regulator has given us this flexibility is to say that you guys have been around for a while, please behave responsibly. And we would want to respect that ethos and not say that just because you can do much higher levels, it will be done irresponsibly.

What we might do is that some activities, which were paid for separately to the distributor, now we pay it as a fully loaded commission and tell the distributor or the partner that you guys can run those activities for us as customer outreach. Hence, I don't see any impact on the customer or the organization.

Moderator: The next question is from the line of Mr. Nischint Chawathe from Kotak Institutional Equities.

Nischint Chawathe : Two questions from my side. We can see that in individual APE, the share of bancassurance has gone up significantly, in fact, the overall growth in bancassurance is pretty high. So how should we read this? You mentioned that your counter share in HDFC Bank has just about inched up. Is it the case that HDFC Bank has kind of grown at a very strong rate this quarter? Or is it the contribution of

other banks?

Suresh Badami: Nischint, Suresh, here. 3-4 points on this. One, of course, HDFC Bank has seen a fairly good growth this quarter as compared to last year. At an overall level, while our market share has inched up, they have shown fairly good growth. Second, we have obviously been supported by a lot of other large partners, whether it's YES Bank, IDFC Bank or Bandhan bank. Multiple such large partners, including many of the SFBs where we have a very strong presence, who have also helped us grow. It's not that our proprietary has not grown. Our agency business continues to do well and has also grown fairly well.

There has been a dip in the Broker segment, which has led to an increased contribution because Broker has had a little bit higher share of the high ticket size par and non-par business, which has slowed down. Both our agency as well as our overall Banca has shown significant growth.

HDFC Life Insurance Company Limited

July 21, 2023

growth. And once Broker channel comes back over this year, we will find all channels firing again.

Nischint Chawathe : The second question is really on group savings and annuity and that proportion increased significantly this quarter. What kind of an impact it could probably have on the margins for you? Similarly, if you could comment on the segmental margins in the non-par business, given the fact that some of these products have to be repriced?

Vibha Padalkar: On group savings, it is not hugely margin accretive. The reason we are in this business is more in terms of relationships and being in the market. By group savings, presumably you mean all the funds that we manage, group funds.

Nischint Chawathe : That is right.

Vibha Padalkar: It is accretive but not hugely accretive. I would say that it gives more as a bulk than anything else. And it tends to be lumpy. You are in discussions for a long time with a particular corporate or PSU and then it comes through or they have shifted from one insurer to the other. So, it tends to be seasonal. It is good, but I would not read too much into it from a margin perspective.

Suresh Badami: And if I can add, similar to the way we have been managing a balanced product mix on the retail side, I think even last year, if you had seen, we had calibrated our approach on the group savings. And group credit life has grown significantly for us, which continues to grow. We have been shifting within group savings to the Unit Linked kind of products, which are better in terms of profitability. You may find that a little moderated, but it will be much more profitable than the regular traditional group savings products that we have.

Nischint Chawathe : Got it. And on the segmental margins in the non-par?

Niraj Shah : Margins are fairly similar compared to what we've had in the past, adjusting for this gap in the growth that we spoke about earlier on the call. Our full year aspiration is to grow higher than what we have in Quarter 1. So adjusted for that, margins have been fairly similar given that

nothing much has changed in terms of average ticket price.

At very high-ticket sizes, of course, volume has been impacted to some extent as expected, but it's been more than made up by the growth in the other ticket sizes where at an overall level, the average ticket size has been maintained for the segment. As a consequence of that, margins are more or less where they were earlier. There are competitive pressures as you can expect in all categories, including this one.

But, we've been maintaining our pricing discipline by and large, over the period since we launched this product category, and there could be maybe a lag of a month in terms of getting back to the pricing levels that you would like, but we've been fairly disciplined about that to be able to achieve this.

HDFC Life Insurance Company Limited

July 21, 2023

Page 12 of 23

Moderator

R: The next question is from the line of Rishi Jhunjhunwala from IIFL Institutional Equities.

Rishi Jhunjhunwala : So just wanted to understand, you've put in a slide this time, slide 12, which talks about emergence of existing business surplus. How do we read that? And on that, you're talking about shift in product profile to longer-term savings. But if we look at EB surplus as a percentage of VIF that is inching down, what would be the reason for that?

Niraj Shah : The reason is that longer-term products release Indian GAAP profits over a longer period of time. That's all there is to it. If you see that slide that you're referring to on the left-hand side, by category of products, you will see the emergence is happening over a different period. If you take Unit Linked, for example, a large part of the surplus is getting generated in the first 5 years of the product being sold.

And if you look at traditional products, you'll find that just about 20% to 25% is happening in the first 5 years, and a lot of it is back ended. That's just the nature of the product and the situation that arises because of the accounting treatment that we have at this point in time.

From an economic perspective, it's clearly more value accretive. It's just that the cash generation or release to the Indian GAAP profits happens over different points in time. That's the reason why we've highlighted this across the 3 main product categories: traditional savings, protection, which includes both individual and group, which lies somewhere in the middle, and then you have Unit Linked products. And on the right-hand side, what you have is at what percentage of the VIF, the business surplus can emerge over a period of time.

That is in the 19-20% zone as the product profile has been changing over the last 3 to 4 years. What used to emerge earlier in FY18 and prior to that, Unit Linked used to be about 45-50% of the mix that has now become 25% of the mix. While the margin expansion has happened over the same period, the generation of surplus is happening over a longer period of time.

To give comfort of delivery of this is operating variances, which have been positive right through this period. That does give us that comfort that while the surplus is emerging over a longer period of time, it is more value-adding in economic terms and operating variances being positive tells us that this is definitely coming.

Rishi Jhunjhunwala : Understood. And secondly, last time, you had called out spends that you're doing on your new technology initiatives. So just wanted to understand where are we on that for this year and how much it could be next year? And what is the impact of that on margins, if at all material?

Vibha Padalkar: Yes. So, we are continuing on track with our tech transformation, which is Project Inspire. We have completed our diagnostics in terms of where we are as well as where do we want to be.

Which are the projects that we want to focus on and change immediately. Now we are in the process of identifying some of the specialist partners who can start work on changing some of those. It could be without giving away too much in terms of CRM or it could be in terms of how we integrate, how we have seamless onboarding and so on.

HDFC Life Insurance Company Limited

July 21, 2023

Page 13 of 23

We are in that phase right now. We did say that it is a INR 250 crores outlay in total, of which INR 50 crores was spent last year. This year, we are on track to spend INR 100 crores and next year INR 100 crores. Now this could be a little bit of here or there depending on whether we include more upfront or do we phase it out a little bit more to next year. But largely, it's on track.

Rishi Jhunjhunwala : Got it. All the best.

Vibha Padalkar: Yes, I'm not sure whether you want me to repeat in terms of what are the benefits or that is reasonably clear?

Rishi Jhunjhunwala :

No, that's clear.

Moderator: The next question is from the line of Sanketh Godha from Avendus Spark.

Sanketh Godha : The first question is on data keeping. The unwind rate seems to be at 8 percentage, which is very similar to last year. Just wanted to understand, it seems to be conservative, you want to maintain that level? Or how should we read this number given the equity markets are doing well? And second INR 810 crores, can you split the number into equity and debt as to where did that come from? That's my first question. And second question I have is on the Bank but I will ask that after you answer this.

Eshwari Murugan : On the unwind rate, we look at the assets that we are holding. And based on the expected return, the unwind rate is computed. If you look at the unwind rate of last year, it was based on the expected yield on the debt assets, which were again split into short term and longer term, and the short-term yields are lower, whereas the long-term returns were very high.

As against that this year, the yield curve has flattened. The yield has changed across the tenures. But, the increase is not similar across different tenures. The weighted average increase is quite small. If you look at all the tenures of the bond that we were holding, we hold a lot of bonds in the longer end. While the shorter end has increased, on a weighted average basis, it's a very small number.

That's why you see that there's a small increase and maybe the perception is that it is conservative, it is not, it's a very mathematical calculation based on the assets and the expected returns. And on equity, yes, last year, we were expecting a flattish investment return and the upside we expect this year has been incorporated but that's getting offset to some extent from the Exide back book.

The Exide back book does not have a lot of equity given that they have mostly Par business with low equity exposure. That's why that offsetting impact is reflected in the unwind rate of 8.2%.

On the investment variance of INR 810 crores, that is broadly split between the impact of equity and debt. In both, we have witnessed a positive impact. In equity, markets have rallied

HDFC Life Insurance Company Limited

July 21, 2023

Page 14 of 23

and given around 10% return in this quarter compared to an expectation of 2-2.5%. That's where positive upside of around Rs. 500 crores comes from.

On debt, the short end has steepened a little compared to March '23, and that has resulted in increase in the value of debt for the shareholder funds and VIF assets. That impact is around Rs. 250 crores to Rs. 270 crores, and the balance is some impact on the steady spreads narrowing.

Sanketh Godha : Perfect. Second question Vibha is for you. We understand that HDFC Bank will increase market share of HDFC Life as time progresses, but if you can give a little clear thought process as to how it will happen? Whether you will penetrate more into customers, what is our current penetration, whether it is an NOP strategy or a ticket-size strategy, whether you will add more people, which products you are targeting?

You have touched up on some points, but if you can explain in more clarity on how the 55% to 70% journey or closer to that number will evolve in say, next 2 to 3 years?

Vibha Padalkar: Even in other relationships, wherein there is no parent subsidiary relationship, there are counter shares that go up and down. And it's not just driven because of the customer, but it's often driven within the Bank. There isn't one way, there are many ways.

For example, they could rightfully maybe place lesser people at the branch because I am of the school of thought that, learning from some of the other geographies, perhaps at Bancassurance, unbridled number of insurance people being deployed at branches is not optimal from any Bank's point of view. One way is to curtail, if today

it is not curtailed and it is for the Bank to curtail.

Then like in home loans, for example, and that's how HDFC has been doing that if there are leads, then you don't really need 3 people descending on a customer at a branch. It could be that the lead is passed on to the customer or there is a virtual fulfilment with the aid of the RM.

That is one way of doing things, which is against what it is today, say at HDFC Bank, wherein they aren't really focused on how many people do they want at each of the branches. Today my people market share or people share, at HDFC Bank is 40%. However, my APE market share is in the mid-50s. So that itself in terms of curtailment could give an uplift.

Another way to do this is, if you recall, at HDFC Bank, even before multi-tie, it was HDFC Life that had trained all of HDFC Bank people into becoming specified personnel. Then it was handed over under the construct of open architecture. Insurers that came in under open architecture benefited from the investment in terms of training and collaboration and getting them licensed and training on insurance that HDFC Life had done.

So, it could be that for some time, a new branch does not have all companies at that branch.

There are various such ways, but obviously, these are inter se discussions between parent and

Page 15 of 23

subsidiaries and not really something that I want to go into for reasons I'm sure you'll understand. Suresh, you want to add anything to this?

Suresh Badam : I think fee revenue for the Bank is also important. And I think the branch team understands a fair depth in terms of the branch level penetration, the customer penetration. I think they are actively looking at how, like Vibha mentioned, how do they increase the number of branches, which are activated.

There is a huge amount of focus, which is coming in from the Bank who have specified persons, who are present at each of these branches. We can obviously support in terms of training, in terms of certification. We can look at how do we ensure that they are trained and then they are activated.

At a unit level, there is a fair amount of focus in terms of how do we get more and more participation. Clearly, the bank has a huge focus on deposits. It has a huge focus on many of the other bank products. But, the ability of our team as well as some of the other insurers to ensure that insurance as a product penetrates deeper, is fairly certain and HDFC Bank has been delivering year-on-year. There has been no doubt if you look at the kind of growth that the Bank has been able to perform.

At our end, we focus on what can we do to improve our product proposition, how do we improve our operational efficiencies, how we can come out with products which are better than competition, how do we get people to get better lead conversion ratios on the leads that are passed on to us. I think there is a fair amount of focus there, and that will automatically come in.

Sanketh Godha : Got it. And last one from my side. It's a known fact that our cost associated with HDFC Bank is relatively on the higher side. Now given the relationship changes between parent and child, then do we expect that the cost what we pay to HDFC Bank will still remain at those levels?

Or it will broadly grow in line with the APE growth, that the channel will give us?

Vibha Padalkar: We look at this as fully loaded cost. What the Bank has been able to give us is a very different category of customer. I think it is not quite right to say one particular distributor's costs are more. It is what margin does one make out of it. What is the persistency. Expense is one aspect, but mortality experience at the same expense is different. So, all of those assumptions will impact what the margin is.

If I understand your question correctly, whether the Bank will take into consideration

that we

are now a subsidiary and leave something on the table? I think these kinds of conversations are more for the Bank. But when the Bank says parent and child, I think it subsumes many such big and small things, which will come out of these discussions, which are happening at a very regular basis. But I think it will happen because for them also to switch hats from being a Bank to a conglomerate is not even a month old.

HDFC Life Insurance Company Limited
July 21, 2023

Page 16 of 23

Sanketh Godha : Got it. Okay. A final one, have the Bank people have started sitting on the board? I just wanted to understand when the board constitution will change so that we have people from bank sitting in the Board.

Vibha Padalkar: Renu Karnad, who has been the HDFC Limited nominee, today was her last day at this AGM. Her tenure is not getting renewed for now. Some of these changes are not very far off in terms of somebody from the Bank's end coming on to our Board.

Moderator: The next question is from the line of Supratim Datta from Ambit Capital.

Supratim Datta : Starting off with the first question, could you give me the proportion of policies in quarter 1 that was above 5 lakhs? And how has that changed compared to last year? The second question that I had was that it seems like you're able to get about 100 million in synergies from the Exide acquisition.

Could you talk about what more synergies could you extract from that business? How much more synergies are left to be coming from that business? And lastly, the third question that I had was, could you talk about the strategy of separating the growth in the focused markets in the agency channel? And what kind of productivity improvement and growth.

Vibha Padalkar: I'll start off with the first one. Above 5 lakhs is about high single digits. I'll pass on to Niraj for the Exide Life and then maybe Suresh can take the growth and the agency split.

Niraj Shah: On the Exide Life synergies, we started off very simply in terms of what is it that we can do to protect the revenues and what is it that we can do in terms of rationalizing costs. From a cost perspective, any infrastructure, which was a duplication, was addressed first up in terms of branch infrastructure. In terms of all corporate expenses, all of them are something which gets

done as one unit now.

These are some of the things that came in, which helped us get to margin neutrality ahead of plan. When we were talking about the transaction in the early days, we had said that we want to get to margin neutrality on a pre-merger basis, which we did.

And since then, as the integration completely has got done now, the focus has been on using technology to get the Exide Life distribution to be able to use HDFC Life digital assets as well as in terms of access to products, which is something that has already started showing up in terms of the channel growth as well as in terms of the changing ticket sizes.

A lot of these things have started to happen. And now, the entire business is completely aligned into our overall agency business. And the Tier 2, Tier 3 story that we're talking about is something that is only getting enhanced by this entire combination. We did speak about the Tier 1, Tier 2, Tier 3 distribution and how things have progressed in the past few months.

This is something that is definitely adding to that. Persistency is improving. Ticket sizes are getting bigger. The quality of business that is coming through from these markets is definitely

HDFC Life Insurance Company Limited

July 21, 2023

Page 17 of 23

better than what it used to be 3 to 5 years back. That gives us more confidence to actually get this model into other geographies compared to where it was when it started off. That's how things are progressing on the merger front.

Suresh Badami: I'll start off where Niraj left on the agency business partner

and the Exide integration. The

good thing is that not only is the technology integrated, but also the entire business model has integrated with our agency business partner model. We have unified both the teams in the sense that we are completely on course in terms of how do we now build that business.

Exide had a very large presence in South India in the Tier 2 and 3 markets. They had a well-set model. We have learned, we have expanded and now we probably want to be able to take that model to many of the other geographies.

That will clearly help us grow along with the tied agency business that we have been doing right across. Even on our agency model, you may have to step back a few years. I think we were number 8 on the agency model. And over the years, you have seen the steady growth in our agency model from a number 8 position to number 2/3 on an annualized basis. A lot of that has come in terms of the focus that we have brought on the quality of business, the quality of new FC addition that we have got, the activation of our financial consultants as well as reaching out into different markets.

Two/three new initiatives that we have taken, which would be beyond what we have done on agency in the past - one is clearly that we have now relooked at our entire agency business on the tied side on a focus and growth market. The growth market clearly focusing on Tier 2 /Tier 3 cities. We will be adding around 75 new branches, plus we will be looking at a hub and spoke in terms of how do we go into further geographies, which can help us expand into these markets.

Second, there has been a significant transition on agency model from a frontline productivity-linked model to agency activation and digitization model. There are huge amounts of data analytics and other initiatives that we have taken. There are hyper personalization projects running. There are micro market segments running. A fair amount of effort has been put in to identify which cohort of agents in which markets will be successful and how do we enable them, which will help us grow.

We know at a pin code level, how many financial consultants are there, how many customers we are sourcing. What are the geographies where we are lower on insurance density and how do we grow that? How do we improve the quality of financial consultants who are getting on boarded with us?

What is the mix change between housewives, students as well as financial distributors? How do we reduce the death rate or what you call the attrition rate of new agents, how do we activate earlier agents? How do we increase the number of MDRT agents? There are multiple such things, which I think our team is working on, I don't want to expand. But clearly, we do

HDFC Life Insurance Company Limited

July 21, 2023

Page 18 of 23

believe that the proprietary engine is running well, and we should be able to show our growth as we have shown in the last 4-5 years.

Supratim Datta: Just on the first one, could you let me know what the percentage of high-ticket size policies was last year as well? This year it's high single digit.

Niraj Shah: That was indicated after the budget announcement. It was about 12% of the total APE, which has now come down in last 2 months.

Supratim Datta : Okay. I just thought that quarterly it would be different.

Niraj Shah: Not really. It's fairly similar. It's now a few percentage points lower, which was completely expected.

Vibha Padalkar: I mean, in fact, March would have been higher because of what happened. But otherwise, it was fairly similar across the years.

Moderator: The next question is from the line of Avinash from Emkay Global.

Avinash : Yes. Thanks a lot for adding slide 12 that helps in connecting your EB to IGAAP profitability.

Going back to margins, particularly with the details given on Slide 24. If I see on year-on-year basis, the product profile has changed

to be more profitable. If I look at annuity as well as

protection, it has increased, yet margin gain from new business is very limited.

Has product profitability changed over the years? And related to this, you are still hopeful of being flattish versus FY23 margin. Right now, the growth is 12% to 13% in APE. If I look over the year, are you expecting, even with that high base of March, that at full year growth will be above this number? The product profile if at all will be a bit adverse on a full year basis because the non-par savings will go down and right now, of course, the protection Y-o-Y increase is much higher than it will be on a full year basis.

My question is that, has product margin profiles changed? And on a year-on-year basis, with that reported FY23 APE, you're expecting APE growth higher than the 12-13%?

Niraj Shah: Let us just go through the slide that you're talking about. The reason why we've given these 2 walks or waterfall is to explain what has happened on a pre and a post-merger basis. If you were to look at on a combined basis, 25.1% was the starting point and 26.2% is where we are now. And if you see the bars in terms of fixed cost absorption, that's largely indicating what is happening in terms of synergy realization that was to the earlier question.

And a large part of the expansion is in terms of the growth that has happened and also from a product mix perspective, things have been in some sense on a balance. Unit Linked has increased. Non-par has come down by maybe 1 percentage point. Term has increased. Annuity hasn't gone up. So, they have, in some sense, balanced out each other as far as the absolute VNB is concerned. But in terms of margin profile, that has added about half of this delta

HDFC Life Insurance Company Limited

July 21, 2023

Page 19 of 23

between 25.1% and 26.2%. The change in business profile has added to about 50 basis points, which is fairly significant to your point.

If you look at the starting point, on a stand-alone basis, 26.8% to 26.2%, that's largely on account of the gap in growth that we spoke about earlier on the call. Our aspiration is to be 15-16% on a normalized basis. To that, while we've grown faster than the sector, we're still at 12% this quarter. That's largely the gap, which you will see on the fixed cost absorption side in terms of VNB as well as in terms of new business margin.

To your second question. Yes, our aspiration is to grow faster than what we have in Q1. We do expect to be able to generate that kind of growth progressively as the quarters progress. And that's something that we had mentioned in April as well, and we hold on to that.

Of course, we continue to watch what's happening on the ground, but the signs are encouraging in terms of our ability to broaden the business in Tier 2/3 markets without any meaningful impact on average ticket size. The 12% APE growth has been delivered largely on account of volume expansion, 9% policy growth and 3% average ticket size expansion. That's how we are thinking about things as we go forward.

Avinash : Okay. With that reported base of March, are you still expecting the full year growth to cross this 12% number? In March, there was a bump-up of 5-7% on a full year basis. Are you expecting the cost absorption to be better? That means that on a reported basis for the full year, growth will cross the 12%?

Niraj Shah: No, I think that will not be the right way to look at it because if you recollect on a 9M as well as 11M basis, we were growing at 15-16% last year. And because of March, our overall growth was significantly higher. So, once we back that out, we are talking about 15-16% growth. But adjusting for that, it will probably be single digits.

Vibha Padalkar: Yes, we articulated about Rs. 1,000 crores to Rs. 1,100 crores of incremental business is what we had explained on the April

call. So, what Niraj is saying is that if you back that out, then it will be somewhat muted.

Moderator: The next question is from the line of Prakash Kapadia from Anived Portfolio Managers Private Limited.

Prakash Kapadia : Thank you. My questions have been answered.

Vibha Padalkar: Thank you.

Moderator: The next question is from the line of Prayesh Jain from Motilal Oswal.

Prayesh Jain : Firstly, on the non-par savings guaranteed return products. What has been the experience ? While the share has definitely gone down , has the experience been better or worse than expected from what you would have thought when the tax changes were announced? And to
HDFC Life Insurance Company Limited
July 21, 2023

Page 20 of 23

extend that question, so when you say that the margins will improve in the second half, how much of the recovery in margins would you attribute to improvement in non-par business ?

Vibha Padalkar: Even in April , I did allude that we believe that once the new tax regulations are socialize d and digested, people will come around and see where else can they invest wherein they get long - term guaranteed returns. And there's really no other op tion that gives them a better deal than non-par products, and it's a one -stop shop of guaranteed income, which has caught the imagination of a lot of people and at the same time, also having a life cover. We have already seen the pickup.

I think what was e xpected as the bes t-case scenario was flattish growth. And against that, we have grown 13% on overall APE basis and 12% in terms of retail APE . That gives us the confidence that what we thought logically how things should pan out, is how it is panning out. Some of it was up fronting in March. And so if you were to discount the slightly slower start in Q1, I think the numbers are very much on track to getting back to normalized growth of 17 - 18%, which is doubling every 4 years. And that's what we have been demonstrating over the last 8 years.

That's what gives us the confidence that this conversations around above 5 lakh and below 5 lakh will start becoming less relevant. What we said earlier was 12% was the high ticket contribution before the tax changes , which has gone down t o single digits. It hasn't gone down to 1-2%, and that gives us a lot of confidence. I think what a lot of people were expecting that nobody in their right mind will invest in a product like this and that just has not panned out.

We believe that this will pick up and will continue to be more relevant, like I mentioned.

While that happens, we are seeing that in the 2 to 4 lakh categ ory, growth has been between 30-40% in Q1 for us in the non-par segment. So , a lot of people are allocating their funds as we reach out to more customers . Focus on more customers rather than higher ticket sizes is again something we explained in April. And that is how it is panning out. Do you want to add anything, Niraj?

Niraj Shah: Yes. To your point on what gives us the co nfidence of margins expanding to last year levels by the end of the year. It's that the intrinsic product margins haven't really changed too much. The gap is in the growth that we aspire for, which is 15 -17% number versus the 12% in Quarter 1. That is lar gely the differential in margin, which is something that we expect to even out as the year progresses.

Prayesh Jain : Great. And on protection profitability - when you are getting into the lower tier towns, Tier 2/3, would you say that it would be on a relatively lower side as compared to what you would be doing in the metros and Tier 1 ?

Vibha Padalkar: No. It is priced for all the risks that I mentioned to an earlier question, whether it is for slightly worse mortality or persistency level s. All of that has been priced.

HDFC Life Insurance Company Limited
July 21, 2023

Page 21 of 23

Moderator: The next question is from the line of Prudvi Raj S

aya , an Individual Investor.

Prudvi Raj Saya: I wanted to ask about the annuity new business. We know that NPS is a significant contributor for this business, at least going forward . Can you give some color and quantify in terms of what is the contribution of NPS? And how do you expect that to pan out in terms of long term or medium term?

Niraj Shah: It is a fairly meaningful portion now. It used to be in early single digits. Now mor e than 20 % of our business comes from that source apart from what happens on the individual pension products that vest, people allocating their discretionary savings as well as people retiring from corporates. It has become a fairly meaningful segment .

Prudvi Raj Saya: Okay. And you expect that to grow aggressively going forward? Is that right to assume?

Vibha Padalkar: If you were to triangulate NPS, our subsidiary, the pension company is the largest in the private space and is growing very fast. It recen tly crossed Rs 50,000 crores in AUM . Now it's about Rs 52,000 to 53,000 crores of AUM. That traction will mean more people will come up to the stage wherein annuities have to be bought. It will be a natural culmination of our wholly owned subs idiary , being the feeder into annuities.

Moderator: The next question is from the line of Madhukar Ladha from Nuvama Wealth Management.

Madhukar Ladha : Most of my questions have been answered. Just one thing on the non-par savings bit. Obviously, the rate curve has flattened right now and other competing products also offer more

attractive rates compared to the last few years. Are we seeing any constraints in availability of FRAs, demand for the product and the rates that we can offer? Obviously, these things have to be changed with respect to the environment in which we are operating in.

Niraj Shah: Thanks Madhukar. Demand, like we discussed, nothing much has really changed. It will get reoriented in terms of how it is positioned or propositioned to the customer. That is something that is ongoing.

As far as the underlying is concerned in terms of rates, we will keep ensuring that we can give the best based on what is available in the marketplace. While the yield curve is flat, our proposition is at the longer end. We do not compete with instruments which offer similar rates at the shorter end, as you know. So as such, nothing much really changes there, either on the demand side or the rates we are able to offer. As far as the ability to manage risk is concerned, again, on that front, no real issue in terms of FRAs being available as more banks are coming into the fold to be able to offer that instrument apart from our own internal hedging capacity, which we continue to have.

Spreads on that can keep changing from time to time depending on the shape of the curve, but that is just something that we would price in depending on the commercials that we get from the counterparties.

HDFC Life Insurance Company Limited
July 21, 2023

Page 22 of 23

Madhukar Ladha : So, would you put a number, that you would be able to maintain x percentage of your sales mix in non-par savings irrespective of market conditions? Would you be comfortable in saying something like that?

Niraj Shah: If you track what happened since March '19, when we launched the product. In the first quarter, it was about 60% after which we said that we will try and get into the 30-35% zone, which we did as the rest of the year progressed. Since then, we've had multiple cycles, as you can appreciate in terms of credit growth, being a lot more than deposit growth. We've had situations where the yield curve shape has changed, the slope has changed.

But the product mix if you see over the last 3 years has been in the 30-35% range. Closer to the budget, it touched 40% for that period. But again, it's back to the 33-34% range. Across these 16-17 quarters through which we've had this product, we are reasonably

comfortable to say

that we don't see this dramatically changing.

Moderator: We have the next question from the line of Dipanjan Ghosh from Citigroup.

Dipanjan Ghosh : Two questions from my side. First, if you can quantify your share of HDFC Bank in overall APE for the quarter? And second, if you can give some color on the annuity business, on the individual annuity business. Has there been any repricing of products in this particular category or the mix between products has changed? You mentioned limited pay has been witnessing traction, but if you can give broader color on that?

Niraj Shah: The share is in the 45-50% range, and it's broadly in that same zone given what Surish mentioned earlier on the call. While the bank has grown well, our other banking partners have also grown well. Proprietary distribution has also grown quite well. The share is fairly similar to what it was last year in that band of 45-50%.

Dipanjan Ghosh: Sure. And on the annuities?

Niraj Shah: Sorry, what was the question on annuities?

Dipanjan Ghosh : The question is, has there been any repricing of any product within the annuity segment and the broad mix of the sub-product classes within that, which witnessed traction during the quarter.

Niraj Shah: Annuity repricing is a very regular BAU affair and it happens every other month depending on which way the interest rates are moving. That is something that happens from time to time.

Within that, the two subcategories that we have are immediate annuities, deferred annuity on single premium side and now the limited period annuities. Limited pay annuity is a relatively recent launch that has continued to do well and is becoming a very meaningful part of the business.

Deferred annuities and limited annuity on the single premium side are still the bulk of the business. Our average deferment period remains in the 3-4 years zone and average age at

HDFC Life Insurance Company Limited

July 21, 2023

Page 23 of 23

which the product is sold is around 60. Nothing much has dramatically changed there, except that the new product that has got launched is something that is now becoming a fairly meaningful contributor.

Dipanjan Ghosh : Small data keeping question. If you can give the operating variance breakup for the quarter?

Niraj Shah : Yes. Again, everything positive. Mortality, small positive. Persistency is significantly positive

and expense variance is also on the positive side.

Moderator: This would be the end of the Q&A session. I would now like to hand the conference over to Ms. Vibha Padalkar, MD and CEO of HDFC Life for closing comments. Over to you, ma'am.

Vibha Padalkar: Thank you, everyone, for joining us on the call today. Feel free to reach out to our IR team if you require further information or if you have any follow-on queries. We look forward to speaking with you again. Take care and have a good weekend.

Call: Oct 2023

October 20 , 2023

Ref. No .: HDFC Life/CA/2023 -24/ 73

Listing Department Listing Department
National Stock Exchange of India Limited BSE Limited
Exchange Plaza, Plot No C/1, Block G, Sir PJ Towers,
Bandra -Kurla Complex, Dalal Street,
Bandra (East), Fort,
Mumbai - 400 051 Mumbai – 400 001
NSE Symbol: HDFCLIFE
BSE Security Code : 540777

Dear Sir / Madam,

Sub:

Transcript of earnings conference call for the quarter and half-year ended September 30, 2023

We wish to inform that pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of the earnings conference call with analysts and investors held on Friday, October 13 , 2023, to discuss financial results of the Company for the quarter and half-year ended September 30 , 2023.

The said transcript has been hosted on the Company's website www.hdfclife.com .

This is for your information and appropriate dissemination.
Thanking you,

For HDFC Life Insurance Company Limited

Narendra Gangan
General Counsel, Chief Compliance Officer &
Company Secretary

Encl. : As above

Page 1 of 19

HDFC Life Insurance Company Limited
H1 FY24 Earnings Conference Call
October 13, 2023

HDFC Life Insurance Company Limited
October 13, 2023

Page 2 of 19

Moderator: Ladies and gentlemen, good day, and welcome to the HDFC Life Insurance Company Limited Results Conference Call. I now hand the conference over to Ms. Vibha Padalkar, MD and CEO of HDFC Life Insurance Company Limited. Thank you, and over to you, ma'am.

Vibha Padalkar: Thank you Dr. Orwin. Good afternoon, everyone. Thank you for taking part in this conference call to discuss the business performance for half year ended September 30th, 2023. Our results, which includes the investor presentation, press release, and regulatory disclosures, have already been made available on both our website and the stock exchanges. Joining me are Suresh Badami, Deputy Managing Director; Niraj Shah, ED & CFO; Eshwari Murugan, our Appointed Actuary, and Kunal Jain, from Investor Relations. I will provide an overview of our H1FY24 results, and will be happy to address any queries thereafter.

Starting with operating performance for the quarter :

Despite the recent budget changes that were perceived to be unfavourable for the sector, the life insurance industry has demonstrated remarkable resilience. Insurance companies have successfully harnessed their extensive distribution networks, tailored product offerings and favourable regulatory developments to address latent insurance needs of their customers. This

has been exhibited by close to double digit growth in new business premiums and strong growth in policy count for private players. We affirm our belief in the medium to long term growth opportunity for the sector and HDFC Life's continued ability to navigate through such disruptions, only to emerge stronger.

With this as the backdrop, we recorded a healthy growth of 10% in individual WRP vs 8% for overall industry, for the half year ended September 30th, 2023. Our H1FY24 market share was 15.7% and 10.3% in the private and overall sector respectively. We continued to grow faster than the overall industry and be ranked amongst the top 3 life insurers across individual and group businesses.

We saw an uptick of 10% in the number of individual policies sold, beating industry growth. This healthy volume growth is in line with our stated objective of broadening our customer base. We have insured more than 3 crore lives across our individual and group businesses, which represents a YoY growth of 16%.

More than two thirds of the retail customers on-boarded are new to HDFC Life and almost half of these are below the age of 35 years. Growth from tier 2 and tier 3 locations has been double than that of tier 1 locations.

Growth in protection was robust at 28% on new business premium basis. Retail protection registered YoY growth of 46% in H1FY24. Sum assured recorded healthy growth, with retail and overall sum assured growing by 61% and 45% respectively. We continue to lead in terms of sum assured and our private market share based on overall sum assured stood at 18% for H1FY24. Annuity APE grew by 17% and the segment contributed to 18% of new business

HDFC Life Insurance Company Limited
October 13, 2023

Page 3 of 19

premium. Annuity and Protection put together contributed to about 55% of new business premium in H1FY24.

Our average ticket size has stayed intact, despite moderation seen in higher ticket size business. Policies of upto Rs 5 lakh ticket size issued have seen double digit growth, with improvements in average ticket size across various cohorts. While there is de-growth in the above Rupees 5 lakh segment, we are seeing this get progressively better in some channels such as bancassurance. While the gap is wider in channels such as private wealth partners, we expect improved overall traction in this segment in the second half of the fiscal, on the back of product launches and, both the distributors and customers coming to term

s with the new post-tax IRR reality. Despite the tax impact, the long-term guaranteed savings product proposition remains unique to our industry and returns offered continue to be best in class.

Overall product mix remains balanced with non-par savings at 28%, participating products at 30%, ULIP at 28%, annuity and protection at 8% and 6% respectively, based on individual APE. We introduced 2 new products in the protection category viz. HDFC Life Sanchay Legacy and Click 2 Protect Elite. HDFC Life Sanchay Legacy is an industry-first whole life, return of premium protection plan with increasing life cover and is designed to cater to a middle-aged and beyond customer segment. Our other term product, C2P Elite, caters to a more affluent customer category.

Some of our other products launched in the participating, unit-linked and pension categories have gained good momentum across all our distribution channels. Further, we have been able to offer higher than the traditional 7-10x sum assured multiples on our unit-linked products, thereby bundling higher protection cover with our savings proposition.

Moving on to key financial and operating metrics :

New business margin for H1FY24 was 26.2%, with value of new business of Rs. 1,411 crores, implying a 10% YoY growth. The total cost ratio has increased slightly from 19.3% to 19.7%.

The increase in cost ratio is expectedly due to reduced cost absorption from slower growth in specific channels and should normalise as growth rebounds to pre-tax change levels. We will however continue to upfront manpower investments in channels such as HDFC Bank and other key Banca partners to capitalise on growth opportunities.

Our Embedded value was Rs 42,908 crore as on September 30th, 2023, with an operating return on embedded value of 16.4%. Profit after tax for H1FY24 was Rs. 792 crores, i.e., a YoY increase of 15%, with a robust growth of 18% in profit emergence from the back book.

Solvency as on September 30, 2023 is 194%, after factoring in the dividend pay-out of Rs 408 crore in the last quarter. Renewal collections continue to be robust with a YoY growth of 14%.

HDFC Life Insurance Company Limited
October 13, 2023

Page 4 of 19

Next, on distribution :

We have registered a YoY growth of 23% across our bancassurance partners. Our counter share at HDFC Bank channel is progressing well with strong support from our parent channel. We continue to collaborate closely with HDFC Bank and invest in the channel.

Our Credit Life partners have also delivered impressive performance, with Credit Protect growing by 28% in H1FY24. We are growing well across all our bancassurance collaborations, while steadily augmenting our portfolio of partnerships.

We are also pleased to announce our partnership with Airtel Payments Bank, which has over 15 crore customers and are excited about the possibilities arising out of this alliance.

Our agency channel grew in -line with company growth. We added more than 37,000 agents in the channel in H1FY24. We have seen some moderation in business from the higher ticket size segment, but expect the channel to be able to re-coup the same in H2.

Amongst other highlights :

We are proud to feature amongst India's Best Workplaces for Millennials 2023 by Great Place to Work and to be recognized amongst 100 Best Companies for Women in India 2023 by Avtar. We also ranked amongst Asia's Best Workplaces 2023 by Great Place to Work. This is a testimony of our endeavour to create an inclusive culture, be the employer of choice and invest for the betterment of our workforce.

We are appreciative of the proactive engagement by the Department of Financial Services and IRDAI with life insurers to discuss initiatives for the benefit of overall sector as we

II as the customers.

Moving on to our subsidiaries :

The AUM of our pension subsidiary has crossed 58,000 crores with a market share of 43% as on 30th September 2023, which is an increase of 370 bps over September 2022. HDFC International clocked revenues of over \$10 million, registering a growth of 50%. Their retail insurance business out of GIFT City commenced in August, with the maiden launch of US Dollar Global Education Plan.

In conclusion:

Our focus on improving customer penetration is trending well and we expect this momentum to continue and be aided by a pickup in the higher ticket segments. We are also confident of a strong performance in the mortality and longevity space along with market share gains in our bancassurance channel in the second half of this year. We remain upbeat on the medium - to long-term growth potential of the industry and aspire to repeat our past track record of doubling key metrics every four years .

HDFC Life Insurance Company Limited

October 13, 2023

Page 5 of 19

The detailed disclosure on our results is available in our investor presentation. We are happy to open the floor for questions now.

Moderator : The first question is from the line of Avinash Singh from Emkay Global.

Avinash Singh: Thanks for the opportunity. Couple of questions. The first one is on margins. Of course, a part of it is understood that mix in this FY so far has moved in favour of ULIP from non-par savings.

But at the same time, we see increase in retail protection. Credit life is still doing well and there is a pickup in annuity. So, there is some favourable development on product mix of high-margin products as well. And, in your base, there was low margin of Exide Life. So, net-net with these favourable factors playing out, protection and annuity picking up and with expectation of benefit from Exide Life, margins are flat. Is this due to growth being lower or expenses picking up? An explanation around what's happening with the margin and what shall one expect for FY24. That's the first question.

Vibha Padalkar: Avinash, all what you said is absolutely right. There are many things going on. We talked about Exide Life starting off with low single-digit margins. We said we will nevertheless move towards subsuming that into our business and reaching margin neutrality.

Individual protection is doing exceedingly well. Credit life has always been doing well, and that continues to trend well. So that gives us that margin kicker. Our costs are reasonably under control despite some of the investments that I talked about.

Unit Linked has seen a little bit of uptick to about 28% as against the 25% range that we would like it to be in. At the same time, counter share at HDFC Bank has gone up. Considering all of these, there are pluses and minuses which even out and that's why we are margin neutral. It is slightly better than Q1 margin but more or less flat is how we see H1, and that's what we also guided towards at the start of the year. This year is a mixed year, in terms of digesting tax changes and investing in people, so that we can grow number of policies, and all of that is panning out.

We expect flattish margins, which would be a good outcome given everything that's going on including the continued degrowth in the above INR5 lakh ticket size. Next year, this would be behind us as a sector, and we should continue on the upward trajectory on margins. Anything you want to add, Niraj?

Niraj Shah : As we had spoken at the beginning of the period, large part of our VNB growth will come out of APE growth and a significant part of our APE growth we were expecting out of volumes. That's exactly happening the way we have

thought about it as the year would pan out with 10% growth in volumes. And equally important is that our average ticket size has been maintained. That was one of the biggest fears going into FY24 in terms of what happens because of the higher ticket size business. Like Vibha mentioned, the greater than INR5 lakh business has come down, but it is still a fairly meaningful contributor.
HDFC Life Insurance Company Limited
October 13, 2023

Page 6 of 19

Significant part of our position has been maintained because of our expansion into Tier 2 and 3 markets. And similarly, while we would like to grow at 17% -18%, on a medium-term basis, the current growth is in the 10% range. That explains the fixed cost absorption gap. Product mix, like you rightly articulated, balances out each other, and there is a mild positive sitting there in terms of higher levels of protection written, both on a stand-alone basis in individual-group and on the savings products.

Moderator : The next question is from the line of Shreya Shivani from CLSA.

Shreya Shivani: I have two questions. First is on non-par savings product. Can you help us understand how many rounds of IRR cuts have you taken? I believe that the G-Sec yield, which you map has turned around since rate cuts have happened. Any guidance, will the product offer even lesser IRRs to the customers? How do you see this product and the customer offering going ahead?

Second is on the protection business. You said that Credit life grew by 28%. Is that new business growth or APE growth? Because group protection APE only grew by 7% in H1. Has the GTI business contracted as a result? Can you give some color on that? Thank you.

Niraj Shah: Non-par product repricing is a continuous ongoing activity for us ever since we launched the product more than 4 years back. To your specific question, we have repriced it twice, in this period.

Going forward, we will continue to look at the kind of yields we can get on a gross basis and then adjust our IRRs in the marketplace. Of course, we will keep in mind what is happening in the marketplace. We have seen certain players offer IRRs, which we believe are addressing different profitability and risk management objectives.

We continue to maintain a fairly balanced approach. We definitely want whatever growth we can get, but it has to be sensible in terms of profitability and the risk we write on our books. Our repricing will continue, and it will reflect what is happening in the overall interest rate environment.

As far as your question on group protection is concerned, credit life business has grown fairly meaningfully even in this period at 28%. And largely, business has shifted from regular premium to single premium in certain partners, which has resulted in the numbers that you are seeing.

On an overall basis, nothing is really different. On the individual side, protection has grown more than 45%. On the CP side, for this period, it has been 28%. It's largely just a regular premium-single premium change that has happened.

Vibha Padalkar: And to add here, it has lesser to do with GTI business, which you alluded to. Economics of the credit life business hasn't changed. It's just that, is it a single premium policy or a regular premium policy. That's about it.

Shreya Shivani: Okay, understood. Thank you so much.

HDFC Life Insurance Company Limited
October 13, 2023

Page 7 of 19

Moderator: We have the next question from the line of Suresh Ganapathy from Macquarie.

Suresh Ganapathy : Two questions. You said the counter share has gone up. HDFC Bank's counter share was up to 56% last quarter from 55%. Can you share any numbers? How much has it gone up this quarter?

Suresh Badami: We have seen a fair amount of traction, which has been happening post the merger. We have ended H1 at 62% market share. If you were to look at the 56.5%,

which was there at end of Q1,

we have been steadily trending upwards right through Q2. And across July, August and September, we have seen a significant uptick. In September, our counter share was greater than

70%. We have ended at 62.2% for the entire H1.

Suresh Ganapathy : That is fantastic. Can you tell us what have you done? What has happened to have such a massive pickup? And how have you gone about doing this?

Suresh Badami: In some sense, it has been a focused effort on both sides. We have invested in manpower over the last 5 -6 months. There have been product innovations which have happened. There are some new products which have got launched and have picked up strongly at HDFC Bank.

Vibha spoke about Sampoorna Jeevan , Sanchay Legacy was launched. There are few other products, which have got launched and have had a fair amount of pickup. There has been a huge amount of engagement and involvement from the Bank, across teams including support from TPP team .

So, it is a factor of everything that we are building. But typically, our market share has been growing across most of our partnerships. And yes, there is better alignment and much more engagement at the strategic level with the Bank, and that support is coming in for us.

Suresh Ganapathy : But Suresh, this is not getting reflected in the overall APE numbers, right? Your H1 APE has just gone up 10%. Of course, Vibha has guided for a 15% APE growth excluding INR 1,000 crores one-off business, the ask rate for second half is very high, both on APE growth as well as margins. We'll have to deliver 20% on the INR1,000 crores adjusted business in H2. Is that really achievable? And why is HDFC Bank better traction not getting reflected in APE growth numbers?

Suresh Badami: We have to take a longer -term view . Quarter -on-quarter, things will vary. We have seen some slowdown in other channels like Agency and Broca, which had higher dependency on greater than INR 5 lakh ticket size . Our strategy is to ensure that we broad -base our growth on smaller ticket size NOPs, and we have started seeing that traction coming in. Additionally, there's some bit of base effect which is coming.

We will try to grow faster than the industry, which is really what we have been targeting every year. That has played out for us. In certain quarters, some products get launched, in other quarters, some contest ends , so quarter -on-quarter, numbers may vary . Our distribution has been growing, Vibha read out as part of the earlier note that our agency distribution has grown by more than 30,000 agents. As we build our distribution across tier 2 and tier 3 markets , as we add HDFC Life Insurance Company Limited
October 13, 2023

Page 8 of 19

more partners into our fold , the smaller ticket size will come in. The opportunity is large enough for us to grow on a consistent basis.

Vibha Padalkar: To add here Suresh, further deconstructing some of the channels that have a lot more wealth customer bias understandably are slower. And we have seen degrowth in those channels, wherein the ticket sizes used to be very high. These channels have seen degrowth of about 20%. While growth in less than INR 5 lakh ticket size is about 18% at company level .

It is all coming out. Some channels have a lot more focus towards higher ticket sizes. Our broking channel is one, wealth channel is another , agency in terms of the top agents. So , it's a mix of that. However, reason why it gives us a fair bit of confidence is that when we further deconstruct our numbers, one is very robust growth, like I said, close to 18% -19% on below INR 5 lakhs business . Second , growth in tier 2 and 3 is 2x of company level growth, where we are making inroads. The channels that have a lot more distribution reach into tier 2 and 3 markets are relatively untouched by the tax changes. Tier 2 and 3 markets are contributi

ng about 60% -

70% of our overall business.

All of that mix and manna that is happening, which we said at the beginning of the year when the tax changes happened, wherein growth will be a lot more broad -based across more and more customers , acquisition of new customers becomes important. Last point I want to make is that when I further look at our data, two -third of our customers are now new to HDFC Life. We are very happy about that because when you partner with a young life, then over the life cycle of the individual, we are able to do a fair bit of attachment at various significant life stages . Also, half of these new customers that we have acquired , are less than 35 years of age. So again, we are attracting young customers. Reason I'm quoting these numbers is that it's a little bit nuanced in terms of why the overall number is somewhat muted because of some of the other channels being affected. But at the same time, even in those channels, the growth in below INR5 lakh is touching almost 20%.

Suresh Ganapathy : You are still confident of maintaining 15% full year guidance excluding INR1,000 crores?

Vibha Padalkar : Yes. Just to clarify, I have said mid -teens. So yes, mid -teens, reasonably confident.

Suresh Ganapathy : Okay. All the best Vibha.

Moderator: The next question is from the line of Prakash Kapadia from Anived Portfolio Managers Private Limited.

Prakash Kapadia: You were talking about HDFC Bank, and how we have gained more traction. Continuing that

discussion, in tier 2, 3 cities and beyond, the bank has a fairly large rural presence. Even now they are opening up branches at a good pace. So, will that be the driver of volume growth in FY24 and beyond? And what products are these customers looking at, if you could give us some sense? That's the first question.

HDFC Life Insurance Company Limited

October 13, 2023

Page 9 of 19

The second question is on the GST notice which we received last quarter, it was of INR 942 crores. We've paid some amount, INR 250 crores in dispute. Any updates on that?

Suresh Badami: This is Suresh here. Let me answer the first question. Yes, you are right. I think HDFC Bank is doing a tremendous job, in terms of expansion and branch growth. The branch expansion in SURU has grown more than 1,100 in the last 18 months, so clearly, they're driving.

Just to state, our approach to tier 2 and tier 3 as a distribution strategy has been playing out for many years. Along with HDFC Bank, we have been growing our agency presence. We took over Exide, which has a significant presence in tier 2, tier 3 and southern markets.

Many banca partnerships, which we have tied up over the last 1 year, whether it is AU Small Finance Bank or other partners like Ujjivan, Utkarsh and Bandhan, have significant presence in tier 2 and tier 3 markets. We may not have build as much on our direct, but there is a lot of demand, which is coming through our partnerships and our agency network in these markets. We have seen tier 2 and tier 3 markets grow much faster for us, almost double of what we have seen at company level. Of course, tier 1 has had an impact this year because the greater than INR 5 lakh ticket size normally concentrates in tier 1. However, the product range remains similar, it is the ticket size which changes.

There are certain features which are more favourable in tier 2 and tier 3 markets, and we will continue to innovate on that. APE growth in tier 2 and tier 3 has been almost 17% for us in H1. So, you will realize that it's a stated strategy to expand and get into these markets. We don't see any reason why this segment will not grow for us going forward. Of course, the opportunity in tier 1 continues to remain, and we will capitalize on that.

Niraj Shah: Just to add a couple of bits on that, we found the customer segment being more amenable to buying protection differently from

the way they buy in tier 1. That's something that has really done well at scale in HDFC Bank in tier 2 and tier 3 towns, in terms of buying protection behaviour being different. Additionally, we have seen that there is more willingness to take slightly longer-term policies in these markets, which again is a very good indicator of being able to keep the business longer on our books and get more profitable business out of that category which is fairly encouraging.

To your point on GST, no further update. We have seen the show-cause notice, as we mentioned in our exchange disclosures. We are in the process of responding to that, and we will do that in due course.

Moderator: We have the next question from the line of Nischint Chawathe from Kotak Institutional Equities.

Nischint Chawathe: Thanks for taking my question. The growth in bancassurance seems to be coming up nicely with around 20% and it looks like this is slightly ULIP heavy. But in other channels, probably ULIP is not picking up as much. So, when we are looking at higher growth in other channels in H2,

HDFC Life Insurance Company Limited

October 13, 2023

Page 10 of 19

do we envisage ULIP to pick up? Or will it still be non-par heavy? In that sense, how do you see the product mix for the year evolving?

Suresh Badami: Let me start and Niraj can add on. We have mentioned in earlier sessions that we have always tried to maintain a balanced product mix. One of the approaches has been to ensure that each channel remains profitable. In some sense, looking at the opportunity, we have tried to ensure that our mix remains in the 25% range for ULIP and the rest between par and non-par at 30%. We have always managed ULIP contribution which comes from other channels because typically, ULIP needs to have high persistency, for it to be profitable. So, in agency, we have ensured that ULIP is managed well with some of our vintage financial consultant partners, who give us very high persistency on ULIP products.

You'll find that our agency is one of the few channels, which is near 90% persistency at an overall level. That is because we have tried to maintain certain ULIP to select set of partners with a focus on par and non-par. There is always an expected volatility in equity markets given what's been happening, we will look at the Unit Linked (UL) opportunity and growth, if markets continue the way it is.

In tier 2 and tier 3 markets, there's a little bit of UL demand. We have seen what's happened on

the MF and SIP space. So, we don't want to lose out on that opportunity. But we will be calibrated in terms of how much UL we allow through some of the other channels. But at an overall level, we will maintain the mix across all our channels.

Niraj Shah: To add to what Suresh mentioned. A lot of times, product mix is also a function of new product launches. In this period, we have had two product launches on the protection side which reflects the momentum in individual protection growth.

We have also had a launch on the UL side with a slightly different protection proposition attached to it. That has also done very well in the bank channel and some of the other channels as well. In H2, we expect to launch products in the other categories, which will then reflect in the product mix.

Like Suresh mentioned, by and large, we would like to stay within 1/4th to 1/3rd for each of the categories, while continuing to grow protection and annuities. It will also be dependent on the product launches that we have in the market. Of course, how people respond to the economic environment in terms of volatility in equity markets, can then change things on the UL front.

Similarly, when there's more concern about the geopolitical environment or of equity markets that can drive buying behaviour towards more traditional and conservative products. That's something that we see

, from time to time.

Nischint Chawathe: In the first quarter, it appeared that there was some fatigue in selling non-par post a very strong March. Do you see that having a tail in the second quarter and business again eating up towards the end of the year? Or is it something that is not a concern anymore?

HDFC Life Insurance Company Limited

October 13, 2023

Page 11 of 19

Vibha Padalkar: It's not really a concern, but couple of things here, Nischint. One is that, it has to be priced right. There's always a temptation to give very aggressive pricing. Right pricing is something that we really want to follow. So, we keep away from some of that situation that does happen in multi-tier situation.

Second is that versus where fixed deposit rates are. More than fatigue, I think it's a little bit of kicking the can down in terms of taking a decision on non-par policy. It is because you say, let me park my money in a six-month FD or one year FD and then take a call down the line. Some of that could be happening. Of course, it is due to change, as and when rates start falling, transmission happens. So, it's a matter of a cycle rather than anything fundamentally that is different. And point three is that, there is awareness that there is reinvestment risk in any product other than a long-term non-par product and that has been very well socialized amongst customers at large. The proposition as such, nothing at all has changed on it, but some of these more macro forces, plus and minus are at play.

Moderator: The next question is from the line of Swarnabh Mukherjee from B&K Securities.

Swarnabh Mukherjee: Good afternoon and thank you for the opportunity. A couple of questions. First on growth, for slower growth in H1, you alluded that in several channels would have five lakh-plus products in their base last year, which is impacting. So just wanted to understand that as we move in H2, what would be the situation in those channels again for the second half of last year? Would smaller ticket size growth be sufficient to cover up for that and meet the ask rate? The strong growth in banca that we have seen at 19%, if you could break it down into what is the growth at the HDFC Bank channel vis-a-vis other banca partners? What is driving the growth?

So that is one. And secondly, if you could highlight in terms of the EV walk that you have given. If I strip out second quarter from the numbers that you have given for H1, the economic variance numbers appear to be negative. What is driving that given the market conditions and how the yield curve has moved over the last three months, if you can give some color?

Vibha Padalkar: Yes. We are reasonably confident that we will continue on this trajectory. What's happening is the ticket sizes have been maintained. So, what we had feared was that overall ticket sizes would start falling and that has not happened. That is one. Second is, like I mentioned to an earlier caller that we are acquiring more and more customers. The number of policies we are writing is growing. With both of this together, we should continue with mid-teens' growth.

Swarnabh Mukherjee: Just a follow-up on that. The fact that, we have started to see strong growth in tier 2 and tier 3 markets. Moving into FY25, do you think that such a growth rate would be sustainable given that we again will have a reasonable base of that and other competitors would also be focusing on that market, given similar scenarios we were facing in the tier 1 market. Is that number sustainable as per your view?

HDFC Life Insurance Company Limited

October 13, 2023

Page 12 of 19

Vibha Padalkar: Yes. Absolutely, I think so. And the reason is that, we ourselves were not very present. If you were to look back three years ago, this was a white space for us and the sector by and large, we have only focused on top 10 cities and so on.

As Niraj

alluded to it earlier, wherein it is not just that we have feet on street now, it's a whole proposition on what products would work in tier 2 and tier 3, what measures we would have in place for underwriting, what kind of document is required and so on, because increasingly, the percentage of non-salaried customers in tier 2 is going to be meaningfully high. How do we get past the underwriting hurdles, what are the reinsurance arrangements that we set up because, for reinsurers, these would be lower ticket, higher volume, lighter touch underwriting or a different underwriting conundrum. It is many things like that.

And of course, people training, having products that are simpler in terms of give and get, having local regional languages in terms of outreach, the advertising and the tonality has to appeal in tier 2 and tier 3. So, it is a whole package, and that has taken us a couple of years ever since we started looking at Exide Life.

That was a turning point. And then tax changes happened, so we just accelerated on that. But I'll give you another example. We do have a fairly high hurdle rate on persistency, which to some extent, was limiting our foray into tier 2 and tier 3 because inherent persistency is generally lower than top 10 cities. But for us to be comfortable with that as long as the pricing is right. Of course, down the line, we will showcase you how in various buckets we see persistency panning out. Mix could impact at a headline level. But within those cohorts, you will still see an improvement in persistency. Persistency will be different, mortality experience will be different and how do we price all of that and how do we get increasingly comfortable with that?

I think that's the journey. This is just the tip of the iceberg, and I'm reasonably comfortable and confident that, the journey will continue. We will, of course, piggyback on all our partners.

Suresh mentioned this, HDFC Bank of course, but also many other partners that we have, that have been operating in these segments. And we also learn from them. We learn from a lot of our partners that extend credit to tier 2 and tier 3 customers because they also have to do at least financial underwriting. That's the hack they are donning to help us with the financial underwriting piece. We are looking at younger lives, lesser sum assured, so that we are able to take initial steps into that. As regards to your question on embedded value, Eshwari, you want to take that?

Eshwari Murugan: If I understood the question correctly, you want to understand the movement in investment variance that we showed last quarter and this quarter. I will explain the investment variance that was in June at around INR 810 crores, broadly split between impact of equity of INR 500 crores and interest rates of INR 300 crores.

In Q1, equity markets had gone up by almost 10%, which was higher than the expected return of around 2.5% and that resulted in a positive variance of INR 500 crores. Interest rates at the HDFC Life Insurance Company Limited

October 13, 2023

Page 13 of 19

shorter end had fallen by around 20 bps. And since the value of our shareholder and VIF assets increase as interest rates go down, we had a positive variance of around INR 300 crores.

In Q2, equity markets performed slightly better than expected at around 3%, which resulted in INR 50 crores increase in positive variance. But interest rate cycle has actually reversed. The fall that was there in Q1 reversed out in Q2. So, this almost nullified the interest rate impact that we got, which is why on a six month basis, majority of the investment variance of INR 650 crores is coming from equity.

Swarnabh Mukherjee: Understood. And ma'am, the question on the banca growth

Vibha Padalkar: I'll give a very quick answer. Both HDFC Bank and other banks are very similar in terms of growth.

Moderator: We have the next

question from the line of Prayesh Jain from Motilal Oswal.

Prayesh Jain: What is the share of return of premium products? And is there a change where the share of return of premium products is increasing? And secondly, on VNB margins for the second half, do you think that you will be able to attain the margins, which will allow you to have a flattish VNB margin as compared to FY23?

Vibha Padalkar: On the second question, yes. While it's always a challenge just given the kind of changes that have happened, we should be able to end at a flattish margin. We are there at the end of H1 and in H2 as well as on a full year basis, very similar kind of margins with mid-teens growth and hence, mid-teens VNB growth. Niraj, you want to give the number on the other one.

Niraj Shah: Yes. So, on ROP, it's been steadily going up over the past few quarters as our presence in tier 2 and tier 3 markets has been expanding. Currently, the number stands close to around 30%. It has

been close to 20% in the previous period. So, it has moved in that direction.

Vibha Padalkar: And that also explains my earlier commentary on tier 2 and tier 3 because the products that we sell also have to be simple over-the-counter relevant products for that category.

Prayesh Jain: And that is also the reason why possibly the overall protection margin could be weaker than what we had earlier?

Niraj Shah: No, not really. As we mentioned in the past, the return on premium margins are not very different from pure term margins. It's really how the products are priced, as of course there are market participants choosing to price their products differently in the market. But as far as we are concerned, there isn't any significant difference. In fact, return of premium is not margin dilutive at all on protection.

Moderator: The next question is from the line of Madhukar Ladha from Nuvama Wealth Management.

HDFC Life Insurance Company Limited

October 13, 2023

Page 14 of 19

Madhukar Ladha: Banca channel continues to do very well. And one of the main reasons that you mentioned is, for the other channels a little bit weaker performance. If you look at individual APE growth numbers, I think agency direct, brokers and other channels, all three have declined on a year-over-year basis. And INR5 lakh-plus ticket size business in these channels seems to be the major component is what I get. Are there any other big factors that are playing out there? And then you gave that number of INR 1,000 crores, if I remember correctly, this was only the March impact of more than INR 5 lakh ticket size, or maybe Feb and March. But for the full year what would be the contribution of more than INR 5 lakh ticket size, to get a sense of what we need to overcome in second half?

Suresh Badami: Let me just quickly answer. Firstly, agency is not degrowing. On an H1 basis, we are growing at almost 10%.

Madhukar Ladha: No, I meant on a Q2 basis

Suresh Badami: Q2 basis, it is flat 3% growth. But like we mentioned earlier, I think agency and broking have been affected a bit from the greater than INR 5 lakh business. Broking, we had a significant presence in the wealth segment, our partnerships at many of the well-focused corporate agencies, and most of them had worked with us on almost exclusive or high market share basis, but we don't really have a problem because somewhere the distribution will attune itself to the less than INR 5 lakh ticket size. And agency, in some ways, takes a little more time. It is more retail, it is more distribution oriented. It will take some time to grow in more than INR 5 lakh. And it has been growing fairly well in the less than INR 5 lakh business.

Of course, the product mix is also moving to some pension products and some other products where ticket sizes are high. So, we don't really see a challenge in being able to grow agency.

One of the reasons is that

at we are focusing heavily in terms of building our new base of financial consultant, more than 30,000 agents got added, which is significantly high. We are looking at activation. And we do believe that those may not probably be able to catch up in some specific verticals like wealth, which are greater than INR5 lakh focus. But the distribution should be able to scale up.

In the greater than INR5 lakh, as mentioned earlier, while there was a hiccup in what was pre-budget and post budget, the proposition is fairly strong. Customers are also coming to terms to say, if you compare what's available on debt mutual fund side, what's happened on fixed deposit rates, the product still remains fairly competitive. There is no reason why over a period of time, if you were to look at it afresh and have money in terms of asset allocation, a certain amount of money will continue to flow into these products, while we'll get the higher ticket size from some of the pension annuity products.

Our focus is to make sure NOP grows, tier 2 and tier 3 grows, less than INR5 lakh grows, but there's no reason why greater than INR5 lakh should also not pick up towards the end of the year.

HDFC Life Insurance Company Limited

October 13, 2023

Page 15 of 19

Niraj Shah: Just to add to that and link it back to a couple of things on the call. One is in terms of our H2 strategy on margins that all links back up to how the top line will shape up. If we see more growth than what we are anticipating at this point in time, our first objective will be to ensure that our VNB growth is in line with what we want and margin is going to be subservient to that. We clearly are in a position to be able to maintain margins for the rest of the year, but if the growth projections are ahead of where we think at this point in time, we will strive to maintain VNB growth, and we can review our proposition on how we're looking at VNB margins.

Suresh Badami: I'll just add . As a product strategy approach, all the products that we are designing will help us scale up , whether it is in tier 2 and tier 3, whether it's on the par or non-par side. We may believe that non-par is a product which is more price sensitive , yes, from an IRR perspective. From a customer proposition standpoint , we need to look at what kind of IRRs, what kind of surrender values. The way our products are defined, it's best -in-class for the end customer . These considerations gives us the confidence to say that , even with this product proposition, we are best in class.

Madhukar Ladha: Understood. Can you clarify the INR 1,000 crores number ? Was that only for Feb, March? And what would that number be for the entire year, last year?

Niraj Shah: INR 1,000 crores number was the post -budget business that we had alluded to, which we said was a onetime business .

Vibha Padalkar: Which is largely March, because Feb hardly had moved.

Niraj Shah: And the overall number for the year on a total APE basis was about 12 % . That is not just the INR 1,000 crores in March, but through the year. And that's also what I just mentioned that 12% equivalent is close to 6 % now. So, all the conversations that we just had is that, it is not that the product category has died above INR 5 lakh, it is still very much there. Of course, it will take time to crawl back up to levels that we have seen in the past.

Madhukar Ladha: Got it. Thank you and all the best.

Moderator: The next question is from the line of Sanketh Godha from Avendus Spark.

Sanketh Godha: Thank you for the opportunity. Vibha, the simple question I have is that given our HDFC Bank market share has gone up to 70 % , and if I do a back calculation assuming 55% market share , what you had last year , I see banca as a channel..

Vibha Padalkar: Sanketh, just to intervene, the share has not gone to 70%, it is 62 %.

Sanketh Godha: Yes, sorry, I mean to say exit is at

70%. It is 62.5% for H 1. So, if I do a simple math, what I conclude is that HDFC Bank as a channel for all insurance companies put together, the growth has been less than 10 % . It's rough math , but HDFC Bank 's challenge to mobilize more deposits, is having some kind of an impact on their ability to grow third -party products, including insurance?

HDFC Life Insurance Company Limited
October 13, 2023

Page 16 of 19

Vibha Padalkar: HDFC Bank and the team at the 7,000 plus branches are used to selling all kinds of offerings to their customers based on the bottoms -up need. Customers also are increasingly aware , at least in tier 1 and 2 towns of the concept of reinvestment risk. It's not that it is a switch and someone having disposable income is agnostic. Even if the RM were to pitch an FD, the customers are reasonably aware of reinvestment risks. They might split their disposable income in some ratio between fixed deposits for liquidity and for guarantee over many years, decades, in fact, to buy a non -par product or a protection product.

So that's why you are seeing that overall growth being there, not only for us but for the bank as a whole and we expect that to continue. Would it be in the range of 20 % plus? I don't know. But certainly, in terms of double digits, that trend should continue.

Sanketh Godha: Got it . And second, from a margin point of view, if ULIP remains, because demand of the product is also there . If ULIP remains at the current level around 25 % to 30 % of the total APE, which is higher compared to last year, then the strategy of attaching higher sum assured in ULIPs can improve margins of ULIP by how much percentage? I also want to understand, high sum assured as a percentage of ULIP you have sold, it contributes how much to the total APE mix? That's point number one. And second, on non -par business, given the yield curve is very much flat, is the product itself seeing margin pressure compared to what you have experienced last year, because IRRs are demanding and supply side market is not favourable , so is non-par at product level seeing any margin pressure?

Niraj Shah: On Unit Linked products, yes, a significant amount of business is now getting done at higher sum assured, which is meaningfully more profitable than what we have on a minimum sum assured multiple that we traditionally have on Unit Linked. But of course, it is still lower than company average. Can we maintain our margins while the Unit Linked mix continues in the 25%-30% zone? We can , because we already have . In the first half , we managed to do that. Large part of the pressure on margins is on account of 2 things, as we discussed. One is that we are capacitated for high -teens growth, which we have delivered in the past periods and the current growth is in the 10% zone. So that is the biggest delta in terms of the margin trajectory. Second bit, to some extent, is product mix. But as you have seen on an overall basis, product mix has balanced out changes, whether it's higher protection, higher annuities or otherwise. So, at a portfolio level, we don't expect to see any challenge in maintaining our margins with the Unit Linked mix being where it is right now. On non -par, like we mentioned in the past, our pricing is not really dependent on which way the interest rates are. It is more in terms of our

pricing discipline, in terms of what we are able to generate. So, if you're talking about on the FRA side, again, it's a pass-through from our perspective. When we are making a spread, that was being passed on as yields and some of it was being retained. While it is a cost now, that's also getting factored into our returns to the customer.

Sanketh Godha: Okay. The reason I'm asking is that because macro is in favor of other products, so to hold up the growth in non-par whether we will see a margin pressure in non-par at product level because of spread

read compression?

HDFC Life Insurance Company Limited

October 13, 2023

Page 17 of 19

Niraj Shah: No, Sanketh. Honestly, I think different people have taken different calls on how to run non-par business. Even when the environment was different, people were offering 40 basis points higher IRR than we were, even today, they are doing the same. So, it's really a call that management takes in terms of how to price the product. As far as we're concerned, we try and stay away from that.

Vibha Padalkar: Also, some more nuances on the pricing of the product, one has to look at customer centricity in terms of what surrender values one gives. And devil is in detail, one can give much higher IRRs if the surrender value even after 10 years is abysmally low. We want to attempt to continue triangulating between various objectives and to also be fair to the customer.

And you will see us repricing wherever we have to reprice. At the same time, not exiting the game, so to speak, we will continue to be in there. There's usually a lag but others' repricing follows. I think that will continue. It is not new. It is not only for non-par. It also very much applies to protection and some of the other segments. We are used to that.

Moderator: We have the next question from the line of Dipanjan Ghosh from Citi.

Dipanjan Ghosh: Two questions. One, when you say your high-ticket non-par mix is around 10%-12% for the first 10 months, can you give some color on whether it is more front-loaded or back-ended?

Some colour on what would be the mix, be in the first six months versus the last four months?

Second, on your non-HDFC Bank, banca channels and your broker channels, is there any payout changes or unit economic changes across credit classes that you're seeing?

Vibha Padalkar: No major commercial changes, very much business as usual. On non-par, while I don't have the numbers, but it is reasonably flat. From memory, if I can recall, there was no heavy back-ending or front-loading. It was reasonably flat except in the month of March.

Niraj Shah: And just to clarify, this 12% number that we quoted was for all business above INR 5 lakh, not just non-par. So that's what we had called out immediately after the budget when we have done a call. And of course, numbers were different in March.

Moderator: We have the next question from the line of Abhishek Agarwal from Naredi Investment

Abhishek Agarwal: I had only one question. You said in last conference call your focus is on strengthening our partnership with HDFC Bank, enhancing collaboration and maximizing customer engagement within our group. So, has there been any improvement or is it the same as before?

Suresh Badami: There's a lot more synergy in terms of our strategy as well as for HDFC Bank. We are working closer in terms of how we expand the market, get incremental business, both for the Bank and for us. We have seen improvement in our market share, and we hope we will be able to sustain this. A lot of this is based on certain new products that we had launched. There was a certain amount of synergy that came in this particular quarter. Given the open architecture, our ability to invest in people, look at new innovative products, look at more support, we will see a lot more.

HDFC Life Insurance Company Limited

October 13, 2023

Page 18 of 19

Abhishek Agarwal: Can you give a ballpark number, how much improvement in the overall relation with HDFC Bank after becoming subsidiary?

Suresh Badami: We have grown to 62%, as our market share, is what we have declared. We have to look at it on a long term basis because from quarter-to-quarter, depending on either a contest launch or depending on new product launch or depending on something that we are doing differently on the ground, these things can keep going up and down. But yes, we have started seeing this going up at 62%. We have seen almost a

4-5% increase in our market share than prior to merger.

Moderator: The next question is from the line of Bhuvnesh Garg from Investec Capital.

Bhuvnesh Garg: Just on the APE growth. So if I understand the APE growth by ticket size, so you said that 18% growth in lower ticket size Y-o-Y and 20% decline in high ticket size. Is that correct, sir?

Vibha Padalkar: Less than INR 5 lakhs was about 18% to 20% growth and more than INR 5 lakhs, we had a degrowth.

Bhuvnesh Garg: Considering 12% of your APE comes from high ticket size and if you had 18% growth in low ticket size and 20% decline in high ticket size, basically blended growth should have been 13%, 14% Y-o-Y in H1, but we had 9% growth in H1. So, I just want to understand what's the disconnect here.

Suresh Badami: I think 18% growth was on NOP. Sorry, it was value wise.

Niraj Shah: So the 12% number that we had spoken about was last year. That was our total APE percentage over INR5 lakh in that period. Right now, like I mentioned, that contributes to about 6% of our business. And that's where on a lower base, degrowth is what we're seeing at greater than INR5 lakh. On more than 90% plus of our business, which is less than up to INR5 lakh, has seen an 18% growth. And the ticket size on that is something which has expanded, which has neutralized the overall impact on ticket size. We are flat on ticket size and basically the APE growth is similar to volume or NOP growth.

Vibha Padalkar: And also, the 12% was average over the year. So, one quarter if you look at or a certain part, it will vary by 200 basis points here and there, but it is more in terms of average over the year.

Moderator: The next question is from the line of Avinash Singh from Emkay Global.

Avinash Singh: My question was more on your direct channel, where you have been pretty strong. And these channels would not have much of above INR 5 lakh contribution, but that channel has slowed down in the first half. Is there some change of strategy in your direct channel? Are you focusing more on HDFC Bank? What has happened to the direct channel? Because your online, offline both have been very strong in the past.

Suresh Badami: It has been. One is that given technology and a lot of it, there are lower branch walk-ins. A lot of our business used to come in from the direct business. And online business also is picking up.

HDFC Life Insurance Company Limited

October 13, 2023

Page 19 of 19

The other piece is, some of our larger partners like Policybazaar, which were quoted under direct, are now reflecting under the broking channel. That's the way we have kind of classified it. And one thing we need to realize is that in a lot of our partners and channels, online is actually becoming more horizontal because more and more people are adapting to tech, websites and online.

Direct-to-customer is there but the interface to the customer is moving more directly. It's a mapping change in Policybazaar and there has been a little bit of a slowdown in direct. But going forward, we do expect both the online business as well as the branch business to expand. We are expanding a certain set of branches. We are probably going to add another 75 branches. We will see expansion even in the direct channel as we go forward.

Avinash Singh: But Policybazaar technically turned into broker much before, it was already a broker last year. And if you have chosen to change Policybazaar from direct to broker this year, then the broking channel adjusted for this has even declined much sharply. Is my understanding correct?

Suresh Badami: No, I think the channel got remapped in Q3. So over a period of time, it has shifted into the broker channel.

Avinash Singh: So you are saying that in H1 last year, Policybazaar was not part of broker. This year, it's part of broker and yet broker channel has declined?

Suresh Badami: Yes.

s. Because we had significant partner presence in broking channel. Over last few years, we have built significant presence in the wealth channel. All the large partners like IIFL, ASK, there are many such wealth partners with us who had done significant business on the greater than INR 5 lakh. There has been a fair amount of degrowth, which has happened there. So that is something that we will counter in terms of retail NOP growth even through broking channels, and that should come back. But yes, it's had an impact for us on the broking channel.

Avinash Singh: Okay, clear. Thank you.

Moderator: We will take that as a last question. I would now like to hand the conference over to Ms. Vibha Padalkar for closing comments. Over to you, ma'am.

Vibha Padalkar: Thank you, everyone, for participating in today's call. On behalf of HDFC Life, I wish you all happy festivities. Please feel free to reach out to our IR team in case of any further queries. We look forward to connecting with you again. Good evening.

Call: Jan 2024

January 19, 2024

Ref. No.: HDFC Life/CA/2023 -24/ 109

Listing Department Listing Department
National Stock Exchange of India Limited BSE Limited
Exchange Plaza, Plot No C/1, Block G, Sir PJ Towers,
Bandra -Kurla Complex, Dalal Street,
Bandra (East), Fort,
Mumbai - 400 051 Mumbai – 400 001
NSE Symbol: HDFCLIFE
BSE Security Code : 540777

Dear Sir / Madam,

Sub. :

Transcript of the earnings conference call for the quarter and nine -months ended December 31, 2023

We wish to inform that pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of the earnings conference call with analysts and investors held on Friday, January 12, 2024, to discuss financial results of the Company for the quarter and nine- months ended December 31, 2023.

The said transcript has been hosted on the Company's website www.hdfclife.com .
This is for your information and appropriate dissemination.

Thanking you,

For HDFC Life Insurance Company Limited

Narendra Gangan
General Counsel, Chief Compliance Officer &
Company Secretary

Encl. : As above

Page 1 of 21

HDFC Life Insurance Company Limited

9M FY24 Earnings Conference Call

January 12, 2024

HDFC Life Insurance Company Limited
January 12, 2024

Page 2 of 21

Moderator: Ladies and gentlemen, good day and welcome to the HDFC Life Insurance Company Limited Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing * then 0 on a touchtone phone.

Please note that this conference is being recorded.

I now hand the conference over to Ms. Vibha Padalkar – MD and CEO of HDFC Life Insurance Company Limited. Thank you and over to you, ma'am.

Vibha Padalkar: Thank you, Zico. Good afternoon, everyone. Thank you for taking part in this conference call to discuss the business performance for nine months ended December 31, 2023. Our results, which include the investor presentation, press release and regulatory disclosures, have already been made available on both our website and the stock exchanges. Joining me are Suresh Badami, Deputy Managing Director; Niraj Shah, Executive Director & CFO; Eshwari Murugan, our Appointed Actuary, and Kunal Jain, representing Investor Relations. I will share key insights

into 9MFY24 results and will be glad to take any questions thereafter.

Starting with operating performance:

Our individual WRP grew at 6% for the nine months ended December 31, 2023. Private market share for the period 9MFY24 stood at 15% and we continued to be ranked amongst the top 3 life insurers across individual and group businesses. Whilst QoQ sequential individual APE growth was 8%, it has been lower than our initial expectations, largely due to a slower pace of recovery in ticket sizes over Rs. 5 lacs. However, there is sustained positive traction across ticket sizes up to Rs 5 lacs. These cohorts continue to deliver well – clocking 3x overall company level growth. Encouragingly, we are witnessing indications of a resurgence in the high -ticket segment, particularly in some of our recently introduced products.

Additionally, we have noted a shift in asset allocation trends in favor of equity investments, influenced by the current buoyant markets. We have also witnessed postponement in demand from specific cohorts due to the prevalence of high short -term interest rates. Nonetheless, we view these as temporary challenges and anticipate an uptick in growth as these macro trends gradually normalize. The number of policies sold continues to clock a healthy growth of 9%, outpacing private and overall industry. This aligns with our core objective of establishing a sustainable long -term business by broadening our customer reach. We have covered close to 5 crore lives across our individual and group businesses. Growth from Tier 2 and 3 markets remain strong, witnessing 2x company growth. These markets contributed close to 65% of the overall topline. Average ticket size has remained stable despite the impact on high ticket sized business.

HDFC Life Insurance Company Limited

January 12, 2024

Page 3 of 21

Our retail protection grew by 36% based on individual APE and credit protect clocked 21% growth YoY. Overall and retail sum assured registered growth of 38% and 54% respectively, with us continuing to be market leaders amongst private players in overall sum assured. Our private market share based on overall sum assured stood at 19% for 9MFY24. Annuity and Protection put together contributed to over 50% of new business premium in 9MFY24.

Toward the latter part of Q3FY24, we introduced Click 2 Achieve, a ground -breaking product in the non -par savings category, distinguished by several pioneering features. This innovative plan empowers customers to create unlimited combinations, tailor their cash flows to align with personal goals, with the cushion of a guaranteed return. The customer can also reduce the impact of inflation on income

with increasing income option. It also provides the flexibility to grow survival benefits at a rate 1.5% higher than savings bank deposits. The product has been received well across channels and garnered 100 crores within 4 weeks of its launch. This is our 2nd '100cr in a month' blockbuster product to be launched this year.

Product mix remained balanced with non -par savings and participating products at 28% each, ULIP at 32%, annuity and protection at 7% and 6% respectively, based on individual APE for 9MFY24. Notably, the non -par mix saw a 200 -basis point increase sequentially, largely driven by the successful launch of Click 2 Achieve, reaching an exit run -rate exceeding 30% in December. ULIPs have seen an increase on the back of thriving equity markets including in the >Rs. 2.5 lakh segment.

Moving onto key financial and operating metrics:

Despite shifts in our product mix and ongoing investments across channels, New Business Margin was sustained at 26.5% for 9MFY24. This reflects our calibrated approach across multiple levers including pricing, cost management and underwriting, even amidst market disruptions. As indicated earlier, we have also been able to improve profitability across product segments. Value of new business increased by 5% YoY to Rs. 2,267 crores. Embedded value was Rs 45,173 crore as on December 31st, 2023, with an operating return on embedded value of 16.5% . Profit after tax for 9MFY24 was Rs. 1,157 crores, i.e., a YoY increase of 16%, supported by 18% growth in profit emergence from our back book. Solvency as on December 31st, 2023 was 190%. Renewal collections continue to hold strong with a YoY growth of 15%.

Next on distribution:

We registered a YoY growth of 17% across our bancassurance partners whilst maintaining our counter share at HDFC Bank, benefiting from a strengthened group relationship. We are also happy to have extended our presence across bancassurance partners and expanded our personnel in their bank branches whilst deepening collaboration via various initiatives, such as blockbuster products, bespoke training and on ground engagement. These efforts are dedicated to amplifying customer value and experiences.

HDFC Life Insurance Company Limited

January 12, 2024

Page 4 of 21

We are glad to announce our new bancassurance partnerships with Karnataka Bank, Karur

Vysya Bank and NKGSB Co-operative Bank and we are confident of growing with them over the next few years whilst offering their customers a range of innovative and customer-centric financial solutions.

Our Agency channel delivered growth in line with the company's performance. We added more than 50,000 agents in the channel during 9MFY24 as we continue to build a robust Proprietary franchise. Our strategy focuses on strengthening our distribution network by expanding branches, attracting relevant distributor profiles and making consistent investments in technology and capability building.

Amongst other highlights :

We are pleased to announce the addition of Mr. Kaizad Bharucha, Deputy Managing Director of HDFC Bank, to our Board. His expertise is a valuable addition, and we eagerly anticipate achieving significant milestones under his mentorship as a Board member.

Moving on to regulatory updates:

As you are aware, IRDAI has published an exposure draft on Insurance product regulations in December 2023. One of the key aspects in the draft is the proposal to address the concern on early surrender values in traditional products. The draft is currently under discussion and the industry is in the process of sharing its feedback with the regulator. We believe that the product design should offer the best value proposition to the customer whilst encouraging long term commitment to the product and without compromising growth for the sector. Further to the update on the GST Show cause notice issued by Director General of GST Intelligence (DGGI) raising a dema

nd in June 2023, the Company has filed its detailed response on January 5, 2024 with the Adjudicating Authority.

We are happy to announce our recent accomplishments: being honored with the prestigious Golden Peacock Award for Excellence in Corporate Governance in 2023 and achieving a Guinness World Records title through our 2023 Insure India initiative. This initiative was designed to heighten awareness about life insurance across the nation.

In conclusion:

As protection gap in our country continues to widen, we remain focused on offering solutions to tap into this vast opportunity. Growth in the Rs 5 lacs and below category as well as in tier 2 & 3 towns remains robust and these are our focus areas. Even for the growth potential of the above Rs 5 lacs ticket sizes, we hold an optimistic outlook for the medium to long-term. We expect to grow by leveraging multiple drivers including strengthened counter share at HDFC Bank, capitalizing on ongoing investments such as branch expansion and new tie-ups, continuing to HDFC Life Insurance Company Limited

January 12, 2024

Page 5 of 21

scale up a high-quality proprietary business led by agency and favorable macro environment shifts.

The detailed disclosure on our results is available in our investor presentation. We now invite any questions from the audience.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Suresh Ganapathy from Macquarie Research.

Suresh Ganapathy: The first question is on growth and margins itself, Vibha. At the start of the year, you mentioned a 15% guidance and the actual outcome unfortunately has been well short of that. So far 9-month number has just been 5%. I know the smaller ticket size policies have done well but the sheer contribution of the larger ticket size, you're confident that post we exit FY24 with the revised guidelines on surrender charges, we can get back with the mojo of getting 15% APE growth and perhaps VNB growth. What gives you the confidence there?

Vibha Padalkar : A couple of things and I'll come to the draft circular later. On a standalone basis, I have no doubt in my mind about getting the mojo back and that is very evident in a few things. One is like I mentioned that at below 5 lakhs is growing, we have already grown by 17% and continue to grow. That is number one. Number two is that, it's also a function of equity markets and unit link. We have always used a balanced product strategy and so we will remain calibrated until some of that happens and it's bound to happen in the timeframe you're talking about. A little bit of calibration in terms of exuberance and getting back to principles of broader asset allocation. Another point is that, in terms of the counter share at HDFC Bank also because this year that counter share was not there for the full year. You will have a full year impact of counter share. We continue to solidify and make inroads in the bank. Fourth point is, all the onboarding of new relationships, three I have mentioned and there are some smaller ones that I haven't mentioned, all of those will start kicking in. Wherever we have gone in with the new relationship, we have ended up with a counter share between 30% to 40% over a span of the first 15 months. That also will start happening given the strength of our product offering. If you were to look at our agency channel, you will see that there's 75 new branches that we are adding which will start seeing traction.

Suresh Ganapathy: But the problem Vibha is that peers have done better than you. It is pretty rare for you guys not

to outperform your peers. This is the first time perhaps in history where you are underperforming the peers by a wide margin. Everybody is in the same boat when it comes to all these challenges with respect to high product ticket sizes .

Vibha Padalkar : S

Suresh, since you are talking about peers, we would like to point out that we have not dropped margins versus peers, who have seen fairly significant margin drop. So, if there's a margin drop, then selling more unit linked and perhaps more aggression on other products is not very difficult. We continue to stay focused on triangulating all objectives, whether it is in terms of growth in term, annuity, credit life, or renewal premium . If you look at assets under management , while HDFC Life Insurance Company Limited
January 12, 2024

Page 6 of 21

numbers are yet to be out, we have grown by 20%. So, the quality of business and protection of the business that has already come in and for us to continue with that . If you look at number of policies sold , we are the market leaders in terms of retail number of policies sold. They have grown by 9%. The reason I'm pointing out all of this is , that is the holistic score card. It is not very difficult to grow EPI just for the sake of growing EPI. The philosophy that I want is to tick in every box because it's not just growth for this year , growth for this year will hamper growth for next year . If I don't grow on number of policies then it is going to hamper how much I'm able to mine next year. So, sowing those seeds, sowing Tier-2 and Tier-3 and broad basing is important . Even if you look at another metric on agency , we are right up there on number of agents added ; 50,000 plus agents that we have added this year. So, there is no let up at all in terms of the number of agents that we are able to add and attract , which gives us the confidence. Yes, this year we have reconstructed below 5 lakhs and above 5 lakhs businesses and we are quite confident that whether it's high single digits or 11 %-12%, the gap will get made up. Another aspect I want to mention which is important is that overall sum assured grew by 38% and again it's not just one quarter , every quarter we have been the market leaders on sum assured . If you look at retail sum assured , that has grown by ~50%. So, very strong in terms of retail sum assured . All of that is making it possible for us to be neutral on margins, continue to give growth in value of new business and grow step by step. I think that core of our business ultimately is in protection . While we will grow in savings, we will calibrate all of these measures.

Suresh Ganapathy: And on IRDAI regulations and what do you think about non-par, from a growth standpoint, surrender charge standpoint, margin standpoint, behavior standpoint? For the benefit of the audience, can you share your views because everybody is going to ask these questions ?

Vibha Padalkar : Philosophically , we are completely aligned with the regulator that when a customer wants his /her money down the line thinking he/she has bought the wrong product , how do we give some level of exit or protection of the ir capital . However , we need to consider a few things in terms of how do we get there . So, philosophically there is no disconnect but we are engaging as an industry with the regulator on the how part of it. We have had a few discussions we will continue to do that. The circular already has a few enablers which currently we do not have. For example, we can have shorter tenured products , there is minimal to no GST on select ticket sizes or sum assured . These enablers will give us somewhat of a kicker. But, how we do cash flow matching on a longer tenured product ? Can we have an avatar of discontinued policy fund, which is already there in unit linked as a construct ? In unit linked products, if somebody were to surrender , then the premium or fund sits in the discontinued policy fund which discourages customers to churn immediately. But at the same time, you are protecting someone 's money since they don't want or are unable to pay future premiums. If those sorts of things come th

rough then it will help

mitigate any risks . Additionally, it is very much in line with what we are used to as a nation on longer term products . For example, PPF, none of us worry about the fact that before 7 years we cannot even get some element of it. It's only after seven years there's a formula . We are all used to it. These have different objectives than just giving liquidity. Right now, we are at the stage
HDFC Life Insurance Company Limited
January 12, 2024

Page 7 of 21

wherein we are explaining and engaging with the regulators, not that they do not understand these things, but they are very receptive to hearing from us and we will see how and in what avatar finally it makes sense for the customer , manufacturer , intermediary and the regulator. So, that's where we are right now. While I don't want to give away too much , but there are at least 5-6 different ideas that we have on product construct . I will share one example i.e., can we have a differential kicker for someone who says I do not want liquidity but I want that kicker on IRR. Many such ideas are there and it's really the nuances of what the final shape or form will be wherein there will be a business case to it. So, that's where we are and we will take some time

for us as a sector also to deliberate.

Moderator: Our next question is from the line of Avinash Singh from Emkay Global.

Avinash Singh: Couple of questions. First one is again on products and our strategy of having a balanced product mix. The question is that this is a heavily regulated sector and the regulation keeps evolving, and so does market conditions, be it interest rates or equities. In that backdrop, the company franchise wants a steady product mix instead of offering what the market is demanding, customers are demanding and what the distributor can distribute. Aren't you sacrificing growth opportunity?

Of-course, you have already explained a lot on this regulation, but if regulations were to come hard on a certain product then you will have to move away from that product. So, why not have a strategy that is agnostic to product mix and your ability to distribute the products widely?

Second, looking at agency, any particular reason why there is a reasonable amount of churn in this quarter? Is it a clean up of unproductive agents or is there something specific to it?

Vibha Padalkar: On your first question, every business model will have differing margins, customer segments, and objectives. And the same happens here. These products are certainly not fungible and we have to do a need-based analysis. Somebody might want zero exposure to volatility, somebody might want all the upside, somebody will want a lot more protection, someone will want to have wafer thin protection; some will want to have more health and combination products. And that's why it's only through engagement and we find out what is it that the customer wants. Of course, we also have to consider margins within that to know how much can we afford to sell. But it's both ways and that's why we will continue to be nuanced. I think the fact that we have a balanced product mix even when the going is good has stood us in good stead time and again. For example, when we launched Sanchay Plus 5 years ago, it took a long time to be even understood and now it is ubiquitous. But even at that time when we were the sole company selling products like Sanchay Plus, we said we would have certain levels of limitations in terms of how much of this we want to sell, unless of course the customer really wants it. The reason for that is exactly that it helps cushion volatility; it helps wean away our frontline sales from only selling one type of product and then when the plug is pulled because of something or the other, it could even be like COVID, not just regulatory or macro, then struggle to make a switch. And so, our line is

very

attuned and there's compulsory training in terms of being able to sell all types of products and genuinely being able to sell not just a training that they go through. And so we don't really worry too much about it. I think we do innovate. Depending on what are the regulations that are now

HDFC Life Insurance Company Limited

January 12, 2024

Page 8 of 21

in existence, there will always be an opportunity. It might take a little bit of time for us to conceptualize and manufacture a product, but eventually we do with whatever cards are given to us and whatever it is as a framework we are allowed to. We have fair bit of confidence on ideating to be able to do that and the nuances are always in the details. Nuances are always in levels of innovation and we will continue to do that. Just now I explained on the surrender regulation, there could be something else that happens on par wherein we might have an advantage. Of course, that also comes under these regulations. Something on UL, for example the profitability on our unit linked products, again without getting into too much detail, that has increased quite meaningfully from what it used to be maybe 2-3 years ago. Which means that at 30 plus percent unit linked where we are just in standalone quarter three, we don't excessively worry about it. And that answers your question that this is exactly what we're trying to solve, that in the existing construct how is it that it still makes business sense for us to be able to sell all kinds of products? So, that was your first question. I don't remember what your second question was, do you want to just mention it again, Avinash?

Avinash Singh: Second question on churn in agents. Of course you are focusing on agents, but if I just see the count, there has been a big drop from Q2 to Q3 in individual agents. Is this a planned cleaning up of your non-productive agents? What do we read, because by H1 you had 210,000 agents and now again the number is back to 190 or somewhere around that?

Suresh Badami: This is Suresh, Avinash. Just to quickly brief you, as part of our stated agency strategy even to IRDAI there is a minimum business that we are expecting all our financial consultant partners to be able to deliver when they are supposed to be active. Now the industry does see a fair number of additions on the number of financial consultants as well as some financial consultants attrited from this line of business. What we have tried to do over the last few years is ensured that the mix even within the type of financial consultants that we onboard, whether it's chartered accountants, mutual fund distributors, retired personnel, whether it's housewives who have wanting to do this as a career option, we try to give a score and add people on to our number of financial consultants. And as and how we find people going on to alternate careers or not meeting the requirements that we have in terms of quality of business, it's not really churn but effectively they don't fit into our business model and they don't hit our minimum business numbers. That's the way we have been looking at it. And of course, it's a question of how many new agents do

we have . There's a fairly detailed strategy in terms of micro markets , where do you want additional financial consultants? Which Tier-2, Tier-3 markets that we are entering , where do we add those set of financial consultants ? Finally the objective is to make sure there are people who are keen on this as a career, stay active with us, be able to sell the right product mix, have a productivity which is good enough for us to be profitable, make sure that at every club till MDRT, COT, TOT we have a career line of path for our agents and that's the way we have been looking at building this channel and which is one of the reasons why agency has one of the best-in-class persistency and a fairly str

ong relationship. We have financial consultant partners who have high vintage for us. And we do believe that as we expand to larger markets, this number
HDFC Life Insurance Company Limited
January 12, 2024

Page 9 of 21

will keep increasing on a steady state basis. So yes, some will go up, some will go down, but that's probably true as long as we are able to attract the right profile of financial consultants. Avinash Singh: One quick follow up . On the group protection side , sequentially there is some bit of softness. Is it more to do with credit life or GTI?

Vibha Padalkar : It is to do with credit life, give its size. GTI is a lot smaller than credit life is. In GTI, as you know that we are very calibrated in terms of opportunities that we see. There also has been a price normalization post covid and we continue to see on a case-to-case basis whether it is rightly priced or not . As far as credit life is concerned , we see a little bit of slowdown in disbursement , especially in some of the segments like auto and personal loans due to some of the RBI led announcements . While our attachment rates have not gone down, overall, disbursements have been a little bit soft, not hugely. We still have grown over 20%, but yes versus some of the earlier quarters, a little bit soft. That's the only big-ticket reason.

Moderator: The next question is from the line of Sanket h Godha from Avendus Spark .

Sanket h Godha: I just wanted to understand our current market share in HDFC Bank , point number one and second, it has definitely improved compared to the last year . The market share gain in HDFC Bank has not resulted in banca channel to do well. I can understand that in direct , broker or agency , where high-ticket size is an issue , growth has not happened . But in banca channel despite market share rise, growth seems to be muted at around 2 % for 3rd Quarter at least . So, just wanted to understand whether this is a short -term thing where you said , customers are preferring more short -term products rather than long term insurance products , is that driving moderation ?

Vibha Padalkar : I don't know where you are getting the numbers from because overall our banca channel, like I mentioned grew 17%. So, growth has been very robust in our banca channel . When I say very robust, it's in context of some of the changes on the 5-lakh plus situation.

Sanket h Godha: Vibha, I was referring specifically to 3rd quarter, 9 months I understand it is 16 %-17%. For 3rd quarter it seems to be weak. So, that's the reason I was asking ?

Vibha Padalkar : So, the 3rd quarter was largely because of base effect. If you look on a 2-year CAGR basis , our bancassurance grew very well. The reason is , if you see not just HDFC Bank but all our other bank relationships also had fructified last year. So, whether it is a Yes Bank or ID FC First or Bandhan or RBL, all of that did very well. Some of the base effect has come in , on a normalized basis that's not the case. Additionally, up to 5 lakhs continued to grow almost close to 20% even in the 3rd quarter . Again for this year , you will have to pardon me as I repeating up to 5 lakhs and above 5 lakhs , because quite expectedly the trends are very different and it is noteworthy that N OPs have grown by double digits in banca and AP Es grown by close to 20% up to 5 lakhs.

HDFC Life Insurance Company Limited
January 12, 2024

Page 10 of 21

Sanket h Godha: Yes, I understand that point, Vibha, but my point was that , I thought that this will be more than compensated by market share gain in HDFC Bank. But I believe we have definitely gained share?

Vibha Padalkar : I'll talk about the market share. The market share has continued to be in the mid-60s as against the mid -50s that you saw earlier. So, in that sense that that has happened and on a year-on-year basis, it has grown. The slower growth is only attribut

able to above 5 lakhs . The above 5 lakhs

like you said is enough to compensate in the market share gains , that is not the case because the amount of 5 lakhs was tepid in the first two quarters and then continued to move upwards towards 3rd quarter and then in 4th quarter we know what happened . That impact is coming through . Suresh, you want to add anything?

Suresh Badami: On a quarter -on-quarter basis , banks have their own focus on CASA and other side of business. So, while most of our banca partners have grown in line with overall private bank growth including HDFC Bank and while we have consolidated our market , there are these quarterly up

and down which will keep happening . We have managed to maintain our market share , grown it over last year, we have grown the number of policies sold which was more critical . The greater than 5 lakhs has probably pulled us down a little bit across some of the banca partners because many of them have their wealth verticals which have been affected . But broadly we are trending in the direction where banca infrastructure is growing and we are expanding our presence across all these banca partners. And three, we are gaining ground in terms of market share at Yes Bank and some of our new partners which stays constant.

Vibha Padalkar : And to add there, the earlier comment, wherein I talked about product mix and how we are looking at unit linked product , that impacts bancassurance even more because banca does have 50% - 60% unit linked products. So, if you were to look at our share excluding unit linked products that is in the 70s. And so we will choose in which segments and how much we want to want to be present ? When some of this market exuberance goes down with the counter share inching up , you will be able to see overall growth. Right now , if we are able to see growth in the segments that makes sense to us.

Sanketh Godha: The second question is that, when I look at our VNB walk, it says it improved by 70 bps because of product mix and it was negated by 80 bps because of higher cost. If I look optically , the product mix has actually deteriorated because your non-par contribution and par contribution have come down and ULIP has gone up, but you still say that from walk 's point of view , 70 bps has led to the improvement in the margin . Is it completely led by protection or is there some other strategy like in ULIP we attach higher sum assured that played a role to see a margin expansion at the product level. And related to it, when do you think the cost will iron out ? Is it more to do with your cost on technology that you highlighted last year or is it because of negative operating leverage because of muted growth ?

HDFC Life Insurance Company Limited

January 12, 2024

Page 11 of 21

Niraj Shah : Sanketh , you answered all the questions yourself . Starting on the product side, margin delivery across all product segments has improved for two reasons . On unit linked, like you yourself said, the amount of protection cover attached to unit linked products has gone up significantly , both in terms of base sum assured as well as in terms of riders. Second, our persistency has also improved over the period of time across various channels. So, that has led to better profitability compared to what it was in the same period last year on unit linked products. Second , on the non-unit linked products are pricing discipline approach is something that does help us in periods where there is a lot of aggression in the market. We try and balance our growth and profitability objectives. That has helped us maintain and improve some of our profitability in the non-unit linked segment . As far as protection is concerned, yes, you're right. Protection has grown , both in individual as well as credit life. So, that continues to add to the value that we make, and the sum assured growth is an indicator of

that . As far as the cost is concerned, again, if you look at our overall expense ratio has been at the same level of last year about 19 .4% - 19.5%. And the reason for this gap is largely because of again what you said , the operating leverage is negative right now because our planned growth is 15 %-17% in terms of what we capacitate for. But our delivery is short of that. That definitely is a function of the operating leverage which should rebalance once our actual growth is in line with what we are capacitated for.

Vibha Padalkar : And just to add to that, if you look at our new business sum assured for the quarter on retail side, it's grown by 44%. To some extent what you had alluded to is absolutely right that focus on protections at a sensible pricing . It is not just growing protection for the sake of it and having a price war on protection , but sensible pricing on protection and continuing to grow that is very evident in the retail sum assured growth . That has helped mitigate some of that. So, that's why you have a net positive in terms of product mix profile.

Sanketh Godha: In retail protection , if I see on a quarter -on-quarter basis, in 2nd quarter, you probably did Rs. 150 crores and the numbers suggest that you did around Rs. 13 5 crores – Rs. 13 6 crores in 3rd quarter . So, sequentially it is declining. Anything to read into that, has the low base already played out in first half and now you will see normalization in protection growth? Is it the right way to read it through the numbers or something else ?

Suresh Badami: Directionally yes Sanketh . We did say that the base effect will be a lot more pronounced in H1 and will get normalized over H2. It is what is happening. So, we still believe 20 %-25% growth is possible on a normalized base and we're heading in that direction.

Vibha Padalkar : However, in terms of absolute numbers , I would not read too much in terms of a reduction. It might be a little bit here and there. We also react to competitive intensity wherein it is wiser to withdraw rather than write close to loss making business or margins that don't make sense or give up on underwriting . A little bit of calibration you'll always find, but secular growth quarter -on-quarter should continue to be our target, but growth will also depend on what happened last year, and we have said that we should end protection growth over the next three years higher

HDFC Life Insurance Company Limited

January 12, 2024

Page 12 of 21

than company level growth, will it be in the 50% range? Not if we want to price it sensibly, but it should very comfortably beat company level growth.

Moderator: Our next question is from the line of Shreya Shivani from CLSA.

Shreya Shivani: I have two questions. First is on the slide on Tier-3-4 cities. Can you help us understand which channels do you think will help you grow better in those geographies, whether it's agency channel, whether it's the Banca or a combination of both? And also one question, as you expand into deeper geographies, what is the timeline that you think of when you will be able to deliver higher than industry growth now that you're pivoting your business model away into, driving it more into the smaller cities? Second is on the timeline for regulation. While we've you've mentioned a few things about the regulation, can you help us understand, is there any indicative timeline that you can give us that maybe it will get implemented in the next quarter half year or anything, any flavor around that would be useful? Thank you.

Suresh Badami: Suresh here. I'll answer your first question on Tier-2-Tier-3 growth. Frankly, if you ask me, we are looking at taking insurance across to Tier-2-Tier-3 across as many platforms, as many partnerships as possible and even if you start with let's say Bancassurance, if you look primarily with HDFC Bank, they're expanding into all the SURU

markets, the semi urban and rural

markets they're expanding by more than 1000 branches last year, right? You look at most of our other Banca partners who are also expanding in. We have partnerships with many of these small finance banks and many other banks which are present in specific markets, whether you take the Ujjivan, Equitas, Utkarsh, Bandhan, IDFC, many of them are expanding. So, clearly Bancassurance is going to be one of the platforms in which we expand. Agency clearly is a channel which we believe we should be able to expand. We are adding 75 new branches. We are looking at seeing how we can appoint agents in some of these newer models in terms of many of these upcountry locations where we should be able to take it into and this is the first time that you would have seen that as an industry we have kind of created an agency structure which is look at Tier-1 and Tier-2-3 markets. So, our entire team has a dedicated vertical which is looking at Tier-2 and Tier-3 markets. It is not to say, firstly I will also correct that we are not saying that pivoting to Tier-2 Tier-3. I think we see the opportunity even in Tier-1. We will come out with both the products as well as key strategy on the Tier-1 markets. There is no reason why we will look at lesser productivity through Banca and Tier-1. We are looking at micro markets even within the Tier-1 markets. And that is something that we're doing. It's just that we see that in Tier-2, Tier-3, we also have a significant brand advantage when it comes to customers looking at HDFC, it's fairly well-known. Other than LIC and SBI, which typically have been there in these markets HDFC Life clearly stands out in terms of awareness and consideration and we believe we have the opportunity to go out there and grow. Question is how quickly we'll be able to take and ramp this up. Banca presence clearly we can expand fast, but with these banks, our branches as well as our agents going into these markets anywhere between 12 months to 18 months we would start seeing numbers expand. The third thing which I'd also like to add is that we do believe that through some ecosystem partners we should be able to take a very different HDFC Life Insurance Company Limited

January 12, 2024

Page 13 of 21

kind of product range to market. So, if you remember earlier, we had looked at the Airtel tie up where we were able to reach out through a combi product. We were able to reach out to many of these markets. I think those opportunities will also come. So, we will not let go of any of these opportunities to reach into these SURU markets.

Shreya Shivani: And on the timeline of the regulation, please?

Niraj Shah: Slightly difficult to answer that. But the exposure draft is out, we are in the process of submitting our representation as a sector and some companies have submitted individually as well. We are very hopeful and confident that we will have a chance of meaningful deliberation over the next few quarters. And I think depending on when the regulator is thinking of making this applicable prospectively, I think it's a function of how soon some of these engagements happen. But it's really up to the regulator to decide on this. But we do believe that the engagement is something that will happen and also there will be, we do hope that there will be some time available for making whatever transition that's required and in light of our earlier conversation, I think there is no disconnect at all. We are all aligned in terms of protecting the long term proposition as well as providing better value to early exit customers. So, it's some technicalities that need to be discussed and deliberated upon. Once that is done, then I think we are good to go. But timelines, we don't really have a visibility on that.

Shreya Shivani: So, you mean that even if the regulation comes into place, if you have to change your product

structure etc., it will take some time to launch those new products as well, right? So this thing could actually play out over a couple of quarters in that case, right?

Niraj Shah : See, again it depends on which shape and form the final draft , final regulations come in. I mean, just taking extreme scenarios if it comes in the existing form, it will take a significant amount of product redesign which will require some more amount of time for that . If there are some tweaks that need to be made which aligns with the regulator and the industry objective then it might be sooner. So, it really depends on which form the final regulations actually come into effect.

Moderator: Our next question is from the line of Supratim Datta from Ambit Capital.

Supratim Datta: The first question that I would like to pose is on the EoM guidelines change. Over the last two quarters, we have heard that the commission rates have been changed across different channels. Just wanted to know what is the current status , whether there has been any negotiation at all, whether the channel partners have come to a close or is this something which could continue for the next 2 or 3 quarters.

Vibha Padalkar: More or less, we have passed the EoM conversations. We are coming almost towards the end of the year and we look at it holistically with our partners that it needs to be that it makes sense to the customer. It makes sense to the manufacturer as well as the partner and those conversations have been had. I'm very happy to share that there's been no detrimental impact on the customer

HDFC Life Insurance Company Limited

January 12, 2024

Page 14 of 21

and the partners also do understand that ultimately they are their customers. And it is important to be both fair, transparent, and equitable to their customers as well. So, that's really where we are right now and don't really see any material impact as a rule. It's we're just thankful to the regulator to have given us the flexibility to be able to see what kind of arrangements, what kind of contractual nuances that we can tweak with this flexibility as long as overall akin to TER, we have to stay within the EoM ratio.

Supratim Datta: And coming back to our previous comment that you made that the ticket sizes below 5 lakhs have been growing at 3 x the Company level, which basically means 15% and given you have previously indicated that above 5 lakh ticket size policies are around 11 % to 12% that could mean that 5 lakhs and above policies this year has contracted by around 2/3rd compared to last year for the first 9 months . Is that the correct inference ?

Niraj Shah : So, the above 5 lakh ticket size business last year, I think on total APE what we have mentioned after the budget was around 12%, it's now around 6% of our total APE. So, its proportion is now 6% of our total APE compared to 12 % last year.

Moderator: Our next question is from the line of MW Kim from JP Morgan.

MW Kim: For last 9 months of FY 24, the unwind from the value in force is larger than new business value creation. So, my question is should we be concerned of the potential slowdown on the EB growth in next 12 months or 24 months ?

Niraj Shah : Basically the two large components that will affect this are unwind which is upwards of 8% and what has got impacted is definitely the VNB contribution . The VNB contribution given that we've held our margins is largely a function of our APE growth. This year we definitely are at a lower level of APE growth than our capacity. So, that is what is dragging down the embedded value operating profit and at 16.5% it's fairly close to where we were last year. The delta being a function of two things. One is the VNB contribution is lower to the extent of about 50 basis points and the remaining 50 basis points is actually coming from the denominator effect. We had preferential capital raised in the previous

period that has expanded the denominator and that is giving another 50 basis points kind of gap. So, by the end of the year, we are expecting to be in the range of what we have been talking about in the 17 plus percent range and that's what we would aim to deliver in the coming years as well once the VNB contribution stabilizes to the numbers that we've seen in the past.

MW Kim: Just one thing there. My understanding is that the regulator draft looks too conservative in terms of the surrender value . So, my guess is that now India perhaps may have the highest of surrender value among the Asian countries if the initial draft were to be accepted. So, just I'm wondering whether you expect any adjustment compared to the initial draft on the surrender value or do you think that due to the very high customer protection , this largely makes sense based on the industry, the perspective. So, I just want to get some sense about this.

HDFC Life Insurance Company Limited

January 12, 2024

Page 15 of 21

Niraj Shah : I think in all fairness, right now we are still in the process of engaging with the regulator. We do understand their broad thought process in terms of protecting the interests of the customer and we are all aligned to that objective as we discussed on the call. The regulator of course is aware of similar long-term products available both globally as well as in India and the kind of tradeoffs that an investor or customer needs to make between guarantees and liquidity. The regulator is

aware of the landscape in terms of long term products which have a guarantee attached to them. But we have not had a chance to formally interact with them as a sector or as a Company. So, we look forward to doing that, and we do believe that some of the technical aspects of product design is something we'll be able to impress upon and without diluting the ultimate objective of customer interest and we believe that is possible to achieve with some tweaks in what the exposure draft is suggesting at this point in time. But I think we'll be able to give more clarity only after some of these interactions that hopefully will happen over the next few weeks.

Moderator: Our next question is from the line of Madhukar Ladha from Nuvama wealth.

Madhukar Ladha: Most of my questions have been answered, but just a clarification on the above 5 lakh ticket size policies, what has been the decline in the 9 months' period? Can you give us that number?

Second, when you say 12% of your individual APE is from the 5 lakh and above segment, which was last year, this does not include the additional thousand crores, right? I just wanted to clarify that once more.

Vibha Padalkar: So, as far as ticket sizes above 5 lakhs, I don't have the number handy right now, but I'll just give you an indication. Different channels reacted differently. For example, our wealth channels obviously, there was a much more adverse reaction, but the overall contribution of our wealth channels is lower. Lesser than, if I were to look at, say, an HDFC Bank channel or any of our Bancassurance partners, that reversal is beginning to be seen now. And like I mentioned earlier, with the launch of our latest new product Click 2 Achieve, we are beginning to attract higher ticket sizes also and we're again after a hiatus beginning to have conversations such as higher levels of underwriting and so on. So, varies quite a bit agency is somewhere in the middle of maybe double-digit negative growth on the 5 lakh and above. So, really there is again 5 lakh and above is more amenable to something like a pension because some nuances on tax and other things and also limited underwriting. So, mixed bag really.

Madhukar Ladha: The clarification on the full year number, the 12% does not include the 1000 crores additional sales, right?

Vibha Padalkar: No, it does not. See what we did not do perhaps is that

while we only backed out the 1000 crores, it is not that above 5 lakhs were sold only in March. It was sold and it was picking up pace towards the beginning of quarter three and that's really what is playing out. So, quarter two was bigger than quarter one, quarter three was bigger than and so on. Sequentially it was and also given where interest rates were then, this was doing exceedingly well for us and for the sector
HDFC Life Insurance Company Limited
January 12, 2024

Page 16 of 21

and that is really what the play of seasonality also that we're seeing here and that's why as we exit this year, some of that rebasing will start happening of more normalized levels of ticket sizes.

Madhukar Ladha: Then, just in the light of, how things have played out this year 9 months, I don't know whether you have changed your guidance. Do we still sort of gun for 15% growth excluding that thousand? It seems that most likely we will miss that number.

Vibha Padalkar: So, I think we're gunning for a double-digit growth in Quarter 4. This is of course excluding the 1000 crores.

Madhukar Ladha: Excluding the 1000 crores for the individual APE we should look for a double digit growth.

Vibha Padalkar: That's right. While it's not an active guidance, but what is it that we are gunning for, a double digit growth.

Madhukar Ladha: And finally on the group savings side, I see that there is some reduction in business. I think group protection side you already explained, but what's happening on the group annuity and the other group's savings business?

Vibha Padalkar: There was a one-off large account last year. So, it's more of a base effect.

Suresh Badami: Yes, there has been a little bit of slowdown in some corporates, but otherwise it's not that we've lost market share in any of these as a segment. Second, we had a little bit of a base effect of what we had gained in the previous year, which has led to this little bit of a degrowth.

Suresh Badami: And to be fair also, there is a lot of competition coming in this segment given the overall rates and margins in this segment. So, it's a combination of all three, but we are confident that we should be able to get back our growth with all factors playing in.

Madhukar Ladha: And can you quantify the one-off effect if that is possible?

Vibha Padalkar: There will always be some pluses and minuses, but it was fairly one-off in the sense that there was some corporate that we signed up and then the employees account moved to us. So, that's what happened.

Moderator: Our next question is from the line of Anirudh Shetty from Solidarity Advisors Private Limited.

Anirudh Shetty: My first question is essentially on the draft document around surrender charges. I know it's at early stages of discussion and there is a range of outcomes that can happen, but assuming a more extreme outcome happening in terms of the capping of charges. How does one think about implications for us? And could you talk a little bit more about our non-par product in terms of
HDFC Life Insurance Company Limited

January 12, 2024

Page 17 of 21

what would the persistency that we kind of see in this product and how much of the margin could get impacted, we see a more extreme capping of charges in in this product segment ?

Niraj Shah : It is at very early stage and very difficult to make a guess here, but I mean just philosophically , we can talk about two things in terms of design. One is in terms of what will still enable creating a product which is similar to what we see today in terms of a long term guarantee that will have a certain set of things to be dealt with and 2nd is in terms of cap on charges equivalent, that will probably have a different implication in terms of profitability or distribution , remuneration . So, these are two separate aspects. We are more concerned about the first one, the second one can be dealt with

with a lot more seamlessly because they are more controllable. One thing that none of us would want is compromise on being able to design a long term proposition that we are able to design today and that's what will be the focus of our discussions and engagement with the regulator.

Anirudh Shetty: My next question is our non-par product is fairly unique in terms of ability to give our customers the ability to lock in and earn a certain yield for a long period of time. Do you see this unique value proposition getting diluted if say you know customers could buy long term G-Secs directly on a trading platform ?

Niraj Shah: So, this possible even today . It may not be very seamless, but it is still available today. And the same argument holds for, let's say, even an annuity product to some extent, if someone wants to buy a long term government paper. But having that stream of premiums that you pay at one contract, say 5 premiums or 8 premiums, or 10 premiums, and then get a stream of income constructed in one solution that may not be very feasible for an average customer. So, the conversation is very different from an ultra HNI who has access to a lot of wealth management advice and ability to structure solutions, which are very bespoke to him or her , but our average customer who we target anywhere between from a sector perspective, 15,000 to maybe 75, 000-100,000 kind of a ticket size, we suspect that kind of advice is not really available for such an average investment. So, from that perspective , I think it is good to kind of have a solution which is addressing all of those things without having to do too much engineering at one's personal level. A regular premium product is different from a single premium product as you know, in terms of the biggest aspect of reinvestment risk. So, that is an additional aspect to really consider. I mean, so a lot of these things really come into play and we believe that the regulator will be thinking more of an average customer who is still kind of in that form of protecting and then creating some sort of wealth for themselves and their family and their post retirement period. So, a large part of our population at least will not have access to a lot of that bespoke advice that will be required to do some of the things that we spoke about.

Anirudh Shetty: Got it. And just one final question, more on when we look at your product level persistency, in protection the 61st month is 73% , saving is 56%, ULIP is 49%. We look at persistency as metric to understand the customer satisfaction of the product. So, what explains why savings , ULIP has lower persistency ?

HDFC Life Insurance Company Limited

January 12, 2024

Page 18 of 21

Niraj Shah: Unit linked needs to be seen differently from some of the other products . In unit linked , what happens typically is that there is this notion that after five years, I can withdraw my money. Of course you can withdraw money as a customer, but does it do you full service being in a product for five years? We do not believe so. So, when you are saying 50% odd of the people continue, it's a combination of two sets of people. One set of people are actually continuing in the policy, but are not paying any further premiums. That is also part of that number, and that's a fairly meaningful part of that number, which is a fair call that I've paid 5 premiums , I will stay in your product for 15 or 20 years, but I'll not pay any further premiums. We are okay with that because that's the choice of the customer and it probably will meet his or her requirements. Then there is a set of customers who are just exiting from the product completely . Now that is the choice that we would question in terms of whether it's in the interest of the customer, it's certainly not in our interest, no question about it, but we don't believe it's in the interest of the customer as well. But I think

link as awareness levels increase more and more customers will make more informed choices. If they're looking for a shorter time horizon , then this is not the place to go. And that is something that we are very clear in terms of making our conversations with customers when we are engaging with them at the point of sale. The other products , you will see a fairly strong improvement in subsequent period persistency and that again we need to kind of break it up into two parts. There are products in which customers after paying two or three premiums, can

continue being in the product and get proportionate benefit, they do not really lose out . So, a large part of customers is what is called paid up. They get proportionate benefit because they choose to pay part of the premiums that they contracted for initially and then they stay in the full course of the policy and get the proportionate benefits. So, that's again a choice similar to someone who has stopped paying premiums in unit linked and it's a probably an informed choice by some of them . Very, very few number of customers after paying two or three premiums actually surrender and exit the policy. That number is in our case at least about not more than 1% every year after the first couple of years.

Moderator: Our next question is from the line of Neeraj Toshniwal from UBS India .

Neeraj Toshniwal: So, wanted to check on whether we are still going to maintain margin neutrality, given you just mentioned that probably we will deliver double digit kind of growth in Q4 under the APEs , but that will be a little tall task on the margin side. Just wanted to check are you still maintaining that?

Vibha Padalkar : Yes, 3 quarters we've done that , so one more quarter to go .

Neeraj Toshniwal: And given this year obviously had lot of volatility in terms of the base effect and the changes in budget regulations. How do we think about the next year and the wallet share from HDFC Bank which it still looks a little muted if it back as delayed because like the bank has more focus on the deposits and all? So, how do we see bank growth per say on the limited wallet share ?

HDFC Life Insurance Company Limited

January 12, 2024

Page 19 of 21

Suresh Badami: Directionally like we said earlier, the bank is looking at a market share which will be growing for HDFC Life. Obviously , we have to ensure that our support to the bank whether it's in terms of products or training or manpower is adequate and I think that expectation is right. The bank obviously is going through the next round of merger at their level. So, given what's happening in the market on the liability side . In the long run, obviously they will continue to focus on ensuring that their customers also have life insurance. So, we don't see any reason why the focus on penetration, the focus on fee income, the focus on life insurance should come down and we should grow along with them. They're expanding their market, they're growing into multiple locations now . Even their branches are scaling up , their customer base is increasing. So, if you were to look at it in terms of the opportunity on their customer base , there's no reason why they shouldn't grow, and as what they're indicating, as long as we're able to make sure that we are in line with their expectations, our market share will also continue to grow. I would say there's no reason why anything should happen differently next year.

Neeraj Toshniwal: And the target wallet share is around 65% to 70% or are we aiming for 70 and plus?

Suresh Badami: The target is definitely that.

Vibha Padalkar : And at the same time, we will look at even the product mix, so it is not just top line for the sake of top line, we will see as to in which segments we want to increase our market share.

Suresh Badami: For instance, this year the bank has done very well in terms of the protection share increase, and

that is really good in terms of the sum assured growth that it has helped us deliver.

Neeraj Toshniwal: Coming to that group protection actually looks a little lower . I think you already mentioned that there has been some impact due to change in recent regulation from RBI, but do you think it could actually pick up from?

Vibha Padalkar : I think that at least the banks will continue to do well . Maybe we might see some level of softness in the NBFC for some time . But I think it will normalize. And for us, we are very blessed in terms of our Credit Life portfolio that it's very well balanced across banks , NBFCs, small finance banks, HDFC group and so on. So, there's enough in terms of balancing of any regulatory changes.

Moderator: Our next question is from the line of Dipanjan Ghosh from Citi.

Dipanjan Ghosh: First coming to the Tier-2 and Tier-3 markets, if you can give some color on the margin profile for similar products in Tier-2, Tier-3 versus Tier-1. Now I understand it will depend a lot on multiple operational factors, channels, persistency, pricing etc. , but if you can throw some color on how that has been evolving. And on that context, if you can just also mention the demand or the customer appetite in Tier -2, Tier-3 versus Tier-1 in terms of product profile, duration, ticket size out there ?

HDFC Life Insurance Company Limited

January 12, 2024

Page 20 of 21

Vibha Padalkar : Yes. So, fairly similar in terms of margin profile, because the pricing has to be right. Things like selling longer tenure has to be there for us to understand what the mortality profile is as well as what is the persistency profile . As long as those are taken into account in how we price, how we underwrite then margins are fairly similar. So, that's not something that is way off or something that we worry about. And in terms of what kind of products and so on , these would be tailor

made for Tier -2 and 3. We always look at certain variants that will make sense that will also protect for example, someone whose income levels might be slightly lower , whose appetite to take risk might be a little bit lower. For example on protection, even in terms of understanding the product or if regular premium is a non -starter, maybe that individual can start off with R OP followed by a top up on regular premium or a rider o r something down the line . Maybe they start off with an R OP, maybe they start off with simpler savings products, easier on underwriting and so on. So, product variants could change a little bit , but essentially, products would be the mother product . But th e variants that we sell could be very nuanced for a slightly different customer segment.

Moderator: The last question for the day is from the line of Noel from Ubisoft Entertainment Limited.

Noel: With regards to the EV performance for the past year and wh at are your projections of how corporate bond yields and G-Sec rates are going to go down? And in respect of that, what do you think is will be the traditional business performance and what rates are you're expecting out of the next year of your business a s well as LIC?

Niraj Shah: So, honestly, it's difficult to make a guess in terms of where the interest rates will be. But what we've seen in the past is that typically, whatever the rates of interest are, the demand for the long term guaranteed products fo r the past 5 years has been fairly robust as you would have seen for whoever had a product has had a fairly significant share of that product for the last five years. What has definitely been more relevant in terms of short term versus long term interest r ates. So, if the short -term interest rates are very similar to long -term interest rates, there may be customers who may be thinking about postponing their decision to buy or commit to a longer - term product. Has that happened? Ye s, we've seen some of that happen , when we talk t

o

customers and some of the distributors. Now there is a broad expectation that interest rates will go down over the next 12 months, 18 months. When that happens, the key will be in terms of what is the short term and the long -term int erest rate s. So, if the interest rate environment is still upward sloping, then we don't see any change in the way customers are likely to think about committing to a long -term product . But if the yield curve is flat then you could see some sort of softnes s relative to what we could otherwise see. But beyond that, I think typically customers who are looking at a long term do not really think too much about what the shorter term trends are. So, even at this rate, we're seeing 30 % plus mix on non -par. So, I think that's a fairly strong indicator of that.

Noel: But then what is your expectation regarding LIC and how will they be changing their rate mix?

HDFC Life Insurance Company Limited

January 12, 2024

Page 21 of 21

Niraj Shah: Honestly , not for us to answer that. But what we can just say about them as a very respected p eer is that they have been very calibrated in the way they've approached the pricing and underwriting on all categories of products, whether it's long -term savings , annuities or protection. So, we would believe they would continue on that path.

Moderator: As there are no further questions, I would now like to hand the conference over to M s. Vibha Padalkar for closing comments.

Vibha Padalkar : Thank you everyone for joining today's call. On behalf of HDFC Life, I wish you all a great year ahead. Please feel fre e to reach out to our IR team in case of any further queries.

Call: Apr 2024

April 25, 2024

Ref. No: HDFC Life/CA/2024- 25/15

Listing Department Listing Department
National Stock Exchange of India Limited BSE Limited
Exchange Plaza, Plot No C/1, Block G, Sir PJ Towers,
Bandra -Kurla Complex, Dalal Street,
Bandra (East), Fort,
Mumbai - 400 051 Mumbai – 400 001

NSE Symbol: HDFCLIFE BSE Security Code : 540777

Dear Sir / Madam,
Sub:

Transcript of earnings conference call for the quarter and year ended March 31, 2024
We wish to inform you that pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of the earnings conference call with analysts and investors held on Thursday, April 18, 2024, to discuss the financial performance of the Company for the quarter and year ended March 31, 2024.

The said transcript has been hosted on the Company's website at <https://www.hdfclife.com/about-us/investor-relations>.

This is for your information and appropriate dissemination.

Thanking you,
For HDFC Life Insurance Company Limited

Narendra Gangan
General Counsel, Chief Compliance Officer &
Company Secretary

Encl. As above

Page 1 of 25

HDFC Life Insurance Company Limited
12M FY24 Earnings Conference Call

April 18, 2024

HDFC Life Insurance Company Limited
April 18, 2024

Page 2 of 25

Vibha Pada Ikar: Good evening, everyone. Thank you for joining this conference call to discuss our company's results for the year ended March 31st, 2024. Our results, which include the investor presentation, press release and regulatory disclosures, have already been made available on both our website and the stock exchanges. Joining me are Suresh Badami, Deputy

Managing Director ; Niraj Shah, ED & CFO; Eshwari Murugan, our Appointed Actuary, and Kunal Jain, representing Investor Relations. Let's delve into the key business updates for the fiscal year 2024.

Starting with operating performance:

Despite the budget changes impacting high ticket size business this year, we delivered a healthy growth of 20% for Q4 after adjusting for the one-off business of Rs. 1,000 crore in March 2023. Our stated aspiration of a double-digit growth for the full year was achieved with us clocking an 11% growth for FY24, on a normalised basis. We achieved individual APE growth of 1% on an unadjusted basis.

During the first eleven months, we have grown faster than the overall industry growth of 9%. During the same period, our private market share stood at 15.4% and we maintained our position amongst the top 3 life insurers across individual and group businesses. On a full year basis, our premiums reflect a healthy 2-year CAGR of 13%, despite the headwinds during this period.

We have established a sustainable foundation for FY25 through targeted initiatives aimed at key growth metrics as follows:

- Growth momentum continued across ticket sizes upto Rs 5 lacs with robust growth of over 22% in Q4 and 19% for full year
- Tier 2/3 markets recorded a growth of 13% against overall company growth of 1%
- In line with our intent to broaden the customer base, the number of policies for the year increased by 11%, which is almost 3x overall industry growth, based on first eleven months data. In Q4, NOP growth was 14%
- On a 2 year CAGR, average ticket size has grown by 5%
- We insured 6.6 crore lives during FY24
- More than 70% of the retail customers on-boarded are new to HDFC Life and almost half of these are below the age of 35 years
- Sum assured witnessed robust growth of 47% aided by growth in pure term, ROP, higher protection cover embedded in savings products and riders

HDFC Life Insurance Company Limited

April 18, 2024

Page 3 of 2

5

- With product innovation across product segments, our average sum assured per policy has increased by 33% on overall basis and 39% for savings business

Annuity and protection put together contributed to nearly half of overall new business premium in FY24. Retail protection grew by 27% based on individual APE and we believe that the momentum will sustain into FY25.

Credit protect recorded 13% YoY growth in spite of a cautious lending environment in H2 and increased competitive intensity in certain segments. We continue to be a market leader in this segment. Moving forward, we remain committed to pursuing sustainable and profitable growth in this segment.

We remain optimistic about the growth potential of the Annuity segment in India, considering its nascent stage, and believe that the long-term opportunity remains promising. While we observed aggressive pricing strategies by certain peers, we will continue to pursue a balanced approach to growth by enhancing our product offerings and maintaining pricing discipline.

We maintained a healthy balance in terms of product mix with ULIP at 35%, non-par savings at 30%, participating products at 23%, retail term at 5% and annuity at 6%. ULIPs continue to see strong traction driven by buoyant equity markets, with a surge in popularity even in higher than Rs. 2.5 lakh segment. Click2Achieve, our first DIY non-par savings solution has been received well across channels, leading to a healthy increase in the non-par savings proportion in the last quarter.

FY24 has been another landmark year for product launches, fuelled by relentless product innovation. We are committed to delivering products which are relevant and tailored to meet our customers' evolving requirements. This strategic focus was one more reason that enabled us to deliver top line in the prevailing environment, and also helps create momentum for FY25. Moving onto key financial and operating metrics:

Our new business margins are 26.3% compared to 27.6% last year. The drop of 130 bps was

primarily due to 2 reasons, the first one amounting to 70 bps being the operating leverage gap caused by the one-time 1000 cr additional APE received in FY23 due to budget changes and the second one amounting to 40 bps due to higher UL proportion, thanks to buoyant equity markets. Higher product level margin profile on account of longer tenure, higher sum assured multiples and rider attachments has helped us counter the impact of product mix to some degree. The current business mix sets a strong platform for us to continue delivering robust topline and VNB growth in FY25 and beyond.

Our business objectives entail further enhancing our presence across geographies and customer segments and maximising the potential of our distribution channels. In line with this long-term strategy, we will sustain investments in Infrastructure, People and Technology with a forward looking 3-4 year perspective on the business. We believe that VNB growth will continue to be

HDFC Life Insurance Company Limited
April 18, 2024

Page 4 of 25

led by APE growth. If we see significant incremental growth opportunities, we will be flexible to trade-off margins while maximizing VNB growth.

Value of new business is Rs. 3,501 crore, implying a YoY degrowth of 5% and a 2 year CAGR of 14%. Embedded value stands at Rs 47,468 crore, with an operating return on embedded value of 17.5%.

We have delivered a strong profit after tax of Rs. 1,569 crore, implying a YoY increase of 15%, fuelled by 18% increase in profit emergence from back book. Solvency continues to be healthy at 187%. The Board has recommended a final dividend of Rs. 2 per share, aggregating to payout of about Rs 430 crore.

Renewal collections grew by 18% YoY, demonstrating our customers' continued trust in us. Persistency for the 13th month and 61st month

was 87% and 53% respectively. We anticipate a shift in 13th persistency going forward, influenced by the product mix and prevalent customer segments in FY24. We are committed to maintaining persistency levels across all relevant cohorts.

Next on distribution:

The bancassurance channel has grown 17% YoY. HDFC Bank counter share continues to trend well. We are happy to report that we have ended the year at 63% counter share against 56% same time last year. We maintain close collaboration with all our bancassurance partners to tailor our innovative products, to meet the needs of their specific customer segments. Furthermore, we consistently refine our product offerings, service quality and technological capabilities to enhance our partnerships, ensuring a mutually beneficial relationship.

While the agency channel growth was slower due to a high base last year, it has shown a robust growth of 14% on a 2-year CAGR basis. We are steadfast in our efforts to build capacity for future growth. Our Agency channel is ranked No.2 in the industry in terms of distribution expansion for first eleven months, with over 80,000 agents added during the year. Moreover, we opened 75 branches in FY24 and anticipate our presence to exceed 600 touchpoints in the next fiscal year. Our objective is to broaden our footprint and enhance our reach through a multi-faceted approach, which includes strategically adding branches, attracting high-performing distributors and continually investing in technology and capability enhancement.

Moving on to our subsidiaries

Our subsidiary, HDFC Pension Management Company, achieved a milestone by crossing the Rs 75,000 crore AUM mark, showcasing remarkable growth of 70%. We have maintained our market leadership in the pension category, commanding a market share of 43%.

Additionally, we are actively advancing our expansion plan for the GIFT City business. With

HDFC Life Insurance Company Limited
April 18, 2024

Page 5 of 25

the introduction of innovative US Dollar denominated Life and Health insurance products like US Dollar Global Education Plan and Global Student Health Care Plan etc. which are available from GIFT City, we are already making strides in penetrating the NRI segment. Additionally,

we have plans to roll out further offerings to continue strengthening our presence in this space. Next on Tech:

We are currently implementing Project INSPIRE , a comprehensive technological transformation. This project aims to enhance customer, distributor, and employee experiences while increasing operational efficiency. It focuses on faster product launches, flexible partner on-boarding with shorter TATs, digital customer acquisition journeys, intuitive zero-touch servicing, a plug-and-play integration environment, among other features. We are likely to see a gradual rise in technology expenses over the year, which will be accompanied by corresponding benefits to the business.

Moving to key announcements

We would like to inform that Mr Deepak Parekh has decided to step down as the Chairman and Non-Executive Director of the Company with effect from close of business hours on April 18, 2024 to comply with regulatory requirements . Being the founder Chairman of our Company, Mr Parekh has been instrumental in guiding and nurturing the Company over the past 24 years. We thank Mr Parekh for the immense contributions made by him and wish him the very best for the future.

We are also pleased to inform that Board has unanimously approved the appointment of Mr Keki Mistry as the Chairman of the Board. Mr Keki Mistry has been associated with the Company since December 2000 and is currently Non-Executive Director on our Board. Under his stewardship, we aim to achieve many more remarkable milestones and emerge stronger and more resilient than ever before.

Lastly, we

are proud to share that we have been recognized as the Best Organization for Women in 2024 by The Economic Times. This is a testament of the progress we have made in creating a supportive work environment for women and our unwavering belief in the power of diversity, equity and inclusion.

In conclusion:

The vast unmet need for protection in our country speaks of a compelling opportunity. We aim to be at the forefront of developing innovative solutions to bridge this gap. We have delivered consistent, predictable and sustained performance by doubling all key metrics over last 4 years and will continue to move ahead with this aspiration while prioritizing VNB growth to build profitable business in the long run.

We also appreciate the efforts of the insurance regulator for introducing enabling measures aimed at broadening accessibility of life insurance, improving customer experience and enhancing ease of doing business.

HDFC Life Insurance Company Limited
April 18, 2024

Page 6 of 25

The detailed disclosure on our results is available in our investor presentation. We now invite any questions from the audience.

Moderator : The first question is from the line of MW Kim from JPMorgan.

MW Kim: Thank you so much for this opportunity. Could you please confirm the timeline of IFRS 17 adoption? Secondly, Page 11 of the presentation and historical product mix would suggest that HDFC Life have differentiated liability reserve structure compared to other private peers. So, my question would be on IFRS 17. Do you expect relatively different CSM release rate or CSM amortization rate among life insurers? And lastly, what could be major tailwind and headwind under the new accounting standard ?

Niraj Shah : To your first point on timelines, we are in regular touch with the regulatory authority. We still await directions from the Indian accounting boards, and from IRDAI as far as specific timelines are concerned. Of course, all the companies which were a part of Phase 1 have submitted their GAAP assessment reports and IRDAI would be looking at the readiness of various companies. We believe that this implementation is likely to happen in a phased manner. As we speak today, there is no timeline that we are completely aware of, it looks like it could be in the next 24 to 36 months. That could be one timeline that we could be looking at. But if we hear something different from the regulator, we will keep everyone posted .

Our readiness is going to be ahead of time. We have engaged external experts to be able to transition to the new accounting standard over a period of time. As we speak, are we looking at any significant changes or shifts in our business according to the new standard ? We believe not. We do not expect any significant change in the way we conduct our business. To your specific question around business mix and the emergence of CSM, I think it's a little early to

answer that specifically. What we would definitely want to do is that once we get more clarity on the timelines, we would want to put some bridging disclosures out in the open to be able to guide you to what you can expect once the new guidelines are implemented.

Moderator: The next question is from the line of Hitesh Gulati from Haitong.

Hitesh Gulati: My question is on the regulatory front. Now with the surrender draft behind us, are we seeing anything more that could probably be in the regulator's mind? Something on the lines of what the finance minister spoke in one of the interviews recently, where she touched upon the topic of insurance misselling. So have we seen the regulator or some notification or some draft that has been communicated on this front?

Vibha Padalkar: Hi, Hitesh. The notified set of surrender regulations, I think those were a good outcome, and while there were a few changes in there, those are not having any material impact on the

company. In terms of what else could be out there, here's our view and a lot of our peers also share this view, and this is something that we have engaged with the regulator and continue to
HDFC Life Insurance Company Limited
April 18, 2024

Page 7 of 25

do that. Whenever there is misselling, we certainly return money. And I'm sure some of our other peers also do that.

So, we need to get the misselling out of this conversation. Wherever it is other than misselling, where people just say that I wanted something else, I've changed my mind. For those people, I think we have a slightly different view as against the more popular narrative in media that is emerging, because there are no other long-term guaranteed products at all.

So, if somebody wants liquidity after one year, especially discerning customers, and I think we can take a proxy to say if INR1 lakh ticket size is there, then that customer is by no means someone who is unable to understand or in a weak position to understand what is being told to him or her. And therefore, the dangers are that there is more a flip rather than any other purpose as to why they want to withdraw.

So rather than changing the architecture of the product, for us to have enough guardrails so that people are made aware that if you want early liquidity, and by that, I mean 1, 2, 3 years, then perhaps this is not the product for you. However, if you want certainty of outcomes, especially in your golden years, then it's not very dissimilar to PPF. All of us hopefully have accounts with PPF, and the first time we ever get to see any money is at the end of seventh year and that too, there's a formula, and we are fine with that.

These products are no different. Plus, we have a life cover, which PPF doesn't have and so on. Now worst-case situation, if it's misguided and there's an early exit, then it could change the construct of the product and make it very unattractive and also put the organization at some level of threat because of ALM not being robust enough because of early exits, especially with sharp interest rate movements.

The regulator seized the matter. Also, the fact that early persistency is fairly high in the 90s with the customer. So really, it is a few people who are complaining. We continue to engage at various levels with our regulator. Ongoing dialogues do happen. And the notification has recently come in, and that is where it is at this point in time.

Moderator: The next question is from the line of Avinash Singh from Emkay Global.

Avinash Singh: A couple of questions. The first one is particularly on margins. If I were to look at FY21 and FY24, margins are broadly flat. Within that in terms of product composition, yes, in FY21, par used to be slightly higher, now ULIP has a higher share. But then the scale of operation today is very different, nearly at least 50% higher APE. So, some part of operating leverage could have played out?

While I'm cognizant when I'm comparing margins with last year, but if I look at a 3-year horizon, why despite of scale getting better, annuity segment increasing, protection holding up, margins have struggled? Why operating leverage is not playing out? Or is it something I'm missing in this entire margin picture?

HDFC Life Insurance Company Limited

April 18, 2024

Page 8 of 25

Second, in terms of now looking ahead, I can hear and read what you're saying that now you are going to chase growth even if it comes with some kind of compromise on margins. In this backdrop, at this juncture, given there is more regulatory clarity, what kind of growth you would be looking in FY25? These are my 2 questions.

Vibha Padalkar: You're absolutely right in terms of operating leverage. However, the other angle here is the product mix. While you were speaking, I was just looking at some data. And in FY21, FY22 and FY23, our unit linked business was range-bound, in the zone

e of about one-fifth to one-

fourth. While if you were to look at FY24, it is 35%, so more than a third of our business is now unit-linked business. Is that always going to be the case? Possibly not. But we have to remember that we, as a sector, went through a fairly material shift because of the tax change. And we will slowly start inching up like we have done quarter-on-quarter, in terms of our other than unit-linked business. If you were to look at stand-alone Q4 for us, our unit-linked business is now comfortably about 30% after being in the mid-20s. So that shift is happening, but it will take some time.

So, it is three-pronged, there is the scale of the business itself, then your unit cost, if they continue to trend southward, which is the case for us, and then the third is the product mix. I think all 3 need to be in the zone for margins to move up. But you will admit that the sector over the last 2 to 3 years have gone through a fair bit of change and we also forget COVID in all of this.

So given all of that, I think the fact that at least some of the participants in the sector, including us have not dropped margins below 25%, I think, is reasonably commendable while continuing to steer the company through a fairly tectonic shift in terms of attractiveness and moving a lot more in terms of inroads into Bharat. Two-thirds of our new business that we have written this year has come from non-tier 1 cities. Or another way of looking at it is that while overall unadjusted growth is 1%, growth from tier 2/3 is 13%.

If you were to look at number of policies, it was flat for the last 3 years, which was bothering us to some extent. But if you were to look at this year, perhaps thanks to the tax nudge, we have managed to really grow the number of people that we sell to, and that's a very healthy 14% growth in Q4 stand-alone. Many such data points say that the engine is getting a lot more granular in terms of retail growth and away from only high-ticket cases.

Niraj Shah: Yes, maybe just a couple of things to that. One is if you were to look at FY21 and today, across different segments, one of the challenges has been to maintain inherent margins of each of the segments. And there has been enough examples of that, especially starting with protection. We have seen where protection pricing is versus where we believe it should be especially as we get deeper into India.

HDFC Life Insurance Company Limited

April 18, 2024

Page 9 of 25

While the margins on protection are fairly healthy still, they are obviously lower than what they were 3 to 4 years ago. From a real-world perspective, that's something that we have to acknowledge as a sector.

Also, if you were to look at some of the other product categories, whether it's annuities or non-participating products, there is intense competition as far as rates are concerned. Well, some of us have managed to adhere to some sort of pricing discipline, and that is also visible in direct comparison that you could make.

And that is also a factor of where margins are today versus where they probably were 3 years back, adjusting for everything else that we are talking about, whether it's product mix, or even the scale of the business. You yourself mentioned we are 50% higher than what we were at that time. We have also expanded our resourcing to be able to get to this kind of scale.

And a lot of this investment, especially in proprietary, is upfront. The benefits are coming, but some of them will come with a lag as well. Technology is something that we need to keep investing in every block of 3 to 4 years. That is also something that we don't want to really back out of. We want to ensure that our operating model stays relevant and current, and that also requires significant continued investments.

We are maintaining our margins and have delivered VNB growth of 14% on a 2-year basis and higher on a 4-

year basis. That is, in some sense, in spite of a lot of these aspects that are being seen in the market. And while the market continues to grow, these are certain things that we need to acknowledge as well.

Vibha Padalkar: And I want to add there. See, if I'm a bank and I compete, I'm competing with mostly listed banks. That's not the case in insurance for various reasons. So apart from 3 or 4 companies, you don't have listed entities. And the reason I'm calling that out is because there is very little disclosure in terms of actuarial walk, embedded value walk, sensitivity analysis and the rest of it.

So the competitive intensity will only continue to go up until the roadmap to listing starts happening. Are there such plans? I'm sure that there used to be earlier, but that's the natural culmination. So it's a matter of when and not if that roadmap starts panning out. And there is a little bit more four corners within which most of the senior players operate.

Avinash Singh: And my second question on growth guidance for FY25 and particularly, if you can just give some colour around channels-wise growth?

Vibha Padalkar: We don't really give guidance, except for saying that historically, the private sector has grown in the range of 12% to 15%. So, we should grow at least by that, if not a shade higher than that.

And we could comfortably grow higher if you're looking at listed players. But if we were to look at overall, the upper end of this kind of band is what we should grow and VNB should grow, just pre-empting your next question.
HDFC Life Insurance Company Limited
April 18, 2024

Page 10 of 25

All our channels should grow. In my comments, I talked about HDFC Bank counter share. That has already reached 63% in less than nine months' timeframe, since the merger. We will continue to make further inroads. And so that should grow faster than company level growth. Agency and broking channel that were disproportionately hit on the higher ticket size cases that too with the base reset should grow fairly robustly. Some of the new partnerships that are completely nascent, new tie-ups and so on, that should also grow. So really, all of the channels should do well in FY25.

Moderator: The next question is from the line of Nischint Chawathe from Kotak Institutional Equities.
Nischint Chawathe: I have three questions. First one is on the agency side. Your agency business was down around 11% for the year and almost down 30% in the fourth quarter. Now what we see over here is that ULIP in agency has grown handsomely, but it is the traditional business that is down. We are just trying to understand the trend as to why this has happened. And I believe a chunk of the agency would have come from Exide, which probably was not focusing so much on the high-ticket business. That's the first question.

Suresh Badami: It's not that our agency channel did not have base effect of greater than INR5 lakhs segment. If you looked at our agency institution, there were a fair number of large financial product distributors as well as MDRT distributors who did operate in Tier 1 in greater than INR5 lakhs segment. On a 2-year basis, of course, our agency business has been growing at almost 14%. We see the trajectory over a long run. There has been a 1-year effect on account of the greater than INR5 lakhs segment.

Now there are two-three things, one is we are increasing distribution presence across geographies. We are adding a lot of branches. We are expanding into Tier 2/3 markets. Second, if you look at the number of new consultant additions that we have done, it has been the second best in the industry with more than 80,000 agents. And on your question on Exide, that particular business has been growing. Yes, they may not have been, because they're primarily present in Tier 2/3 and in some of the southern markets, present in the higher ticket size. B

But there, we are actually looking at a retail NOP growth strategy, where we'll be expanding into many more markets in Tier 2/3 and grow on that basis. It's a question of how does the regular agency grow in terms of the retail penetration, as we expand to Tier 2/3, and in terms of the new agents who are coming on board.

The quality of our top agents who are qualifying for MDRT that has been increasing year-over-year. We do believe that with our focus on new agent recruitment in terms of productivity and product mix, over a period of time, some of the product through agency channel will also correct to the balanced product mix that we normally do.

Vibha Padalkar: And Nischint, to add, if I were to deconstruct in numbers, up to INR5 lakh agency channel has grown almost 8x company-level growth. 8% is the growth in up to INR5 lakhs. The drag has
HDFC Life Insurance Company Limited
April 18, 2024

Page 11 of 25

been the above INR5 lakhs, which is why for next year with this base reset, it should get back on its feet. ..

Nischint Chawathe: Sure. The second question is on new business strain as a percentage of APE, and this ratio has gone up from 34% last year to 40% this year despite the fact that share of ULIP has gone up. I was just trying to understand the trend.

Eshwari Murugan: Strain depends on the product composition and expenses. As we already mentioned on the call, operating leverage in FY24 has seen an impact of expenses which has impacted new business strain. UL has the highest strain because reserves are linked to value of the fund and since UL mix has increased significantly from 19% in FY23 to 35% in FY24 strain is higher. That is one of the main reasons for the increase in the strain from last year to this year.

Vibha Padalkar: And just to add to that Nischint, we are typically capacitated in terms of manpower and our branches to grow between 15% to 18%. But on an unadjusted basis, we have grown 1%. So that's what I think Eshwari means in terms of operating leverage not coming through or in other words impacting the strain on new business.

Nischint Chawathe: Got it. Just a last one on VNB walk trajectory. We can see the fixed cost absorption being negative at around 70 basis points. Is that for the same reason or is it something because of the IT expense?

Vibha Padalkar: It is the same reason. Just the same INR1,000 crores and the uplift that it has given. I would say

for you to triangulate this is , if I were to look at VNB growth last year, the VNB growth in FY 23 in Q4 was 69%. A large chunk of this also came from that INR1,000 crores because we have never grown at 69%.The margin impact of 70 bps out of the 130 bps is just that INR1,000 crores .

Nischint Chawathe: But if I look at the VNB walk last year, even then fixed cost assumption was a negative, when I think your growth was really pretty good.

Vibha Padalkar: That must have been maybe due to Exide Life because we were in the close of the merger and the margin profile was significantly lower than us, post which we have done a lot of rationalization in people and branches. There was also Project Inspire that we talked about in terms of the INR50 crores investment that we did at that time.

Nischint Chawathe: So the question I think essentially is that if this is Project Inspire and it kind of continues for next year, then in all possibilities, there might be a similar track next year. I think that's what I'm coming to or is it that we if grow at 15%, it won't be there?

Niraj Shah : The biggest drag really is in terms of the gap between capacity and actual growth which is that 15%-17% number that we're talking about. If the growth comes back to where we want it to be next year a lot of this number could actually go away. Some part of it will stay because of the continued investments that we do, but a large part of this drag is going to be addressed by the growth coming

back in FY25.

HDFC Life Insurance Company Limited

April 18, 2024

Page 12 of 25

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Moderator: The next question is from the line of Sanketh Godha from Avendus Spark.

Sanketh Godha: I have three questions. So, the first question, Vibha, you said that you will grow broadly in line with private sector, which you expect to be 12% -15%. But given we are at 63% market share in HDFC Bank and potentially it goes to 70% next year, then ideally your growth guidance or growth expectations should be better than private sector. I just wanted to understand that your growth will be around 15% or it could be better than that because of the market share gain in the bank? That's my first question.

Vibha Padalkar: It's very difficult to know on a relative basis as somebody else might have had some other tie-up with some other bank and so on. And that's why things will unfold as we see some of the other relationships. But yes, as far as we are concerned, our growth expectation in HDFC Bank is clearly like you articulated.

And in other channels , as we discussed in a couple of earlier questions , given agency rebasing and some of our other channels like direct channel rebasing , some of our newer partnerships beginning to take shape , it should be, but relative growth becomes difficult to know.

Sanketh Godha: Okay. And the second question is, you made the initial remarks that you are okay to trade off margins for growth, then related two questions, which means that you will be okay to breach ULIP more than 35% of the total APE which is what you have today. And if ULIP grows, as you highlighted, it creates new business strain then do you expect the solvency should go further down or it will cap your ability to sell ULIP even if the demand is there?

Niraj Shah: So Sanketh, I think on unit linked even while it is at 35% , historically for the past 5 years it has been in the 20 %-25% zone. So can ULIP be higher in a particular quarter? The answer is yes. Was it higher in Q4, if you were to look at the full year numbers, 35% versus 19% of last year, obviously, Q4 ULIP was higher. So that is mathematically the situation.

We have also maintained that we don't want to micromanage this on a quarterly basis. We definitely want to take cognizance of the demand , where it is coming from and whether we can actually balance our objectives in terms of can we sell more protection on unit linked ? Can we sell more riders ? Can we improve persistency ? Can we just inherently increase the margin of all our segments ? That is something that we would focus on.

We are not too fussed about where it goes to in a particular quarter. But over a period of time, we definitely want to still maintain , between our savings products anywhere between one -fourth to one -third across each of the segments.

And just again, a slightly different point, but on the same issue is that there are a lot of perceived headwinds against non-participating products in this period, but our product mix on non-par has actually moved to mid -30s in this period , much higher than what it was in the 9M period.

HDFC Life Insurance Company Limited

April 18, 2024

Page 13 of 25

That tells you that there are ways to get to a particular outcome, keeping in mind the overall demand drivers in the market. As such, we would like to maintain a fairly reasonable window within which we will have each of these segments coming in.

Your question on solvency, again, like Eshwari mentioned, each product category has a different dimension. Unit linked products will have a much higher requirement given the base on which it is calculated, but also the capital requirement is for a shorter period compared to for non-par or for participating products.

So, some of these things do balance each other out. In certain products, which are more profitable, you need to hold more capital for a longer period of time. Certain products

like unit

linked, which in our case are relatively less profitable, you need more capital at inception, but that capital requirement comes down over a period of time. We would obviously want to maintain solvency which is in a good zone, and we have managed to do that all things considered.

Sanketh Godha: The reason I was asking that question is that if the market remains as buoyant as they are today and ULIP demand remain persistent then whether your solvency will cap growth because demand is for that particular product in that sense, as it is in the current year.

Eshwari Murugan: While solvency requirement will be dependent on the mix, it is not that if ULIP is going to be at a very high percentage, the requirement will increase exponentially, because as we discussed there are different influences. On unit linked, the requirement for capital is lower compared to non-par. So the requirement itself is lower at the start and then because of persistency being lower compared to non-par, the trajectory of the requirement of capital is going to be lower. So it will balance it out, and we don't expect it to be a big strain on growth, especially since we are at 187% of solvency. There's a good cushion between the minimum required of 150 % by the regulator and 187%. In rupees crore, it's a very big number because our actual solvency in capital we have is around INR 15,000 crores. That gives us the comfort that it does not restrain growth even if ULIP mix had to go a little higher.

Sanketh Godha: The last question from my side is that, the revised surrender norms are definitely watered down, but definitely, it has some impact on two products, especially the limited five pay non-par and to some extent, deferred regular pay annuity.

Just wanted to understand how much five pay contributes to our total premium and deferred regular pay annuity contributes to total premium, given it is linked to EOM, the SSV? Just wanted to understand how much portion of the business is linked to it and how can you transit it to, say, seven pay, eight pay or ten pay to overcome this problem if it is there?

Niraj Shah: Sanketh, while the allowance is based on the premium paying term, it is also based on product category. In that sense, now in terms of various segments that we have, whether it is par, non-par and unit-linked, the product commercials are different across different categories.

HDFC Life Insurance Company Limited

April 18, 2024

Page 14 of 25

The EOM allowance is also something that is managed at an overall level. It doesn't become a critical point in managing growth or expense ratios. So the EOM allowance is something that gets managed at an overall level, as you know, between par and non-par. Within non-par, you have different categories, you have unit-linked on which the commercials are very, very different compared to some of the other product categories which are sold at the longer end. Significant portion of our non-unit-linked business comes at PPTs which are 8 to 10 as well. A lot of this balancing happens within channels who have a different premium paying term mix. At an overall level, we are able to optimize to get to the answer that was required.

Sanketh Godha: But Niraj, would you be okay to quantify how much five pay non-par contributes to our total APE and how much deferred regular pay annuity contributes to total APE?

Niraj Shah: I can tell you that as far as non-par business is concerned, different channels have a different mix. Banks would typically sell something which is relatively shorter pay compared to agency. Agency, direct, brokers, large part of that business would be sold in the long-term premium paying mix. There is a healthy balance of all of these categories. We wouldn't want to specifically call out because it's fairly dynamic. As far as regular pay deferred annuity is concerned, it is a fairly small segment so

far. And again, there is a fairly good balance between shorter pay term and longer pay term. It's a recently introduced category, and it's a fairly small portion of our business as things stand today.

Moderator: The next question is from the line of Shreya Shivani from CLSA.

Shreya Shivani: Thank you for the opportunity. My question is going back to growth. You mentioned that Tier 2/3 cities have seen 12%-13% growth. Now I remember from last conference call you had mentioned that it will take you at least 12 to 18 months for some of the partnerships that you are making in these geographies to start delivering on numbers.

So just wanted to understand that Tier 2/3 cities growth of 12% -13%, how much higher can it get and will it be more towards FY26 rather than in FY25 because that would be in the timeline of 12 months to 18 months that you were mentioning.

So is it that in this year the main trigger for growth would be HDFC Bank counter share increasing? And expansion in smaller geographies of Tier 2/3 cities will actually start delivering probably from second half or the exit month of FY25?

Suresh Badami: So two parts to it. One, of course, HDFC Bank has a clear SURU market growth strategy and so do many of our other large national banca partners. There are a lot of partners whom we added are present in Tier 2/3 and regional geographies.

That has started coming into play. Even outside HDFC Bank, a lot of our other banca corporate agent partners have grown faster, in the range of 13%-15%. So that has already started playing out for us this particular year and a lot of that has come from Tier 2/3.

HDFC Life Insurance Company Limited

April 18, 2024

Page 15 of 25

But it's not that it will all come only in FY26. Some of it has started playing out. Composition has grown by more than 10% this particular year in Tier 2/3 markets and like we mentioned it is more a retail NOP growth strategy. To your second part, we will increase our market share at HDFC Bank.

We have to work for it, and if it grows from 63%, if bank grows and we are able to increase our market share, that will give us overall growth as far as the bancassurance is concerned. On top of that, we do believe that our agency and broking business have base effect because greater than INR 5 lakhs has now gone off for this particular year. Both those channels will also grow.

And third, Tier 2/3 market in terms of products and distribution expansion, including 75 new branches that we are looking at expanding, that will also add. That may probably take 12 to 18 months for us to deliver in terms of agency build up in these markets and hence the business volumes coming in.

But there are actually three to four lines of businesses which are helping us build the Tier 2/3 business and they are all phased out.

Vibha Padalkar: I'll just add to that. We were also surprised, that if I were to look at growth in protection, Tier 1 has grown 26%, Tier 2 has grown 22% and Tier 3 has grown 32%. And the ticket sizes are just a 10% differential between each of the tiers. If I look at each one of these different segments the growth from non-Tier 1 is healthy and the ticket size isn't that different because we are going after the upper quartile of Tier 2 and likewise for Tier 3.

And then there is, of course, SURU which Suresh talked about of both HDFC Bank and other banks. But equally important is our strategy for agency. For example, of the new agents added, the 80,000 agents added 85% to 90% of those agents are from Tier 2/3. Of the 75 branches that we have opened last year a significant portion similar kind of percentage is in Tier 2/3.

All of that means that we are somewhat agnostic of channel. The channel if you visualize is the vertical and the horizontal cutting across are Tier 2/3 opportunities. So it will be fairly widespread across channels.

Shreya Shivani: If I could

could summarize in one line probably banca delivery on growth in these cities will be faster. Probably agency may be more towards second half of FY25. Does that summarize properly?

Vibha Padalkar: I'm hoping that agency starts off on Q1.

Moderator: The next question is from the line of Suresh Ganapathy from Macquarie Capital.

Suresh Ganapathy: Just two questions. Vibha, is it possible to get product level margins? One of your peers discloses it. So can you at least do that on an annual basis?

HDFC Life Insurance Company Limited

April 18, 2024

Page 16 of 25

Vibha Padalkar: Each channel and each product has a very different outcome. And we have 300 partners. So it is not that simplistic, example stating that term business has this margin because what margin I make on term business depends on what are my commercials with that partner and what is the mix with that partner.

I think once we have some of the same peers also disclosing very clearly what is par and non-par or what is credit life and retail, then I think we'll have those discussions.

Moderator: The next question is from the line of Vivek from Aditya Birla Capital.

Vivek: The first question is on credit protect business. What is the percentage growth in credit protect year-on-year and the second question on that is since the business in GIFT city has been mentioned during the call, do you see any potential in credit protect business in GIFT city??

Suresh Badami: So yes, 2 parts. The credit protect business grew by 13% for us in this year, which is fairly good, given in Q4 we did see some kind of a slowdown in disbursements. All our partners remain intact in terms of our partnerships. There have been some segments where we have gone up, some segments where we have gone down, but overall we continue to retain market

share that we have on the credit protect business.

On your question on GIFT City, yes, there is an opportunity down the line. Right now, all the products that we are looking at are in terms of individual dollar -denominated products. But tomorrow if there are banks which set up their branches out of GIFT City and they look at it, we will definitely look at similar product structures there. There are products that we will be looking at once U.S. dollar loans start coming from GIFT City .

Vivek: Do you see any potential in group term in GIFT City? Are you going to target any market in that?

Suresh Badami : We have very small market in terms of what we are looking at because the employee base which is there in GIFT City, it's similar to what we have at DFSA . So it will be a very marginal business, in any case, it's hard fought for us. We are not targeting that as a particular product now. We do believe savings will help us grow in that particular market. And it is the education plan, some products on health, some products on travel. That's the kind of opportunity we're tracking given the segments are available internationally and where we believe we'll be much more competitive than anyone.

Moderator: We'll take the next question from the line of Suresh Ganapathy from Macquarie Capital. Please go ahead.

Suresh Ganapathy : So my question is just on VNB outlook because I was looking FY17 to FY22, broadly the industry as well as you guys have grown between 20% to 25%, right? So it's been a good VNB trajectory and now we are talking about 12% to 15%, right? And one of your peers reported a

HDFC Life Insurance Company Limited

April 18, 2024

Page 17 of 25

23% margin and they're arguing now, in the revised EOM environment that is the margins at which maybe the industry might operate considering the pressure from all directions.

So how are you looking at this? Because even you at the start of the call, Vibha made a statement that there is a trade-off between growth and margin and we will let go off margin to get growth, right? So are we really looking at

at a lower VNB growth this cycle? And do you

think margins can really go down considering the way the industry is evolving now?

Vibha Padalkar : I want to clarify a couple of things. One is that, we want to hold VNB growth very similar to APE growth . The limited point I'm making is that there will always be something or the other that's happening, either a macro event, war is there or swing in equity market. I don't want to not engage with the customer when the customer wants to buy something, that's the limited point.

I would like VNB growth while growing top line faster than the overall industry. That's the objective. But are we looking at completely going on margins, where in you're talking about lower by 300 -400 basis points in one quarter, I don't think so. That's not what I'm saying. I'm saying little bit here and there. We will seek that flexibility so that we are able to engage with customer and don't turn away the customer to say, okay, you don't meet my margin threshold and so I will not sell you a policy, that's the limited point that I'm making.

Holistically, we want to grow, like I said, 12% to 15% industry growth, on the upper end of that or a shade more than that would be a good place to be. VNB in similar kind of zone, return on embedded value in the 17% -18% zone, which we have again delivered. I think that kind of a holistic growth as a scorecard is what we're looking at.

Suresh Ganapathy : So Vibha, protection margins are 4 x to 5x that of the other product margins. And if indeed the narrative on protection is strong, why this complete U -turn? This is not for you specifically, in general the industry is struggling to improve margins despite those products having better opportunity and 3 x to 4x the margin potential than other products?

Vibha Padalkar : This is what it used to be. Over the last four years, it has changed completely . Given almost irrational pricing, competitive pressure on pricing, especially through aggregators on protection, it is a very different game today. INR1 crore cover in India is cheaper than a INR1 crore cover in Hong Kong or many other geographies. How is that possible?

I also mentioned that unlike in banks, insurance companies are largely competing with unlisted players with next-to-no disclosures. This will move and grow into a sector wherein either one lists or there is a road map or there is disclosure that are similar to listing. Something will happen.

And with that, that will rein in a lot of exuberance and aggressiveness on pricing , both in term and annuity, we're seeing on both ends and hence we need to stay focused on building profitable business. And we continue to do that, which is why perhaps we are not the cheapest because if I were to cut my prices by 30% .I will definitely have 0% margin, best case scenario.

HDFC Life Insurance Company Limited

April 18, 2024

Because of this competition, the kind of multiples that you're talking no longer exist, that's the fact.

Will it come back? I think I'm of the school of thought that it will come back in terms of rationality in pricing due to the reasons that I mentioned. But today, it is not there. And so we need to sustain this competitive intensity for now until margins are climbing back again.

Niraj Shah: Just one point to add here. An earlier caller, MW Kim, had asked in the context of IFRS and IndAS, how can things change? So while I said we don't expect to change the way we do our business. What is definitely likely to change at an overall sector level, is that contracts or business which is priced upfront at negative margins or at very low margins and coinciding that with risk-based capital that will also come in during this period, it will be extremely difficult for someone on a sustained basis price or misprice products and look at only top line. So the whole definition of top line itself will change and evolve as

you are aware, going

forward. Unfortunately, protection margins are not where they should be. I mean, that's something that we would have liked it to be the case like it is in all other parts of the world. It is not the case in India. So that's really the reality right now.

Suresh Ganapathy: Just for our understanding, is it possible to at least tell the magnitude of difference between, say if you had a protection margin of, say, x% 3-4 years ago, would that be down by 10% or 20%? Just a rough number would also be great.

Niraj Shah: Protection margins, 4-5 years back used to be in three digits. Now it is much higher than company average margins but nowhere close to where it used to be.

Moderator: The next question is from the line of Harshit Toshniwal from Premji.

Harshit Toshniwal: The margins on protection have been slightly lower. But despite that, at an overall level as an industry and as a company we have all been able to maintain that margin in the 26% to 27% range. And even if I look at Q 4 despite the ULIP mix increase, the drop in margins has not been very significant. So wanted to get a sense that ULIP margins at a stand-alone product level, how much has that improved? And also due to the fact that probably the approach of HDFC Bank towards HDFC Life that has also evolved over the last 2-3 years. So apart from just the wallet share shift, is it also that the product level margins in that channel is something which are more in line to the overall structure, which we would have wanted to be?

And to that point, which you mentioned that in a market like this, demand is something which is not controllable. Probably last 2-3 years, we saw very good phase for ULIP and staying away from a particular product might not make sense in this kind of an environment. So rather than controlling the product mix, basically ensuring that individual product margin keeps on improving. So just wanted to get your thoughts, that ULIP as a product, how has that changed us for the last 2-3 years?

HDFC Life Insurance Company Limited

April 18, 2024

Vibha Padalkar: We do see every segment continuing to give higher margin. For example, in participating products, we would urge our channels to sell for longer term, even toggling between what is the level of sum assured versus what is the bonus that we give.

We do believe that we are right up there in each of the segments because we are really granular on how we're not leaving money on the table unnecessarily and are also good for the customer.

So that's what we have done on par. To your question on unit linked, today some of our products, for example, Smart Protect has a 100x cover, so not that all policies we sell are 100x but it is for those that want a one-stop solution.

Also, we are able to get much better unit-linked margins than otherwise. If you were to look at steady improvement in persistency, that has helped because we do change our actuarial assumptions and mark-to-market it. If we see a positive trend in persistency, we wait for two years. But after two years, we do change the inherent assumptions and then new business also will get that uplift on the change in assumptions.

Many such reasons that help us in going seeking in a way for margins and that has become a DNA of the organization. We also have channel CEOs who have to balance their top line and bottom line. If they want to sell more unit linked, it could be through something like Smart Protect, it could be through attachment of riders, it could be productivity improvement on costs. It could be many such things, all the technology investments that we are doing, wherein we need lesser people. It's a combination of all of these things and term, of course. And term has been steady, we have grown 27%. We have also grown in the 50s in terms of sum assured, which clearly means that we are covering higher levels of mortality by various mechanisms.

And all of that is margin accretive.

Harshit Toshniwal: I understand that you are saying that the DNA has shifted towards improving product level

margins . And so somewhat like a ULIP, which probably at some point had single -digit margin. Is it fair to say th at now it is not that case that is the market is expecting that product to be sold in greater proportion?

Then we are not running that race single legged because of some factors. I am just trying to understand that in order to mo uld ourselves to what the market demands, the profitability of each of the products at ROE V level should be competitive enough. Wanted to check that in the previous avatar a lot of things on the distribution part restricted the margins on ULIP as a product. Has that changed very sp ecifically?

Vibha Padalkar : Yes, we have a lot more levers for us to be able to deliver margins in a particular zone that we have consistently operated in. And I don't want to reveal all of it. But suffices to say that, for example, our product committee m eets every fortnight to really look at not just high -level par, non-par and so on but many, many nuances of what is selling, to which channels, at what cost of acquisition, where are we leaving money on the table by not cross -selling, attaching, and many s uch things. It's really a nuanced approach that is looking at both top line growth and

HDFC Life Insurance Company Limited

April 18, 202 4

Page 20 of 25

bottom line. And we don't do it only at a corporate level, it is done even at a decentralized channel CEO level.

Harshit Toshniwal : Understood. One last question . This is from regulator 's perspective. When we look at insurance as an industry, there are effectively 5-6 types of products which we have been selling from a long period of time. Probably the regulator now intend s to look at each product through a different lens , try to see whether it fits the customer, etc.

More from an industry point of view , can adding new products , so somewhat there have been talks of composite , but I'm thinking that even within savings, do you think that industry as a whole needs new product s beyond the current ones, which are typical structures , under which we are selling insurance?

Vibha Padalkar : Absolutely. And that is there in the regulatory review report. We are part of that , along with many other peers. I'll give you an example. Earlie r there was a caller asking about our GIFT City products. Now we have a dollar -denominated education product, which is approved by the DFSA. And there, you don't necessarily need to have a 10x cover. You could have, say, a 5x cover because your objectives might be different or you might already have some level of insurance and that's not what you're look ing for today.

It's not zero but it doesn't have to be much higher levels of insurance. There are tweaks like that or it could be wherein you could take a premium holiday without necessarily lapsing your product because there are some constraints that you have on the financial front. Many such things within the existing avatar can certainly be done to expand the pie by offering flexibility and it is already there as a series of recommendations to our regulator.

Moderator: The next question is from the line of Dipanjan Ghosh from Citi.

Dipanjan Ghosh : Just two questions from my side. First, on Tier 2 /3 markets . If you can kind of give some color on what you th ink could be the right strategy to win in this market, be it for HDFC Life or any other competitor? Will it be a distribution strategy or the product innovation strategy? And in that context, if you can give some color on the split of the 13% growth that y ou have seen in Tier 2 /3 between maybe the specific product cohort, like you mentioned that retail protection was probably 20% or 30% in some of the geographies.

And secondly, if you can just give what was t

he contribution of HDFC Bank in your individual business for the year or if you can give the contribution in your overall business?

Suresh Badami : I'll answer the third one. In HDFC Bank we have gained fair market share. There has also been a little bit muted growth because of the high base in our broki ng and agenc y. We have hit almost 52% -53% kind of contribution on the individual business from HDFC Bank. It is still fairly diversified because we have many other partners. But given our focus on proprietary, given our focus on some of the alternate chann els as well as other banca partners who are supporting us, it will probably go up and down a little, even if HDFC Bank were to grow the next year ..

HDFC Life Insurance Company Limited

April 18, 202 4

Page 21 of 25

On your question of right strategy to win, frankly, it is a very competitive market. I think every key lever falls into place, especially with somebody like even an HDFC Bank who is looking at what is the right composition which is going across to the customers. So right from in terms of the product, the IRR, what kind of operational efficiency is coming in, we constantly benchmark ourselves in terms of where do we stand in terms of operational efficiency, product IRR, resources on the ground, training and capability.

And we do believe that there are many such innovative things that we can bring in the market, where we add value to all our partners. Whether we can come out with propositions like the GIFT City, whether we can come out with deferred annuity kind of a product, our Click 2 Achieve as a product, has had a huge advantage in terms of the innovative product or the customized solution that we are able to bring.

So really, it's a question of how do we go back and benchmark ourselves across each of these parameters and make sure that we are number one or at the worst number two as far as the value proposition to each of our partners is concerned.

Dipanjan Ghosh : If you can share break-up of the 13% growth in Tier 2 /3 between maybe some product cohort ?

Suresh Badami : The same set of products at different ticket sizes have been moving across both the Tier 2 /3 markets. We do believe that there is a segment within Tier 2 /3 because they are fairly less underpenetrated. But yes, the less than INR5 lakh cohort in Tier 2 /3 markets have seen a much faster growth because of NOP penetration that we are able to get into each of these markets. The Tier 3 has, for instance, grown at almost 17%. Tier 2 /3 overall has grown at 13%, faster than the industry level growth. So those advantages are clearly coming in. But the less than INR5 lakhs has been growing in high teens. Our NOP growth also has been in the mid-teens in each of these segments.

Moderator: The next question is from the line of Madhukar Ladha from Nuvama.

Madhukar Ladha : I wanted to get a split between the high-ticket size and the low-ticket size on total individual APE for FY24 ? And my second question would be, we see that the economic variances are about ~INR 1,300 crores. What is the split between fixed income and equity there?

Niraj Shah: On the first one, we had mentioned at the beginning of this year, just after the budget that the impact we see is that greater than INR5 lakh used to be around 12% of overall APE and today, the same category is about 6% to 7% of our business. It is definitely lower than what it was last year but it is still a fairly significant number. And that is something that we expect to continue as we go forward as well.

Niraj Shah: On economic variance break-up. That is primarily due to equity. Out of the INR1,300 crores, INR1,200 -odd crores is due to equity. The rest is due to the lower yields in this period compared to the same period last year.

HDFC Life Insurance Company Limited

April 18, 2024

Page 22 of 25

Madhukar Ladha : Understood. And just

on 6% to 7% high ticket size, what would be the composition, which product categories actually contribute to that?

Niraj Shah: These are all traditional products, non-unit linked. If you include unit linked in this, the mix would be even higher than 6% to 7%. We're only referring to the affected category, which we spoke about in the context of last year. Also, what you're seeing is, in this period, I was referring to an earlier conversation about our non-par mix having gone up in this period to the mid-30s from less than 30% in the nine months period. A large part of that is due to one of the new product launches that we have had, which has also helped us garner business in high ticket size as well, in spite of where we are, as far as the tax regulations are concerned.

Moderator: The next question is from the line of Prayesh Jain from Motilal Oswal.

Prayesh Jain : On the Tier 1 /2/3 that we spoke about, any thoughts you can share in terms of how has the experience been there with regards to mortality, persistency, any of those parameters? And how should we look at it from a medium-term perspective? And secondly, on your overall product mix, how would you look at something like a protection or an annuity going ahead? Although protection margins have come off but still they are significantly better than company level margins. If the share of protection and annuities can go up next year, you can see some margin bump up. So just trying to understand that how these two products are likely to shape up in FY25?

Vibha Padalkar : Protection clearly for us has been growing well. And when you triangulate that with the level of sum assured, so we should, despite us not necessarily playing the price war, it should grow faster than overall company level. And we are happy that the retail sum assured has grown just shy of 50% and retail protection on a stand-alone basis has grown by 27%. While some of it was based in fact in the first three quarters. But even in the fourth quarter, we have done okay. So that trend of growing faster than company should certainly continue, thereby giving us the margin uplift. And more than the margin uplift, it is core to insurance and we want to grow more of that. 4% has become 5%. And this is inching up, in terms of percentage of APE should happen.

In terms of persistency, what is again heartening is that the difference between Tier 1 and Tier 2, is maybe 300 -400 basis points and again, between Tier 2 and Tier 3 is thereabout. So it is not in the late 60s or early 70s. So that's how it is panning out because, again, we're not throwing caution to the winds and wading into profiles that we don't understand.

There are a lot of filters. And like I've mentioned earlier, that we are looking at the upper

quartile in a Tier 2 /3. So that we are being very selective of where are we going in terms of the places , it could be a small industry, it could be a missionary or it could be a school. It could be something which is generating a certain income and certain section of the population is dependent on that income -generating activity.

HDFC Life Insurance Company Limited

April 18, 2024

Page 23 of 25

Prayesh Jain : The point that I was wanting to ask was, if the same product is sold in Tier 2 /3 via the same channel, say, for example, HD FC Bank sells a ULIP product in a Tier 2 /3 and HDFC Bank then sells it in Tier 1, would your margin be any different?

Eshwari Murugan : While the Tier 1 /2/3 will play a role in the persistency as well as mortality experience that is not the only parameter. The other parameters like, at what level of underwriting they have taken the risk on board, what is the income level, what is the ticket size or sum assured and what products. All those things influence the experience and we look at the experience of all these parameters and we factor that in the calculation of the margin.

Whatever

products are sold in predominantly in this segment, all those products have the actual experience captured in the margin. For example, in a Tier 2, in a certain ticket size, the persistency will be better than a lower ticket size in a Tier 1. So those elements, and nuances are what we are referring to . It is not a very clear differentiation only between the tiers or only differentiating basis one parameter .

Vibha Padalkar : See right now, it is largely margin neutral because it is more that profile of a human life is choosing to live in that particular place as against living in a top 10 city. That is how we are seeing it and so not huge difference. Over a period of time, we will get nuanced wherein it is possible that we might introduce these four products and we are working on that, in Tier 2 with a higher charge extraction to take care of higher mortality and or relatively lower persistency experience. As the volumes start picking up, it is possible that we'll look at that as well.

Moderator: The next question is from the line of Supratim Datta from Ambit Capital.

Supratim Datta : Could you let us know what is the contribution from non -HDFC Bank partners to the APE?

And what would be the 2 or 3 key partnerships here? And given this is a fairly competitive channel which has seen commissions going up after the new EOM guidelines coming in, what are growth aspirations in this channel? That is one question.

And second question is that you seem to be very confident around protection growing. But when I look at your retail protection, the growth has been slowing for the last 2 quarters now.

So just wanted to understand, is there anything specific to these 2 quarters and that should reverse next year? Or why do you think that this growth should accelerate going forward?

Vibha Padalkar: I'll take the second part . On the term, it is really because of the base effect, nothing else. If you look at Q44 term , of last year, it had grown higher. Otherwise, in rupee value , quarter -on-quarter, you'll find a steady growth.

Suresh Badami : On your specific question on what is the non -HDFC Bank contribution in terms of the other banca channels, it is 12%-13% of our overall business. But then a lot of our large partnerships have also come on board over the last 2-3 years. We're still making forays in terms of market share as well as our presence across each of these partners. For instance, even last year, we added Karnataka Bank and Karur Vysya Bank. Our partnership with YES Bank and some of

HDFC Life Insurance Company Limited

April 18, 2024

Page 24 of 25

them are growing stronger. Some of the earlier partnerships with IDFC, RBL, Saraswat, they continue to remain strong partnerships for us.

Supratim Datta : And just if I could ask what was this 12% -13% mix, say, around 3-4years back?

Suresh Badami : So it has not shifted dramatically because at one end, HDFC Bank has grown in contribution. And so the denominator has grown because we have gained significant market share there.

Secondly, the proprietary focus also is helping us grow. Like we mentioned, our agency business over a 2 -year period has grown by 14%, has been growing faster than industry over the last few years. So really, we do look at each one of them in isolation in terms of growth year-on-year but we do believe that the bancassurance partners are growing at around 10% plus also year -on-year.

Niraj Shah: Also what has happened is that HDFC Bank , this year, has grown faster than our other bank partnerships. But over the last 3 to 4 years, the contribution of other banca partners has almost doubled to the overall banca business. So it used to be in single digits till a few years back but lot of these new partnerships that we spoke about have scaled up in this period and they are now contributing to almost 20% to 25% of our bancassurance business . If you were to just normalize

for the HDFC Bank business growth in this period.

Moderator: We will take our last question from the line of Swarnabh Mukherjee from B&K Securities.

Swarnabh Mukherjee : A couple of questions. First one on the growth versus margin. So last year, you had highlighted that you were capacitized to grow by 17% -18% but since you expected around, say, a mid-teens kind of a growth, so there was a kind of impact on margin that was expected. Where are we this year?

So are we again kind of budgeting in a cost structure for 17% -18% growth and given the fact that you are guiding for kind of a 12% -15% industry growth and maybe little bit ahead of that. Is there a risk of shortfall from that 17% -18% number and consequently there could be an operating deleverage as we progress in the year, should we kind of think of such a risk thing playing out on the margins this year also ? So that is the first one.

And second, in terms of the 13-month persistency, in the initial speech, you had highlighted that you expect some shift in that, so if you could maybe elaborate on that a bit.

Niraj Shah: So to your first question, in terms of where we are headed in terms of growth for FY25 and consequently, the margins. We are expecting the sector to grow in this range, 12% -15%. We expect to grow at the top end of that range and hopefully faster. We are not targeting a margin expansion in this period. We are definitely continuing to see competitive intensity. We are continuing to see our distribution expansion happen, our resource allocation increasing. All of those things will, in some sense, counterbalance each other. We are definitely targeting a similar VNB growth to the top line growth that we have, which, in some sense, implies margins to be in the zone that we are at this current point in time.

HDFC Life Insurance Company Limited

April 18, 2024

Page 25 of 25

Let's say, the product mix becomes more margin accretive or we are able to extract more segment level margins, we will evaluate ploughing some of that back to get growth as we have discussed, something very similar to what has happened in quarter 4. We have seen unit-linked mix go up. We have taken that growth on board without significantly diluting our margin profile. These are some of the trade-offs that we have spoken right through this call and that is where we are.

And linking it back to the VNB walk that we spoke about earlier on the call as well, significant part of that 130 basis points is coming out of that operating leverage gap because of the difference between the capacity and the actual growth. We do not see that repeating in FY25 because we expect growth to come back fairly strongly in FY25. So that is something that will only be balanced by our continued investments. That's the only factor that we will talk about.

Product mix will, of course, evolve. We are at a reasonable balance at this point in time but we will retain the flexibility to evolve the product mix based on how the market shapes up.

To your second point on persistency, what we have been talking about is in the context of our expansion deeper into the Indian markets. We did speak about persistency across the 3 tiers being different by about 300 to 400 basis points at the 13-month level, not dramatically different. All of these still put us in the 80s handle, even in Tier 3 market, exactly because of the ticket size at which we are operating in.

We will task ourselves with improving persistency on a like-to-like basis but the mix effect will be something that we will not hold as a constraint to growing profitably. So if the contribution from Tier 2/3 keeps increasing, can it have impact on the overall headline persistency? It could, but that is something that we would price into our business model.

Swarnabha Mukherjee : Understood. So this shift that you are expecting, so would we expect any kind of impact in our, say, operating assumptions in our VNB because of this?

Niraj Shah: End of every year, we do review our assumptions in line with our actual experience and we do reset that at the end of review every year. We have done that in our EV walk this period as well as you can see. This is basically, in some sense, anticipating what we are likely to see in the coming year.

Swarnabha Mukherjee : So that's already baked in, if I understood correctly.

Eshwari Murugan: So in VNB walk you can see a 0.2% impact on the margin due to assumption change. Some of the difference is already baked in.

Moderator: I would now like to hand the conference over to Ms. Vibha Padalkar for closing comments.

Vibha Padalkar: Thank you everyone for joining today's call. It was good interacting with all of you. Please feel free to reach out to our IR team in case of any further queries. Thank you and good evening.

Call: Jul 2024

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Exchange Plaza, Plot No C/1, Block G,
Bandra -Kurla Complex,
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NSE Symbol: HD FCLIFE BSE Security Code : 540777

Dear Sir / Madam,
Sub: Transcript of earnings conference call for the quarter ended June 30 , 2024
We wish to inform you that pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of the earnings conference call with analysts and investors held on Monday , July 15, 2024 , to discuss the financial performance of the Company for the quarter ended June 30 , 2024.
The said transcript has been hosted on the Company's website at <https://www.hdfclife.com/about-us/investor-relations>.
This is for your information and appropriate dissemination.
Thanking you,
For HDFC Life Insurance Company Limited
Narendra Gangan
General Counsel, Chief Compliance Officer &
Company Secretary
Encl. As above
Page 1 of 24

HDFC Life Insurance Company Limited
Q1 FY25 Earnings Conference Call

July 15 , 2024

HDFC Life Insurance Company Limited
July 15, 2024

Page 2 of 24

Vibha Padalkar : Good evening. I would like to welcome everyone to our earnings conference call for the quarter ended June 30th, 2024. Our results, which includes the investor presentation, press release and regulatory disclosures, have already been made available on both our website and the stock exchanges. Joining me are Suresh Badami, Deputy Managing Director; Niraj Shah, ED & CFO; Vineet Arora, COO*; Eshwari Murugan, our Appointed Actuary and Kunal Jain, SVP - Investor Relations and Business Planning.

*Mr. Vineet Arora was inadvertently referred to as Executive Director and COO instead of COO. Moving on to key highlights of Q1 FY 25. Starting with operating performance. We have kicked off the year on a strong note, achieving a robust YoY growth of 31% based on individual APE, translating to a 2-year CAGR of 21%. This healthy growth is bolstered by strong performance across all metrics. We registered an increase of 22% in the number of policies and a ticket size expansion of 7%. Our growth outpaced both the private sector and overall industry, on a YoY as well as a two-year CAGR basis.

We experienced growth resurgence in tier 1 markets, whilst maintaining strong growth in tier 2 and 3 geographies. Tier 2 and 3 markets continue to account for two thirds of our business in terms of APE and three quarters of our business in terms of number of policies sold. We observed healthy growth in the number of policies across both savings and protection segments, as well as across geographies. The proportion of 'New to HDFC Life' customers in Q1 remains robust, exceeding 70%. We achieved a strong growth of 46% in retail sum assured, driven by expansion in retail protection, higher sum assured multiples for savings products and robust rider attachment.

Regarding our product mix for the quarter, ULIPs accounted for 38%, non-par savings for 35%, participating products for 16%, term for 6%, and annuities for 5%, based on individual APE. While we began the year with a high ULIP mix, we have been successful in lowering it during the quarter. We anticipate this moderation to continue in the coming months, driven primarily by product launches across other categories. We have observed strong growth in non-par products, with the segment achieving a YoY increase of 41%. Additionally, our continued introduction of newer variants within the Click2Achieve umbrella has resonated well with customers, with the latest variant garnering Rs 100 crore of new business in merely

16 days.

Retail protection experienced significant growth of 28% based on individual APE and a robust 36% on a two-year CAGR basis. This is despite us continuing to follow a calibrated pricing and risk management approach. The credit protect segment remained flat due to slower disbursement in certain lines of business and increased competitive intensity across select partners. Our focus remains on building a sustainable and profitable business in this segment, and we are prepared to temporarily step away if a segment or a partnership becomes unviable. We continue to be ranked amongst the market leaders in both credit protect and retail protection segments and are committed to maintaining sustainable and profitable growth in the overall protection segment.

HDFC Life Insurance Company Limited
July 15, 2024

Page 3 of 24

The annuity business in India is still in its early stages, presenting significant long-term growth potential. Despite intense competition and aggressive pricing by some peers, we continue to adopt a calibrated growth strategy, focusing on enhancing our product offerings while maintaining pricing discipline. Together, annuity and protection contributed 47% to our overall new business premium.

Moving on to key financial and operating metrics. Our Q1 value of new business was Rs. 718 crores, reflecting a healthy 18% growth both YoY and on a two-year CAGR basis. Our new business margins are 25.0% compared to 26.2% last year. The margin compression is primarily due to the product mix and continued investments in infrastructure, manpower, and technology.

We are committed to investing for long-term growth by expanding our geographical reach and tapping into new customer segments. These initiatives will help drive our growth trajectory over the next 3-4 years. As the year unfolds, our focus remains on achieving absolute APE and VNB growth. We will be flexible in trading off margins within a range, in order to pursue these objectives.

Our embedded value is Rs. 49,611 crores as on 30th June, with an operating return on embedded value of 15.5%. Profit after tax has grown by 15% year-over-year, reaching Rs. 478 crores, driven by an 18% increase in profit emergence from the back book. Our solvency ratio stands at 186%.

To strengthen our solvency position, we will be raising sub-debt up to Rs 2,000 crore, in one or more tranches, over the next 12 months. This sub-debt raise will help fuel our growth aspirations.

Renewal collections grew by 10% year-over-year. Persistency for the 13th and 61st months improved to 88% and 56%, respectively, marking increases of 108 basis points and 282 basis points versus the previous year.

Next, on distribution. The bancassurance channel experienced over 40% growth in individual APE. Our counter share in HDFC Bank continued to be healthy, reaching 66% by the end of the quarter, up from 56.5% in Q1 of the previous year. Our close collaboration with partners ensures that we are able to offer the relevant products that suit the needs of our bancassurance partners' diverse customer segments.

The agency channel achieved strong growth this quarter, with a robust 2-year CAGR of 17% based on individual APE. We are expanding our agency network by enhancing capacity for future growth, which includes expanding our footprint, recruiting top talent and investing in technology and capability development in order to improve productivity. We led the industry in net agent additions, adding over 18,500 agents during the quarter. Additionally, we expanded our network by adding 60 new locations this quarter, taking the aggregate number of branches to around 600.

HDFC Life Insurance Company Limited

July 15, 2024

Page 4 of 24

Further, we continue to actively forge strategic partnerships and have recently partnered with Upstox, Fino Payments Bank, Peerless Financial Services, amongst others. These

collaborations will enable us to reach new customer segments, expand into new markets, and strengthen our presence.

Now regarding our subsidiaries. The AUM of HDFC Pension Fund Management grew by 67% YoY and surpassed Rs. 88,000 crores. We continue to build the pension business, maintaining a market share of over 43%. We are advancing our expansion efforts in GIFT City through our subsidiary in Dubai and are already seeing encouraging results in the NRI segment. Going forward, we aim to enhance our footprint by introducing more products tailored to their needs. The recent expansion of the scope of remittances under the Liberalised Remittance Scheme (LRS) will enable us to extend our offerings to Indian residents as well.

Update on Project Inspire. Our technology transformation initiative is progressing as planned. We are on track to launch our group business transformation between Q3 and Q4 this year.

The business process re-engineering under this project will greatly improve operational efficiency, establish a unified data platform for enhanced decision-making and collaboration and bolster our risk management capabilities.

Moving to regulatory update. We welcome the IRDAI's progressive reforms outlined in the Master Circular on Life Insurance products. Measures such as mandatory policy loans to enhance liquidity, extended free look-in period, robust processes to address customer grievances and higher value to customers on early exits should further the regulator's vision of insurance for all by 2047. We are confident that these reforms will significantly strengthen the life insurance proposition in India, making it simpler, more transparent and ultimately more attractive to prospective customers.

As indicated in our press release on the stock exchanges, we anticipate a gross impact of approximately 100 bps on the company's new business margin due to higher surrender value payable on early exits. Impact for us is limited due to our balanced approach to business. We have consistently employed a calibrated pricing strategy and maintained a prudent approach to risk management, as demonstrated by our regular quarterly disclosures over the past few years. Our actual experience of surrenders is negligible based on which our assumptions factor in close to zero surrenders. This implies that we have not been factoring in any surrender profits after the customer pays the first renewal premium. This is illustrated on slide 8 of our investor presentation, where most of our customers prefer to continue their policies in paid-up status rather than surrendering them. Our persistency experience is also strong and improving across cohorts and geographies.

We are reasonably confident in our ability to mitigate this impact without compromising our customer value proposition. We endeavour to achieve this primarily through restructuring distributor pay-outs using a combination of deferment and clawbacks. We also believe this regulation will improve market conduct, moderate competitive intensity, and benefit players who have been relatively prudent.

HDFC Life Insurance Company Limited

July 15, 2024

Page 5 of 24

In conclusion, the substantial gap in financial protection across India presents a compelling growth opportunity for our sector. We are committed to securing India's future through innovative insurance solutions. We believe our dedication to excellence is visible in our

consistent, predictable and sustained performance over the years, where we have doubled on our key metrics over multiple blocks of four years. Looking ahead, we remain focused on maintaining this high -growth trajectory while prioritizing Value of New Business growth. For a detailed overview of our results, please refer to our investor presentation. We are now open to any questions from the audience.

Moderator : Thank you very much. Our first question is from the line of Avinash Singh from Emkay

Global.

Avinash Singh : A few questions. The first one is regarding the sensitivity to taxes and the corporate tax rate being increased. If I see your sensitivity to VNB margins, it appears reasonably high. Just wanted to clarify that when you are showing the sensitivity from corporate tax going to 25%, are you also assuming all the exemptions being taken away ? Or it is like that, okay, 14% where it's applicable going to 25% and then you are showing sensitivity? Because there is reasonable variance in sensitivities as far as VNB is concerned.

I wanted clarity on how are you calculating these sensitivities? Second is related to credit life .

Can you help out a bit more , is the competition intense in mortgages or in short tenure products like personal loan , micro finance and durables? Where are you seeing intense competition? And has that led that on a like -to-like basis, this quarter, the margin profile overall on the group side of the product being lower than what it was last year same quarter?

Niraj Shah : On your question on tax, which we have it on Page 26 of our investor deck, we have also given a note there, which talks about what our assumption is when we are taking this impact. It's assuming that the current tax rate of 12.5% plus surcharge changes to 25%. And the policyholder and shareholder segment surplus get taxed at the higher rate . Essentially, everything gets taxed at the higher rate. It is not allowing for any benefit of policyholder surplus being tax exempt, which was envisaged in the DTC. We will have to wait and see how this really pans out, but this assumes that everything gets taxed at this rate. And it's not factoring any other exemptions that may or may not be available in the future.

Avinash Singh : Okay. Just a follow -up. So whatever exemption you are assuming, you are assuming that policyholder surplus that gets taxed in par as well as your shareholder PBT, both getting taxed at 25%?

Niraj Shah : That's correct.

Avinash Singh : So, you are assuming 25% taxation. In that way, if you are having certain par business, then you are penalizing yourself a lot more in the sensitivity table because it is the par business where policyholder surplus will get taxed?

HDFC Life Insurance Company Limited

July 15, 2024

Page 6 of 24

Niraj Shah: Yes, Avinash because while DTC was very clear in terms of how it wants to treat policyholder surplus generated out of those segments , we don't know whether it is going to come in that form. So, we didn't want to make any assumptions of lower tax on that segment and hence we have taken the maximum rate on every thing. We will have to wait and see how it really comes out.

Avinash Singh: Pretty advance taxes , I mean at both point you are going to tax at 25%.

Vibha Padalkar : I just want to add here that there was a particular reason why the rate is 12.5% plus surcharge.

I won't go into the technicalities of it, but I think it is somewhat misunderstood given that the last three terms DTC has not been talked about. There was a particular reason like I said the rate was what it was, going back ~25 years , there was an IRDAI Committee which then subsumed the way policyholders and shareholders profit together , Because the intention was not to tax profits emerging from policyholders' funds and to tax shareholders.

So, this was seen as an amalgamated or an averaged -out percentage. I think a lot of younger people who are tracking it perhaps don't know the back story on why it is what it is as again just that there was a random rate that possibly is being applied in life insurance, but like I said , this is probably not the forum to get into the details. If anyone is interested, we can always go back in history as to why the overall landed cost is at ~14.5% . On your next question, Suresh you want to take this.

Suresh Badami : Just to set the context on credit life business and you

your question on competitive intensity , I

would like to clarify we work across the spectrum with more than 200 partners which is across banks, SF Bs, MFI, NBFCs and other ecosystem players .

Secondly, we work on almost every possible line of business whether it's mortgages, whether it's LAP, whether it's commercial vehicles , personal loan or autos. There is a fair amount of spectrum that we work in terms of the type of partner as well as the line of business. Even within that we work with many other partners which are there in certain geographies, we don't work in certain states , so it varies in terms of where we are present and what is the profile of

the underlying customer to whom the loan is disbursed . And finally, even in terms of product , we have a very clear strategy in terms of what kind of value penetration is that we can do. What are the products that we can offer in terms of riders? It is not an easy like -to-like comparison on how you can offer the pricing.

In simpler lines we do find that other players are also coming in. But given the experience that most of the partners have had with us over multiple years we have probably got the best in terms of the lowest claim repudiation ratio, in terms of the claim settlement TATs , in terms of what is the value penetration that we are able to bring.

We are working to ensure that our margins remain stable. I don't think it is true that our margins have decreased. In some places where quality of business is not good, we are letting some of that business go. In some places the disbursement on the credit life on the underlying
HDFC Life Insurance Company Limited
July 15, 2024

Page 7 of 24

loans itself has slowed down in certain lines at the partner 's end, there obviously the numbers have come down .

As a calibrated strategy we are very clear to say that we will work in a certain margin range and ensure that value penetration , where we cover the loan to the maximum with our partners and that's broadly been the way we have been working on the credit life pricing.

Vibha Padalkar : To add here on the pricing and irrationality sometimes and we will stay fairly balanced on this. In the past on credit life where it doesn't make sense, we have exited certain lines of coverage and then down the line the partner has come back to us because that can't continue forever by a new insurer. There will be penetrative pricing, but down the line if they raise prices then due to partner's strong relationship with us in the past means that they will come back. So , we just have to build this brick by brick and that's why it will always be two steps forward, one step back, but we are in there for the long haul in terms of the relationship.

Avinash Singh : And how is the pricing environment in GTI this year?

Suresh Badami : That remains competitive as every year . In most cases there were a few players who have been looking at it , but that is sometimes balanced more with the relationship that we have with that particular corporate and the overall relationships we have got. But that is the segment which remains competitive in terms of pricing, which is why if you find that we are at a certain market share , we don't want to go beyond that market share.

And in any case , every year it keeps getting renewed. Wherever we find it reasonable or where we find our existing relationship which comes in for renewal, we go back and ensure that stays with us.

Vibha Padalkar : And to add over there, because of this one-year churn you end up paying stamp duty every year and that makes it onerous. If GTI was say for three years, then it could make very different commercial sense than this annual bidding out to the lowest insurer. So again, there will remain calibrated.

Avinash Singh : Got it , very clear. Thank you.

Moderator: The next question is from the line of Prayesh Jain from Motilal Oswal.

Prayesh Jain : Now

that you had time to look at surrender charges and there is a talk in the industry that there will obviously be aggressive selling in Q2 and then possibly we will go through a period of new product launches in Q3 . So how should we look at the industry from the next 9 months ' perspective ? And within that what would be your strategy in terms of premium growth. How should we look at it from the next 9 months ' perspective ?

Vibha Padalkar : Prayesh , this aggressive selling is something that we don't like, and we did not do it when the budget changes were happening. We did not resort to fire sale and even more so now because the product will actually be better for the customer in the event that they want the liquidity. So
HDFC Life Insurance Company Limited
July 15, 2024

Page 8 of 24

just because somebody might be saying okay the IRRs might drop and so take my product right now , we are not going to do that , it's going to be absolutely business as usual for us between now and the transition period.

Prayesh Jain : Got that. And from a margin perspective , the product mix has been favourable . Share of protection and annuities have gone up sequentially. But still margins have come off and its primarily due to expenses . How do we look at full year margins?

Vibha Padalkar : Like I mentioned even in the April call , we are focusing on two outcomes. One is growth that is faster than industry growth . This is new business retail APE growth. And second is in terms of VNB growth , again getting back to doubling every four years in a very consistent manner. Margin will be to some extent an outcome , while at the same time we don't intend for it to yo - yo excessively. And by that, I mean not to the extent of 300, 400, 700 basis points . that's not

what we have in mind, but a little bit here and there. The reason for saying that is clearly there is an uptick of unit linked over the past several months, thanks to the market s. And so that is something we cannot ignore. Second is that customer acquisition continues to stay to be important so that we can upsell to the customer down the line. And so, we will remain range bound as far as unit linked is concerned while at the same time deliver VNB growth.

Prayesh Jain : Last question on retail protection, is there a pricing action that's happening in the industry ? And is there some pressure from reinsurers ? What will be the reason for a major re-pricing action ?

Niraj Shah: On pricing we have always maintained that this is an ongoing exercise whether it is protection or annuities or non -par. Like in any product in any industry, you will review pricing based on what the raw material cost is . In our case what the experience is , depending on which customer segments are you addressing and so on and so forth. If you are referring to a media report that was there a couple of days back , I think there hasn't been any change that we made which is significant . What was reported in our context wasn't appropriate. For one segment which is above 60 there was up to a 5% change in price and this business is less than 0.1% of our overall business. So honestly not hing of any consequence at all a nd pricing will evolve based on how deep we go into the country in terms of customer segments. It is not really going to be something which is out of the blue. It will emerge over a period of time, after which we will review our experience, look at our p ricing, talk to our reinsurers and, of course, we have to compete in the market as well. A lot of these thing s will come into consideration a nd as we have articulated across all our businesses; we will maintain a calibrated approach. With our pricing , we are reasonably comfortable with the kind of share we have in the market, and we would like to continue maintaining that discipline.

Moderator: The next question is from the line of Madhukar Ladha from Nuvama Wealth Managemen

t .

Madhukar Ladha : I wanted to get a sense of this new slide about surrenders that you have added in the presentation. I wanted to understand what paid-up policy actually means . These are non - surrendered policies, but they have stopped paying premiums. How does that really flow into HDFC Life Insurance Company Limited

July 15, 202 4

Page 9 of 24

your VNB ? Maybe you could clarify that part a little bit and then I can ask my follow -up questions on this?

Eshwari Murugan : When we calculate margin o r the profitability , we look at what is the proportion of policyholders who will pay premiums and continue to be in-force throughout and get the full benefits. We also have an assumption for policyholders who will discontinue premiums during the tenure of the period but will not surrender . They will continue with the policy for a prorated benefit. And then we also have assumptions for policyholders who could completely exit the policy. Now as shown in the slide , the experience for us , in both non -par savings and par on the policy holders who exit is negligible. We only have policyholders who continue paying premiums or policyholders who stop paying the prem ium but continue the policy a nd those are the two assumptions we have factored in our calculation of margin or VNB. So that is what we are trying to explain here . Because of the change in regulations where surrender value has gone up, since we don't assume any surrenders in our calculation there is no impact on the margin post year two. The only impact we have is in year one where our experience is quite good. And further , we have conse rvative assumption in year one as well . Our experience of lapse or exit in the first year is even lower than assumption and that is what we are trying to explain in this slide in terms of what the experience is, what our assumptions are and what is the relation is in terms of the impact on margin.

Madhukar Ladha : Okay. Just a follow -up on this. When a paid -up policy holder , he's probably paid up for two years and then stopped paying premium , when the policy matures for him , that's what you mean, he will not surrender the policy and the policy will mature in a partly paid status. What benefit does he get at that point of time?

Eshwari Murugan : He will get prorated benefit . To give an example , suppose a policyholder has taken 5 -pay policy of INR1 lakh premium and suppo se the maturity value is INR10 lakhs. He stops paying premiums after say 3 years , he pays premium only for 3 years i.e., he has paid 60% of the premiums he had committed . He will get 60% of the sum assured and instead of INR10 lakhs, he will get INR6 lakhs at maturi ty. This is what is called as prorated benefits.

Madhukar Ladha : Understood. Wouldn't the margin on a prorated benefit policy be margi nally lower than the margin you get on a fully paid -up policy?

Eshwari Murugan : That could vary depending on when the policy is made paid up, what is the original premium paying term is taken, the structure of the product, what kind of benefits in terms of composition. For example, in par, it could depend on sum assured , the bonuses, etcetera. But what is important is that the impact on margin will depend upon what is the assumption on how many policyholders are making the policy paid up and what is the experience. Since we

keep calibrating our assumptions to the experience on the policies becoming paid up, whether it is higher or lower profit, that's already captured in the margins. So as long as the experience is going to be in line with assumption s, we don't see any major impact on margin. And as you see in our EV disclosures, our operating variance has always been positive. Our assumptions are slightly conservative when compared to the experience, that's why the operating variance is

HDFC Life Insurance Company Limited
July 15, 2024

Page 10 of 24

positive. It's not a quest

ion about whether the policies becoming paid up or premium paying or surrender. It's more about whether the experience is in line with the assumption. The major change that has happened in the regulation is the change in surrender value. And there, we don't have any impact because of the factor that we already explained.

Madhukar Ladha: Understood. And another question for Vibha and Suresh. With these changes happening, the industry would be in a flux, and you will probably be back on the ground board designing products and talking to distributors. What is the feel that you are getting? I think it's very important that we are able to defer the first-year commissions over maybe the first two years or first three years. Do you think that the distributors will agree? And this also to a certain extent depends on whether the industry, the manufacturers actually come together and are able to do this, right? What are your thoughts on this?

Vibha Padalkar: We have put out a likely impact based on what Eshwari just explained. We will have bespoke conversations with some of our key partners. But that will happen in an organic way. There is no fire situation per se because our assumptions, not only the assumptions of how much is getting surrendered, but equally or if not more important is to be fairly restrained in terms of aggression on IRR. If one is more aggressive on IRR and there have been competing products that give 70 bps to 100 bps, if not more, even today, in terms of differential in IRR. If that's going to happen and one is really banking on surrender profits beyond the first year, then one is going to hurt more and what one has to return back to the customer will be more. For us, there is repricing of new business that we write very, very quickly if the macro situation moves. So given that, we are having conversations, but not on an SOS basis. It's a little bit more organic. I mean, we are in multi-time in most situations. The conversations between us and our distributors will also depend on the conversations they are having with other manufacturers. It's a dynamic process. Suresh, you want to add anything.

Suresh Badami: I think broadly, Vibha covered it. Given the quantum of change, impact on us is probably lesser than other players in the industry, and I'm sure everybody is assessing their impact. We can look at three-four options. One could be to say that we continue, we have a clawback, we have a deferral, or we look at maybe lower IRR. Obviously, IRDA would want the product to remain as good for the customer with better thresholds. Our objective would be to say, do we look at deferral, which will probably lessen the impact on each of the manufacturers. Or if the partner has extremely high persistency and we are comfortable, maybe we will just continue and have a little bit of a clawback. We really don't want to jump into this immediately. I think we are having, like Vibha mentioned, discussions with each of our partners. And in turn, they are having conversations with their respective insurers, given that we are probably in multi-tie with different insurers at different partners. We will probably think this through and by end of September, we will be in a fairly more comfortable position to say as to what we would want to do.

Moderator: The next question is from the line of Suresh Ganapathy from Macquarie Capital.

HDFC Life Insurance Company Limited
July 15, 2024

Page 11 of 24

Suresh Ganapathy: I have two questions. One is on margins and in general, the VNB growth outlook. So, first on VNB margins, you are at 25% for this quarter. You mean that you will have a further 100 basis point compression because of the new surrender rules that is not a fact, part of this 25% that has been reported in Q 1, how should we look at it that further from 25%, you're going to see any impact?

Vibha Padalkar: Suresh, the 25% is for the quarter. And

usually, the margins get better as we move towards full year because of seasonality. The business is much more while your fixed costs remain more or less the same. Margins do pickup and so on a full year basis, wherever we are likely to end before these regulatory changes, again, on that margin, it will be 100 basis points impact, if we did nothing.

Suresh Ganapathy: Okay. So, impact due to these new rules are not a factor of this 25%. And the second thing is, still you are saying you want to double your VNB in four years, that's a 19% CAGR. Now the

problem there, Vibha, is indeed the upside from margins is very limited. All said and done, the margins have a downward bias across the industry, not only for you. In that sense, you are actually indirectly indicating that you want to grow your APE at 20% plus for the next four years. Isn't that a tall ask? We have not seen 20% for quite some time. So, you think you can do that over a period of four years consistently?

Vibha Padalkar: Yes, I'm reasonably confident, Suresh. Because we are assuming the current dynamics of competitive intensity, relative advantage, the products being the same. And just now we are going through a massive overhaul of product, something that we knew all along, and that is something that's happening right now. And that itself could reveal a very new normal. Another one that could be fairly disruptive is, for example, IFRS. Under IFRS, the way we see unit linked now in terms of top line and the competitive intensity with unit linked, that could undergo a significant change because a lot of that is going to get shaved off. And only the net income will reflect on your income statement. We are assuming a ceteris paribus from now for the next four years, there are already some visibilities of large changes where we feel we have a competitive advantage. Third point is on HDFC Bank. And as you know, just over the past maybe seven-eight months, our counter-share has meaningfully gone up. And it will organically, as we work more closely together and so on, will go up. And a little bit of product tweak. For example, if I were to see my agency channel, that has term at about 12% -13%. While at HDFC Bank, it's low single digits, like 3 %-4%, closer to 3%. That itself is going up to, say, 5% just because there's a little bit of focus, can have a meaningful uplift in margins. We have many tongs in the fire to keep chipping away and to see how we can continue to add margins while there will be investments that we need to make in business, but we feel that the doubling in 4 years is still doable. Niraj, do you want to add?

Niraj Shah: Yes. Suresh, and just to your point in terms of inherent margins going in one direction, which is downwards. We don't necessarily think that because in each of the product segments, there's an opportunity to improve margins. A couple of things, one is obviously scale. Second is also the ability to attach embedded protection across, not just in term products, riders, but also the savings products. All of these things, along with dynamics being very different as you go

HDFC Life Insurance Company Limited

July 15, 2024

Page 12 of 24

deeper into India. The ability to preserve inherent product margins and even expand on that in a calibrated manner is very much possible. So not all the VNB growth needs to come from top line growth. Some of it can come from mix like we discussed and also increasing inherent product margins.

Vibha Padalkar: And again, I want to add a final piece. For example, when you look at sum assured, the growth in our sum assured is significantly higher than our APE growth, which just again means protection is growing. 46% growth in individual sum assured, all of these are large chunks of mortality cover, which is the result of sum assured. The fact that we are raising sub debt, also means that we are writing more of protection business. We are

slowly moving towards higher

margin, brick-by-brick and also 70% of our customers are new to HDFC Life. This quarter as well as last quarter that we talked about and before that. Ability for us to upsell to them is that much more at a slightly reduced cost and therefore, uptick in margins. Agency channel is another one where we are investing quite heavily in Tier 2 /3, as we have talked about in the past, including the Exide Life acquisition that's grown significantly higher than company level growth even in the first quarter. But it is in a growth phase and investment phase. All of this should start delivering and reaping dividends for us in a slow but sure manner. And that's why we say that it's not going to happen overnight, but that's why we said four-year doubling should certainly happen.

Suresh Ganapathy: Thank you. One procedural clarification question? New IRDA regulation is effective when?

Vibha Padalkar: From 1st of October. So last date of selling under the current structure is 30th of September.

Suresh Ganapathy: Just to understand this better, have we already started filing the new products? Or will you start new product filings in Q2 with the regulator and then you will have to launch on 1st October?

How well prepared you are with respect to some of your new product structures, because the approval from IRDA will also take time? There could be a lead lag issue in between.

Niraj Shah: All the existing products, which need to be made compliant with the new regulations do not need to be filed for approval. They have to be self-certified by the companies as per their product management committees, which is a board level committee. We certify it, and we can launch it as soon as we are ready to operationalize. It does not have any lead time as far as IRDA approval is concerned. Of course, any new product that we launch now, depending on which process it needs to follow, whether it's use & file or file & use, will require prior approval in certain categories. That will be an ongoing process. Also, you would appreciate that what's happened over the past few months is that many products are now getting launched in use & file, so the bandwidth to approve products by the regulator has improved. That has

actually brought down the lead time to launch new products. While it's an exercise, we will be in a position to offer all the products that matter and will comprise most of our existing business, we should be able to offer it by October 1 without any disruption.

Moderator: The next question is from the line of Aditi Joshi from JPMorgan. Please go ahead.

HDFC Life Insurance Company Limited

July 15, 2024

Page 13 of 24

Aditi Joshi: My question is related to the margin walk. In full year 2024, we had some negative impact coming in from expenses. I'm just wondering that for the first quarter, do you have such impact persisting? Or how was the walk for first quarter, if you are able to share your view, please?

Niraj Shah: So last year, if you recollect what we had said is we had 130 basis points gap. Out of that, about 70 basis points was on account of lack of operating leverage because on an actual basis, we grew at 1%. I mean, of course, on normalized basis, we grew at 11%.

But that scale gap is what caused a significant part of that margin gap and the rest of it was the product mix. In the Q1 context, everything is pretty much product mix because the scale is back. The growth was 31% for the period. You will see a positive fixed cost absorption of 0.3%, but we have a 1.3% negative on the product mix, which is largely the unit-linked mix increasing from 25% to 38% on a like-to-like basis.

Vibha Padalkar: I just want to add that, while for the quarter, ULIP mix was 38%, but exit rate in June has come down to about 35%.

Moderator: The next question is from the line of Gaurav Jain from ICICI Prudential Mutual Fund.

Gaurav

Jain: I just have one question. We are at 186% solvency margin as of June '24, with this sub-debt raise, if we were to do it on this base, how much will the solvency go up to? And post the sub-debt raise, will we still have room to raise more sub-debt? Or how do we think about capital raising?

Niraj Shah: Our headroom today, based on the regulatory limit is about INR 2,000 crores. We will see in terms of how we want to go about it. We have an approval to raise this over a 12-month period in one or more tranches. The solvency position that we are comfortable with is in the 180% plus range, so we would like to operate in that. And I think the first tranche at least that we will raise will in all probability help us to maintain that level for the foreseeable future and then we can use the rest of the headroom based on our requirements. We are also expecting over the next 12 to 18 months risk-based capital regime to kick in. When that happens, our understanding is that we will be able to write more business with the same amount of capital. The regulator will obviously take a view in terms of how they want to establish that regime. But based on our interactions with the regulator, we believe that if you're writing long-term business prudently with appropriate risk management, you should be able to write more business with the same amount of capital.

Vibha Padalkar: And to your other question, it would add about 20% to 22% if we raised the entire INR 2,000 crores.

Moderator: The next question is from the line of Swarnabh Mukherjee from B&K Securities.

Swarnabh Mukherjee: A couple of questions. One is on channel. So, you had mentioned that you were having conversations on how eventually, the commission structure, etcetera, will pan out. I just wanted to understand from you in our open architecture channels as well as, say, the agency

HDFC Life Insurance Company Limited

July 15, 2024

Page 14 of 24

channel, since multiple players will have a varied approach on how they are going to pay out, you will also have varied approach based on what kind of business you source from a particular channel. Can there be a risk that there can be aggression from players in terms of commission that can move counter shares in those channels? Just wanted to understand how you think that can be a risk or a challenge in, say, open architecture or agencies, which one would be tougher to correct? And secondly, in terms of IRR cut on the non-par product where there is the impact of this new regulation, just want to understand from your perspective, how do you see the product competitiveness vis-a-vis say other similar products like, say, FDs?

Vibha Padalkar: I'll take the second one. Our product competitiveness should definitely go up. And like I mentioned earlier, today, one is that we reprice with a lot of frequency as and when interest rates move materially. That is number one. And number two is, even today, there is a material difference in IRRs, and that IRRs can't come out of thin air. It has to be funded from somewhere either by the customer or by the shareholders or the company. From that point of view, we believe that there will be some calibration in IRR due to the surrender charges going down. And therein, if it's very similar, then we can only get at a better place than the intense competitive intensity today in non-par. Suresh, you want to answer the first questions.

Suresh Badami: I think the first point is related, in the sense that market share depends on IRR of the product,

which is the pull. The second is the commissions that are available in the market. And three is the resources that you put for supporting the partner. Now given the lesser impact that we have, we do believe that it may lead to a higher competitive advantage over a period of time in terms of what we should be able to work out with partners as a combination of all th

ree, whether

it's resources on the ground, whether it's the IRR on the product in terms of the differential as well as the commission structure, whether it is deferred or whether it's slightly lower commercial or clawback. So those options are all available. I don't see this market changing dramatically. At least for us, we don't see a huge shift. There will be obviously some change here and there. But with some of our top partners, we should be able to work out something which is clearly better than what we were as a relative advantage to competition.

Swarnabh Mukherjee : Right, sir, just quickly wanted to follow up that on the HDFC Bank channel, do we expect the counter share would remain around that 70% range, which is our aspiration, in the new scheme of things?

Vibha Padalkar: I'll just leave it by saying that it's our parent. In the last 7-8 months, counter share has gone up very meaningfully from 56%-57% to ~65%, in that range. And as far as 70%-72% share is concerned, I think it is a matter of time before some of that organic movement upward should happen regardless of surrender charges, no surrender charges. Whatever it is that they're selling, share of that should go up organically.

Moderator: The next question is from Vinayak Agarwal from Jefferies.

Vinayak Agarwal : I had a question on the non-par savings business. So, the absolute amount of business done in the quarter, about INR860-odd crores seems to be quite reasonable. How do you think the HDFC Life Insurance Company Limited

July 15, 2024

Page 15 of 24

momentum builds on from here? And how should we think about the growth in this segment, as last year subsequent quarters saw some decline due to change in tax norms.

Vibha Padalkar: I will start off and then hand it over to Suresh. We are seeing good traction in this category.

We are seeing traction both in above 5 lakhs and below 5 lakhs. We are seeing traction in Tier 1, 2 and 3. So any which way we cut non-par, we are seeing traction. And this is something we have been saying all along that once this whole focus on tax starts weaning away and it has to happen because ultimately, money has to flow somewhere.

Not everything can flow in equity. And that is exactly what we are seeing. Also, there are new product launches to get mind share. There are some of the other aspects to it, for example, on pension, which has a very unique way of delivering value on a post-tax basis to the customer, especially the slightly older customer. So, it is holistic growth.

Suresh Badami : I will just add, I think the market continues to remain large for the non-par given that the customers will finally have to invest household savings, whether it is in fixed deposit or any of these products. Non-par savings is a competitive product compared to some of the other fixed benefit kind of products which are available in the market on the guaranteed product side. We believe the non-par product still has a fairly large scope in terms of growth.

In some of our products like Click 2 Achieve, which we have now launched. It's a very unique do-it-yourself kind of a product. So, when we go out with a product like that in the market, I believe it is for us to expand the market in terms of activation of specified persons in the banca channel or our financial consultants in the agency channel as well as the number of new unique customers that we bring in. And like Vibha rightly mentioned, the Tier 2, Tier 3 expansion, especially on this product will get us more ticket size as well as the number of unique customers.

Moderator: The next question is from the line of Nischint Chawathe from Kotak Institutional Equities.

Nischint Chawathe : How much was the growth from HDFC Bank this year on a year-on-year basis?

Vibha Padalkar: It was 41%.

Nischint Chawathe : And you said that counter share increased to around 65 from 55 on year-on-year basis?

Vibha Padalkar: Yes. So about 18% growth is due to counter share increase and about 20-22% is just a holistic increase.

Nischint Chawathe : On the agency side, your growth is still at around 10% versus some of the peers who have been growing at around 20-25%. So, we are not sure when the investments in agency are really going to play out in terms of numbers.

Suresh Badami : Our agency growth is around 14%. And on overall 2 years CAGR, our growth has been a round that, so it is fairly good. Two, three things that are happening in the market. There is a shift in HDFC Life Insurance Company Limited

July 15, 2024

Page 16 of 24

terms of the unit-linked contribution as a source of the business. So, we don't really compare. I think we are very clear to make sure that ours is a profitable agency business.

We calibrated in terms of how we grow based on a certain product mix. The third thing, the Exide agency channel, which had come on board, we are investing a lot in that, so that will take some time. And hopefully, the pickup will happen over the period.

And on the growth in the Tier 2, Tier 3 market, we have expanded to some 60 branches. We are looking at it in terms of the number of new agents that we have added, that continues to be the best in market also. There is an NOP strategy that we are putting into place. We have invested heavily in our retirement advisory financial consultant program. So, the building blocks are clearly in place.

On the Tied agency side, because of more business from the greater than 5 lakhs in certain segments, it slowed down, but now the base effect has fallen into place, and we should be able to grow significantly. We added like 18,500 agents net in Q1 of FY25, which was the highest in the industry. So, the distribution is building. The locations are expanding. I think the Exide channel has also been growing. So fairly confident that the agency channel will start firing.

Moderator: The next question is from the line of Supratim Datta from Ambit Capital.

Supratim Datta: If you assume that these 10% of people who were going to fully paid-up policy status as compared to surrendering their policy, now surrender because of the higher SSV, then what will be the margin impact? Have you done any sensitivity analysis on that?

And the second question I had was that if I look at your non-par savings policy tenure, then it seems like it has gone up from 16 years in fourth quarter to 21 years now. What is driving this change and how would the margin of a higher tenure product be compared with a lower tenure product?

Eshwari Murugan: On the first question, if the policyholder now surrenders compared to keeping it paid up. Economically, the value to the company will not be different because if you see how the surrender value has been defined, it is linked to the paid-up value and it is a present value of the paid-up benefit at the current G-Sec rate. So, for company it will be very neutral, whether the policyholder continues in a paid-up status, or he surrenders.

But for the customer, it is a good proposition to continue the paid-up policy because he continues to get to death cover though it is lower. And he also gets the logged in interest rate for a long tenure. The contract may be 20 or 30 years. So, he gets the benefit if he continues in the paid-up policy. But from a company perspective, the impact on margin will not be material because of the way the linkage is between the paid-up benefit and the surrender value.

Niraj Shah: On your second question in terms of the increase in tenure, that is something that we have been consciously driving because longer-term products can offer better value to customers. And this has been enabled by our new launch of Click 2 Achieve that we had launched a few months ago.

HDFC Life Insurance Company Limited

July 15, 2024

Page 17 of 24

back. We have been

launching new variants in that, which encourage customers to stay for a longer period of time and get a higher value proposition.

And that completely sinks in with the economics for us also. The longer the policy term and premium payment terms, the better the margins as well. So, it works for everybody, and that is something that we have been driving consciously as well.

Supratim Datta: And what would typically be the margin differential? Could you give us some sense that versus a 13-year policy versus a 21-year policy, how would the margin differ?

Niraj Shah: We can not get into specifics on that, but it will be meaningfully different. And I think one thing you can maybe look at is in terms of a non-participating product, the margins are higher than company average. You can expect a significant delta on that for a longer-term policy. It is fairly meaningful.

Moderator: The next question is from the line of Nidhesh from Investec.

Nidhesh: Do you see any change in the new business strain with the higher surrender value post 1st October?

Niraj Shah: Not in our case because of what all Eshwari had mentioned, prudence in pricing as well as surrender assumptions does not result in a very significant change in our reserves. So that does not affect our accounting profit. But the impact would be different for different approaches that companies may follow.

Nidhesh: And why don't we go with the strategy of no change in the commission structure and try to gain market share because the impact on us is quite low versus some of the other peers. So why don't we take this opportunity as a market share gain opportunity versus maintaining neutral profitability as a strategy?

Vibha Padalkar: Nothing that is off the table. We will explore all options with different partners. However, I think our regulator is also looking at a little bit of collaboration with partners in seeing how payouts can be more back-ended. So that is also a tacit kind of expectation from the regulator.

But we will have all sorts of options and iterations between now and 30th of September.

Moderator: The next question is from the line of Shreya Shivani from CLSA.

Shreya Shivani : First is on the VNB walk. I know it is a very small number but there is some change in assumption. If you can give some details of which assumptions have, we changed? Is there any change that we should know about?

Second, on the surrender value itself. It is very useful data that you have put across on slide 8 about how much surrenders you actually face in the different years. But given that the surrender format now is such that probably after third or fourth year the customer can actually get 100% of their principal back unlike earlier when it would be at 50% or 60%. So, in that

HDFC Life Insurance Company Limited

July 15, 2024

Page 18 of 24

situation, are you also accounting in for any change in customer behaviour? Or have you thought about how will you go about that?

Eshwari Murugan: On the first question, the assumption change we do as a year -end exercise based on the experience that are emerging . We have changed the assumptions in mortality, persistency across product segments. It had a small nonmaterial impact on the margin, which is what is getting carried forward to the quarter 1 of this year because whatever was reported in last Q1 didn't have this assumption change. So, if you see the last full year disclosure, you will see some similar impact in the VNB walk.

On the second one. There could be some difference in the customer behaviour because of surrender value. But the reason we say that behaviour may not impact us is because today we are not assuming that any customer will surrender for a lower surrender value and the company will make a surrender profit. So , if our assumption is that no one surrenders then we do not make any profit currently.

And going ahead if the cus

tomers surrenders, he gets the value which is equivalent to the paid - up benefit that you would have anyway assumed. So, there will not be any impact on the margin. So , the customer behaviour will not impact our company's margins so much. Whereas if we would have assumed surrender there could have been some impact .

Vibha Padalkar : And just optically, 13-month persistency could look bad, but not the economics of it.

Moderator: The next question is from the line of Sanketh Godha from Aventus Spark .

Sanketh Godha : Just on the ULIP business, I want to understand to what extent our ULIP today has higher sum assured , that is more than 10x? And to what extent it has supported the margin . I remember last time it was around 60 -65% of the total ULIP that we were selling , had higher sum assured. So, is there any further headroom available to improve the margins or hold up the margins even if the contribution goes up on ULIP?

And then the second is you are raising sub debt maybe during the year, then the difference between what you will pay as interest and where you will invest, how much likely impact it will have on VNB margins? If there is a 100 -bps difference, I believe that impact could be somewhere between 70-80 basis points. So just wanted to understand how it will play out.

Niraj Shah: So, on the first one on unit -linked, we had mentioned a few quarters ago that we have started attaching riders as well as the multiple of sum assured shows that customers which were used to taking, say 10x have moved to 20x in the last couple of quarters and it has in fact, started expanding beyond 20x as well now.

So, there is room and customers are preferring to use this as a vehicle to not just save but also to get meaningful protection in the same product. So that journey is very much on and moving in the right direction. Also, our rider attachment as a journey which started a few years back is still in its very nascent stage. We are yet to see the full benefits of the rider approach in terms

HDFC Life Insurance Company Limited

July 15, 2024

Page 19 of 24

of multiple riders per policy. So that journey has just started. So , the headroom is very significant from here on.

Sanketh Godha : What is the weighted average sum assured today in ULIPs? And what extent of the business you sold in ULIP has higher sum assured?

Niraj Shah: So, I mentioned the 20x was the number some time back. Now it is close to 30x.

Sanketh Godha : And in the proportion of the total premium, how much is higher sum assured?

Niraj Shah: So, we don't look at it that way. And I think it really depends in terms of which channels are selling, what kind of tenure etcetera. So, we don't really have that as a target. We are basically just seeing if customers across the board are willing to consider buying protection through this in a more meaningful manner and that is happening, and we are quite happy to drive that as we go forward. On subordinated debt, we will raise it over a period of time, and we will decide the timing based on our requirements as well as the market appetite.

And in the past the sub -debt that we carry has a fairly negligible negative carry of about 20 - 30 basis points because we have the ability to invest. All the sub debt that will be raised will get invested and we don't expect negative carry on that to be significant because we don't necessarily need to match the duration of what we raised with where we invest given that we have a fairly large book . We will be able to minimize the negative carry and will not have any material impact on our VNB.

Sanketh Godha : Perfect. But honestly, what is the need to raise capital . Because if you look among st all the companies , you guys are the ones who have raised the highest amount of capital whether it is sub-debt or direct equity. So , 186% solvency is still healthy. You also said that our safe

n

umber is 180 %.

Is it only because you expect more growth in HDFC Bank, or your high sum assured strategy or more ULIP demand is resulting in more strain and that is the reason? This is it difficult to understand why you need sub -debt because your solvency is still very healthy.

Niraj Shah: Yes. So , it is healthy. It is just that our preference is to not be in a situation where we have to manage growth just because the capital is getting to a 180% zone or 175% zone. Anything above 150 % is great. That is absolutely fine given that we know directionally we are in an excess capital regime today , but it is the regulation. And we have our internal policy based on the current regulation.

So, we don't want to be in a situation where we need to manage those tightly when the growth is indeed moving in the right direction for longer -term products as well as for protection. So yes, to your point , sum assured is increasing faster than overall company growth and capital is getting deployed for a longer period of time. So , we want to do this ahead of time. And if the cost of carrying the sub debt or the negative carry is minimal, we don't see a reason why that should be an issue. To your point on equity , you know the reason for that. It was basically o

HDFC Life Insurance Company Limited

July 15, 2024

Page 20 of 24

fund the acquisition. There was no other requirement for that. So yes, that is our thought process.

Eshwari Murugan: Just to answer your question on competition . The solvency ratio for all the players is coming down because of the reason that Niraj just mentioned , the type of contracts the companies are writing. So maybe some companies have been at 300% solvency ratio , may not be raising capital , but if you see the trend for every company the solvency ratio is coming down.

Sanketh Godha : And a data keeping question , your unwind rate seems to have been off in the current quarter , 7.8%. Anything to read there? Is it only just because of the yield curve movement? And lastly, if you can break down your economic variance number into equity and fixed income , INR400 crores?

Eshwari Murugan: The unwind rate is 8.1%. It's mainly due to the yield curve change offset by some positive outlook on equity. Last year, it was 8.2% , this year is 8.1 % , 10 basis point reduction. On the economic variances , it is mainly coming from equity. The equity market rose around 8 -9% this quarter compared to our unwind rate of 8.1% that is giving a positive upside in the equity. On the debt side, there is a small increase because of the short -term curve reducing by 8 to 10 basis points , that is a small amount. Most of the economic variance is from equity.

Moderator: The next question is from the line of Aravind R from Sundaram Alternates .

Aravind R : I have two questions. One is that in the current quarter versus the last quarter and sequentially, VNB margins have declined. Despite mix of ULIP coming down , and non-par and protection mix has gone up sequentially , VNB margins have declined . Is there anything to read here , like in terms of lower profitability in the product or like investments in any particular channel or like your tech investments leading to this VNB margin decline?

Niraj Shah: Not really. Inherent product margins are only either sustained or improving. In product mix on year-on-year basis obviously, there is a big movement as you can see , 25% versus 38% , in Unit linked. On a sequential basis, there is not much difference in product mix. But yes, the difference is largely on account of absolute scale of business that gets done in quarter 1 versus quarter 4. That is probably the difference.

Aravind R : Also, annuity has degrown in this quarter, when I compare it year -on-year. Any reasons like do we expect annuity to pick up again in the coming quarters?

Niraj Shah: Yes. So , we mentioned this earlier as well in terms of hav

ing a calibrated approach. There are

multiple sources of annuity business. It is a fairly large market as we see it going forward as well. It is going to be a long -term opportunity. But there is some irrational pricing in certain pockets. We have to take that into account, and we are not in the business of writing business which is not viable for us in terms of either managing the risk or the pricing.

We will take these calibrated calls. We had a similar kind of conversation on Credit Life. So , it

Page 21 of 24

we are not in a position to compromise on, we are happy to step back temporarily. And given that the opportunity is long term we are not really worried about missing out on certain parts of growth, which are not viable.

Vibha Padalkar: And just to add here, the surrender charges will have an impact on deferred annuity. And so, we do see some level of calibration coming through post 1st of April on this product segment.

Aravind R : Sure. And just one last question, if I may ask. Do we see any pushback from agency or any distributor or any other channels in terms of implementing trail commission or like in any other structure of commissions?

Vibha Padalkar: We are in very early stages right now. No one will agree immediately. I'm sure there will be some bit of convincing, some bit of expectation from regulator and so on. So, I think those conversations are on as we speak. And as you will understand we don't want to really put out everything in a public forum for some of these private discussions.

Moderator: The next question is from the line of Dipanjan Ghosh from Citi.

Dipanjan Ghosh: First, on the non-par business, you clearly mentioned that growth has been across a spectrum, be it geography or ticket size, but if you can give some breakup of the low-ticket growth in non-par versus the 5 lakh plus growth in non-par for the quarter? Second, just a data keeping question. If you can give your HDFC Bank mix in your individual business for the quarter.

Niraj Shah: So, the product mix by channel is there on page 16. HDFC Bank is a subset of bancassurance, and its reasonably representative of the product mix. Unit-linked is in the 40s in HDFC Bank, and non-par is fairly healthy in the mid-to-late 30s. And as Vibha mentioned earlier, the term mix is increasing fairly steadily.

So that's probably the mix. So, it is not very different from the other bancassurance channels, but by and large, moving in the direction that is right from a customer perspective as well as for all the stakeholders. As far as growth on non-par, it's across the board. And obviously, as you will appreciate, on a very low base, greater than 5 lakh growth is extremely high.

It's not a number that we want to talk about, but it's just a base effect. So, there is a fairly healthy growth of over 30% on up to 5 lakh as well. And on a very low base, the growth is much higher in greater than 5 lakhs.

Dipanjan Ghosh: Just a follow-up. I just wanted to know that out of the INR100 of individual APE that you have written, how much would the HDFC Bank for the quarter?

Niraj Shah: About 51%.

Dipanjan Ghosh: How much should that be in the base, 1Q of last year?

HDFC Life Insurance Company Limited

July 15, 2024

Page 22 of 24

Vibha Padalkar: I'll just explain. So, we grew about 40%, and about 18% is because of the share increase. And the rest, about 22%, is just normal growth. And HDFC Bank has also grown at about 22% -odd, in the mid-20s, all put together.

Moderator: The next question is from the line of Rishi Jhunjhunwala from IIFL Institutional Equities.

Rishi Jhunjhunwala: Just a couple of questions. One is now our EOM is at decadal high. And even adjusting for any kind of reclassification of commission payouts, it

looks like both on year-on-year and sequential basis, it has gone up. So just wanted to understand what is driving that, have commission payouts gone up? And the second question is, when you are offering a guaranteed-return product, what kind of rate of return do you make or do you assume. Is it higher or lower than GSec plus 50 bps?

Niraj Shah: So that really depends on the product pricing, which is based on the tenure in which the investment is happening. So, the rates that we offer to the customer ranges anywhere between, in the current context, maybe, from say, 5.5 to maybe 6.5. So, for us to give the customer 5.5 to 6.5, we need to have a spread to manage our risk as well as account for the baseline profitability and cost of capital.

So that is factored into our pricing. And that is the reason why we reprice fairly dynamically based on how the interest rates move. And we have been reasonably disciplined in this manner ever since we launched this product category over 5 years back. So, we have broadly managed to maintain our spreads even in a fairly intensely competitive environment. And we have done that through multiple things.

One is, of course, the strength of the distribution that we have and also the new products that we launch from time-to-time, in which the customer and distributors as well are able to see beyond just the rate. And like in protection, there are many other considerations that go in when a customer is buying a product, so that works fairly well for us in the segment.

Rishi Jhunjhunwala: The only reason I asked that question is for the surrender regulations, we have been allowed to discount with a factor of GSec plus 50 bps. So, what I was trying to understand is, at a portfolio level, on guaranteed return product, do we end up earning more than that or less than that?

Niraj Shah: More than that.

Rishi Jhunjhunwala: And just the first question that I was asking was on EoM as a percentage of net earned premium, is now up to almost 22%. It is pretty much at a decadal high, and even adjusting for any kind of reclassification from opex to commissions, it seems like our commission payouts have gone up substantially because it is visible in the sequential pickup as well. So just trying to understand what is driving that?

Niraj Shah: If you see the total expense ratio for full year FY24, it was within 20 basis points of the previous year. And the commission structure started changing last year after the EOM

HDFC Life Insurance Company Limited

July 15, 2024

Page 23 of 24

regulations that were effective from beginning of last year. And that journey continues as we speak in FY25 as well.

So, nothing really materially different from that. Our cost of acquisition on a like-to-like basis hasn't really changed meaningfully. At the margin level, there could be relationships in which there could be some changes. But at a very broad level, there are no significant changes in the overall cost of acquisition.

So, the overall cost of acquisition is at similar levels and the expense ratio is also fairly close to where it was at the beginning of the period. For quarter 1, the change that you see in the expense ratio is more in terms of the investments that we made in terms of infrastructure as well as people that we have deployed in partner branches, nothing much to do with the commercial arrangements.

Moderator: The next question is from the line of Arul Selvan from Independent Advisors Private Limited.

Arul Selvan: I just had one book-keeping question. On Slide 33, it says that your current solvency ratio is without assuming the impact of the dividend, so could you just tell me what would be the solvency ratio after including the impact of the proposed final dividend?

Niraj Shah: Around 5% impact on solvency after assuming impact of dividend payout.

Moderator: The next question is from the line of Neeraj Toshniwal from UBS

Securities.

Neeraj Toshniwal: So wanted some sense on the distribution. Obviously, we have already mentioned a 41% from HDFC Bank, of which 18% growth is from wallet share change. But is it correct to understand that last year, in the second quarter, we already had a higher wallet share. So, you will have a normalized growth from banca in Q2. So, is it the right understanding?

Vibha Padalkar: Not the entire Q2, it started moving up slowly from August and meaningfully from September onwards.

Neeraj Toshniwal: And in terms of agency channel growth, it looks a little tepid. Obviously, ULIP could be one of the reasons, but how do we see that growth picking up from the second quarter?

Suresh Badami: We did address this in one of the earlier questions also. I think there are a few input parameters which are in place for the agency, and we do believe a little bit of the base effect of last year will help us grow our agency faster. So, the Exide agency channel is expanding. With Tier 2, 3 expansion, with the new branches that we set up last year, that should help us expand into newer locations and newer geographies.

Third, of course, is the fact that we have invested heavily in terms of training as well as a lot of new products that have been launched, which are being picked up by agency. So, we do believe that the agency should also pick up in quarter 2 as compared to quarter 1.

HDFC Life Insurance Company Limited

July 15, 2024

Page 24 of 24

Neeraj Toshniwal: Any view on composite license?

Vibha Padalkar: So, we are hopeful that it gets introduced in both the houses of parliament. And hopefully, it gets passed. We have been waiting for quite a long time. And if that were to happen, we will evaluate our options. But the bigger picture is how do we expand the pie, not much interest in doing the same thing. But this hopefully should open up a lot of new product and innovation ideas. And that is what we will be focused on if this comes through.

Neeraj Toshniwal: Have you already started evaluating the kind of products we will be launching if at all, this makes through?

Vibha Padalkar: Yes. We do have some ideas internally.

Moderator: Thank you. The last question is from the line of Raghvesh from JM Financial.

Raghvesh: So, on the group protection, you mentioned credit protect was flat Y-o-Y. So how much of a decline did we see in the group term? And how does group term business fare on the margin as

compared to the company level margins?

Vibha Padalkar: So, both are almost flattish. And yes, these are profitable segments when you get it right. But credit life is a lot more impactful than GTI. GTI for us is small, it will probably remain small.

As we have said in the past, we will do GTI only where it makes sense. And given it's a largely one-year business, we find it difficult to ignore past experience and so on. But it's fairly negligible for us in terms of margins or premiums.

Raghvesh: But the Y -o-Y decline in protection comes out to be around 15%. So if the credit protect was flat, this has to be a substantial decline.

Vibha Padalkar: GTI itself is not substantial.

Suresh Badami: Credit protect is also not a substantial decline, is flattish.

Vibha Padalkar: Where do you see substantial decline?

Raghvesh: I see around 15% when I try to back calculate from the protection number.

Vibha Padalkar: Maybe we will connect offline.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions, I now hand the conference over to Ms. Vibha Padalkar for closing comments.

Vibha Padalkar: Thank you, everyone, for joining today's call. Please feel free to reach out to our IR team in case of any further queries. Have a great evening. Good night.

Call: Oct 2024

October 21 , 2024

Ref. No: HDFC Life/CA/2024- 25/102

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National Stock Exchange of India Limited BSE Limited
Exchange Plaza, Plot No C/1, Block G, Sir PJ Towers,
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NSE Symbol: HDFCLIFE BSE Security Code : 540777

Dear Sir / Madam,
Sub:

Transcript of earnings conference call H1 FY25

We wish to inform you that pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of the earnings conference call with analysts and investors held on Tuesday , October 15 , 2024 , to discuss the financial performance of the Company for H1 FY25 .

The said transcript has been hosted on the Company's website at <https://www.hdfclife.com/about-us/investor-relations> .

This is for your information and appropriate dissemination.

Thanking you,
For HDFC Life Insurance Company Limited

Narendra Gangan
General Counsel, Chief Compliance Officer &
Company Secretary

Encl. As above

Page 1 of 32

HDFC Life Insurance Company Limited
H1 FY 25 Earnings Conference Call

October 15, 2024

Page 2 of 32

Moderator : Ladies and gentlemen, good day, and welcome to HDFC Life Insurance Limited Results Conference Call. As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Please note that this conference is being recorded. I now hand the conference over to Ms. Vibha Padalkar, MD & CEO, HDFC Life. Thank you, and over to you, Ms. Padalkar.

Vibha Padalkar : Thank you, Andrew. Good afternoon. I would like to welcome everyone to our earnings conference call for the half year ended September 30th, 2024.

Our results, which includes the investor presentation, press release and regulatory disclosures, have already been made available on both our website and the stock exchanges.

Joining me are Niraj Shah, ED & CFO; Vineet Arora, Chief Business Officer – Distribution, Data and Technology; Eshwari Murugan, our Appointed Actuary and Kunal Jain, SVP - Investor Relations and Business Planning.

Moving on to key highlights of H1 FY25.

Starting with operating performance

The private sector and overall industry continued its strong momentum in Q2, growing in H1FY25 by 24% and 21% respectively on an individual weighted received premium basis. We have outperformed the private sector by growing at 28% during this period and 19% on a 2 year CAGR basis. Our market share amongst private players registered an increase of 60 bps, improving to 16.3%. We are also happy to inform you that our overall market share touched a new peak of 11% for the period ending H1 FY25.

On an individual APE basis, we have recorded a robust growth of 31% on a YoY basis and 19% on a 2-year CAGR basis, bolstered by strong performance across all metrics. We registered an increase of 22% in the number of policies sold, with a ticket size expansion of 7%. The growth in number of policies was significantly ahead of the private sector growth of 13% with strong secular growth trends across Tier 1, Tier 2 and Tier 3 geographies. The proportion of 'New to HDFC Life' customers remains promising, exceeding 70%. We achieved a strong growth in retail sum

HDFC Life Insurance Company Limited

October 15, 2024

Page 3 of 32

assured which was 31% on a YoY basis and 45% on a 2 year CAGR basis.

We continue to remain market leaders in overall sum assured.

Our product mix based on individual APE in H1 was as follows, ULIP

s:

36%, non-par savings: 38%, participating policies: 15%, term:6%, and annuities: 5%. ULIP has seen some intended moderation in this quarter with the proportion reducing from 38% to 35% from Q1 to Q2. We have observed strong growth in non-par savings products, with the segment achieving a 76% YoY increase aided by new product variants launched this year.

Retail protection APE in H1 and on a two-year CAGR basis saw growth of 27% and 36% respectively. We expect the healthy momentum in retail protection to sustain for the rest of the year. The credit protect segment has been soft this year on account of calibration in disbursements across some of our partners and lines of businesses. As we have stated in the past, our focus remains on building a long term, profitable business in this segment.

Our annuity business experienced slower growth on the back of aggressive and unsustainable pricing by some peers. We continue to adopt a calibrated growth strategy, focusing on enhancing our product offerings whilst maintaining pricing discipline. Annuity and protection together contributed 44% to our overall new business premium.

Moving on to key operational and financial metrics

Our H1 value of new business was Rs. 1,656 crore, reflecting a 17.4% YoY growth and new business margins of 24.6%. The margin compression is primarily attributed to product mix and deferment in repricing of certain traditional products.

As we rushed towards ensuring product compliance by October 1st, we took a considered call to defer re-pricing of certain non-par products that were going to be phased out. As we have articulated this year, equity markets are likely to stay buoyant and hence we will prioritise new business, 15-17% VNB growth with some flexibility on margin outcomes.

Our embedded value stood at Rs. 52,114 crore as on 30th September, with an operating return on embedded value of 16.0%. Profit after tax has grown by

HDFC Life Insurance Company Limited
October 15, 2024

Page 4 of 32

15% year-on-year, reaching Rs. 911 crore, driven by a steady increase of 18% in profit emergence from the back book.

As on September 30, 2024, our solvency ratio stood at 181%. As we had indicated, we raised subordinated debt of Rs 1,000 crore in the last week, thereby improving our solvency to 192% post the sub-debt raise.

Renewal collections grew by 12% year-on-year. We are pleased to share that persistency for the 13th and 61st months materially improved to 88% and 60%, respectively, marking increases of 120 basis points and 730 basis points versus the previous year.

Next on to distribution:

We saw holistic growth in individual APE across channels. Our overall bancassurance channel grew by 32% with deepening relationships across partner banks. Our counter share at HDFC Bank continued to be stable at around 65%. Proprietary channel grew by 27%, with the Agency channel gaining momentum in Q2 on the back of improved productivity, thus outperforming the company's overall growth. Term business in agency grew at over 2x company growth. We continue to be the market leader in the broca channel with healthy growth across offline and online partners. The channel has seen a pick-up in the HNI segment, while strengthening its foothold in Tier 2 and Tier 3 markets.

We are delighted to announce that our subsidiary HDFC Pension crossed the Rs 1 lakh crore milestone in terms of assets under management and is one of the fastest growing pension fund management company in the industry, enjoying a market share of 43.6% in H1. The GIFT City branch of our Dubai subsidiary, now offers 6 US dollar denominated products to both NRIs and Resident Indians across life and health categories of insurance.

Moving to regulatory update

We have successfully relaunched more than 40 top products contributing to about 95% of the business as on October 1, 2024 and we

plan to relaunch

other products during the course of the quarter. We are thankful to the regulator in allowing us an additional time of 3 months for transitioning to

HDFC Life Insurance Company Limited
October 15, 2024

Page 5 of 32

the new product regulations. We believe that the revised products are more attractive to prospective customers and strengthen the long-term life insurance proposition in India.

We are in various stages of operationalising the commercial changes with all our partners. We have adopted tailored solutions, including commission deferral, reduction or claw back depending on persistency track record and partner preferences. Whilst this transition might take some time, we expect to complete changeover across all our distributors in H2.

Coming to sustainability and governance

HDFC Life continues to be recognised for its commitment to sustainability and responsible governance. The company was ranked amongst India's top four performers in the financial services sector by BW Businessworld's India's Most Sustainable Companies, based on its publicly disclosed Business Responsibility and Sustainability Report (BRSR) for FY24. Furthermore, HDFC Life's S&P Global ESG score saw an improvement of over 20% versus last year and we continue to be rated well amongst regional insurers, thereby demonstrating leadership in aligning its business practices with sustainable and socially responsible principles, creating long-term value for all stakeholders. Our MSCI ESG Rating has also been upgraded to 'A'.

Our commitment to sustainability not only reflects our responsibility to society but also strengthens our long-term profitability, ensuring sustained value for both customers and shareholders.

On employees

Our success is driven by our valued employees, and we continue to invest in building a supportive and inclusive work environment that fosters innovation and collaboration. HDFC Life was recognised for its inclusivity and employee-friendly policies, being awarded the Best Companies for Women in India 2024 in the BFSI sector and Exemplar of Inclusion (Most Inclusive Companies India 2024) by Avtar & Seramount, affirming the company's commitment to diversity and inclusion in the workplace.

HDFC Life Insurance Company Limited
October 15, 2024

Page 6 of 32

In closing

We remain focused on driving sustainable growth and strengthening our leadership across key segments. We will continue to invest in customer-centric innovations to ensure we meet evolving needs and remain resilient in a dynamic market. We are confident in our ability to deliver long-term value for our stakeholders, whilst adapting to the evolving market landscape with agility and resilience.

For a detailed overview of our results, please refer to our investor presentation. We are now open to any questions from the audience.

Moderator : The first question comes from the line of Avinash Singh with Emkay Global.

Avinash Singh: A couple of questions. First part on growth outlook. In the first half, a very strong growth, 24% APE growth. This also has a tailwind for the first 5 months, you're improving share within HDFC Bank channel. Now in the second half, that is going to be part of the base.

Also, there could be some frictional issues at least in the initial 1, 2 months with regard to the new product launch and all. So considering all this, what kind of growth outlook do you see for H2, particularly if you were to sort of compare with H1? Because in H2 also, you have some sort of slight benefit also from the favourable base, that is on growth side. In relation to that, you also made a comment regarding buoyant equity market. So is there some sort of rethink of strategy around ULIP for H2 with regards to growth?

And coming to margins, in second half, you will have impact from this new surrender regulation playing its part. A

t the same time, with whatever

growth-related cost reduction that you will have, how do you see the margins for this H2?

I would say that there are a lot of unknown variables for us to sort of take a call on how the margin is going to be; because the growth composition across product segment and particularly the continued probable sluggishness around your credit life due to whatever is happening in the unsecured PL or micro finance segment, so that will also have bearing. So how do you see sort of a margin in the second half?

HDFC Life Insurance Company Limited
October 15, 2024

Page 7 of 32

Vibha Padalkar: Yes. Thanks, Avinash. So, I'll take it in serial. The first one on growth.

Like I said in the past, I said 15% would be on the upper side, but we will revise it because the sector was going for a change in terms of surrender regulations and also getting settled into the new normal of an elevated equity market. So, I think 18% to 20% revision in our outlook on a full year basis is something we feel reasonably confident about.

Coming to second question on rethinking on unit-linked, Our thought process is as follows. It is a new normal in equity markets wherein we are witnessing each dip being lesser in intensity and the bounce back being higher in intensity because of global factors. So how do we make it range bound? I have articulated it before that in the first half, we have grown comfortably higher than the industry. We grew almost 400-odd basis points higher than the private sector. So, faster growth than the industry is something that we will drive. That is number one.

And within that unit-linked will continue to remain range-bound. It is unlikely to reach the levels of 50% that is quite common in our sector, but it will be range-bound in the 30s. Second aspect is VNB growth because that's clearly the volume of cash that as an insurance company we are accreting to our embedded value and that is delivering value. So that kind of increase in VNB is our second priority. And I'm happy to share that we have delivered on what we said, which is about 17%-18% growth; 17.6% on H1 basis. We will continue to deliver on a full year basis in that range. Maybe this could be a little bit lower or higher, but roughly in the 15% to 17% range in terms of VNB growth.

And then third point is on margins. I've said in the past and I want to reiterate that some level of flexibility on margins with the first two objectives being sharply defined will be there only because of a couple of things. One is a very significant changeover that as a sector we are going through as far as surrender regulations are concerned; and all aspects, the customer, the manufacturer as well as the distributor, everyone is being affected by it. So how that settles down, and then unit-linked and credit life segment is also something that needs to be observed, like you mentioned.

HDFC Life Insurance Company Limited

October 15, 2024

Page 8 of 32

So, there are a few balls up in the air, and so margin will be an outcome. At the same time, we're not talking about unit-linked reaching 50%. We are also not talking about kitchen sinking the margins, but there will be a floor. What that floor is, we will determine, but it will be range-bound. And that's really what we have delivered in H1 of this year.

Moderator: Next question comes from the line of Suresh Ganapathy with Macquarie Capital.

Suresh Ganapathy: Yes. I have harp a little bit more on margins because when you ended FY'24, you ended with a margin of 26.4%, right? And the guidance was that the new regulations perhaps can bring it down by 100 basis points. As I look at second quarter, we are already at 24.4%, so we are already 200 basis points below what you ended FY'24 at, and even without the surrender value regulations kicking in.

Does that mean

that 100 basis points will now further be below 24.4%, which means it looks like you will be 300 basis points below your earlier guidance?

I understand that the growth has been strong and therefore your VNB outcomes will still be good, around 16%-17%, as you have been guiding. But clearly, on the margin side, it looks like we are likely to undershoot the target.

And the second thing is I'm very surprised to see all your competitors completely rubbishing the new surrender regulation saying that everything will be fine and we can easily manage and pass it on. Is that the view you hold? How do you look at some of the commentary from your peers?

Vibha Padalkar: So a few things on the comparison of H1 '24 versus H1 '25. See, in H1 '24, our unit-linked was 28% of overall versus 36% in H1 of this year. So quite a significant tilt, like I've alluded before, on the realities of what we are seeing right now. We can choose to give easily 26-plus percent margins, but not grow. And this is something that I've been articulating over the last 6-7 months or so; this conundrum that exists.

And when I look at my new to HDFC Life customers, over 70% of my growth is from new customers, meaning first-time buyers. And some of them

HDFC Life Insurance Company Limited

October 15, 2024

Page 9 of 32

are coming on the back of unit-linked. So, with my ability to cross-sell to them, the conundrum is do I say no to them or do I have a balance? And hence, I'm saying it will be range-bound, a little bit on the upper side, instead of it being slightly lower than 30%, it is in the mid-30s, and that is a conscious call that we have taken.

At the same time, I think there's a lot of focus on one metric that perhaps is an outcome. And the reason I'm calling that out is, yes, the margins are a shade lower. But if I were to look at growth in H1 of last year, I grew 9%

versus H1 of this year, I grew 31%. If I were to look at the VNB, like I said, VNB is really cash, do I say no to generation of that cash and hence accretion to my embedded value just because I want to stay range-bound in margin. I have no doubt in my mind that as and when there's a little bit more calibration in equity markets, unit-linked like we have seen, will go down in terms of popularity. That will happen and that's when given our balanced product mix and our ability to switch amongst all our sales force fairly will seamlessly happen, wherein slightly higher-margin products will start gaining centre stage.

So, this we see as a market phenomenon, that's not likely to stay forever. And we have to react and adapt to the markets and we very sharply focus that as long as I'm making money out of the business that I'm selling, I think it is good business.

Suresh Ganapathy : So, Vibha, you're saying that just for the time being, let us dismantle the VNB guidance, all what matters is the VNB growth. Whatever could be the components of that, the VNB growth will be at healthy 15% + or 16%-17% as you're guiding. That doesn't matter what the composition is, right?

Vibha Padalkar: Yes. Except with a caveat that there will be a floor. So, we're not saying it could be 500-600 basis points lower, we're saying it will be range-bound. On a full year basis, last year, we ended 26.3%. Leaving surrender charges aside, we are talking about some range-bound margin being the outcome. But in the pecking order, I'll go for growth and new customer acquisition, and second is VNB. Margins will be an outcome as long as it is range-bound.

HDFC Life Insurance Company Limited

October 15, 2024

Page 10 of 32

Because otherwise, like I said, I could easily lose my ranking and that's been seen before, wherein you lose your overall ranking in the industry, but you give very high levels of margin. We think that also is not a good outcome. I have to acquire more customers and look at

how I upsell to those customers

down the line, right? So that's our considered strategy from now as long as markets remain elevated. So that's point number one.

To your second question, Suresh, on no impact, we have said that there will be a 100 basis points impact at the company level. At the same time, we will try and reduce that impact by renegotiating with 300-plus partners and all our 2 lakh-plus agents, and we are right now in that process. As you will certainly understand that we are in multi-tie in all relationships, right? So, it's not a bilateral conversation, but it's a multi-prong conversation. We talk to a partner, partner talk to other insurers, and then there is a loop back into us and into them. And so, all of that is going on right now.

By and large, partners understand where the regulator is coming from and it will take about a quarter for the economics to settle down. Some combination of deferment of commission, clawback of commission and lowered commission to some extent is what we're having conversations about. There will be some impact, but I don't see it as being a material impact once all of these discussions are through.

Suresh Ganapathy : So just one last clarification. You said there's some deferment of pricing you did, partially which also affected the margin. Why would you do deferment of pricing for non-par? It is all old products, right? In old products, the pricing remains the same, right?

Vibha Padalkar: The thing is that, as of 1st of October, if I'm not compliant with the new regulation on surrenders and some of the other nuances, I'm not allowed to sell those new policies. There's only so much of IT bandwidth and our processing capability with the same set of people and overnight, I have to change more than 40-plus products to make them compliant.

We could have changed the IRRs on an existing old product because interest rates have changed, but we chose not to do it because then I would have had to sacrifice a new product in lieu of the old product. So we just took a call

HDFC Life Insurance Company Limited

October 15, 2024

Page 11 of 32

that that had an impact for a few weeks, and that translated to 70-odd basis points impact.

But it was very important for all our key products to be revised and that we are able to start with a bang on 1st of October. This was the trade-off we had to make so all of our channels and subchannels have the main bread and butter products that they and their partners are used to selling and customers are used to buying.

Suresh Ganapathy : Okay. So, you are just saying that it's a bandwidth issue. I mean, a bandwidth was dedicated towards the newer products instead of trying to focus on repricing the existing products. So that's the simple thing,

Vibha Padalkar: Yes. Absolutely. I had to focus on new business and not spook our distribution channels, to say that I don't have the key product that they sell. And my different subchannels have preferences on a certain variant, on a certain term and so on. Every time there is a significant change, even considering the Unit Linked changes that happened back in time, there's something or the other to trade-off, given the volume of changes that one needs to do at a company of our scale.

Suresh Ganapathy : Sorry, my last question, I have to squeeze in on IFRS. What did the MCA circular say? It said perhaps all non-bank promoted insurance companies have to comply with IFRS and you guys for the time being get an exemption and therefore, we will have to wait for the IRDA circular. Is my interpretation right? What is the impact and how you're looking at it?

Niraj Shah: Yes. So a couple of things. One is initially MCA came out with a definitive timeline, one was for non-bank-held insurance companies and other one was for the rest. They specified a date for the non-bank-held companies,

which

they later deferred to IRDA. So IRDA will basically decide the date of implementation for all insurance companies, whether they are bank-owned or non bank-owned. So that was one change that happened after the initial MCA circular.

As things stand today, we have received the communication from IRDA and we believe some peers have also received communication, which talks about HDFC Life Insurance Company Limited
October 15, 2024

Page 12 of 32

IRDA's intent to roll it out from April 2027. So, there is a phase-wise implementation plan, which we understand will be followed where all the large listed as well as unlisted insurance companies will go into Phase 1. And we basically have this window of about 24 to 30 months to get this done. And that's where it is as far as this is concerned.

But of course, IRDA has also said that this is, in some sense, an endeavor, so we will obviously be prepared to be ready well ahead of time. But we will await a very clear direction from IRDA in terms of the final implementation guidelines.

Moderator: The next question comes from the line of Madhukar Ladha with Nuvama Wealth Management.

Madhukar Ladha : Vibha, you mentioned in your comments that you deferred pricing on few of the non-par products. I wanted to get a sense of what was the impact on this quarter's margins or the first half's margins because of that? And the 100 basis points that you're talking about would be versus the margin of last year, right? So that was question number one.

Also, if I look at your distribution mix, it seems that the bancassurance channel, the growth is there, but it's a little softer. So just wanted to get a sense of what has played out. So, on a year-over-year basis, growth was a little softer in the bancassurance channel side. So, yes, those would be my 2 questions.

Vibha Padalkar: Yes. I'll take the second question, and Niraj can answer on the margin walk. Our growth has actually been very healthy at about 20% * in bancassurance channel. So soft is because of the base effect. If you remember, last September was a bumper year for us, wherein we touched a counter share of 70% at HDFC Bank, and that is really what is causing it. So, it is more a base effect than intrinsically there being a slowdown.

*rectified to 26% growth in bancassurance channel in Q2 in the following comment by MD & CEO

Madhukar Ladha : And so, if I may just ask again, what's our counter share now and then?
HDFC Life Insurance Company Limited
October 15, 2024

Page 13 of 32

Vibha Padalkar: Sorry, just to clarify, we grew by 26% in Q2FY25, which I think is a fairly healthy growth. And if I didn't have the base impact, then it would have been even healthier. And the counter share hovers around 65 %-66%, so about 2/3rd of the business and it is settled down there.

Niraj Shah: On the margin front there are a couple of things that we had said. One is, of course, the unit-linked mix, which is higher compared to last year. Similarly, annuity which is lower compared to last year. And also, there is residual impact which came through from the lag in repricing by a few weeks. So that, from a quantification perspective, up to 30-40 basis points is something that we would attribute to delayed repricing. But a significant part of impact would be still attributed to the change in product mix, for which we have articulated the reasons as well.

Vibha Padalkar: Just to add, when you look at unit linked mix compared to last year, it was 30% in Q2 of last year versus 34% in Q2 of this year. So, some of the impact is due to higher unit linked and some is due to deferment in repricing of non-par.

Madhukar Ladha: And if I were to just ask what was the impact of not repricing the non-par in this quarter, just to get a sense of normalized margins before we go into increased surrender

er value regime?

Niraj Shah: Yes, that's what I mentioned, 30 -40 basis points is what you can basically look at.

Madhukar Ladha: Just for the non-par, right?

Niraj Shah: Yes, this is for the non-par because repricing is for non-par only, basically, the non-par savings and annuity products.

Moderator: The next question comes from the line of Manas Agrawal with Sanford C. Bernstein.

Manas Agrawal: A couple of questions. Correct me where I'm missing the delta. Your QoQ product mix has improved, but your margin has gone down. Your repricing impact is 30 -40 basis points on the non-par piece, so not able to tie that in, that's the first question. Second question is, is there any impact on the funnel

HDFC Life Insurance Company Limited

October 15, 2024

Page 14 of 32

for your annuity business due to changes in the government employee pension plans? That's it.

Niraj Shah: Yes. So, the 30-40 basis points, as I was talking about is on H1 basis, from our reporting perspective. All the repricing line happened in the second quarter. So, the impact in the second quarter was higher. So, if you see the slide that we carry in our investor presentation, we called it out for the period, which is half year. But for the quarter, the impact of repricing would be higher, it will be closer to maybe 100 basis points.

Manas Agrawal: Understood. On the second one?

Vibha Padalkar: On the annuity business, we will have to see as to what the government articulates in a lot of nuances. So, we will have to wait and watch to see any impact on annuity on that.

Manas Agrawal: Understood. I wanted a clarification. I know there's not a lot of clarity on what the modalities will be, but annuitization is not compulsory in the revised pension scheme? Is that correct?

Niraj Shah: No, that is not clear yet. We await clarifications on the UPS or the Unified Pension Scheme. What has basically been articulated so far is the intent to give some sort of guaranteed pensions for the government employees. How that is going to get funded to some extent has been discussed. But what happens once the funding is done, is something that is yet to emerge in terms of how the management will happen. And what happens on vesting from an annuity perspective also yet to be clarified. So, we will have to wait and watch on that front.

Moderator: The next question comes from the line of Gaurav Jain with ICICI Prudential Mutual Fund.

Gaurav Jain: A couple of questions from my side. If you can put in some more light on what is this calibration in credit life that we are taking, which has led to some degrowth in the group protection business? And what would be the guidance for the same going into H2?

Page 15 of 32

Second is, is the repricing required for surrender regulations with HDFC Bank done? And third is, if I take the lower end of the guidance also, which is like 18% APE growth in FY25 and 15% VNB growth in FY25, the ask rate on margin from H2 will it be a high 26.4%, Vibha?

So, while I understand margin is a derived number and one should not put a lot of focus to it and focus more on absolute VNB. But is there something that can give you some confidence as to these repricing, etcetera, will help you deliver better margin in H2? Or how should that be looked at?

Vibha Padalkar: I'll take your point on repricing. As far as the customer is concerned at HDFC Bank, there is no repricing or any customer for that matter. We are not looking at repricing as a result of the surrender charges. So, in the normal course of any interest rate movements like we reprice, that's something that will be an ongoing exercise as far as HDFC Bank is concerned. Also commercial in terms of HDFC Bank, those conversations have happened. Obviously, I don't want to share partner level conversations, but

yes, they

have been long had. And they are in line with what is the expectation of the regulator as well. So, that's going to be a non-event. As far as margins are concerned, again, we are not tethering ourselves to a margin like I explained, while there will be a floor.

But at the same time, we're not back solving for a margin because like I explained, that is fairly counterproductive. But whether it's 100-150 basis points lower than where we ended last year in lieu of growth and most importantly, VNB growth, that's what we are trying to solve for. We would love for all three to be growing in one direction, but market reality is only because of unit-linked are saying something else, and then we need to stay relevant while we go through this cycle as well. So that's how we see it.

Vineet Arora: I'll take the question on CP. Our CP numbers are largely based on the moderation, which is happening in the entire unsecured and the MFI sector. And because CP is an attachment product, and as the disbursement in that sector has softened, our CP numbers are not showing the growth that was planned for earlier. I think that's the difference which is showing in the CP numbers.

HDFC Life Insurance Company Limited
October 15, 2024

Page 16 of 32

Apart from that, there is some bit of competitive pressure getting built up because the volumes have gone down. So, we might choose to reduce our exposure to certain partners where the competitive pricing is not making sense. So, we will have a threshold for ourselves and beyond that, we might want to just lie low for some partners for some time.

Vibha Padalkar: And just to add, sensible pricing in credit life is important. We are the market leaders in this space, and we have been in this space at least for the last 10-12 years. And this is a rational pricing time and again is not new. What also gives us the confidence is the deep relationships that we enjoy with our partners. And while there could be some pricing aggression, time and again, we have found that we have gone back into that partnership.

And without naming certain partners, with a very marquee south-based lender; we went through this cycle of taking a back seat when the pricing was extremely aggressive, when we tried to triangulate the claims experience they were seeing, we took a back seat. And now we are full throttle when repricing was on the table again, we got invited again and we won the mandate. So, I think this is a phase that we are in right now, and that's something that is part and parcel of this cycle.

Niraj Shah: And just a couple of things I'll add, unlike the retail business, which is about 30 to 40 years in terms of term as and the experience kind of pans out over a period of time and there are different levels of disclosure in the industry, as you're aware. So, mortality variance for some may not necessarily be disclosed.

But as far as the CP business is concerned, most of the business lines have a tenure of anywhere between 12 to 36 to 48 months, a large part of the

business is in that range. And also, a large part of that business is retained on the books of the insurance companies. So, there is very limited reinsurance support on that as well. So, with that, the aggression is something that gets found out very quickly relative to the retail business. So that's something that we have seen over multiple cycles in our experience.

HDFC Life Insurance Company Limited

October 15, 2024

Page 17 of 32

Gaurav Jain : That was helpful. Just 1 last question . We also saw degrowth in annuity, which would have led to some margin compression, is there also competitive intensity or challenge or how is that shaping up?

Vibha Padalkar: Yes. There is no other reason. It's purely competitive intensity wherein, logically, if you're giving out a rate that you're more than what you're earning

ing

on a G-Sec underlying asset, clearly, that is not a sustainable proposition. And time and again we have seen and I've talked about this in the past in the context of right pricing on retail protection.

When you withdraw this kind of stimulus, your frontline sales will struggle to sell. So , we believe that we rather price it right. We're talking about longevity risk., Some of this perhaps will start straightening out due to the change in surrender charges. Some of the aggression on pricing perhaps was, if I may say so, funded by surrender charges on non-par and with that, reducing quite significantly, we expect to see some sense prevailing on the pricing of term , annuities and credit life.

Moderator: Thank you. Next question comes from the line of Shreya Shivani with CLSA .

Shreya Shivani : Ma'am, I just wanted to understand how the negotiations with the distributors usually pan out? So , for example, you guys have launched a majority of your 40 new products from 1st October onwards. So , all of your distribution partners have agreed to certain terms and conditions? And they can come back and renegotiate with you after what time period? How does this usually pan out? That's my first question.

And my second question, again, on the new products that have been launched. How much cut have we taken? I know that we did not reprice our non-par product in the second quarter. So how much repricing or how much cut in IRRs did we do when we launched the surrender value version of these products? Those are my two questions. Thank you.

Vibha Padalkar: Yes, hi. Shivani, on the first part, see, there are conversations with partners and not just for us, but even our peers, is fairly fluid at this point in time.

Conceptually, there is an understanding at least with key partners and some

HDFC Life Insurance Company Limited

October 15, 2024

Page 18 of 32

combination of deferment, clawback and/or reduction. That's where we are today.

It's not to say that we haven't done anything with certain partners , that's not the case at all. At the same time, like I mentioned earlier, that we are in a multi-tie situation in each one of our partnerships. And so , it will be dynamic. There will be, to some extent, multipronged conversations that the partners will be having.

And perhaps also having some conversations with regulators to understand what is happening and so on. So , this will take a quarter in my view to settle down. In terms of your question that when can they come back? See, again, this is dynamic. It is not signed and sealed, but I think we'll have to see whether a very good outcome, like some of our partners are talking about to say that wherever we will do a commission clawback, they are saying that they will strengthen their persistency in such a way that the amount that we claw back will significantly reduce, which is a good focus to have . Some of these good practices might also come through. We'll have to wait and watch, and that's really a good alignment between the customer, the distributor and the manufacturer.

If that were to happen and persistency goes up, then I think there is a win-win. And if that happens, then we can share more economics with partners as well and vice versa. So , give us some time. I think a quarter or so will be required for it to settle down.

Second answer is, we haven't repriced anything due to these regulations. In the normal course of repricing because of interest rate movements, that keeps happening.

Shreya Shivani : Okay. So there has been no repricing since whenever the last was done, nothing in 1Q, nothing in 2Q in spite of the new surrender value regulations getting launched?

Niraj Shah: No. So, in fact, we were talking in other direction in the last few minutes there. In fact, there was some repricing that was required to be done, but we had delayed it because of

compliance with the product regulations. So, there's
HDFC Life Insurance Company Limited
October 15, 2024

Page 19 of 32

no intention to have downwards repricing on account of the change in regulations.

Moderator: Thank you. Next question comes from the line of Sanketh Godha with Avendus Spark.

Sanketh Godha : Thank you for the opportunity. The way I understood is that you did not reprice products based on surrender charges and you are not changing as of now any commission structure. So, if I add back the 30 -40 bps what you made in 1H margin. You are at 25 %, so because of no commission clawback to a large extent and no repricing, there is a 100 -basis point impact in the margin until you renegotiate the commission structure assuming product mix remains the same. That's the right understanding, right?

Vibha Padalkar: Yes. So, we had said that 100 basis points impact if we did nothing. But obviously, we're not going to be doing nothing.

Sanketh Godha : But you said you will take 1 quarter to renegotiate and redo everything. So, for a quarter, you will operate at 100 basis points lower margin compared to where you usually would like to operate ?

Vibha Padalkar: No. That's not the outcome.

Vineet Arora : This is Vineet here. Like Vibha also mentioned, we have already done commercial negotiations with most of our partners, some of them are still underway. Some stability will arise because it's an open architecture and multi-tie arrangement, so some stability will come through with time. But let me say that majority of our business, effective 1st October is on revised commercials.

Sanketh Godha : Okay. Got it. And the second question is - in the first quarter results, you said that we intend to raise 20 billion or INR 2,000 crores of sub-debt. We stopped at INR10 billion. And so just wanted to understand what is the rate at which this was raised and where have we parked it? So is there a likely negative impact on the margins because of the INR1,000 crores sub-debt going ahead?

HDFC Life Insurance Company Limited
October 15, 2024

Page 20 of 32

And lastly, in ULIP, you said that your intention is slowing down the business or putting a cap on contribution. So that higher sum assured strategy still might be a lever available to grow if the ULIP demand is still there? Or do you think that story has already maxed out and therefore it is better to control the contribution of ULIP overall on the business?

Vibha Padalkar : On your first point, yes, we raised INR 1,000 crores, the rate is 8.05%. And the solvency that we have got to now is 192%. As regards to UL, I think you're referring to higher sum assured in UL. For certain segments of population that is still an attractive proposition. The UL product itself is also currently the flavour of the season. So, it's a combination of two propositions in one.

And so whatever the customer wants, as long as it delivers value for us in terms of VNB, we are happy to sell that. And so, we also have that in our arsenal.

Niraj Shah : Sanketh, to your pointed question, it's not maxed out. There is still some potential, and we are going to be exploring that in the second half of the year and going forward as well, not just in terms of higher sum assured, but also rider attachment. So, there is a significant scope in improving that as we go forward.

Sanketh Godha : Got it. And Niraj, this 8.05% negative carry on the VNB margin , would be how much?

Niraj Shah : Not material. In fact, given that this money will be entirely invested , we'll try and limit negative carry to maybe 30-40 basis points. So not a very significant impact on the VNB. On INR 1,000 crores, it's not a meaningful number, as you can appreciate .

Moderator : Thank you. Next question comes from the line of Prakhar Sharma with Jefferies.

Prakhar Sharma : Hi, thank you. So actually,

sorry to keep delving on the margin thing, but given so many factors involved , I just wanted to ask you that this quarter, as you mentioned in the last 15-20 odd days, you were selling as per the new product norms and there was a 600 basis point impact on margin. Would it be
HDFC Life Insurance Company Limited
October 15, 2024

Page 21 of 32

like in the next quarter, if the whole three months actually goes in any sort of a fix, do you think the impact on margins in the third quarter will be basically a multiplier effect of the 100 bps given that the period gets longer? Or how should we expect it to pan out?

Vibha Padalkar : First of all, in quarter two , the 100 basis points was not an impact. The 100 basis points is future impact due to surrender charges. The 70 basis points impact was due to the re-pricing. Now how are we looking at the margins going forward? Again, just to repeat , what we're looking at is overall growth so that full year growth ends in the range of 18% to 20%.

VNB growth range of 15% to 17% and then the resultant will be the margin. At the same time, they will be fairly range -bound. But whether it will be 50 basis points, 100 basis points here and there, that will be an outcome.

Niraj Shah : So, on a base case, H2 margins are likely to be slightly higher than H1 margins given everything else being equal, but it really depends in terms of how some of these things evolve. We've already discussed in terms of the surrender value implementation as well as the product mix. But on an H2 basis, that's what we can expect. We'll wait and see where that finally lands, and we'll obviously try and solve for the VNB growth number.

Vibha Padalkar : And also , just to add over there, we have put out an impact of surrender charges of 100 basis points. And we do believe that some of the pricing aggression that we saw in some of the value -accretive segments like annuity and protection , Some of that we think should taper off a little bit and thereby hopefully putting us on an equitable footing to be able to compete and get market share in those segments. So , we are reasonably optimistic on that.

Prakhar Sharma : Understood. So just to reconfirm from the IRDA gave an extension of about three months. So , the way it will apply is that, the manufacturer , - HDFC Life, will have to be compliant on 1st October or is it three months later? And second, when you have the partner arrangement, can they continue to remain fluid or there is a sunset clause to make those adjustments also ?

Niraj Shah : So Prakhar, just to be clear , all products that are allowed to be sold after October 1 have to be compliant. There is no dispensation on that. The three -
HDFC Life Insurance Company Limited
October 15, 2024

Page 22 of 32

month period is to launch products which are not yet compliant as on October 1. Three more months have been given by the regulator to make your other products, which were not compliant by October 1 , compliant, if you want to sell them or you may choose to withdraw them.

Vibha Padalkar : So, they need to be compliant with system and clauses . But if it's not compliant, you won't be allowed to sell it after 1st of October. You won't be required to withdraw it, but you will not be allowed to sell it. That's what we've got three months for.

Moderator: Thank you. Next question comes from the line of Mr. Nischint Chawathe with Kotak Institutional Equities.

Nischint Chawathe : Hi. Thanks for taking my question. You reported a fairly strong growth in non-par, in fact, much higher than ULIP. It's a little counterintuitive in the current regime. And I remember you mentioned that you're not going to engage in flash sales towards the end of the quarter. So , I was just curious

what happened? Is there a specific variant or something that was especially pushed in this quarter or is it something that

the delay in re-pricing actually helped in selling these products?

Vibha Padalkar: Yes. So, we had talked about the Click 2 Achieve, which is a blockbuster product that amassed INR 100 crores in 16 days. So, this is the same product that we had referred to in last quarter.

Niraj Shah: And Nischint, there's been no change in our product mix through the quarter. It has been in that zone anywhere between 37% -38% on non-par; in fact, close to 40% non-par in quarter two. But right through the quarter, it's not been any higher in September.

Nischint Chawathe: Sure. And just again, going back to the sharing burden of surrender penalty guidelines. Somewhere the smaller agents would probably be at some kind of a risk because they may not have cash flows when commissions go down to support their earnings. There is some risk of people at a margin kind of exiting the industry.

So, what is it that you are thinking to kind of support the smaller agents and kind of ensure that the industry continues to grow because there's always this

HDFC Life Insurance Company Limited

October 15, 2024

Page 23 of 32

kind of a debate, right? When you cut down commissions, some of the weaker agents tend to be weeded out of the market?

Vineet Arora: Yes. So, I think the way we have launched our structure is quite similar to what we have seen in the market being launched by other players. It's also tiered in a fashion that the agents who are with us for a longer period are able to get a higher upfront and the adjustment happened in the subsequent years. Also, the agents who have better persistency are the ones who will benefit more. So clearly, there is a move towards getting more quality business. As far as smaller agents are concerned or new agents are concerned, yes, we start with a smaller upfront. But as they improve on the quality and as they improve on their book with us, they start to move to the higher slabs.

So, it's a matter of building the book and staying with us and then they start to move in for the higher slabs. So how this impacts the entire distribution and acquisition of agents? I think still insurance is a very favorable piece. Even after this kind of adjustment on the upfront, we would still stand out in the market as compared to other financial instruments.

And we don't believe it should have a substantial impact, but we'll observe it over the next few months.

Nischint Chawathe: And would you sort of envisage or think that we kind of move to a near-full trail model on commissions?

Niraj Shah: So, we have all kind of structures available. There are certain agents who prefer certain models, and there are certain agents who prefer slightly more upfront depending on their disposition and where they come from. And I think as the agents become stronger and build more and more book for themselves, they also then like to move to a trail model so that they can even out their commission and maybe earn slightly higher overall.

But agents who are new, do prefer higher upfront.

Moderator: Next question comes from the line of Dipanjan Ghosh with Citi.

HDFC Life Insurance Company Limited

October 15, 2024

Page 24 of 32

Dipanjan Ghosh: Just a few questions. First, the agency growth has been quite robust over the last few quarters, especially this quarter. And we have been adding agents also at a very sharp speed. I just want to understand in terms of the agency growth, if you can kind of split it or give some color on the quality of growth between the new agents versus the existing agents or any sort of numbers on the acquisition ratios, if they have changed?

And lastly, whether you're adding more agents in the Tier 2 markets or the growth from the agency making more in Tier 2 markets? Because your term growth in the agency channel has also been quite strong. Some color on the overall agency cohorts. And t

he second question is more of an extension from

the previous participant's question, which is on the non-par segment. Just wanted to get some color on the ticket size breakup and growth across different ticket sizes in your non-par category, what is driving that?

And just one data-keeping question on the HDFC Bank channel, what is your growth for the second quarter? If you can kind of spell that out?

Vineet Arora : Sure. First, I will address the entire agent piece. So, our agent growth and the business mix is actually quite robust and spread geographically. We would have gotten nearly 70% of our business coming from Tier 2 and Tier 3. And the expansion of agent and branches that we undertook about 1.5 years back is also starting to now give us results.

And we are continuing with our expansion on agency and we're adding more branches as well. You have seen the number of agents that we are adding. So obviously, this entire focus is what is helping us go deeper in the market and get better quality business from these agents. Your other question was on HDFC Bank. 21% was the HDFC Bank quarter 2 growth.

Vibha Padalkar : And just to add here this is despite a very significant traction that we saw in September of last year.

Niraj Shah : Yes. Last year, August, September was a high base.

Dipanjan Ghosh : And the question on non-par across ticket sizes, if you can give some color on that?

HDFC Life Insurance Company Limited

October 15, 2024

Page 25 of 32

Niraj Shah : All our savings products are fairly tight in that 100,000 -110,000 kind of a range. In fact, non-par and unit-linked are very close to each other about 115,000 -120,000 also in certain pockets and participating is maybe in the 90,000 range. So overall, ticket size is about 100,000 on the savings products.

Dipanjan Ghosh : But the growth will be similar across these cohorts when I look at 2Q or 1H?

Niraj Shah : Within non-par, you mean?

Dipanjan Ghosh : What you mentioned is the average or the median ticket size, but if I look at the higher end of the spectrum versus the lower ticket size segment should the growth be similar, let's say, in more than INR4 lakhs -INR5 lakhs segment?

Niraj Shah : Yes. So, on a low base which got impacted after the budget, the growth is fairly robust across all ticket sizes within non-par, even at higher ticket sizes.

So, the growth that you see in the non-par mix which is upwards of about 70% plus is reasonably uniform across ticket size.

Moderator: Next question comes from the line of Rishi Jhunjhunwala with IIFL Institutional Equities.

Rishi Jhunjhunwala: Thank you for the opportunity. Just one question, you mentioned about not changing much on the repricing of the products post the surrender value changes from 1st October. Given that we are 15 days into the quarter, just wanted to understand how your competition has reacted during the same period in terms of repricing of products? And in case there has been lower repricing done, do you see that as an opportunity to gain market share in multi-insurer distribution channels?

Vibha Padalkar : While Niraj will answer specifics on any repricing, this is the point I made earlier too, that you can see some of this aggression on pricing in these cases where you're hardly retaining any spread or having very aggressive pricing, maybe 40% cheaper on term or even annuity rates. We do believe that for some of it, the source was perhaps surrender charges.

So, with calibration in surrender charges, some of that aggression is bound to go down. Everything possibly might not be passed on to the partners and it

HDFC Life Insurance Company Limited

October 15, 2024

Page 26 of 32

will have to be shared between the three different constituents in this. So yes, I do believe that some of this over the next quarter will hopefully move to more calibrated

pricing.

Niraj Shah: We had some instances of repricing across non-par savings products as well as annuity products downward. And to be fair, it could be a combination of responding to the surrender guidelines as well as interest rate changes. So, I think hard for us to say, but we have observed definitely downward repricing

on some of these segments.

Moderator: Next question comes from the line of Aditi Joshi with JP Morgan.

Aditi Joshi : The first one is on the participating product, the category growth has been particularly weak and when I talk to some of your peers, they have been saying that they would like to grow this particular category. So, I just wanted to understand like what are you thinking about this particular product going forward?

And the second one is, can you just help explain the growth differential between the Tier 2, Tier 3 and the Tier 1? And just particularly in the context of Tier 2 and Tier 3, I just wanted to understand that even in terms of the ULIP product is it again like a popular product in Tier 2, Tier 3 because somewhat the Tier 2 -Tier 3 are less risk averse? So, I just wanted to understand that if the ULIP continues to be popular in those cities as well.

Vibha Padalkar : On par, we have been known as a par company forever. And so, we are fairly enthused about par products, especially to certain customer profiles, in certain geographies, in certain channels and so on. It's just that right now what we are going through is a fairly polarized buying behavior and preferences.

One is like we have talked a lot on this call on the popularity of unit-linked in line with equity markets and the other is in terms of guaranteed products. Par lies somewhere here in between and actually can give a fairly good upside because the equity component backing up our product is significantly more than a non-par product for us, where it's nearly zero.

HDFC Life Insurance Company Limited

October 15, 2024

Page 27 of 32

So, we do believe that over a period of time this should bounce back and hopefully with certain product launches we will be able to revitalize that segment, hopefully in H2, we will see a little bit of traction.

Niraj Shah: Yes. So, the growth has been fairly even across Tier 1, 2 and 3 for us in this period close to 30% -31% across Tier 1 as well as Tier 2 & Tier 3. It's just that the base on which this growth has come is different. As you can appreciate last year Tier 1, we had a fairly challenging period post the budget. So, the base on that was favorable and there was a 30% plus growth in Tier 1 markets.

Tier 2 and 3 grew fairly well last year as well, if you recollect, both in terms of volume as well as ticket size. That growth journey continues in this period as we continue to expand our distribution and product portfolio. So even on a higher base, Tier 2, Tier 3 growth has been fairly robust, very close to company average in this period. And in terms of unit-linked products, I think contrary to what we may think given the aspiration to get the upside and participation in the equity markets, it's been fairly uniform across tiers.

We don't see very meaningful difference in demand for unit-linked products across different tiers. We, of course, exercise caution in terms of our engagement with customers depending on their profile, but the demand is fairly secular, whichever geography you look at, given the external environment.

And just to add one more aspect to what Vibha mentioned on par, very linked to this whole environment where right now moderation is something which people are kind of giving a pass right now. It's either the upside from equity or the long-term guarantee of non-par which is attracting customers at this point in time. So as the environment normalizes we would expect par to come back fairly strongly as well.

Moderator: Next question comes from

from the line of Roshan Chutkey with ICICI Prudential Mutual Funds.

Roshan Chutkey: Firstly, I want to congratulate you for laying out this 17% -18% sort of guidance for VNB growth, very commendable that is. But I want to

HDFC Life Insurance Company Limited

October 15, 2024

Page 28 of 32

understand here, how sustainable is this 17% -18% growth say in the face of falling market conditions, when ULIP probably not do very well for us, so is that sustainable?

Question two is essentially I want to understand where this 100 bps impact on margins came from for this quarter which was 30 bps to 40 bps for the 1H that you referred to? That was not clear to me. These are my two questions .

Vibha Padalkar : Yes, we should be able to deliver, we have said 15% to 17% VNB growth the year after, not really knowing what the environment is going to be, the macro environment, but over the past several years that's through business cycles, that's the kind of growth we have managed to deliver. And given our balanced product mix and product innovation , hopefully credit life also comes back like I explained previously. So , I think that we have many levers for us to continue with this growth trajectory as far as VNB is concerned, without remaining tethered to a particular NBM.

Niraj Shah : So, to just reiterate our conversations on the margin movement. Firstly, from last year to this year, largely it is product mix, higher unit -linked , lower annuity and some aspect of repricing. If you were to just look at for the quarter versus last year, it's primarily repricing lag because all the repricing lag happened towards the end of this quarter and that's broadly where it is. So, it's for the period, it's a combination of higher unit -linked, lower annuity and some repricing. For the quarter, it is pretty much lag in repricing.

Roshan Chutkey : What do you mean by repricing of the products? I mean, did we kind of miss out on repricing based on interest rate movements?

Niraj Shah : Not missed out. We basically took a call that we had these 3 months since the notification of the new regulation came in, we had this period to make most of our products available on October 1. That required us to make a lot of changes across all products. And one of the changes that would have got done was on repricing. For us, the priority was to ensure that 90% of products were available for business on October 1. That's what we did prioritize .

There would have been maybe some repricing that we would have ideally liked to do maybe towards end of August, that got done towards end of

HDFC Life Insurance Company Limited

October 15, 2024

Page 29 of 32

September. So that is something that caused this kind of gap as far as repricing of non -participating and annuity products is concerned.

Roshan Chutkey : So that was to the extent of 100 bps because of this one month delay?

Niraj Shah : Yes, you could say that, a few weeks. In fact, just maybe 3 to 4 weeks of delay, yes.

Roshan Chutkey : And how much is the impact on VNB margin this quarter because of credit life products?

Niraj Shah : So just to complete the earlier point, non -par is about 38% -40% of the mix.

That's the reason why the impact is fairly meaningful. Annuity is also a fairly meaningful part of the business at close to 5 % odd, so where close to 50% of the business, there was some elements or some products in which the repricing had a lag. That's the reason why the impact is what it is.

Credit life, is a profitable segment. Vineet did speak about some segments in which there was a slowdown and the competitive intensity because of which we would have probably stepped back a bit. Yes, that would have added to some extent to this issue, but primarily driven by repricing.

Moderator: Next question comes from the line of Prithvish Uppal with Elara Securities .

Prithvish Uppal : Just wanted to und

erstand where you see the business mix moving in the second half given that we have some pricing competition intensity in annuity and Credit Protect and we want to be a little more calibrated around the ULIP segment. So , which products do you see driving the growth for us in the second half?

And particularly around non -par as well, given the uncertainties that are there with distribution , what is the outlook for how you see this particular segment performing as well? And basis this, if you look at your full year guidance , the margin for the second half works out to be between a 26% -27% kind of range. So what products do you think would essentially drive that?

Vibha Padalkar : Yes. So , on non -par that you mentioned, I just thought I'll pick that up. In the first half of the year, we've grown upwards of 70 % plus. The growth has been

HDFC Life Insurance Company Limited

October 15, 2024

Page 30 of 32

good in non-par. To your question on what sort of a mix that you'll see? It will be fairly similar. Unit-linked is a shade above 35% and no n-par savings is just shy of 40%. Term and annuity together are about 11%, 12%.

We would like to see an uptick like we discussed with the previous caller on par. Par going up to about 1/5th of our business would be a good outcome in H2, and that's the endeavour. Hopefully, we'll also have some interesting offerings in H2 on par to be able to revise interest and some other interventions also.

We've reasonably been fairly steady, except for unit-linked uptick that you see in H1, that we think those elevated levels, while range-bound will continue to be there. So that's as far as the retail product mix is concerned, Credit life should get slightly better than where we were in H1. But we will have to see to what extent, like I mentioned, recalibration in terms of sensible pricing on credit life as well as annuities come through, now that there is pressure on the system due to the new surrender charge regime.

We believe there will be some level of restraint in terms of the aggression. And that's where I think we should benefit to some extent in both what you mentioned, credit life and in annuity.

Prithvish Uppal : And just continuing on one of the questions from an earlier caller, which is as peers and competition looks at revising the IRRs downwards, because the spreads compared to what we were offering was significantly higher for some of the smaller and mid-sized companies. So as these spreads narrow and given with interest rate movement, repricing should come through. How are you looking at the segment from a competition perspective and in terms of how favorable you see the scenario can play out for HDFC Life?

Niraj Shah : So we started to see some calibration in terms of IRRs from some of the players on a few products, we believe we will see more of it as the quarter and the rest of the year pans out. And we do believe that the gap should start closing between now and the end of the year. But we'll have to wait and see. I think there'll be different approaches that companies may choose to follow.

We've been fairly consistent in terms of what we would like to do and the business that we've garnered in various product categories are with our HDFC Life Insurance Company Limited

October 15, 2024

Page 31 of 32

pricing and underwriting approach. So, I would believe if there is more convergence in that within the sector, it should benefit us.

Moderator : The last question comes from the line of Supratim Datta with Ambit Capital.

Supratim Datta : A lot of my questions have already been answered. But I just wanted to get some sense on the margins. Just wanted to understand how does return profile across the products differ? We have a sense of how the margins across different products look like, how does the returns differ? How do you plan to balance margin versus returns

across the product mix? And could this change once we move to IFRS? Those are my 2 questions.

Niraj Shah : Sorry, Supratim, just to be clear, your question is in terms of margin versus return on capital?

Supratim Datta : Yes. Within the different products, we know that ULIP is lower margin. But how would the ROE profile or return on capital profile across the products differ? And how does that play a role in your product selection or the balancing? And how would that change once you move to IFRS?

Niraj Shah : So for us, I'll answer in short, not very different for per unit of capital in terms of value, it's not very different because when you look at a category like unit-linked where the required capital might be low, but the gap between the customer charges and the cost of acquisition at the point of sale is fairly high.

Even if we were to, let's say, move from VNB per unit of capital to return per unit of capital, we would probably make the same decisions from a business perspective. So that's the way we would like to think. As far as Ind AS or IFRS is concerned, the big change there will be in terms of the matching principle being followed more consistently between revenue recognition and expenses over the course of the policy.

So that should give a better view of the accounting results as we go forward, but we'll have to wait and see once the regulation finally comes in or rather gets implemented.

Supratim Datta : Okay. And would that change the capital requirement across products ?
HDFC Life Insurance Company Limited
October 15, 2024

Page 32 of 32

Niraj Shah : So that's more to do with risk -based capital, which IRDA may come up with over the next maybe 18 to 24 months. At that point in time, the capital requirement, which today is based on a certain framework that could change as we go forward. Directionally, we believe it will allow most players to write more business with the same amount of capital, but we will wait for some of these things to get completely clear in terms of how the regulator plans to implement this as we go forward.

Moderator: We have reached the end of question -and-answer session. I would now like to hand the conference over to Vibha Padalkar for closing comments.

Vibha Padalkar : Thank you everyone for joining today's call. Please feel to reach out to our IR team in case of any follow -on queries. Have a great evening and wish you all a very happy Diwali. Good evening.

Moderator: On behalf of HDFC Life Insurance, that concludes this conference.

Call: Jan 2025

January 23, 2025

Ref. No.: HDFC Life/CA/2024-25/126
Listing Department Listing Department
National Stock Exchange of India Limited BSE Limited
Exchange Plaza, Plot No C/1, Block G, Sir PJ Towers,
Bandra-Kurla Complex, Dalal Street,
Bandra (East), Fort,
Mumbai- 400 051 Mumbai – 400 001

NSE Symbol: HDFCLIFE
BSE Security Code: 540777

Dear Sir/ Madam,

Sub: Transcript of earnings conference call for the quarter and nine -months ended
December 31, 2024 – Revised enclosure

This has reference to our letter dated January 22, 2025, through which we had submitted transcript of the earnings conference call for the quarter and nine-months ended December 31, 2024.

In this regard, we wish to inform that vide aforesaid letter we have inadvertently submitted the transcript of H1'FY25 earnings conference call, instead of transcript of 9M'FY25 earnings conference call. Request you to ignore the transcript submitted vide aforesaid letter.

Please find enclosed transcript of the earnings conference call with analysts and investors held on Wednesday, January 15, 2025, to discuss the financial performance of the Company for the quarter and nine-months ended December 31, 2024.

The same has also been hosted on the Company's website at <https://www.hdfclife.com/about-us/investor-relations>.

This is for your information and appropriate dissemination.

Thanking you,

For HDFC Life Insurance Company Limited

Narendra Gangan General Counsel, Chief Compliance Officer & Company Secretary
Encl.: As above
Page 1 of 21

HDFC Life Insurance Company Limited
9M FY25 Earnings Conference Call

January 15, 2025

HDFC Life Insurance Company Limited
January 15, 2025
2

Vibha Padalkar : Good evening, everyone. Welcome to the earnings conference call for nine months ended December 31st, 2024. The results, which include the investor presentation, press release and regulatory disclosures, have already been made available on both our website and the stock exchanges. I have with me Niraj Shah, Executive Director and CFO; Vineet Arora, Chief Business Officer - Distribution, Data and Technology; Eshwari Murugan, our Appointed Actuary; and Kunal Jain, Senior Vice President, Investor Relations and Business Planning. Turning to the key highlights of 9MFY25.
Starting with our operating performance:
We have registered a healthy growth of 22%, based on individual WRP for 9MFY25, outpacing private industry and overall sector growth of 19% and 14% respectively. Our market share in

the overall sector, expanded by 70 bps to 10.8% and our market share in the private sector stands at 15.3%. We have witnessed both ticket size and volume expansion during this period. The number of policies sold has grown by 15%, outperforming the private sector's growth of 9%. The average ticket size has also grown by 8% during 9MFY25. Over 70% of the customers acquired during this period are new to HDFC Life, demonstrating progress towards our objective to expand our customer base. Retail sum assured has grown by 22% YoY for this period. We continue to clock secular growth across tier 1, 2 and 3 cities with number of lives insured crossing 36 million during 9M FY25.

Moving to product mix:

Individual APE in 9M was composed of ULIPs: 37%, non-par savings: 35%, participating policies: 18%, term: 6%, and annuities: 5%. ULIPs continue to remain range-bound for us so far this year. Non-par savings products sustained their strong growth, growing by 55% YoY. Retail protection continues to grow well, with APE for nine months clocking a growth of 28%. Credit protect growth has been tepid due to slower disbursements amongst specific partners and the MFI sector, in particular. However, we firmly hold our position as market leader in this segment. Momentum was sustained in rider attachments, both on individual as well as group policies. Annuity and protection together contributed 44% to our overall new business premium. We are happy to introduce our latest offering in the participating category, Click 2 Achieve Par Advantage, which provides flexibility to the customer to customize and combine plan options, policy and premium paying term, along with policy continuation benefits for single and joint life. On the surrender regulations, we have largely closed our discussions with all our distributors and rolled out a combination of measures, including deferred commission payout, claw-back of commission and reduction of commission. We are happy to share that we have been able to equitably share the impact between us and our partners.

Moving onto key financial and operating metrics:

Value of new business for the 9M period was Rs. 2,586 crores, reflecting a 14% YoY growth.

New business margin for the 9-month period was 25.1%, with the compression mainly attributable to changes in product mix in line with macro trends. Our embedded value grew by

HDFC Life Insurance Company Limited

January 15, 2025

3

18% and stood at Rs. 53,246 crores as on 31st December, delivering an operating return on embedded value of 16.0%. We ended the quarter with a comfortable solvency ratio of 188%. Profit after tax grew 15% YoY to Rs. 1,326 crores, driven by an 18% increase in profit emergence from our back book. Renewal collections grew by 12% YoY. 13th and 61st month persistency stood at 87% and 6

1%, an increase of 110 and 780 bps respectively.

Next on distribution:

All channels registered healthy double-digit growth. Our counter share at HDFC Bank has remained stable at close to 65% in 9M FY25. We are focused on building a profitable, high-quality Agency franchise and are happy to report that protection business sourced by this channel grew more than 2x when compared to our overall growth in protection of 28%.

On subsidiaries:

HDFC Pension continues to be one of the fastest growing pension fund management company in the industry, enjoying a market share of 43.2% and an AUM of Rs 1.06 lakh crore. We are pleased to inform you that HDFC International has maintained an Insurer Financial Strength Rating of "BBB" from S&P Global Ratings and has received a "B++" rating from AM Best Ratings.

On other updates:

We are excited to announce the partial deployment of the first phase of Project Inspire, which includes the group business module. We expect our partners and members covered to avail of benefits such as automated member onboarding, issuance of Certificates of Insurance, straight through claims processing, payouts and real-time communication. We were recognised as India's Top 50 Best Workplaces for Women by Great Place to Work. We also featured in Business Today's BT500 list of India's Most Valuable Companies, demonstrating our commitment to creating value for all our stakeholders.

In closing, we remain focused on achieving our full year outlook on APE and VNB growth. We are committed to adapting to the evolving market and regulatory landscape with agility and resilience. This includes continued investment in distribution, tech and customer-centric product innovations to deliver long-term value for our stakeholders. For a detailed overview of our results, please refer to our investor presentation. We are now open to any questions from the participants.

Moderator: Thank you very much. We will now begin the question-and-answer session. Our first question comes from Avinash Singh from Emkay Global.

Avinash Singh: Great set of numbers particularly, the margins holding up amidst surrender regulations are pretty

much comforting. The first question is that if I see the margin walk and if I compare with how it was at H1 versus 9M, the YoY impact from the business mix change on the margin seems to be turning favorable in this quarter despite the fact that sequentially, par has gone up slightly, protection is holding up and non-par sequentially has come down marginally.

HDFC Life Insurance Company Limited

January 15, 2025

4

So, is it to do with that? Or you have adjusted your guaranteed rates to reflect the new realities and that has helped you recoup whatever margin you had lost some bit in last quarter on the non-par products. So, if you can just help with that?

Second bit is, if I see your New Business Strain, that seems to be growing again at 18%-20% rate YoY over 9M. So just to understand, which are the segments that are driving this New Business Strain? I mean, is it just because the non-par is increasing as compared to last year? And related to that, if I go to your accounting surplus disclosure, and if I look at nine months, the non-par individual and Group Life or surplus in the nine months is turning a significant negative number vis-a-vis last year. So, I mean, what are the sort of factors that's underplaying here? So, these are my three questions.

Niraj Shah: Yes, on your question on margins, we just start with basically what's happened on a nine-month basis from last year to

this year. We started that last year was about 26.5%, currently, we're reporting 25.1%. The significant change is on account of product mix. That's primarily visible in terms of what you see on the unit linked front from 32% last year to 37% this year. That's largely what is driving this change.

The other factor is the implementation of the surrender value regulations. We're basically talking about on a nine-month basis, a 10-basis points impact, and on a quarter basis, about 30 basis points impact of the surrender value regulation implementation. So, these are really the two big changes on a YoY basis.

If I were to just quickly talk through what's happened sequentially, that will also completely make it clear in terms of what we had spoken about last time as well. So, the number for Q2 last year appeared as about 24.3%. We had basically called out a lag in repricing and that is to the effect of about 100-110 bps. So, the starting point really is about 25.3%-25.4%. And as such, the margins are expanded by about 60 bps if we were to look at it from that perspective.

And that is largely on account of inherent product margins being a lot better now, especially on the Unit Linked segment because of two reasons; one is our persistency has improved significantly and second is our level of protection that we are able to attach on Unit Linked products is a lot higher than what it was in the prior period.

This is obviously offset by the surrender value impact of 30 bps that I spoke about. So, on a net basis, we are talking about 24.3% going up to 26%, or if you were to actually just normalize last period's number to 25.3%, then it's about 60-70 bps delta.

Moderator: The next question comes from Madhukar Ladha from Nuvama Wealth Management Limited.

Madhukar Ladha: Good evening. Congratulations on a good set of numbers. Just a couple of questions. We see growth in this quarter, particularly in individual APE has slowed down. For non-par savings, I think that's a product line where growth is not there and even protection I think is a little bit flatish. So, can you give us some color as to what is happening to broader growth?

HDFC Life Insurance Company Limited

January 15, 2025

5

Second question would be, what has been the share of HDFC bank, what is our counter share in HDFC Bank? And there's been a lot of noise around primary bank's contribution. Some color or some sense around that as to, what would your sort of comments be on this current environment and this current talk that we seem to get in the media. I think the entire investor community and analysts are slightly worried about this. So, some sort of sense there would be helpful.

Vibha Padalkar: Hi, Madhukar. Vineet will answer your first couple of questions on growth and HDFC Bank counter-share. I'll take the last question in terms of the noise.

Vineet Arora: Hi, Madhukar. I think the growth the way we see it is, it's largely in line with how the private industry has moved and slightly better than the overall industry. We don't really see a very big concern about the growth slowdown and no particular channel has shown this kind of a slowdown. It's more holistic, some base impact has come in from last year and it's in line with the industry movement.

Coming specifically to HDFC Bank, our counter share is steady. We have been in this range of close to 65%. We don't see an impact on the counter share in HDFC Bank because of any of the noise that you were referring to, it remains the same. So, I think that should answer your first two set of questions. Over to Vibha for the last part.

Vibha Padalkar: On this bancassurance related commentary. We've only heard it from media sources. We haven't

heard anything at all from our regulator. At the same time, if misselling is the purpose then misselling complaints is something that we anyway work on. And overall for the sector, bancassurance

since misselling is actually lower than perhaps some of the other channels, but there's always scope for improvement.

Now our focus has been on growing proprietary channels, which includes the agency and direct as well as tie-ups with other banks and we have been fairly successful in doing that. Now from a bancassurance perspective, I think agency and broking is where our focus will continue.

And also, in terms of some numbers, our bancassurance, if I were to look at from an overall business perspective at a company level, new business premium, it is only 35% and HDFC Bank is about 1/4th. This, of course, I'm including Credit Life and all our businesses, if the intent is to bring down in terms of concentration risk, these are the numbers.

And last point is that while we are talking about some artificial construction on percentages, I think also the question to ponder about is, does the customer need choice in terms of open architecture?

That also is something that really would give scope to give customer choice and hence, open up and widen the market, widen the reach and so on. So, there are different aspects to bancassurance but we'll see how and if it evolves.

Madhukar Ladha : So, my last question, in the EV walk, economic variance has reduced from the last quarter's numbers. I presume, obviously, this will be mainly a result of the equity markets coming down.

Can you give me a split of the equity and the fixed income breakdown of this?

Eshwari Murugan : Yes, for the nine months ending December, the economic variance is mainly coming from the fall in the interest rate. Because for the equity markets on 9-month basis, the performance is

HDFC Life Insurance Company Limited

January 15, 2025

6

around 8%, which is in line with the expectation. So, there is no positive variance from equities in the nine months. But yes, in the six months, we had a positive equity performance, which was reflected in the higher investment variance that you saw in the EV walk for September.

Moderator: Thank you. We'll take the next question from Avinash Singh from Emkay Global.

Avinash Singh : There were a couple of questions. First, what is driving this New Business Strain for the nine months? Is it change in product mix more towards non-par this year? And the second one, if I look at the GAAP accounting surplus, the surplus in individual and group non-par life category for the nine months, is a reasonably negative big number vis-a-vis last year when it was reasonably positive. So, what is sort of underlying mechanics here?

Eshwari Murugan : So, if you look at the growth in the New Business Strain, it's only 13% for the nine months, which is in line with the new business growth. And the EB surplus has grown by 18%, which is in the range that we have always explained. So, I don't think the New Business Strain has grown higher than expected. And obviously, it will always be influenced by product mix but nothing very different in terms of reserving approach or anything that has happened.

And the product mix being very similar, slightly higher UL but the strain is not anything different from what we have seen in the previous quarters or in the previous financial year. Strain as a percentage of the premium, that's what I'm referring to.

Avinash Singh : Okay. And while the surplus generated for a non-par life is negative for the nine months?

Eshwari Murugan : The New Business Strain on the non-par is what you're referring to?

Avinash Singh : No, I'm referring to the surplus that is a part of your P&L filing.

Eshwari Murugan : The surplus is lower because the non-par segment has grown at a higher percentage compared to total top line growth. So non-par savings, for example, has grown by around 55% compared to the individual APE growth of 24%.

Avinash Singh : So I was referring to the same, in the segment level surplus generation for 9 months, your individual

and group non-par life. That surplus last year was a positive number. If I see for the 9 months, that surplus was Rs 39 odd crores, now it's Rs 54 crores loss. So, is this referring to non-par savings? What has changed this year, why surplus is negative big time?

Eshwari Murugan : Okay. Because the non-par savings has grown higher compared to the surplus generation from the back book, there is a net strain overall in the non-par savings book, which is why you see a negative number in the LODR surplus, is what you're referring to?

Avinash Singh : Yes.

Eshwari Murugan : So last year, the growth was lower. The EB surplus was more than sufficient to offset the strain. This year, it is slightly reverse because of the higher growth.

Moderator: The next question comes from Suresh Ganapathy from Macquarie Capital.

HDFC Life Insurance Company Limited

January 15, 2025

7

Suresh Ganapathy : Sorry Vibha , on this bancassurance just to understand, as per the data disclosure , 60% of the overall APE comes from bancassurance , right? You're saying 35% , didn't get that.

Vibha Padalkar: Yes, this is APE . Anything that is done with the regulator and in our regulatory filings, APE is nowhere in the picture. APE is a common industry metric in terms of weightage of single premium and so on. Even in the way Life Council's numbers come out , the only thing being looked at is received premium, which is cash received . And hence, these are the numbers if I were to look at on a received premium basis .

Suresh Ganapathy : Then what should we look at for like-to-like disclosure for everybody in the system ? For APE, on basis of that, you are at 60 % , somebody as is 50 %-55%, right? But you're saying the regulator will not look on APE basis. Is that the way you are arguing?

Vibha Padalkar: No. So , what I'm saying is, first of all, we don't know whether regulator is looking at anything because the only new s flow is from a channel. We have not heard anything from the regulator. I'm saying that as a percentage of anything, whether it is expense of management, there's no place in expense of management for an APE number, right? So , I'm saying that if a calculation had to be done, it has to be done based on how we report it in the financials as well as in the public disclosure.

Niraj Shah: Suresh, in fact, if you just look at any of the data that comes out of Life Council, firstly there is overall premium. That includes all businesses, including group . And then you have individual business, and within that, there are segments, but everything is about first year and renewals. There is nothing about anything which is equated. That's just a convention used to basically explain some of the businesses that we do. But as such , the segments that get reported even at a granular level are only about new business and received premium. So that is something that can be used as a fairly straightforward measure to assess any of these things, if at all, it's getting assessed.

Suresh Ganapathy : So what I was arguing here is that, is there a thought process of the Board as well as the management to say , it's always better to reduce the concentration risk of any channel structurally. And within that also, a dependence on HDFC Bank or whatever partner you're talking about. Ideally speaking, you want to distribute and diversify the channel. So , longer term, you will be focusing perhaps much more in some of the other channels. Is that the thought process that you guys are considering ?

Vibha Padalkar: So, that has been the case even with this new s flow. If you look at our investor presentation, one of our core stated strategies has been this diversification , and we've also talked about growing agency channel very specifically. It's more in recent times that the number has gone up to some extent.

It's not just that bancassurance has gone up. But for various reasons, i

ncluding tax changes being

one of the single biggest reasons for our agency channel over the last couple of years being a tad weaker than normal.

So, nothing really in terms of that this is causing a change in strategy . If you were to look at Slide 10 of our investor presentation, at least for the last 7 -8 years to my memory, you will find HDFC Life Insurance Company Limited

January 15, 2025

8

the same slide, which is when you see point number two, it is diversified distribution mix. So , it will just be sharpening , accelerating that and so on, which we will do in the normal course.

Suresh Ganapathy : Okay. Just one last question on the liberalization of the agency model itself, do you think we are a bit too early to talk about that ? And the challenge there is that we follow tied agency model.

What happens when you try to free that up because that's what perhaps is also mentioned in the amendment to the Insurance Act , and the news reports are also talking about liberalizing. What's your view on that?

Vineet Arora : So, I think it's a little too early . But just from a point of view on how this channel does operate , clearly, if agents today need multiple products, do have methods of having themselves their colleagues , etcetera to take multiple licenses and they would operate with that.

I don't see one agent taking too many companies just because it gets opened up, but they would want to continue to restrict themselves to the few companies that provide product differentiation, service differentiation, etcetera. But as of now until the time this really gets passed and the entire notification happens with proper guidelines being drafted, I think it's going to take some time for this to really get the ground.

Mod erator : Next question comes from Nischint Chawathe from Kotak Institutional Equities.

Nischint Chawathe: Hi, thanks for taking my question. This is actually on growth. You mentioned somewhere that on your growth during the quarter, you're broadly in line with the market. What we have seen is that quite a few of the larger peers have slowed down in the last couple of months. So , do you see this as an immediate term impact of the change in surrender value guidelines where probably some part of the strain has been picked up by distributors? And in that sense, after fairly strong activity in first half, do you really see next couple of months being softer by the distribution

channels.

Vineet Arora : I think the surrender guidelines change was practically an industry event. The distributors and the companies were able to really have a logical discussion and do an equitable participation on the entire impact of it. So , I don't really think that caused any kind of slowdown. It's largely a base impact that at the industry level and our level has led to this. This is across channels also, like I said earlier, all channels have contributed equally. And the growth is also broad -based.

Nischint Chawathe: But do you see sort of similar run rate continuing or do you expect things to sort of pick up as we go towards the end of the year?

Vineet Arora : So, towards the end of the year, we always see seasonality coming in, and that seasonality does help in picking up the run rate. We do expect that to happen in JFM also , to be able to pick up what we have been guiding as our annual numbers . I think we do expect that to happen.

Nischint Chawathe: Sure. And I think from a slightly more medium -term point of view, do you see the overall ULIP shares coming down, maybe not like in next 1 quarter, but maybe over the next 4 quarters, do you see the ULIP share coming down? And in that sense, getting a little bit of a lift in terms of margins?

HDFC Life Insurance Company Limited

January 15, 202 5

9

Vibha Padalkar: See, there is a close correlation between ULIP and the markets. And I've seen over the past 1.5 decades that it's with a 9 -

to 12 -month lag. If markets continue to remain volatile, then ULIP starts coming off and maybe that's how it will pan out again. And that's why, regardless of what's happening in the market, this is our other stated core strategy that balanced product mix is important.

So that a distribution line doesn't get used to just selling one kind of product that is relatively easy to sell because of the market, but it has to be balanced. So , we are not overthinking as to where ULIP might be or might not be . Because regardless some peers selling over 50% ULIPs, we have remained range bound. And in the past also, when we laun ched Sanchay Plus , again, we reigned it in, and that's what we will do to some extent, regardless of whatever else is happening. So on margins, yes, with ULIPs coming down and ceteris paribus , then yes, that will aid margins .

Mod erator : The next question comes from Dipanjan Ghosh from Citi.

Dipanjan Ghosh : Few q uestions from my side. One, if I look at the H DFC Bank channel, while you mentioned that your counter share has kind of stabilized around 65 %, just wanted to get some sense of whether you also look at the VNB counter share in that channel? Or in other words, in terms of product mix that you're getting from the channel and whether there is kind of levers available to improve that , now that the counter share has stabilized. And if so, what steps are you really taking in that direction?

And the second is the data keeping question, for the quarter or the 9 months, if you can just spell out, what would be the growth at HDFC Bank and other banks separately?

Vibha Padalkar: On the first question, Dipanjan, yes, we are working to make it a win -win on the right product mix. Without sharing too much, looking at product mix at a broad level , we do put out data in terms of bancassurance and how much is the mix in bancassurance .

At slide 16 of our investor presentation, if you look at banca, you will see that term is only 4% of what banca sells while if I were to pick agency , term is close to 10%, so 2.5x where they are. So even baby steps on 50% of our business can make a very material impact.

So that is one. Second is in terms of what is the optimum manpower, and do we really need more and more people at their branches.

I think we have a fair bit of commonality now in our thought process as to what is optimal manpower level because the bank is also there for banking business. So just flooding branches with people probably is not the best approach to take. And there are a couple of other levers on how are we using more and more of digital solutions . So yes, we are working very closely on many small and big initiatives to get that margin to inch up.

Vineet Arora : And I think your question around HDFC Bank growth, for the year, we have seen HDFC Bank growing at 20%. And for the quarter, it's around 10%, where we have seen the base impact of last year also coming in.

HDFC Life Insurance Company Limited

January 15, 202 5

10

Mod erator : The next question comes from Nidhesh Jain from Investec.

Nidhesh Jain: First question is on banca ssurance . What are the next steps that you are expecting from regulator on bancassurance? Do you expect a draft or discussion with the regulator , because that is becoming a bit of overhang for the entire sector ? So, as you mentioned that there is no communication from the regulators, but what are the expectations that you have now?

Vibha Padalkar: So, expecting nothing Nidhesh . Because we have our work cut out. We know that we as a sector, are responsible in how we're looking at multiple factors, more de-risking, complaints, giving customer a choice and so on.

Like I mentioned, if there's any concern , it is already being talked about because maybe I just need to remind that we did have a draft paper that was issued by the regulator. There were discussions. We did go back in terms of

some of the tightening of the processes and so on. And

I'm sure us and many of our peers have already rolled that out in terms of tightening the sales and servicing process. So that's where it is at this point in time.

A couple of points here, which I'm sure everyone knows that bancassurance does play a very important role. One data point to chew on is that the number of touch points of banks is comfortably 10x of the touch points of all life insurance companies. So , do we want to miss out on those touch points? Second is that if you see insurance penetration, life insurance penetration in the recently issued annual report of our regulator that also shows a downward trend. So , given that, is it a time to really reduce the touch points .

So that's where it is at this point in time. Like we mentioned to the earlier caller, we are focused on more broad -based distribution. This is not new , we will continue to work on it. And there are many other things also up our sleeve in terms of not only organic but also inorganic solutions. It's difficult to give an answer because you don't know what the question is. And we will, of course, continue to ensure that what the regulator has in mind in terms of best product, most transparent, best service, ease of on boarding , transparency is provided to our customers.

Nidhesh Jain: Sure. Secondly, on the VNB margin . Sequential improvement in VNB margin is driven by ULIP VNB margin improving. Is that right understanding?

Niraj Shah: No, it's not just Unit Linked margin improving. Its inherent margins across the board improving. Unit Linked definitely plays a part there because we're able to attach higher levels of protection and over the period of time persistency is improving. So largely that really is contributing to that. And, of course, the gap looks larger than what it actually is because of the repricing lag that we had in the previous quarter.

Once you normalize for that, then the gap is just about 60 -70 bps in our view and that can be explained by some adverse product mix because of Unit Linked being higher and the inherent pricing more than compensating for that along with the surrender value regulations gap of about 30 bps for the quarter.

HDFC Life Insurance Company Limited

January 15, 2025

11

Nidhesh Jain: So just to clarify there's no one -off thing on the margins. Because last quarter, there was a one -off of lagging pricing. This quarter we have seen interest rates have gone up through the quarter.

So, because of that we have not got any benefit in our margins in this quarter?

Vibha Padalkar: I can clarify that there are no one -offs in this quarter. These are inherent margin improvements.

Moderator: The next question comes from Supratim Datta from Ambit.

Supratim Datta: Thanks for the opportunity. My first question is on agency. Now you have been making investments in that channel. However, if I look at the growth rates on a quarterly basis it has been fluctuating. So just wanted to understand when should we start seeing these investments that you're making start delivering fruit? And what have been the challenges . You have been making investments in this channel for nearly 2 years. So , what have been the challenges that you have faced and how you are trying to address that? So , could you give some color on that, that would be helpful .

Now moving to Credit Life. Now it contributes around 6% -7% of your APE. And recent comments from the FM suggests that banks could look at reducing the cost of borrowing, particularly with respect to insurance. So , are you hearing from your channel partners any rationalization on the products that they are attaching with loans or what could you do to improve the product proposition there better? And then the corollary to that is how would that result in the margins moving in that product, given it's a fairly high -margin product. And lastly coming to the

recent data breach, could you give us an update on what happened , what have you done to address that? You have been investing in technology to improve the processes. So why did it happen? What has been done to address that?

Vibha Padalkar: Yes, I'll take the data breach. So , nothing further than what we had reported to the exchanges. But in the meantime, we have obviously strengthened and closed wherever the leak was from.

It was identified very swiftly and we have closed that. Fortunately, no material impact on the company's operations as well as from a customer servicing point of view.

Since then , a lot of tightening has been done and we have looked at robust security across our IT environment . We also have been working closely with a couple of external partners who are doing an independent audit and a review of our entire system.

We have also obtained an injunction from Mumbai High Court. This is to prevent the circulation of leaked customer data. This is just a pre-emptive measure that we again obtained very swiftly, so that was fairly reassuring for us while we put in a lot of controls to stem anything further. So, we are in that stage now. And we're kicking off each and every aspect of our IT networks, cloud, our APIs so that we ourselves and the Board are fairly reassured that it's fairly water tight.

Vineet Arora: Yes. Coming to your question on agency, the agency growth this year has been 19%, which is quite in line with what we have grown as an organization. Last year we had seen a lower growth and that largely came in from the impact that we have on greater than Rs 5 lakh regulation which changed there the tax benefit was changed. So that saw some impact and last ly, channel took

HDFC Life Insurance Company Limited

January 15, 2025

12

some time to recalibrate, retrain all the agents, et cetera to pick up products with the new story and everything else.

Within that also, we have now been able to clearly establish a very strong product mix in the agency channel. Term contribution for agency is one of the highest in the organization. So that brings in a good profitable mix for the agency channel as well. UL is lower than the entire company level at agency channel.

And also, this entire initiative of attaching more sum assured to UL is also working well in that channel. I think the investment in agency then continues. The growth has come back this year. And we are also confident that this investment will result in good margin as well as higher growth going forward.

We also added a lot of agents in this year. We've also expanded by adding nearly 65* branches this year, that expansion of branches will also continue. Our mix from not just Tier 1, but Tier 2 and Tier 3 is also high, thanks to this channel.

*65 new branches have been added during the period 9MFY25, erroneously mentioned as 35 by the speaker

Supratim Datta: Got it. And of Credit Life?

Vineet Arora: Yes. So, on the Credit Life, the entire suppression of this is coming from the MFI segment and the MFI segment has been suppressed because of the NPAs and all the action happening around the banking space and the lending space. So, every other line of business in Credit Life has been stable. We have seen MFI getting impacted.

Now the question about the noise around cost of insurance over loan, the MFIL guidelines also which came out I think two months back, also very clearly stated that insurance is a critical factor especially in the segment of MFI because it hence covers the loan in an eventuality.

So, RBI also recognizes that and MFIL also very well-articulated that in the entire circular. So, it's very much part of the proposition, good for banks, good for customers, it's a clear win-win strategy. And these products today also fit in that bracket of the cost that RBI allows these NBFCs and the banks to charge the MFI customers. We don't really see an impact. It's an

impact

more because the total disbursements have come down. Once that cycle starts to come back the business should also come back.

Moderator: The next question comes from Sanketh Godha from Avendus Spark.

Sanketh Godha: Thank you for the opportunity. Niraj you said that in the third quarter the margin impact is 30 basis points. So, our previous guidance was if we don't change anything then it will be 100 basis points. So, naturally that 30 bps impact is much lower compared to what you told initially in the front-end rules at 100 bps.

HDFC Life Insurance Company Limited

January 15, 2025

13

So, is it because of clawback in commissions or IRR change or attachment of more riders? What has played a role for the impact to be lower compared to what initially we anticipated it to be 100 bps? So that's my first question.

Niraj Shah: Sanketh, if you recollect what we had said at the time when the regulations came out in our exchange notice was that on a gross basis we expect an impact of 100 bps if we do not make any changes. And our intent was to try and see what we need to do in terms of sharing whatever pain there is with the distribution and trying and keeping the customer proposition intact.

And given that our reliance on the earlier regulation in terms of our profitability was very low as we had shown in one of the slides of our investor presentation. We did not really need to touch the customer proposition at all. In fact, because of our disciplined pricing approach, whatever pricing was warranted by changes in the interest rate, we were anyway doing. So, we do not need to do anything in addition to that after the surrender value regulations.

In fact, that data is all available in the public domain in terms of how pricing has changed after October 1 for various players, you can look us up on that also. As far as the impact of 30 bps for

the three months is concerned, it's more a function of having put some of these new arrangements in place in terms of claw-backs, deferments and reduction in commission to some extent. Those on an annualized basis, we expect the impact to be closer to what we reported for nine months. It's 10 bps because it's only been three months since the regulation has come in. But our endeavor will be to try and keep it as close to 20-30 bps on an annualized basis going forward as well because that's basically more in terms of sharing this burden with our distributors and leaving our customer proposition intact.

Sanketh Godha: So, to summarize it is largely because of the pay-out structure change to the distributors played the role in containing the impact of the margin?

Niraj Shah: Yes. So basically, we're trying to isolate the impact of these regulations and that's the reason why we've completely kept it as if nothing has changed and only if the surrender value with regulations change, this would be the impact, just to make it easier for everyone to appreciate.

Sanketh Godha: Got it. Perfect. And this clawback thing you implemented for the entire quarter fully or it was partial and therefore the benefit might be more in fourth quarter relatively? Just wanted to understand that part, when we had the second result call, you still mentioned that you were in discussion phase. So, I'm assuming it was partial for the current quarter. I mean if it is for the full quarter, the benefit would have been a little higher?

Niraj Shah: That is correct. So, some of the arrangements are in place. Some of the arrangements come into effect as we go forward in quarter 4 as well.

Vineet Arora: Yes. So, some arrangements would be there, but a lot of our arrangements are under discussion to have an impact from first of October only. So, I don't see there would be more benefit coming in the next quarter. So, this would be the benefit. And whatever is left right now is a very small percentage of our business. I would not have the exa

ct number, but maybe 90% - 95% of business is already discussed and closed.

HDFC Life Insurance Company Limited

January 15, 2025

14

Sanketh Godha: Got it. Perfect. And the second question was that your unwind rate in the nine months looks to be lower at 7.3% compared to almost 8% in first half. So, anything to read there why unwind rate has come down?

And the other question which I had is that your deeper bucket persistency has improved meaningfully. The 61 month is at 780 bps better. And if I look at the presentation it seems to be largely coming from traditional products. So, if you can give a bit of color what led to this improvement in the persistency, is behavior better than expected and that also helped in kicking the margins up. Just wanted to understand that point.

Eshwari Murugan: So, on the unwind rate it has remained same as in H1. It's 8.1%. And as we have explained earlier as well, the unwind rate is based on the economic environment at the start of the year. It's based on the investment return on the debt or the assets that the policyholder funds are invested in as well as shareholder funds. And that has been fixed at 8.1%, and that is what has been consistently reported in all the 3 quarters. So, I don't see a decline in the unwind rate which you're referring to.

Sanketh Godha: Okay. Maybe I will do the calculation again. Sorry, on that part. And on persistency, if you can give a bit of more color - any benefit on margin?

Eshwari Murugan: Yes, the increase in the 61st month persistency, it is relating to the cohort of policies we sold 5 years back. That was a year where the non-par guaranteed IRR products were introduced and these products have had a much better persistency right from the 13th month. And that is now getting reflected in the 61st month. And sometimes the experience may be different from what is assumed.

And that will get reflected, but it's not very different because if you see the operating variance in our EV walk, that's always been a small positive. So, it's not going to be a big material difference from the assumptions that we have. But whenever we see this experience, we keep truing up the assumptions.

Moderator: Next question comes from Swarnabha Mukherjee from B&K Securities.

Swarnabha Mukherjee: Congrats on a good set of numbers. So, I just wanted to understand on the surrender charges that 10 bps or the 30 bps number you alluded to. What I understood was, this would largely factor in the impact of the higher payout. So just wanted to understand that whether you have factored in any kind of change in the lapsation behavior, maybe not immediately, but, say, third or fourth year down the line of the policy, so whether that is there? And also like over the next 2-3 or 4 quarters, would we expect that this number to broadly be remaining in this range going forward? And also, in terms of the persistency that you are discussing, I think, on a nine-month basis, if the number looks fairly strong. It has been stuck even in the longer duration cohort. If I look at second quarter versus third quarter, that number has come off across cohorts. So just wanted to understand whether there is anything more to read into this apart from the fact that maybe last year same quarter, the new mix have started to go up. So, these were the 2 questions.

Niraj Shah: Yes. On the surrender values, when the regulations were announced, we had actually added a disclosure in our investor presentation last time, which basically said that all the impact of the surrender value regulation change for us is in the second year and there is no impact thereafter. And the reason for that is basically pretty much the entire book stays on the books either as premium paying or as paid-up policies.

So, we have not changed any assumptions on whether more or lesser number

of customers will

continue with the policy or they'll surrender or they'll lapse or they do any of that. So, there's no change in any of our assumptions. This entire change is flowing as a consequence of the enhanced value that needs to be paid to customers if the second premium does not come in. And that is what we had articulated as 100 basis points on a gross basis. And what we just reported now was 30 basis points for the quarter on a net basis after making whatever changes that we had to from a distribution perspective and our own operations without changing anything from a customer perspective.

So also, what we had mentioned is that given that the surrender value will now build up in a different way compared to what it was building up earlier, whether a customer decides to surrender earlier or stay paid up does not really affect us economically. We of course, would want the customer to stay in the policy, continue paying premiums. If not that, then be paid up and stay in the policy. But if they still choose to surrender, we will not be any worse off economically given the way the benefits are structured from a regulatory perspective.

Eshwari Murugan: Just to add, we have not assumed any improving persistency in our margin calculation. If there's an improvement in the persistency because of the way that distribution payout has been now structured to align with the persistency, there will be an upside in the margins. But that has not been currently factored in because we have to see the experience, how that emerges.

Swarnabha Mukherjee: Understood. And would it be safe to assume that before you update any kind of assumptions going forward, maybe after a year or so, this is likely going to be the benefit over the next 3 quarters also. Could that be a fair assumption?

Eshwari Murugan: Yes, that's right. Yes.

Swarnabha Mukherjee: Okay. And if you could respond to the persistency question on a quarterly basis how to look at it?

Eshwari Murugan: So, at a generic level, I would like to say that the 3 months ratios are generally influenced by a lot of factors, there will be a collection trend. Generally, we see that, for some reason, the Q3 is a little low in collection, maybe due to festivals and that the collection pattern actually picks up in the subsequent quarter, which is the JFM. That is why looking at the quarterly trends may not give the right picture.

It also depends on other things like product mix, etcetera, and that's why from 25 to 49 months, the drop that you see is mainly because of the difference in the collection pattern that we have.

Otherwise, on a 12-month rolling basis, the persistency is improving.

On 13 months, typically, the higher UL mix that we had in the last year, that is resulting in a slightly lower persistency. But here also, we believe that given the improvement on a 12-month basis in quarter 4, this should pick up.

Swarnabha Mukherjee: Understood. Just a quick one. So, I think as an alternative to customer surrendering, this product - loan against insurance, is also what you have been doing. So that is, I think, one of the methods that have been kind of discussed that will be used to circumvent the challenges of surrendering of customers.

So just wanted to understand how this segment is playing out for you guys? What are your thoughts on that? And as it picks up, how should we think about how the revenue will get booked and what would be the arrangement, whether you will do it yourself or you tying up with a lender? If you can give some color on that.

In case of like once there is a surrender requirement, loan against the insurance is offered, against whatever is the surrender value of the insurance product. Sometimes loan is given out rather than doing a surrender of the policy. So, wanted

to understand that part.

Niraj Shah: Yes. Okay. So, the loan value is obviously linked to surrender value. You are right. And higher surrender value higher the loan eligibility, definitely. So, we definitely believe that a loan against policy is a very efficient way for the customer to utilize their own resources. And for us, it works like a fully secured loan in that sense.

So as such, it works for everybody. Whether this will change customer behavior remains to be seen. But everything else remaining the same, our customer will be able to I guess, avail of a higher loan compared to what they were earlier on their policy because the surrender value will improve.

Moderator: The next question comes from Aditi Joshi from JPMorgan.

Aditi Joshi: On the commission structure, is it possible for you to share which all channels have resorted to the changed commission structure, either claw back or reduction in commission across the bank agency and the brokers.

Vineet Arora : So, I think like you articulated, we have a combination of these three things, which means the claw -back , deferment and reduction. And depending on partner and depending on business models, etcetera, various combination of these three factors would have been taken in. So , there is no one standard approach to say that this channel has been approached with a particular method.

All these three , and as a combination or as individual are the methods that have been used to close the negotiations.

Aditi Joshi: Okay. And can I ask that all these negotiations are going on across all the channels , no matter in which form its going on, but is it across the channels or 1 -2 channels , any channels that you would like to highlight as somewhat lagging .

HDFC Life Insurance Company Limited

January 15, 202 5

17

Vineet Arora : So, like I said, this is more or less a done deal from our side. And about 90% -95% of our business are already closed. Certain partners, not specific to any channels, have their internal approval process, etcetera, which might be taking slightly longer, but that should also get closed in the next few weeks or maybe a month.

Moderator: The next question comes from Neeraj Toshniwal from UBS Securities.

Neeraj Toshniwal: Most of my questions have been answered. Just on the competitive intensity, how do we see things changing post surrender norms getting implemented. Should we see IRR getting actualized and the protection going up but wanted more sense how you are thinking about it?

Niraj Shah: So, as we mentioned, we have not made any changes to our pricing, whether it's on protection or non -par savings or annuities, but we definitely have seen some downward revision in pricing from some of our peers. And I guess, the only thing that we could correlate it to, apart from changing interest rate environment, which applies equally for everybody was the differential impact of the surrender value guidelines.

I guess that's the only thing which we could impute from some of the reactions that we've seen across the sector. So that's just the way we've seen it. We have seen non -par pricing, non -par IRRs come down. We've seen annuity prices being revised downwards. We've also seen term prices increase. So , we've seen a combination of all these measures across the sector.

Neeraj Toshniwal: Got it. And does it really help big players like you and others, I mean the private players to gain market share out of this given the environmental factors have improved? Are we able to leverage and gain disproportionately out of this?

Niraj Shah: It's difficult to say. It's just been 3 months. So , we'll have to wait and see how some of these things pan out. But yes, if you were to look at market share, has it expanded for us in this quarter ?

It has. Has it expanded in nine months ? It has. This could be one of the reasons, but obviously, a large part of it would be our own operations and

this expanding distribution as well as all our channels. That's the way we look at it.

Over a period of time, we do expect some of these regulations, which we believe, be beneficial for companies who are relatively more, let's say, balanced in their approach, whether it's in terms of listing requirement or in terms of implementation of risk -based capital or IFRS. So , all of these things would definitely, we believe, help companies who are taking a more balanced view of the business.

Moderator: The next question comes from Rishi Jhunjhunwala from IIFL Institutional Equities.

Rishi Jhunjhunwala: So, in this quarter, the impact of surrender on a net basis has been 30 basis points in the margins and you still have some of the benefit from a full quarter impact of clawback of commissions to play out. So , is it fair to say that keeping everything in place, the overall impact of surrender regulations on our business will eventually end up being lower than 30 basis points?

HDFC Life Insurance Company Limited

January 15, 202 5

18

Niraj Shah: Like we had mentioned, there is no further benefit in quarter 4 from implementation of these distribution arrangements. But I mean, if you were to just annualize the numbers, will it land somewhere between 10 -30 bps, mathematically, it looks like it will.

Moderator: The next question comes from Prayesh Jain from Motilal Oswal.

Prayesh Jain: Just one question on the protection business, and that's mainly on retail & pure term business. How are you thinking about this business and some granularity if you can share as to how the behavior is? As you enter the lower tier cities more, what is the kind of ticket sizes?

And just 1 more thing on the Tier 2, Tier 3 strategy. Vibha, we spoke about this a couple of quarters back and you mentioned that the persistency and all things will evolve and eventually, you cannot have a differentiated pricing between geographies, but then you will have to figure out in some way the impact that could be there from a lower persistency or a higher mortality, and some capital charge or some kind of charge would have to be levied and that could impact margins. Are there any thoughts around it, has that evolved and can come into the picture now?

So yes, those are 2 questions.

Vibha Padalkar: Yes. So happy to share that our growth in retail protection has been very secular. Just to recap, overall, our growth was 28%. Tier 1 was in the early '20s and Tier 2 and Tier 3 put together were in the early '30s and thereby giving an average of 28%. So, happy with that, and that was the intention as well.

Now there are different preferences. While products might be the same, but there are different preferences in terms of whether it is return of the premium or regular pay and so on. So, those nuances, we will continue to calibrate. We will also look at affordability, what kind of alternative underwriting tools that we have, what kind of modes of payment work, what kind of claims experience, persistency and so on. So, it's an ongoing learning for us, but we continue to do fairly well in all 3 Tiers in our country.

And also, what is noteworthy is that the ticket sizes don't drop significantly between the tiers. So, we've also articulated that our focus or baby steps will be on the upper quartile or the top quartile of Tier 2 and top quartile of Tier 3.

Moderator: The next question comes from Himanshu Taluja from Aditya Birla Sunlife AMC Limited.

Himanshu Taluja: Given now the most of the surrender norms impact is largely over and you have delivered the VNB margin of 26.1% for the quarter, can we say that the margins have broadly bottomed out?

Assuming not a very significant change in the product mix that will happen over the next 6-9 months. How do you expect this VNB margin trajectory to behave over the near to medium term?

And the second part of the question is, what led to the

lowdown in the agency channel? And

how do you expect it to behave over the next 6 months?

And lastly, if in the insurance amendment bill, if this open architecture in agency comes and passes through, how do you expect this to behave, particularly for the industry?

HDFC Life Insurance Company Limited

January 15, 2025

19

Niraj Shah: Yes. On the VNB margins, we'll basically just reiterate our outlook that we were gunning for after the first quarter, we basically said that we will try and get to 18%-20% APE growth and try and deliver a VNB growth of upwards of 15%. We believe that is something we are on course to deliver. We've not changed any of our aspirations on that front.

And to your question in terms of on a quarterly basis for this year, have the margins bottomed out? We are still in the quarter, so we don't know, but a couple of things we can maybe look at. One is that we definitely expect the scale of business to be a lot higher in quarter 4 compared to any other quarter in the year.

We don't expect any significant deterioration in product mix. So, putting those two together, we can expect margins to be in a similar zone or maybe slightly better. But honestly, that's not something that we are really solving for. What we are solving for is trying to deliver a VNB growth.

So, we will try and see what growth opportunity is there in front of us, and then we will take a view in terms of what product mix really solves for that and try and get to the VNB growth answer.

Vineet Arora: And answering your agency question, I think I will repeat my comment there. This year, the growth on agency, we have seen it to be 19%, which is pretty much in line with what we have seen at the organization level, maybe just a tad bit lower. The lower growth from Agency, we had seen last year, and that was primarily due to the tax changes which happened on the greater than Rs 5 lakh policies. And because the distribution was aligned to that particular product category a lot more, it took some time for them to realign themselves.

Himanshu Taluja: Yes. And anything on if this open architecture in the agency channel also comes, how do you expect to behave for the industry? And because we have a lot of unlisted peers as well, where the profit could be operated in a different profit pool band as well. Overall, how do you expect the benefits to play out if this gets passed through?

Vineet Arora: So, like I said, most of the agents, which are top agent for any company and do a reasonable amount of business, they do have within their friends and families multiple company products available for themselves. So, I don't think at that segment, it will make much of a difference.

For the other agents also. I mean, depending on the size of business that they do, if they need multiple products from different companies, I think that will open an opportunity for them to pick up the best suitable product that they might need for their customers. Will it impact us? I don't, at this point, anticipate much impact because of this. If any, it would have positives also available to us.

So, I think once the guideline comes out and the entire operational details also get notified, we might be in a better position to anticipate and analyse the impact. But as of now, I don't see any impact from this.

Himanshu Taluja: Sure, thanks.

HDFC Life Insurance Company Limited

January 15, 2025

20

Moderator: The next question comes from Raghvesh from JM Financial.

Raghvesh: Congrats on a strong set of numbers. So broadly on ULIP, we have been selling higher sum assured variants since the last year. So, what has changed in this quarter? Are we attaching higher sum assured as compared to what we were doing earlier? Or has the proportion of people choosing the higher sum assured variant increased? And if that has been specific to any channel?

Niraj Shah: So, what has happened

is that our journey of enhancing the level of protection in all our products, including Unit Linked products started sometime last year at scale. Of course, the efforts were being made earlier as well, but we started picking up a lot of scale once the Unit Linked volumes also started increasing.

But of course, they've gone to the next level in this period that has resulted in some of the improvements that we spoke about, both in terms of a higher proportion of business being sold at higher levels of some sum assured and rider attachment as well. And within riders as well, I think now we are getting to a stage where people are looking at riders differently compared to when it started out with a very low level of coverage, that was being sought out earlier. Now things are changing. People are getting more and more nuanced about it. Customers realize that this is a very efficient way of buying more coverage while buying a savings product. So, some of these behavioral changes are definitely healthy. And also, of course, persistency is improving. So, some of these aspects add up as far as the behavior is concerned.

Vineet Arora: So, I'll just add maybe one more point there is that our experience of the last maybe a year plus has also helped us identify those sweet spots where we get good persistency and a good coverage and the focus on those cohorts have increased, it has helped us increase this number.

Raghvesh: Okay. So, in the old policies before the new surrender norms, essentially no people were surrendering after the second year, they were just keeping policies paid up. So, you were not making surrender profits. Now even if they surrender, there will be no loss to you, at the same time, there will be no profit, as you said, right?

Niraj Shah: Exactly. That was the whole objective of giving you that data point last time that for us, the impact is largely related to whether people pay the second premium or no, nothing after that.

Moderator: The next question comes from Prithvish Uppal from Elara Securities.

Prithvish Uppal: I just wanted a sort of clarification on the first year commission number that seems to be north of 50% for this particular quarter. So, with the implementation on commission deferment and clawback, just wanted to get some sense on where the reconciliation is with this number because it seems higher sequentially.

Niraj Shah: Actually, if you were to look at it, we've had changes in regulations that happened over the last year. Looking at our total expense ratio, that has changed from 19.5% to 20.2% in this period.

So that basically encompasses all expenses, including what is our cost of acquisition, what is our direct cost and overheads.

HDFC Life Insurance Company Limited

January 15, 2025

21

So as such, that basically gets subsumed in our accounting profit as well as in the value of new business. The change is not anywhere as dramatic as some of the line elements might be indicating.

Vibha Padalkar: And just to add. So overall, if you were to look at the commission plus expenses, the growth has been about 15% in the quarter. Which is largely in line with overall growth.

Prithvish Uppal: Okay. Because even in the commission norms that have been placed last quarter, the rise in first year commission would offset the lower opex. So, there's nothing much to read into it. That's what you're basically indicating?

Vibha Padalkar: Yes, you just have to look at overall new business cost.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions, I now hand the conference over to Ms. Vibha Padalkar for closing comments.

Vibha Padalkar: Thank you, everyone, for joining today's call. Please feel free to reach out to our IR team in case

of any queries. Have a great evening.

Call: Jan 2025

January 22, 2025

Ref. No: HDFC Life/CA/2024 -25/125

Listing Department Listing Department
National Stock Exchange of India Limited BSE Limited
Exchange Plaza, Plot No C/1, Block G, Sir PJ Towers,
Bandra -Kurla Complex, Dalal Street,
Bandra (East), Fort,
Mumbai - 400 051 Mumbai – 400 001

NSE Symbol: HDFCLIFE BSE Security Code: 540777

Dear Sir/ Madam,

Sub: Transcript of earnings conference call for the quarter and nine -months ended
December 31, 2024

We wish to inform you that pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of the earnings conference call with analysts and investors held on Wednesday, January 15, 2025, to discuss the financial performance of the Company for the quarter and nine -months ended December 31, 2024.

The said transcript also has been hosted on the Company's website at
<https://www.hdfclife.com/about-us/investor-relations> .

This is for your information and appropriate dissemination.

Thanking you,
For HDFC Life Insurance Company Limited

Narendra Gangan
General Counsel, Chief Compliance Officer &
Company Secretary
Encl. As above

Page 1 of 32

HDFC Life Insurance Company Limited
H1 FY 25 Earnings Conference Call

October 15, 2024

Page 2 of 32

Moderator : Ladies and gentlemen, good day, and welcome to HDFC Life Insurance Limited Results Conference Call. As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Please note that this conference is being recorded. I now hand the conference over to Ms. Vibha Padalkar, MD & CEO, HDFC Life. Thank you, and over to you, Ms. Padalkar.

Vibha Padalkar : Thank you, Andrew. Good afternoon. I would like to welcome everyone to our earnings conference call for the half year ended September 30th, 2024.

Our results, which includes the investor presentation, press release and regulatory disclosures, have already been made available on both our website and the stock exchanges.

Joining me are Niraj Shah, ED & CFO; Vineet Arora, Chief Business Officer – Distribution, Data and Technology, Eshwari Murugan, our Appointed Actuary and Kunal Jain, SVP - Investor Relations and Business Planning.

Moving on to key highlights of H1 FY25.

Starting with operating performance

The private sector and overall industry continued its strong momentum in Q2, growing in H1FY25 by 24% and 21% respectively on an individual weighted received premium basis. We have outperformed the private sector by growing at 28% during this period and 19% on a 2 year CAGR basis. Our market share amongst private players registered an increase of 60 bps, improving to 16.3%. We are also happy to inform you that our overall market share touched a new peak of 11% for the period ending H1 FY25.

On an individual APE basis, we have recorded a robust growth of 31% on a YoY basis and 19% on a 2-year CAGR basis, bolstered by strong performance across all metrics. We registered an increase of 22% in the number of policies sold, with a ticket size expansion of 7%. The growth in number of policies was significantly ahead of the private sector growth of 13% with strong secular growth trends across Tier 1, Tier 2 and Tier 3 geographies. The proportion of 'New to HDFC Life' customers remains promising, exceeding 70%. We achieved a strong growth in retail sum

HDFC Life Insurance Company Limited
October 15, 2024

Page 3 of 32

assured which was 31% on a YoY basis and 45% on a 2 year CAGR basis. We continue to remain market leaders in overall sum assured.

Our product mix based on individual APE in H1 was as follows, ULIPs: 36%, non-par savings: 3

8%, participating policies: 15%, term: 6%, and annuities: 5%. ULIP has seen some intended moderation in this quarter with the proportion reducing from 38% to 35% from Q1 to Q2. We have observed strong growth in non-par savings products, with the segment achieving a 76% YoY increase aided by new product variants launched this year.

Retail protection APE in H1 and on a two-year CAGR basis saw growth of 27% and 36% respectively. We expect the healthy momentum in retail protection to sustain for the rest of the year. The credit protect segment has been soft this year on account of calibration in disbursements across some of our partners and lines of businesses. As we have stated in the past, our focus remains on building a long term, profitable business in this segment.

Our annuity business experienced slower growth on the back of aggressive and unsustainable pricing by some peers. We continue to adopt a calibrated growth strategy, focusing on enhancing our product offerings whilst maintaining pricing discipline. Annuity and protection together contributed 44% to our overall new business premium.

Moving on to key operational and financial metrics

Our H1 value of new business was Rs. 1,656 crore, reflecting a 17.4% YoY growth and new business margins of 24.6%. The margin compression is primarily attributed to product mix and deferment in repricing of certain

traditional products.

As we rushed towards ensuring product compliance by October 1st, we took a considered call to defer re-pricing of certain non-par products that were going to be phased out. As we have articulated this year, equity markets are likely to stay buoyant and hence we will prioritise new business, 15-17% VNB growth with some flexibility on margin outcomes.

Our embedded value stood at Rs. 52,114 crore as on 30th September, with an operating return on embedded value of 16.0%. Profit after tax has grown by

HDFC Life Insurance Company Limited

October 15, 2024

Page 4 of 32

15% year-on-year, reaching Rs. 911 crore, driven by a steady increase of 18% in profit emergence from the back book.

As on September 30, 2024, our solvency ratio stood at 181%. As we had indicated, we raised subordinated debt of Rs 1,000 crore in the last week, thereby improving our solvency to 192% post the sub-debt raise.

Renewal collections grew by 12% year-on-year. We are pleased to share that persistency for the 13th and 61st months materially improved to 88% and 60%, respectively, marking increases of 120 basis points and 730 basis points versus the previous year.

Next on to distribution:

We saw holistic growth in individual APE across channels. Our overall bancassurance channel grew by 32% with deepening relationships across partner banks. Our counter share at HDFC Bank continued to be stable at around 65%. Proprietary channel grew by 27%, with the Agency channel gaining momentum in Q2 on the back of improved productivity, thus outperforming the company's overall growth. Term business in agency grew at over 2x company growth. We continue to be the market leader in the broca channel with healthy growth across offline and online partners. The channel has seen a pick-up in the HNI segment, while strengthening its foothold in Tier 2 and Tier 3 markets.

We are delighted to announce that our subsidiary HDFC Pension crossed the Rs 1 lakh crore milestone in terms of assets under management and is one of the fastest growing pension fund management company in the industry, enjoying a market share of 43.6% in H1. The GIFT City branch of our Dubai subsidiary, now offers 6 US dollar denominated products to both NRIs and Resident Indians across life and health categories of insurance.

Moving to regulatory update

We have successfully relaunched more than 40 top products contributing to about 95% of the business as on October 1, 2024 and we plan to relaunch other products during the course of the quarter. We are thankful to the

regulator in allowing us an additional time of 3 months for transitioning to

HDFC Life Insurance Company Limited

October 15, 2024

Page 5 of 32

the new product regulations. We believe that the revised products are more attractive to prospective customers and strengthen the long-term life insurance proposition in India.

We are in various stages of operationalising the commercial changes with all our partners. We have adopted tailored solutions, including commission deferral, reduction or claw back depending on persistency track record and partner preferences. Whilst this transition might take some time, we expect to complete changeover across all our distributors in H2.

Coming to sustainability and governance

HDFC Life continues to be recognised for its commitment to sustainability and responsible governance. The company was ranked amongst India's top four performers in the financial services sector by BW Businessworld's India's Most Sustainable Companies, based on its publicly disclosed Business Responsibility and Sustainability Report (BRSR) for FY24.

Furthermore, HDFC Life's S&P Global ESG score saw an improvement of over 20% versus last year and we continue to be rated well amongst regional insurers, thereby demonstrating leadership in aligning its business practices with sustainable and socially responsible principles, creating long-term value

for all stakeholders. Our MSCI ESG Rating has also been upgraded to 'A'. Our commitment to sustainability not only reflects our responsibility to society but also strengthens our long-term profitability, ensuring sustained value for both customers and shareholders.

On employees

Our success is driven by our valued employees, and we continue to invest in building a supportive and inclusive work environment that fosters innovation and collaboration. HDFC Life was recognised for its inclusivity and employee-friendly policies, being awarded the Best Companies for Women in India 2024 in the BFSI sector and Exemplar of Inclusion (Most Inclusive Companies India 2024) by Avtar & Seramount, affirming the company's commitment to diversity and inclusion in the workplace.

HDFC Life Insurance Company Limited
October 15, 2024

Page 6 of 32

In closing

We remain focused on driving sustainable growth and strengthening our leadership across key segments. We will continue to invest in customer-centric innovations to ensure we meet evolving needs and remain resilient in a dynamic market. We are confident in our ability to deliver long-term value for our stakeholders, whilst adapting to the evolving market landscape with agility and resilience.

For a detailed overview of our results, please refer to our investor presentation. We are now open to any questions from the audience.

Moderator : The first question comes from the line of Avinash Singh with Emkay Global.

Avinash Singh: A couple of questions. First part on growth outlook. In the first half, a very strong growth, 24% APE growth. This also has a tailwind for the first 5 months, you're improving share within HDFC Bank channel. Now in the second half, that is going to be part of the base.

Also, there could be some frictional issues at least in the initial 1, 2 months with regard to the new product launch and all. So considering all this, what kind of growth outlook do you see for H2, particularly if you were to sort of compare with H1? Because in H2 also, you have some sort of slight benefit also from the favourable base, that is on growth side. In relation to that, you also made a comment regarding buoyant equity market. So is there some sort of rethink of strategy around ULIP for H2 with regards to growth?

And coming to margins, in second half, you will have impact from this new surrender regulation playing its part. At the same time, with whatever

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growth-related cost reduction that you will have, how do you see the margins for this H2?

I would say that there are a lot of unknown variables for us to sort of take a call on how the margin is going to be; because the growth composition across product segment and particularly the continued probable sluggishness around your credit life due to whatever is happening in the unsecured PL or micro finance segment, so that will also have bearing. So how do you see sort of a margin in the second half?

HDFC Life Insurance Company Limited
October 15, 2024

Page 7 of 32

Vibha Padalkar: Yes. Thanks, Avinash. So, I'll take it in serial. The first one on growth.

Like I said in the past, I said 15% would be on the upper side, but we will revise it because the sector was going for a change in terms of surrender regulations and also getting settled into the new normal of an elevated equity market. So, I think 18% to 20% revision in our outlook on a full year basis is something we feel reasonably confident about.

Coming to second question on rethink on unit-linked, Our thought process is as follows. It is a new normal in equity markets wherein we are witnessing each dip being lesser in intensity and the bounce back being higher in intensity because of global factors. So how do we make it range bound? I have articulated it before that in the first half, we have grown comfortably higher than the industry. We grew almost 400-odd basis points higher than the private sector. So, faster growth than the industry is something that we

will drive. That is number one.

And within that unit-linked will continue to remain range-bound. It is unlikely to reach the levels of 50% that is quite common in our sector, but it will be range-bound in the 30s. Second aspect is VNB growth because that's clearly the volume of cash that as an insurance company we are accreting to our embedded value and that is delivering value. So that kind of increase in VNB is our second priority. And I'm happy to share that we have delivered on what we said, which is about 17%-18% growth; 17.6% on H1 basis. We will continue to deliver on a full year basis in that range. Maybe this could be a little bit lower or higher, but roughly in the 15% to 17% range in terms of VNB growth.

And then third point is on margins. I've said in the past and I want to reiterate that some level of flexibility on margins with the first two objectives being sharply defined will be there only because of a couple of things. One is a very significant changeover that as a sector we are going through as far as surrender regulations are concerned; and all aspects, the customer, the manufacturer as well as the distributor, everyone is being affected by it. So how that settles down, and then unit-linked and credit life segment is also something that needs to be observed, like you mentioned.

HDFC Life Insurance Company Limited

October 15, 2024

Page 8 of 32

So, there are a few balls up in the air, and so margin will be an outcome. At the same time, we're not talking about unit-linked reaching 50%. We are also not talking about kitchen sinking the margins, but there will be a floor. What that floor is, we will determine, but it will be range-bound. And that's really what we have delivered in H1 of this year.

Moderator: Next question comes from the line of Suresh Ganapathy with Macquarie Capital.

Suresh Ganapathy: Yes. I have harp a little bit more on margins because when you ended FY'24, you ended with a margin of 26.4%, right? And the guidance was that the new regulations perhaps can bring it down by 100 basis points. As I look at second quarter, we are already at 24.4%, so we are already 200 basis points below what you ended FY'24 at, and even without the surrender value regulations kicking in.

Does that mean that 100 basis points will

now further be below 24.4%, which

means it looks like you will be 300 basis points below your earlier guidance?

I understand that the growth has been strong and therefore your VNB outcomes will still be good, around 16%-17%, as you have been guiding. But clearly, on the margin side, it looks like we are likely to undershoot the target.

And the second thing is I'm very surprised to see all your competitors completely rubbishing the new surrender regulation saying that everything will be fine and we can easily manage and pass it on. Is that the view you hold? How do you look at some of the commentary from your peers?

Vibha Padalkar: So a few things on the comparison of H1 '24 versus H1 '25. See, in H1 '24, our unit-linked was 28% of overall versus 36% in H1 of this year. So quite a significant tilt, like I've alluded before, on the realities of what we are seeing right now. We can choose to give easily 26-plus percent margins, but not grow. And this is something that I've been articulating over the last 6-7 months or so; this conundrum that exists.

And when I look at my new to HDFC Life customers, over 70% of my growth is from new customers, meaning first-time buyers. And some of them

HDFC Life Insurance Company Limited

October 15, 2024

Page 9 of 32

are coming on the back of unit-linked. So, with my ability to cross-sell to them, the conundrum is do I say no to them or do I have a balance? And hence, I'm saying it will be range-bound, a little bit on the upper side, instead of it being slightly lower than 30%, it is in the mid-30s, and that is a conscious call that we have taken.

At the same time, I think there's a lot of focus on one metric that perhaps is an outcome. And the reason I'm calling that out is, yes, the margins are a

shade lower. But if I were to look at growth in H1 of last year, I grew 9% versus H1 of this year, I grew 31%. If I were to look at the VNB, like I said, VNB is really cash, do I say no to generation of that cash and hence accretion to my embedded value just because I want to stay range-bound in margin. I have no doubt in my mind that as and when there's a little bit more calibration in equity markets, unit-linked like we have seen, will go down in terms of popularity. That will happen and that's when given our balanced product mix and our ability to switch amongst all our sales force fairly will seamlessly happen, wherein slightly higher-margin products will start gaining centre stage.

So, this we see as a market phenomenon, that's not likely to stay forever. And we have to react and adapt to the markets and we very sharply focus that as long as I'm making money out of the business that I'm selling, I think it is good business.

Suresh Ganapathy : So, Vibha, you're saying that just for the time being, let us dismantle the VNB guidance, all what matters is the VNB growth. Whatever could be the components of that, the VNB growth will be at healthy 15% + or 16%-17% as you're guiding. That doesn't matter what the composition is, right?

Vibha Padalkar: Yes. Except with a caveat that there will be a floor. So, we're not saying it could be 500-600 basis points lower, we're saying it will be range-bound. On a full year basis, last year, we ended 26.3%. Leaving surrender charges aside, we are talking about some range-bound margin being the outcome. But in the pecking order, I'll go for growth and new customer acquisition, and second is VNB. Margins will be an outcome as long as it is range-bound.

HDFC Life Insurance Company Limited
October 15, 2024

Page 10 of 32

Because otherwise, like I said, I could easily lose my ranking and that's been seen before, wherein you lose your overall ranking in the industry, but you give very high levels of margin. We think that also is not a good outcome. I have to acquire more customers and look at how I upsell to those customers

down the line, right? So that's our considered strategy from now as long as markets remain elevated. So that's point number one.

To your second question, Suresh, on no impact, we have said that there will be a 100 basis points impact at the company level. At the same time, we will try and reduce that impact by renegotiating with 300-plus partners and all our 2 lakh-plus agents, and we are right now in that process. As you will certainly understand that we are in multi-tie in all relationships, right? So, it's not a bilateral conversation, but it's a multi-prong conversation. We talk to a partner, partner talk to other insurers, and then there is a loop back into us and into them. And so, all of that is going on right now.

By and large, partners understand where the regulator is coming from and it will take about a quarter for the economics to settle down. Some combination of deferment of commission, clawback of commission and lowered commission to some extent is what we're having conversations about. There will be some impact, but I don't see it as being a material impact once all of these discussions are through.

Suresh Ganapathy : So just one last clarification. You said there's some deferment of pricing you did, partially which also affected the margin. Why would you do deferment of pricing for non-par? It is all old products, right? In old products, the pricing remains the same, right?

Vibha Padalkar: The thing is that, as of 1st of October, if I'm not compliant with the new regulation on surrenders and some of the other nuances, I'm not allowed to sell those new policies. There's only so much of IT bandwidth and our processing capability with the same set of people and overnight, I have to change more than 40-plus products to make them compliant.

We could have changed the IRRs on an existing old product because interest rates have changed, but we chose not to do it because then I would have had to sacrifice a new product in lieu of the old product. So we just took a call

HDFC Life Insurance Company Limited
October 15, 2024

Page 11 of 32

that that had an impact for a few weeks, and that translated to 70-odd basis

points impact.

But it was very important for all our key products to be revised and that we are able to start with a bang on 1st of October. This was the trade-off we had to make so all of our channels and subchannels have the main bread and butter products that they and their partners are used to selling and customers are used to buying.

Suresh Ganapathy : Okay. So, you are just saying that it's a bandwidth issue. I mean, a bandwidth was dedicated towards the newer products instead of trying to focus on repricing the existing products. So that's the simple thing,

Vibha Padalkar: Yes. Absolutely. I had to focus on new business and not spook our distribution channels, to say that I don't have the key product that they sell. And my different subchannels have preferences on a certain variant, on a certain term and so on. Every time there is a significant change, even considering the Unit Linked changes that happened back in time, there's something or the other to trade-off, given the volume of changes that one needs to do at a company of our scale.

Suresh Ganapathy : Sorry, my last question, I have to squeeze in on IFRS. What did the MCA circular say? It said perhaps all non-bank promoted insurance companies have to comply with IFRS and you guys for the time being get an exemption and therefore, we will have to wait for the IRDA circular. Is my interpretation right? What is the impact and how you're looking at it?

Niraj Shah: Yes. So a couple of things. One is initially MCA came out with a definitive timeline, one was for non-bank-held insurance companies and other one was for the rest. They specified a date for the non-bank-held companies, which they later defer

red to IRDA. So IRDA will basically decide the date of implementation for all insurance companies, whether they are bank-owned or non bank-owned. So that was one change that happened after the initial MCA circular.

As things stand today, we have received the communication from IRDA and we believe some peers have also received communication, which talks about HDFC Life Insurance Company Limited
October 15, 2024

Page 12 of 32

IRDA's intent to roll it out from April 2027. So, there is a phase-wise implementation plan, which we understand will be followed where all the large listed as well as unlisted insurance companies will go into Phase 1. And we basically have this window of about 24 to 30 months to get this done. And that's where it is as far as this is concerned.

But of course, IRDA has also said that this is, in some sense, an endeavor, so we will obviously be prepared to be ready well ahead of time. But we will await a very clear direction from IRDA in terms of the final implementation guidelines.

Moderator: The next question comes from the line of Madhukar Ladha with Nuvama Wealth Management.

Madhukar Ladha : Vibha, you mentioned in your comments that you deferred pricing on few of the non-par products. I wanted to get a sense of what was the impact on this quarter's margins or the first half's margins because of that? And the 100 basis points that you're talking about would be versus the margin of last year, right? So that was question number one.

Also, if I look at your distribution mix, it seems that the bancassurance channel, the growth is there, but it's a little softer. So just wanted to get a sense of what has played out. So, on a year-over-year basis, growth was a little softer in the bancassurance channel side. So, yes, those would be my 2 questions.

Vibha Padalkar: Yes. I'll take the second question, and Niraj can answer on the margin walk. Our growth has actually been very healthy at about 20% * in bancassurance channel. So soft is because of the base effect. If you remember, last September was a bumper year for us, wherein we touched a counter share of 70% at HDFC Bank, and that is really what is causing it. So, it is more a base effect than intrinsically there being a slowdown.

*rectified to 26% growth in bancassurance channel in Q2 in the following comment by MD & CEO

Madhukar Ladha : And so, if I may just ask again, what's our counter share now and then?
HDFC Life Insurance Company Limited

October 15, 2024

Page 13 of 32

Vibha Padalkar: Sorry, just to clarify, we grew by 26% in Q2FY25, which I think is a fairly healthy growth. And if I didn't have the base impact, then it would have been even healthier. And the counter share hovers around 65%-66%, so about 2/3rd of the business and it is settled down there.

Niraj Shah: On the margin front there are a couple of things that we had said. One is, of course, the unit-linked mix, which is higher compared to last year. Similarly, annuity which is lower compared to last year. And also, there is residual impact which came through from the lag in repricing by a few weeks. So that, from a quantification perspective, up to 30-40 basis points is something that we would attribute to delayed repricing. But a significant part of impact would be still attributed to the change in product mix, for which we have articulated the reasons as well.

Vibha Padalkar: Just to add, when you look at unit linked mix compared to last year, it was 30% in Q2 of last year versus 34% in Q2 of this year. So, some of the impact is due to higher unit linked and some is due to deferment in repricing of non-par.

Madhukar Ladha: And if I were to just ask what was the impact of not repricing the non-par in this quarter, just to get a sense of normalized margins before we go into increased surrender value regime?

Niraj Shah

h: Yes, that's what I mentioned, 30-40 basis points is what you can basically look at.

Madhukar Ladha: Just for the non-par, right?

Niraj Shah: Yes, this is for the non-par because repricing is for non-par only, basically, the non-par savings and annuity products.

Moderator: The next question comes from the line of Manas Agrawal with Sanford C. Bernstein.

Manas Agrawal: A couple of questions. Correct me where I'm missing the delta. Your QoQ product mix has improved, but your margin has gone down. Your repricing impact is 30-40 basis points on the non-par piece, so not able to tie that in, that's the first question. Second question is, is there any impact on the funnel
HDFC Life Insurance Company Limited

October 15, 2024

Page 14 of 32

for your annuity business due to changes in the government employee pension plans? That's it.

Niraj Shah: Yes. So, the 30-40 basis points, as I was talking about is on H1 basis, from our reporting perspective. All the repricing line happened in the second quarter. So, the impact in the second quarter was higher. So, if you see the slide that we carry in our investor presentation, we called it out for the period, which is half year. But for the quarter, the impact of repricing would be higher, it will be closer to maybe 100 basis points.

Manas Agrawal: Understood. On the second one?

Vibha Padalkar: On the annuity business, we will have to see as to what the government articulates in a lot of nuances. So, we will have to wait and watch to see any impact on annuity on that.

Manas Agrawal: Understood. I wanted a clarification. I know there's not a lot of clarity on what the modalities will be, but annuitization is not compulsory in the revised pension scheme? Is that correct?

Niraj Shah: No, that is not clear yet. We await clarifications on the UPS or the Unified Pension Scheme. What has basically been articulated so far is the intent to give some sort of guaranteed pensions for the government employees. How that is going to get funded to some extent has been discussed. But what happens once the funding is done, is something that is yet to emerge in terms of how the management will happen. And what happens on vesting from an annuity perspective also yet to be clarified. So, we will have to wait and watch on that front.

Moderator: The next question comes from the line of Gaurav Jain with ICICI Prudential Mutual Fund.

Gaurav Jain: A couple of questions from my side. If you can put in some more light on what is this calibration in credit life that we are taking, which has led to some degrowth in the group protection business? And what would be the guidance

for the same going into H2?
HDFC Life Insurance Company Limited
October 15, 2024

Page 15 of 32

Second is, is the repricing required for surrender regulations with HDFC Bank done? And third is, if I take the lower end of the guidance also, which is like 18% APE growth in FY25 and 15% VNB growth in FY25, the ask rate on margin from H2 will it be a high 26.4%, Vibha?

So, while I understand margin is a derived number and one should not put a lot of focus to it and focus more on absolute VNB. But is there something that can give you some confidence as to these repricing, etcetera, will help you deliver better margin in H2? Or how should that be looked at?

Vibha Padalkar: I'll take your point on repricing. As far as the customer is concerned at HDFC Bank, there is no repricing or any customer for that matter. We are not looking at repricing as a result of the surrender charges. So, in the normal course of any interest rate movements like we reprice, that's something that will be an ongoing exercise as far as HDFC Bank is concerned. Also commercial in terms of HDFC Bank, those conversations have happened. Obviously, I don't want to share partner level conversations, but yes, they have been long

had. And they are in line with what is the expectation of the regulator as well. So, that's going to be a non-event. As far as margins are concerned, again, we are not tethering ourselves to a margin like I explained, while there will be a floor.

But at the same time, we're not back solving for a margin because like I explained, that is fairly counterproductive. But whether it's 100-150 basis points lower than where we ended last year in lieu of growth and most importantly, VNB growth, that's what we are trying to solve for. We would love for all three to be growing in one direction, but market reality is only because of unit-linked are saying something else, and then we need to stay relevant while we go through this cycle as well. So that's how we see it.

Vineet Arora: I'll take the question on CP. Our CP numbers are largely based on the moderation, which is happening in the entire unsecured and the MFI sector. And because CP is an attachment product, and as the disbursement in that sector has softened, our CP numbers are not showing the growth that was planned for earlier. I think that's the difference which is showing in the CP numbers.

HDFC Life Insurance Company Limited
October 15, 2024

Page 16 of 32

Apart from that, there is some bit of competitive pressure getting built up because the volumes have gone down. So, we might choose to reduce our exposure to certain partners where the competitive pricing is not making sense. So, we will have a threshold for ourselves and beyond that, we might want to just lie low for some partners for some time.

Vibha Padalkar: And just to add, sensible pricing in credit life is important. We are the market leaders in this space, and we have been in this space at least for the last 10-12 years. And this is a rational pricing time and again is not new. What also gives us the confidence is the deep relationships that we enjoy with our partners. And while there could be some pricing aggression, time and again, we have found that we have gone back into that partnership.

And without naming certain partners, with a very marquee south-based lender; we went through this cycle of taking a back seat when the pricing was extremely aggressive, when we tried to triangulate the claims experience they were seeing, we took a back seat. And now we are full throttle when repricing was on the table again, we got invited again and we won the mandate. So, I think this is a phase that we are in right now, and that's something that is part and parcel of this cycle.

Niraj Shah: And just a couple of things I'll add, unlike the retail business, which is about 30 to 40 years in terms of term as and the experience kind of pans out over a period of time and there are different levels of disclosure in the industry, as you're aware. So, mortality variance for some may not necessarily be disclosed.

But as far as the CP business is concerned, most of the business lines have a

tenure of anywhere between 12 to 36 to 48 months, a large part of the business is in that range. And also, a large part of that business is retained on the books of the insurance companies. So, there is very limited reinsurance support on that as well. So, with that, the aggression is something that gets found out very quickly relative to the retail business. So that's something that we have seen over multiple cycles in our experience.

HDFC Life Insurance Company Limited

October 15, 2024

Page 17 of 32

Gaurav Jain : That was helpful. Just 1 last question. We also saw degrowth in annuity, which would have led to some margin compression, is there also competitive intensity or challenge or how is that shaping up?

Vibha Padalkar: Yes. There is no other reason. It's purely competitive intensity wherein, logically, if you're giving out a rate that you're more than what you're earning on a G-Sec underlying

asset, clearly, that is not a sustainable proposition.

And time and again we have seen and I've talked about this in the past in the context of right pricing on retail protection.

When you withdraw this kind of stimulus, your frontline sales will struggle to sell. So, we believe that we rather price it right. We're talking about longevity risk. Some of this perhaps will start straightening out due to the change in surrender charges. Some of the aggression on pricing perhaps was, if I may say so, funded by surrender charges on non-par and with that, reducing quite significantly, we expect to see some sense prevailing on the pricing of term, annuities and credit life.

Moderator: Thank you. Next question comes from the line of Shreya Shivani with CLSA.

Shreya Shivani : Ma'am, I just wanted to understand how the negotiations with the distributors usually pan out? So, for example, you guys have launched a majority of your 40 new products from 1st October onwards. So, all of your distribution partners have agreed to certain terms and conditions? And they can come back and renegotiate with you after what time period? How does this usually pan out? That's my first question.

And my second question, again, on the new products that have been launched. How much cut have we taken? I know that we did not reprice our non-par product in the second quarter. So how much repricing or how much cut in IRRs did we do when we launched the surrender value version of these products? Those are my two questions. Thank you.

Vibha Padalkar: Yes, hi. Shivani, on the first part, see, there are conversations with partners and not just for us, but even our peers, is fairly fluid at this point in time.

Conceptually, there is an understanding at least with key partners and some

HDFC Life Insurance Company Limited

October 15, 2024

Page 18 of 32

combination of deferment, clawback and/or reduction. That's where we are today.

It's not to say that we haven't done anything with certain partners, that's not the case at all. At the same time, like I mentioned earlier, that we are in a multi-tie situation in each one of our partnerships. And so, it will be dynamic. There will be, to some extent, multipronged conversations that the partners will be having.

And perhaps also having some conversations with regulators to understand what is happening and so on. So, this will take a quarter in my view to settle down. In terms of your question that when can they come back? See, again, this is dynamic. It is not signed and sealed, but I think we'll have to see whether a very good outcome, like some of our partners are talking about to say that wherever we will do a commission clawback, they are saying that they will strengthen their persistency in such a way that the amount that we claw back will significantly reduce, which is a good focus to have. Some of these good practices might also come through. We'll have to wait and watch, and that's really a good alignment between the customer, the distributor and the manufacturer.

If that were to happen and persistency goes up, then I think there is a win-win. And if that happens, then we can share more economics with partners as well and vice versa. So, give us some time. I think a quarter or so will be

required for it to settle down.

Second answer is, we haven't repriced anything due to these regulations. In the normal course of repricing because of interest rate movements, that keeps happening.

Shreya Shivani : Okay. So there has been no repricing since whenever the last was done, nothing in 1Q, nothing in 2Q in spite of the new surrender value regulations getting launched?

Niraj Shah: No. So, in fact, we were talking in other direction in the last few minutes there. In fact, there was some repricing that was required to be done, but we had delayed it because of compliance with the product

regulations. So, there's

HDFC Life Insurance Company Limited

October 15, 2024

Page 19 of 32

no intention to have downwards repricing on account of the change in regulations.

Moderator: Thank you. Next question comes from the line of Sanketh Godha with Avendus Spark.

Sanketh Godha : Thank you for the opportunity. The way I understood is that you did not reprice products based on surrender charges and you are not changing as of now any commission structure. So, if I add back the 30 -40 bps what you made in 1H margin. You are at 25 %, so because of no commission clawback to a large extent and no repricing, there is a 100 -basis point impact in the margin until you renegotiate the commission structure assuming product mix remains the same. That's the right understanding, right?

Vibha Padalkar: Yes. So, we had said that 100 basis points impact if we did nothing. But obviously, we're not going to be doing nothing.

Sanketh Godha : But you said you will take 1 quarter to renegotiate and redo everything. So, for a quarter, you will operate at 100 basis points lower margin compared to where you usually would like to operate ?

Vibha Padalkar: No. That's not the outcome.

Vineet Arora : This is Vineet here. Like Vibha also mentioned, we have already done commercial negotiations with most of our partners, some of them are still underway. Some stability will arise because it's an open architecture and multi-tie arrangement, so some stability will come through with time. But let me say that majority of our business, effective 1st October is on revised commercials.

Sanketh Godha : Okay. Got it. And the second question is - in the first quarter results, you said that we intend to raise 20 billion or INR 2,000 crores of sub-debt. We stopped at INR10 billion. And so just wanted to understand what is the rate at which this was raised and where have we parked it? So is there a likely negative impact on the margins because of the INR1,000 crores sub-debt going ahead?

HDFC Life Insurance Company Limited

October 15, 2024

Page 20 of 32

And lastly, in ULIP, you said that your intention is slowing down the business or putting a cap on contribution. So that higher sum assured strategy still might be a little available to grow if the ULIP demand is still there? Or do you think that story has already maxed out and therefore it is better to control the contribution of ULIP overall on the business?

Vibha Padalkar : On your first point, yes, we raised INR 1,000 crores, the rate is 8.05%. And the solvency that we have got to now is 192%. As regards to UL, I think you're referring to higher sum assured in UL. For certain segments of population that is still an attractive proposition. The UL product itself is also currently the flavour of the season. So, it's a combination of two propositions in one.

And so whatever the customer wants, as long as it delivers value for us in terms of VNB, we are happy to sell that. And so, we also have that in our arsenal.

Niraj Shah : Sanketh, to your pointed question, it's not maxed out. There is still some potential, and we are going to be exploring that in the second half of the year and going forward as well, not just in terms of higher sum assured, but also rider attachment. So, there is a significant scope in improving that as we go

forward.

Sanketh Godha : Got it. And Niraj, this 8.05% negative carry on the VNB margin, would be how much?

Niraj Shah : Not material. In fact, given that this money will be entirely invested, we'll try and limit negative carry to maybe 30-40 basis points. So not a very significant impact on the VNB. On INR 1,000 crores, it's not a meaningful number, as you can appreciate.

Moderator : Thank you. Next question comes from the line of Prakhar Sharma with Jefferies.

Prakhar Sharma : Hi, thank you. So actually, sorry to keep delving on the margin thing, but

given so many factors involved, I just wanted to ask you that this quarter, as you mentioned in the last 15-20 odd days, you were selling as per the new product norms and there was a 600 basis point impact on margin. Would it be

HDFC Life Insurance Company Limited

October 15, 2024

Page 21 of 32

like in the next quarter, if the whole three months actually goes in any sort of a fix, do you think the impact on margins in the third quarter will be basically a multiplier effect of the 100 bps given that the period gets longer? Or how should we expect it to pan out?

Vibha Padalkar : First of all, in quarter two, the 100 basis points was not an impact. The 100 basis points is future impact due to surrender charges. The 70 basis points impact was due to the re-pricing. Now how are we looking at the margins going forward? Again, just to repeat, what we're looking at is overall growth so that full year growth ends in the range of 18% to 20%.

VNB growth range of 15% to 17% and then the resultant will be the margin.

At the same time, they will be fairly range-bound. But whether it will be 50 basis points, 100 basis points here and there, that will be an outcome.

Niraj Shah : So, on a base case, H2 margins are likely to be slightly higher than H1 margins given everything else being equal, but it really depends in terms of how some of these things evolve. We've already discussed in terms of the surrender value implementation as well as the product mix. But on an H2 basis, that's what we can expect. We'll wait and see where that finally lands, and we'll obviously try and solve for the VNB growth number.

Vibha Padalkar : And also, just to add over there, we have put out an impact of surrender charges of 100 basis points. And we do believe that some of the pricing aggression that we saw in some of the value-accretive segments like annuity and protection, some of that we think should taper off a little bit and thereby hopefully putting us on an equitable footing to be able to compete and get market share in those segments. So, we are reasonably optimistic on that.

Prakhar Sharma : Understood. So just to reconfirm from the IRDA gave an extension of about three months. So, the way it will apply is that, the manufacturer, - HDFC Life, will have to be compliant on 1st October or is it three months later? And second, when you have the partner arrangement, can they continue to remain fluid or there is a sunset clause to make those adjustments also?

Niraj Shah : So Prakhar, just to be clear, all products that are allowed to be sold after October 1 have to be compliant. There is no dispensation on that. The three -

HDFC Life Insurance Company Limited

October 15, 2024

Page 22 of 32

month period is to launch products which are not yet compliant as on October 1. Three more months have been given by the regulator to make your other products, which were not compliant by October 1, compliant, if you want to sell them or you may choose to withdraw them.

Vibha Padalkar : So, they need to be compliant with system and clauses. But if it's not compliant, you won't be allowed to sell it after 1st of October. You won't be required to withdraw it, but you will not be allowed to sell it. That's what we've got three months for.

Moderator: Thank you. Next question comes from the line of Mr. Nischint Chawathe with Kotak Institutional Equities.

Nischint Chawathe : Hi. Thanks for taking my question. You reported a fairly strong growth in non-par, in fact, much higher than ULIP. It's a little counterintuitive in the current regime. And I remember you mentioned that you're not going to

engage in flash sales towards the end of the quarter. So, I was just curious what happened? Is there a specific variant or something that was especially pushed in this quarter or is it something that the delay in re-pricing actually

helped in selling these products?

Vibha Padalkar: Yes. So, we had talked about the Click 2 Achieve, which is a blockbuster product that amassed INR 100 crores in 16 days. So, this is the same product that we had referred to in last quarter.

Niraj Shah: And Nischint, there's been no change in our product mix through the quarter. It has been in that zone anywhere between 37% -38% on non-par; in fact, close to 40% non-par in quarter two. But right through the quarter, it's not been any higher in September.

Nischint Chawathe: Sure. And just again, going back to the sharing burden of surrender penalty guidelines. Somewhere the smaller agents would probably be at some kind of a risk because they may not have cash flows when commissions go down to support their earnings. There is some risk of people at a margin kind of exiting the industry.

So, what is it that you are thinking to kind of support the smaller agents and kind of ensure that the industry continues to grow because there's always this

HDFC Life Insurance Company Limited
October 15, 2024

Page 23 of 32

kind of a debate, right? When you cut down commissions, some of the weaker agents tend to be weeded out of the market?

Vineet Arora: Yes. So, I think the way we have launched our structure is quite similar to what we have seen in the market being launched by other players. It's also tiered in a fashion that the agents who are with us for a longer period are able to get a higher upfront and the adjustment happened in the subsequent years. Also, the agents who have better persistency are the ones who will benefit more. So clearly, there is a move towards getting more quality business. As far as smaller agents are concerned or new agents are concerned, yes, we start with a smaller upfront. But as they improve on the quality and as they improve on their book with us, they start to move to the higher slabs.

So, it's a matter of building the book and staying with us and then they start to move in for the higher slabs. So how this impacts the entire distribution and acquisition of agents? I think still insurance is a very favorable piece. Even after this kind of adjustment on the upfront, we would still stand out in the market as compared to other financial instruments.

And we don't believe it should have a substantial impact, but we'll observe it over the next few months.

Nischint Chawathe: And would you sort of envisage or think that we kind of move to a near-full trail model on commissions?

Niraj Shah: So, we have all kind of structures available. There are certain agents who prefer certain models, and there are certain agents who prefer slightly more upfront depending on their disposition and where they come from. And I think as the agents become stronger and build more and more book for themselves, they also then like to move to a trail model so that they can even out their commission and maybe earn slightly higher overall.

But agents who are new, do prefer higher upfront.

Moderator: Next question comes from the line of Dipanjan Ghosh with Citi.

HDFC Life Insurance Company Limited
October 15, 2024

Page 24 of 32

Dipanjan Ghosh: Just a few questions. First, the agency growth has been quite robust over the last few quarters, especially this quarter. And we have been adding agents also at a very sharp speed. I just want to understand in terms of the agency growth, if you can kind of split it or give some color on the quality of growth between the new agents versus the existing agents or any sort of numbers on the acquisition ratios, if they have changed?

And lastly, whether you're adding more agents in the Tier 2 markets or the growth from the agency making more in Tier 2 markets? Because your term growth in the agency channel has also been quite strong. Some color on the overall agency cohorts. And the second question is more on

f an extension from

the previous participant's question, which is on the non-par segment. Just wanted to get some color on the ticket size breakup and growth across different ticket sizes in your non-par category, what is driving that?

And just one data-keeping question on the HDFC Bank channel, what is your growth for the second quarter? If you can kind of spell that out?

Vineet Arora : Sure. First, I will address the entire agent piece. So, our agent growth and the business mix is actually quite robust and spread geographically. We would have gotten nearly 70% of our business coming from Tier 2 and Tier 3. And the expansion of agent and branches that we undertook about 1.5 years back is also starting to now give us results.

And we are continuing with our expansion on agency and we're adding more branches as well. You have seen the number of agents that we are adding. So obviously, this entire focus is what is helping us go deeper in the market and get better quality business from these agents. Your other question was on HDFC Bank. 21% was the HDFC Bank quarter 2 growth.

Vibha Padalkar : And just to add here this is despite a very significant traction that we saw in September of last year.

Niraj Shah : Yes. Last year, August, September was a high base.

Dipanjan Ghosh : And the question on non-par across ticket sizes, if you can give some color on that?

HDFC Life Insurance Company Limited

October 15, 2024

Page 25 of 32

Niraj Shah : All our savings products are fairly tight in that 100,000 -110,000 kind of a range. In fact, non-par and unit-linked are very close to each other about 115,000 -120,000 also in certain pockets and participating is maybe in the 90,000 range. So overall, ticket size is about 100,000 on the savings products.

Dipanjan Ghosh : But the growth will be similar across these cohorts when I look at 2Q or 1H?

Niraj Shah : Within non-par, you mean?

Dipanjan Ghosh : What you mentioned is the average or the median ticket size, but if I look at the higher end of the spectrum versus the lower ticket size segment should the growth be similar, let's say, in more than INR4 lakhs -INR5 lakhs segment?

Niraj Shah : Yes. So, on a low base which got impacted after the budget, the growth is fairly robust across all ticket sizes within non-par, even at higher ticket sizes.

So, the growth that you see in the non-par mix which is upwards of about 70% plus is reasonably uniform across ticket size.

Moderator: Next question comes from the line of Rishi Jhunjhunwala with IIFL Institutional Equities.

Rishi Jhunjhunwala: Thank you for the opportunity. Just one question, you mentioned about not changing much on the repricing of the products post the surrender value changes from 1st October. Given that we are 15 days into the quarter, just wanted to understand how your competition has reacted during the same period in terms of repricing of products? And in case there has been lower repricing done, do you see that as an opportunity to gain market share in multi-insurer distribution channels?

Vibha Padalkar : While Niraj will answer specifics on any repricing, this is the point I made earlier too, that you can see some of this aggression on pricing in these cases where you're hardly retaining any spread or having very aggressive pricing, maybe 40% cheaper on term or even annuity rates. We do believe that for some of it, the source was perhaps surrender charges.

So, with calibration in surrender charges, some of that aggression is bound to go down. Everything possibly might not be passed on to the partners and it

HDFC Life Insurance Company Limited

October 15, 2024

Page 26 of 32

will have to be shared between the three different constituents in this. So yes, I do believe that some of this over the next quarter will hopefully move to more calibrated pricing.

Niraj Shah:

We had some instances of repricing across non-par savings products as well as annuity products downward. And to be fair, it could be a combination of responding to the surrender guidelines as well as interest rate changes. So, I think hard for us to say, but we have observed definitely downward repricing

on some of these segments.

Moderator: Next question comes from the line of Aditi Joshi with JP Morgan.

Aditi Joshi : The first one is on the participating product, the category growth has been particularly weak and when I talk to some of your peers, they have been saying that they would like to grow this particular category. So, I just wanted to understand like what are you thinking about this particular product going forward?

And the second one is, can you just help explain the growth differential between the Tier 2, Tier 3 and the Tier 1? And just particularly in the context of Tier 2 and Tier 3, I just wanted to understand that even in terms of the ULIP product is it again like a popular product in Tier 2, Tier 3 because somewhat the Tier 2 -Tier 3 are less risk averse? So, I just wanted to understand that if the ULIP continues to be popular in those cities as well.

Vibha Padalkar : On par, we have been known as a par company forever. And so, we are fairly enthused about par products, especially to certain customer profiles, in certain geographies, in certain channels and so on. It's just that right now what we are going through is a fairly polarized buying behavior and preferences.

One is like we have talked a lot on this call on the popularity of unit-linked in line with equity markets and the other is in terms of guaranteed products. Par lies somewhere here in between and actually can give a fairly good upside because the equity component backing up our product is significantly more than a non-par product for us, where it's nearly zero.

HDFC Life Insurance Company Limited

October 15, 2024

Page 27 of 32

So, we do believe that over a period of time this should bounce back and hopefully with certain product launches we will be able to revitalize that segment, hopefully in H2, we will see a little bit of traction.

Niraj Shah: Yes. So, the growth has been fairly even across Tier 1, 2 and 3 for us in this period close to 30% -31% across Tier 1 as well as Tier 2 & Tier 3. It's just that the base on which this growth has come is different. As you can appreciate last year Tier 1, we had a fairly challenging period post the budget. So, the base on that was favorable and there was a 30% plus growth in Tier 1 markets.

Tier 2 and 3 grew fairly well last year as well, if you recollect, both in terms of volume as well as ticket size. That growth journey continues in this period as we continue to expand our distribution and product portfolio. So even on a higher base, Tier 2, Tier 3 growth has been fairly robust, very close to company average in this period. And in terms of unit-linked products, I think contrary to what we may think given the aspiration to get the upside and participation in the equity markets, it's been fairly uniform across tiers.

We don't see very meaningful difference in demand for unit-linked products across different tiers. We, of course, exercise caution in terms of our engagement with customers depending on their profile, but the demand is fairly secular, whichever geography you look at, given the external environment.

And just to add one more aspect to what Vibha mentioned on par, very linked to this whole environment where right now moderation is something which people are kind of giving a pass right now. It's either the upside from equity or the long-term guarantee of non-par which is attracting customers at this point in time. So as the environment normalizes we would expect par to come back fairly strongly as well.

Moderator: Next question comes from the line of Roshan Chutke

y with ICICI Prudential

Mutual Funds.

Roshan Chutkey: Firstly, I want to congratulate you for laying out this 17% -18% sort of guidance for VNB growth, very commendable that is. But I want to

HDFC Life Insurance Company Limited

October 15, 2024

Page 28 of 32

understand here, how sustainable is this 17% -18% growth say in the face of falling market conditions, when ULIP probably not do very well for us, so is that sustainable?

Question two is essentially I want to understand where this 100 bps impact on margins came from for this quarter which was 30 bps to 40 bps for the 1H that you referred to? That was not clear to me. These are my two questions .

Vibha Padalkar : Yes, we should be able to deliver, we have said 15% to 17% VNB growth the year after, not really knowing what the environment is going to be, the macro environment, but over the past several years that's through business cycles, that's the kind of growth we have managed to deliver. And given our balanced product mix and product innovation , hopefully credit life also comes back like I explained previously. So , I think that we have many levers for us to continue with this growth trajectory as far as VNB is concerned, without remaining tethered to a particular NBM.

Niraj Shah : So, to just reiterate our conversations on the margin movement. Firstly, from last year to this year, largely it is product mix, higher unit -linked , lower annuity and some aspect of repricing. If you were to just look at for the quarter versus last year, it's primarily repricing lag because all the repricing lag happened towards the end of this quarter and that's broadly where it is. So, it's for the period, it's a combination of higher unit -linked, lower annuity and some repricing. For the quarter, it is pretty much lag in repricing.

Roshan Chutkey : What do you mean by repricing of the products? I mean, did we kind of miss out on repricing based on interest rate movements?

Niraj Shah : Not missed out. We basically took a call that we had these 3 months since the notification of the new regulation came in, we had this period to make most of our products available on October 1. That required us to make a lot of changes across all products. And one of the changes that would have got done was on repricing. For us, the priority was to ensure that 90% of products were available for business on October 1. That's what we did prioritize .

There would have been maybe some repricing that we would have ideally liked to do maybe towards end of August, that got done towards end of

HDFC Life Insurance Company Limited

October 15, 2024

Page 29 of 32

September. So that is something that caused this kind of gap as far as repricing of non -participating and annuity products is concerned.

Roshan Chutkey : So that was to the extent of 100 bps because of this one month delay?

Niraj Shah : Yes, you could say that, a few weeks. In fact, just maybe 3 to 4 weeks of delay, yes.

Roshan Chutkey : And how much is the impact on VNB margin this quarter because of credit life products?

Niraj Shah : So just to complete the earlier point, non -par is about 38% -40% of the mix.

That's the reason why the impact is fairly meaningful. Annuity is also a fairly meaningful part of the business at close to 5 % odd, so where close to 50% of the business, there was some elements or some products in which the repricing had a lag. That's the reason why the impact is what it is.

Credit life, is a profitable segment. Vineet did speak about some segments in which there was a slowdown and the competitive intensity because of which we would have probably stepped back a bit. Yes, that would have added to some extent to this issue, but primarily driven by repricing.

Moderator: Next question comes from the line of Prithvish Uppal with Elara Securities .

Prithvish Uppal : Just wanted to understand where you see the bu

siness mix moving in the

second half given that we have some pricing competition intensity in annuity and Credit Protect and we want to be a little more calibrated around the ULIP segment. So , which products do you see driving the growth for us in the second half?

And particularly around non -par as well, given the uncertainties that are there with distribution , what is the outlook for how you see this particular segment performing as well? And basis this, if you look at your full year guidance , the margin for the second half works out to be between a 26% -27% kind of range. So what products do you think would essentially drive that?

Vibha Padalkar : Yes. So , on non -par that you mentioned, I just thought I'll pick that up. In the first half of the year, we've grown upwards of 70 % plus. The growth has been

HDFC Life Insurance Company Limited

October 15, 2024

Page 30 of 32

good in non-par. To your question on what sort of a mix that you'll see? It will be fairly similar. Unit-linked is a shade above 35% and non-par savings is just shy of 40%. Term and annuity together are about 11%, 12%.

We would like to see an uptick like we discussed with the previous caller on par. Par going up to about 1/5th of our business would be a good outcome in H2, and that's the endeavour. Hopefully, we'll also have some interesting offerings in H2 on par to be able to revise interest and some other interventions also.

We've reasonably been fairly steady, except for unit-linked uptick that you see in H1, that we think those elevated levels, while range-bound will continue to be there. So that's as far as the retail product mix is concerned, Credit life should get slightly better than where we were in H1. But we will have to see to what extent, like I mentioned, recalibration in terms of sensible pricing on credit life as well as annuities come through, now that there is pressure on the system due to the new surrender charge regime.

We believe there will be some level of restraint in terms of the aggression. And that's where I think we should benefit to some extent in both what you mentioned, credit life and in annuity.

Prithvish Uppal : And just continuing on one of the questions from an earlier caller, which is as peers and competition looks at revising the IRRs downwards, because the spreads compared to what we were offering was significantly higher for some of the smaller and mid-sized companies. So as these spreads narrow and given with interest rate movement, repricing should come through. How are you looking at the segment from a competition perspective and in terms of how favorable you see the scenario can play out for HDFC Life?

Niraj Shah : So we started to see some calibration in terms of IRRs from some of the players on a few products, we believe we will see more of it as the quarter and the rest of the year pans out. And we do believe that the gap should start closing between now and the end of the year. But we'll have to wait and see. I think there'll be different approaches that companies may choose to follow.

We've been fairly consistent in terms of what we would like to do and the business that we've garnered in various product categories are with our HDFC Life Insurance Company Limited

October 15, 2024

Page 31 of 32

pricing and underwriting approach. So, I would believe if there is more convergence in that within the sector, it should benefit us.

Moderator : The last question comes from the line of Supratim Datta with Ambit Capital.

Supratim Datta : A lot of my questions have already been answered. But I just wanted to get some sense on the margins. Just wanted to understand how does return profile across the products differ? We have a sense of how the margins across different products look like, how does the returns differ? How do you plan to balance margin versus returns across the product mix? And

could this change

once we move to IFRS? Those are my 2 questions.

Niraj Shah : Sorry, Supratim, just to be clear, your question is in terms of margin versus return on capital?

Supratim Datta : Yes. Within the different products, we know that ULIP is lower margin. But how would the ROE profile or return on capital profile across the products differ? And how does that play a role in your product selection or the balancing? And how would that change once you move to IFRS?

Niraj Shah : So for us, I'll answer in short, not very different for per unit of capital in terms of value, it's not very different because when you look at a category like unit-linked where the required capital might be low, but the gap between the customer charges and the cost of acquisition at the point of sale is fairly high.

Even if we were to, let's say, move from VNB per unit of capital to return per unit of capital, we would probably make the same decisions from a business perspective. So that's the way we would like to think. As far as Ind AS or IFRS is concerned, the big change there will be in terms of the matching principle being followed more consistently between revenue recognition and expenses over the course of the policy.

So that should give a better view of the accounting results as we go forward, but we'll have to wait and see once the regulation finally comes in or rather gets implemented.

Supratim Datta : Okay. And would that change the capital requirement across products ?
HDFC Life Insurance Company Limited
October 15, 2024

Page 32 of 32

Niraj Shah : So that's more to do with risk -based capital, which IRDA may come up with over the next maybe 18 to 24 months. At that point in time, the capital requirement, which today is based on a certain framework that could change as we go forward. Directionally, we believe it will allow most players to write more business with the same amount of capital, but we will wait for some of these things to get completely clear in terms of how the regulator plans to implement this as we go forward.

Moderator: We have reached the end of question -and-answer session. I would now like to hand the conference over to Vibha Padalkar for closing comments.

Vibha Padalkar : Thank you everyone for joining today's call. Please feel to reach out to our IR team in case of any follow -on queries. Have a great evening and wish you all a very happy Diwali. Good evening.

Moderator: On behalf of HDFC Life Insurance, that concludes this conference.

Call: Apr 2025

April 25, 2025

Ref. No: HDFC Life/CA/2025- 26/11

Listing Department Listing Department

National Stock Exchange of India Limited BSE Limited

Exchange Plaza, Plot No C/1, Block G, Sir PJ Towers,

Bandra-Kurla Complex, Dalal Street,

Bandra (East), Fort,

Mumbai- 400 051 Mumbai – 400 001

NSE Symbol: HDFCLIFE BSE Security Code: 540777

Dear Sir/ Madam,

Sub: Transcript of earnings conference call for the year ended March 31, 2025

We wish to inform you that pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of the earnings conference call with analysts and investors held on Thursday, April 17, 2025, to discuss the financial performance of the Company for the year ended March 31, 2025.

The said transcript has been hosted on the Company's website at

<https://www.hdfclife.com/aboutus/investor-relations> .

This is for your information and appropriate dissemination.

Thanking you,

For HDFC Life Insurance Company Limited

Narendra Gangan

General Counsel, Chief Compliance Officer &

Company Secretary

Page 1 of 22 HDFC Life Insurance Company Limited 12M FY25

Earnings Conference Call

April 17 , 202 5

HDFC Life Insurance Company Limited

April 17, 2025

Page 2 of 22

Vibha Padalkar: Good evening, everyone, and thank you for joining us for our Earnings Conference Call for the year ended March 31, 2025.

Our Results , along with the investor presentation, press release, and regulatory disclosures have been made available on our Website and the Stock Exchanges .

Joining me on this call are Niraj Shah – Executive Director and CFO ; Vineet Arora – Chief Business Officer , Distribution , Data and Technology ; Eshwari Murugan – our Appointed Actuary ; and Kunal Jain – Head , Investor Relations and Business Planning.

I am pleased to share that the Board of Directors at their meeting today have approved the appointment of Vineet as a Whole -Time Director effective May 1st, 2025 . I request you to join me in congratulating him in his expanded role as a fellow board member.

Section 1 on Macroeconomic Context:

India has continued to demonstrate resilience amid global volatility, supported by steady domestic demand, improving rural sentiment, and a strong services sector. While near-term risks such as geopolitical tensions and tariff wars loom large, India's stable macroeconomic foundation offers a buffer. We remain watchful of how these factors may influence household savings and overall demand for long-term financial products.

Recent GDP forecast suggests a moderation in growth for FY26 and increased turmoil in global trade flows, leading to potential uncertainty in the near term. While we do not see any immediate signs of a material slowdown in insurance demand, we remain watchful and will continue to evaluate developments as they unfold quarter-by-quarter. In this environment, softening interest rate cycle and volatile equity markets might lend support to traditional savings product offerings. Also, the revised tax thresholds announced in the union budget could provide a measured boost to both discretionary consumption and long-term financial savings.

Moving on to Section 2 on Business Performance:

FY25 was a year where we deepened our reach, continued sharpening our value propositions, and demonstrated the resilience of our business model. Moreover , aligning with our stated aspirations, we have nearly doubled all key metrics between FY '21 and FY '25. As we step into our 25th year of operations, our focus remains clear to build a future-ready life insurer that grows sustainably, serves responsibly, and innovates purposefully.

We are happy to report an 18% growth in individual APE for FY '25 in line with our stated growth aspirations for the year. This growth was broad-based, driven in equal measure by an increase of 9% in policies written and an increase of 9% in average ticket size.

HDFC Life Insurance Company Limited

April 17, 2025

The life insurance sector too demonstrated steady momentum during the year, outperforming several other segments within the Nifty 50, a reflection of its inherent resilience and growing role as a trusted pillar of long-term financial planning. Within this context and based on available 11-month industry data, we outperformed both the private and overall sector. Our overall industry market share expanded by 70 basis points to 11.1% and by 30 basis points to 15.7% within the private sector. Notably, our policy count grew faster than the overall and private sector.

Almost three-fourths of our new customers onboarded in FY '25 as first-time buyers from HDFC Life, reflecting our expanding reach across tier one, two, and three markets. In total, we insured about 50 million lives in FY '25.

Moving on to the next Section 3 on "Product Mix":

The composition of our individual APE was ULIPs at 39%, non-PAR savings at 32%, participating products at 19%, and term and annuities at 5% each. ULIP demand remains strong despite market volatility in quarter four, while participating products saw strong tr

action led by

the launch of Click 2 Achieve PAR. Non-PAR savings also posted robust growth of 25% for the year. We expect traditional products to perform well in FY '26, aided by lower interest rates and equity market uncertainty.

Retail protection continued to show growth momentum with APE growth of 25%. Credit protect growth remained muted due to subdued disbursement trends, particularly in the MFI space.

Despite that, we retained our market leadership in this segment with a well-diversified partner base. The rider attachment rates improved further across retail and group products. Annuities grew faster than the industry in FY'25 and combined with protection, these segments contributed 41% of our total new business premium. Retail sum assured grew by 18% year-on-year and by 32% on a two year CAGR basis.

We continue to outpace the industry on this metric over a two-year horizon and maintain our leadership in overall sum assured. We remain on the forefront of product innovation. With industry first launches like Click 2 Achieve PAR Advantage and San chay Aajeevan Guaranteed Advantage or SAGA in the pension space. SAGA combines dual guarantees, joint life benefits, liquidity options and tax advantages with a simplified issuance process. Retirement remains a core focus aligning with our brand promise of "Sar Utha Ke Jiyo". We see this segment as a long-term structural opportunity driven by increasing life expectancy, changing socioeconomic dynamics and rising awareness around retirement planning.

We are committed to innovation while maintaining a disciplined approach to risk management. This includes appropriate product pricing, prudent underwriting practices, and effective hedging mechanisms, all of which underpin our ability to deliver sustainable, customer-centric solutions across market cycles. This balanced approach has enabled us to navigate regulatory changes, HDFC Life Insurance Company Limited

April 17, 2025

macroeconomic volatility and evolving customer expectations while continuing to grow faster than industry, also maintaining consistency and quality of business underwritten.

Moving on to Section 4 on Financial and Operating Metrics:

The value of new business for FY '25 stood at Rs. 3,962 crores reflecting a 13% growth. New business margins for the year were at 25.6%. We have successfully managed to contain the impact of the new surrender charge regulations as well as continued preference for unit-linked products.

Embedded value rose to Rs. 55,423 crores with an operating return on embedded value of 16.7%.

We raised Rs. 2,000 crores of sub-debt in two tranches during the year, thus improving solvency by 20%. We closed the year with a solvency ratio of 194%. Profit after tax rose by 15% to Rs. 1,802 crores driven by strong growth in back book profits of 18%. The board has recommended a final dividend of Rs. 2.10 per share in line with our payout policy, aggregating to a payout of Rs. 452 crores.

We have consistently delivered positive and range-bound operating variance over the past nine years, excluding the COVID year, thus underscoring prudent risk management, disciplined execution, and strong fundamentals.

Renewal collections grew by 13% year-on-year. Persistency metrics strengthened further with 13th and 61st month at 87% and 63% respectively. We saw a steady improvement in 13-month persistency across customer cohorts and geographies despite the expansion of our footprint into newer segments and markets. 61st-month persistency rose by over 1,000 basis points aided by the positive impact of the long-term savings products that were introduced around FY20.

Moving on to the next Section 5 on Distribution Highlights:

All channels registered double-digit growth.

Our counter-share within HDFC Bank has remained steady at about 65%. Our priority is to

enhance the profitability of HD

FC Bank channel through a multi-pronged approach, encompassing product mix optimization, heightened focus on cross-selling and up-selling initiatives, strategic leveraging of the bank's digital resources, and a commitment to superior customer service.

Our agency channel recorded a healthy growth of 15%. Term business with in agency channel registered an outstanding growth of over 50% versus last year. We also ranked #1 in the private sector in terms of total agent count as of February 2025, with close to 30,000 new agents added during the year. We continue to invest in building the agency franchise, adding over 200

HDFC Life Insurance Company Limited

April 17, 2025

Page 5 of 22

branches in the last 24 months, of which 117 branches were added in FY25. Our pan India branch count now stands at over 650.

We successfully onboarded around 40 new partners during the year including prominent names such as Sundaram Finance, Aditya Birla Finance, Home First Finance, Northern Arc, Repco Home Finance, Manappuram, Mirae Asset Sharekhan, and Peerless amongst others. Our focus remains broad-basing our distribution footprint and finding newer and more efficient ways to reach and serve our customers.

Next, focusing on Customer Experience:

Our endeavor is to enhance customer experience through intuitive digital platforms with over 90% of service requests now handled via self-serve. Turnaround times have shown steady improvement and key experience metrics such as customer satisfaction scores and first-time resolution have shown continued gains. We proactively refine our practices and processes, often going beyond regulatory expectations. This is to ensure transparency, ease, and trust. In parallel, we continue to strengthen right-selling practices through focused training and tools and processes so that customers receive solutions aligned to their needs.

To stay ahead on customer experience, we have invested in data analytics and innovation labs to proactively identify early indicators across the value chain. Given the diversity of our customer segments, we remain focused on staying relevant across both physical and digital touch points. In line with this, we are undergoing a technology transformation aimed at building real-time seamless service capabilities, moving us closer to Insta service delivery.

Next on Project INSPIRE :

It is our technology transformation initiative and is progressing steadily with incremental tech assets being rolled out through the course of the year. While the coexistence of legacy and new systems might lead to a temporary rise in costs, this transition is designed to unlock meaningful efficiencies, elevate customer experience and strengthen our path forward towards long-term digital leadership.

Next on Subsidiaries:

HDFC Pension continues to maintain its market leadership position in the private pension fund management space with a market share of 43% and assets under management exceeding Rs. 1.15 lakh crore. Its consistent outperformance and rapid scale-up further reinforce our presence in the retirement solution space, a segment we believe holds long-term structural opportunity.

HDFC International also retained its strong credit rating with a 'BBB' insurer financial strength rating from S&P global ratings and a 'B++' rating from AM BEST.

HDFC Life Insurance Company Limited

April 17, 2025

Page 6 of 22

Other Updates:

We were recognized as a "Great Place to Work" and amongst top 50 companies in India for building a culture of innovation.

On the Strategic Outlook :

As we enter our 25th year of existence, our aspiration remains against the backdrop of a stable regulatory regime to consistently outpace sector topline growth, deliver VNB growth in line with APE growth, and double key metrics every four to four and a half years.

FY'25 was characterized by front end delivery on topline and VNB with a 3

1% growth in topline

and a 17% growth in VNB in the first half, followed by a relatively softer second half. As we step into FY '26, this base effect is likely to result in a moderate first half with growth momentum expected to pick up in the second half, leading to a more balanced full year outcome. While the evolving product mix might be margin-accretive, we remain focused on investing in distribution and technology with a three to four year perspective to strengthen long-term capabilities. This strategic choice might result in margins to remain range-bound in the short term, but we believe

it positions us well for sustainable quality growth.

To Sum Up:

As with any evolving industry in the BFSI space, regulatory change is an inherent feature and we believe that disciplined strategy, ability to reimagine business models coupled with execution strength enable us to adapt and emerge stronger. Our track record of navigating a dynamic regulatory and macroeconomic environment reflects our institutional resilience and agility. Looking forward, we expect to operate in a more stable policy regime, offering greater clarity for long-term planning and sustainable growth.

Behind our numbers lie the focused efforts of over 37,000 employees, 2.4 lakh financial consultants and thousands of partner staff, all united by a shared mission to provide financial protection to every Indian household. We remain confident in our ability to deliver consistent, high-quality growth as we continue to build for the long term.

For a detailed overview of our results, please refer to our investor presentation. We are now open to any questions from participants.

Moderator: We will take our first question from the line of Avinash Singh from Emkay Global.

Avinash Singh: Hi. Good evening. A couple of questions. First one is more of a data question. In the EV walk, if you can just provide the breakup further of operating assumptions and variances between the two and within that, key category like the expenses, persistency, and mortality. So that will be HDFC Life Insurance Company Limited

April 17, 2025

Page 7 of 22

the first.

The second one is more on the growth side. Of course, needless to say that you have ended this year well, particularly on the retail side. In the past, if I look at the medium term, typically, the industry and even you have grown on the back of some white space in the product or distribution field, whether it is retail protection at some point, Sanchay Plus, or banca getting opened up or some kind of external event. Now, in this backdrop, at this point, we see particularly the white space in the product and distribution space is almost absent, at least. And we cannot bank on kind of externalities. In this backdrop, what kind of growth do you see on the retail side, particularly the next year? And what channel or product you see that, okay that could be more supportive of that growth. So that's the second question. And thirdly, if at all any discussion around industry, around any sort of regulation, cap, anything coming on the bank as well as partners? Thanks.

Eshwari Murugan : On impact of operating variance and assumption change. Most of the operating variance is coming from persistency and expense, mortality is close to zero and we have a small non material impact of the assumption changes based on the review of the experience during the year.

Avinash Singh: So variances and assumption changes both are positive?

Eshwari Murugan : Yes. Both are positive.

Niraj Shah: Yes, Avinash, in terms of the questions in terms of what is likely to support growth, what happened in this quarter and what's likely to happen going forward as well. We have seen a few shifts. Unit linked has continued to be elevated, but we continue to attach more levels of protection to that. That is absolutely helping. Also, the persistency levels have

become stronger

in unit linked in this period. Participating products have done extremely well in this quarter, has grown upwards of 40% odd in this period. We have spoken about a new product launch in the previous quarter that started to take off in this quarter. And on a run rate basis, the product mix on participating products has moved to early to mid -20s. We expect some of that to continue in FY26 as we continue to see more and more volatility in the equity environment. We can see some sort of moderation on unit linked products in the next 12 months. We will wait and see. But we do expect that on a base case. As far as non -PAR products are concerned, that's been fairly steady in the early 30s. That continues to be the case as we speak, and we expect that to continue going forward as well as the interest rate environment becomes more conducive. While that's not been the issue for us in the past across various interest rate environments, the non -PAR mix has been in the early to mid -30s. So a conducive rate environment will definitely help generate more demand in this segment. So we do expect that to pan out in this manner in the next 12 months. Protection, grown at about 25% in the last couple of years. We expect that to continue growing faster than the overall company growth next year as well. So that's broadly our thought process in terms of how products would support growth as we go forward. New launches from time to time have helped us in this year and we expect that journey to continue next year as well.

HDFC Life Insurance Company Limited

April 17, 2025

Page 8 of 22

Avinash Singh: Is there confidence of maintaining the current growth levels of FY25 in retail for FY26?

Vibha Padalkar: See, time and again, we are asked this question, but time and again, we have demonstrated that every year we do grow faster. And this year also, whether it is for the year, in the sense, the 11 - month data, or if you look at the quarter, in fact, for the quarter we did exceptionally well, wherein both in terms of our overall industry, market share and in the private space was even higher than what it was for the 11 months. So growing faster than the sector, is something that has become part and parcel.

And, I just want to take your point about white spaces. In fact, if you look at slide 18 of our presentation, we have all the product innovations. Sanchay Plus was ahead of its time and also because possibly acceptance and understanding of the product took a fair bit of time. Now, whatever products we launch, usually, there is shorter lead time to market. Also due to some of the use and file regulations, especially on unit linked and term, our window of being a market leader in that particular product segments has reduced since there is much shorter adoption window. But are we innovating in the white spaces that you talked about? Absolutely, and if I were to take Sanchay Aajeevan, the SAGA product, there is no other product that exists today to best of my knowledge in that avatar and just in case you're not very familiar with that product, what that product gives you is an accumulation vehicle, under a pension umbrella, but also gives you a floor on annuity and a fairly attractive floor today of what might be several years hence. Plus, we give you the option to exit and go and buy someone else's annuity if you want to. So it gives you the comfort, but not the obligation to do it. That is certainly a white space. And we have many more such innovations in the pipeline.

On your point on regulations, I just want to mention a couple of things. On mis-selling, we keep talking with both our regulator and the government. It is topical. But if I were to look at bancamis-sale, it is not any worse than or it's actually a shade better than some of the other channels, even at an industry level. But at the same time, we respect the sentiment that comes through and

there are many things that we have operationalized. For example, at HDFC Bank, in the first year of complaint for vulnerable segments such as where an annual income is fairly low, say 5 lakh and below annual income or senior citizens is involved, we would just handle those complaints very differently. And that's clearly beginning to show and yield significant rewards. And many other things to make insurance sale a lot more holistic at the bank and us having an extra pair of eyes even within the organization to look at complaints. Second part is on caps on bancassurance. The understanding we are getting is that bancassurance is an extremely important channel to get to the objective of insurance for all by 2047. In fact, if we see the IRDAI annual report, penetration levels have actually gone down rather than increasing. So bancassurance having at least between 6x to 10x more branches than the sector, it'll be a shame to let go of those touch points. So throwing the baby out with the bathwater, what we understand is not the intention of the government. And as long as we pay attention to things like claim settlement, complaints resolution, and so on, I think it is very much an important channel. At the same time, we will continue to grow our other channels also.

HDFC Life Insurance Company Limited
April 17, 2025

Page 9 of 22

Moderator: We will take the next question from the line of Madhukar Ladha from Nuvama Wealth. Madhukar Ladha: Hi, good evening. I had a question on individual protection. If barring some rounding off, there seems to be some slowdown in individual protection in Q4. So can you help understand what's going on over there? And also QoQ, I don't see any big shift in a product mix, but margins have improved considerably. So is that largely to do with fixed cost absorption? And again, coming back to the growth question, given the last few years have been good and last year was obviously also supported by good growth in ULIP. But incrementally with markets being choppy, short-term rates still being a little bit on the higher side, that may prevent non-PAR from actually picking up considerably. So in that context, how should we think about individual APE growth? And finally, how is the competitive intensity playing out given the new surrender value regulations are now in place?

Niraj Shah: First on retail protection, For the year it's grown at 25%. It had similar growth last year as well. So it's been fairly steady, both in terms of volume as well as value.

Yes, so Q4 also grew at 19%, which is fairly healthy. We don't really see any change in trend there really. 19% is a fairly healthy growth in the overall context of how we are operating. And that is something that we expect going forward as well to continue to grow faster than the overall company growth. That's on protection, no change in trends that we see. In fact, a couple of new product launches have actually helped get us to more customer segments. Some of them are at the higher age, some of them are self-employed and some of them are at higher sum assured levels as well. So, these product launches is something that will help sustain growth and momentum in that overall protection segment as well.

To your question on margins, while overall walk for the year is there in the investor deck, your specific question is on the quarter. So basically a couple of things have happened there. One is

there is a negative of the surrender value regulations. That is we had spoken about it last time as well. That's a negative 30 basis points. The 40 basis points expansion is largely on account of inherent product margins that have improved from same time last year to this period. We had spoken about lag in repricing and we managed to basically do two -three things. We managed to increase the level of protection in the unit linked products , persistency levels have i

mproved and

longer -term products are being sold. As a consequence of that, inherent product margins have improved in this period. So that's really the reason for expansion in Y -o-Y margins for the quarter from 26.1 % to 26.5 %.

Your other questions in terms of the markets being choppy for non -PAR again, we did have this question from Avinash as well. So if you look at a non -PAR mix for the last four to five years, ever since we launched this category six years back, after the first couple of quarters in which the mix was elevated, it has been in the early to mid-30s for the last four and half years, if I can recall. And we have seen various interest rate environments in that period . Flattish environment for a fair bit of time that continues as we speak. It's probably likely to be different in the next 12

HDFC Life Insurance Company Limited

April 17, 2025

Page 10 of 22

months, given the commentary from the RBI in terms of initiatives for rate cuts to support growth. So that will only be conducive for the non -PAR product segment, as I mentioned. Even in the current flat tish environment, we managed to maintain non -PAR at 30% plus. So we don't expect anything differently on that if at all it will only aid further demand for this product as we go forward.

Last question on the surrender value. Have you seen any change in competitive intensity? We have seen a mix of behavior across the sector. I mean large listed players have continued to be fairly calibrated. We haven't seen any change from them pre or post surrender value regulations. Among st the large unlisted players we have seen different kind of approaches. Some levels of aggression continues. Some folks have moderated that, given their focus on profitability. So we will see how that will develop , but that's more to do with overall objectives, we believe, rather than a response to surrender value changes. I think we have spoken about sharing the burden with the distribution , we have done that. We have taken a hit of 30 basis points . We have obviously adjusted some of our distribution commercials to support the rest of the burden. Customer pr oposition has remained largely unchanged for us. We have seen some adjustment in customer proposition in some parts of the industry, depending on wh ich player we are talking about.

Vibha Padalkar: And one small data point, Madhukar, is on your first question on individual protection in Q4. If I were to look at quarter -on-quarter, sequentially it has grown by 26 %. So it's more a factor of what happened last year but sequentially it has grown very ha ndsomely.

Moderator: We will take our next question from the line of Nidhesh Jain from Investec.

Nidhesh Jain: First question is on the investments that you spoke abo ut, highlighting that despite product mix shift towards higher margin product next year, you expect margins to be range bound. So can you quantify the investments that you are likely to make next year in terms of let's say a percentage of AP E and in which area we are making these investments ?

Vibha Padalkar: I will give you the areas . Key focus areas are – one is our agency channel, both tied and variable. This would be a combination of branches, training, people, the right hierarchy, right pay scales based on nuance s of geograp hies, technology to enable both our employees in the agency channel and our agents to win and so on. So it's an entire gamut. We are in the process of reimagining our agency channel. And so that's one space.

Technology, we talked ab out project INSPIRE and all that we want to do. And as you know, there will always be once you're down a big transformation project, there will always be further ask from business, or how do we embed AI at this stage itself into many parts of what we do. So that will also require some additional funds to be allocated.

HDFC Life Insurance Company Limited

April 17, 2025

Page 11 of 22

Vineet Arora: So largely in terms of expanding our distribution, improving our quality of people on the ground especially in agency channels, and investments in technology, which gives us the edge over rest of the market in long-term sustainable business .

Nidhesh Jain: Any quantification possible as proportion of APE or any range broad range?

Vibha Padalkar: See Nid hesh, what we saying is that we will be range bound on margins. Anything over and above that, we will invest into business. If unfortunately we don't get that much of an upsid e, because say hypothetically unit link ed continues to remain elevated, then we will gun towards keeping it range bound. If we are helped by a mo re favorable product mix versus some of the

other competing products, non -PAR products start looking attractive because of an interest rate comparison, then we will be likely to get that uplift, which we will just keep ploughing back into these two, broadly these two buckets. So it will be fairly dynamic and an iterative process.

Nidhesh Jain: Sure, understand and just two data keeping questions. One is if you can share of HDFC Bank in overall APE and retail protection ticket size for FY25?

Niraj Shah : Retail protection ticket size is about INR 40,000.

Vineet Arora: HDFC Bank in our APE will be about 4.7%

Vibha Padalkar: But that's on APE basis, on an NBP basis, it's about 40%.

Vineet Arora: Yes. It's 40% on an individual premium basis.

Moderator: We will take our next question from the line of Dhaval from DSP. Please go ahead.

Dhaval: Hi. Thanks for the opportunity. Just one clarification to a comment in the opening remarks around medium term growth. So we mentioned that APE growth and VNB growth to be about double in four and a half years, which implies about 16.5% -17% kind of growth. I was just thinking through are there enough buffers in the business to navigate assuming there are some you know regulatory changes or I mean how do you think about this growth estimate, any color around that and similarly on margin at the end of the fourth year, I understand that near term there will be some investments, but at the end of the fourth year just directionally how do you think about margins any comment around that would be useful?

Vibha Padalkar: So Dhaval, if you look at slide 4 of our investor presentation, if you look at individual APE on the top left -hand side, you see that over cohort of 4 years, in period FY21 to FY25, we have closed to double, 1.9x. Similarly, FY17 to 21, we have closed to double. Renewal premium has doubled, annuity has doubled, protection has more than doubled at 2.3x, AUM has close to doubled, our embedded value has more than doubled. We have fast forwarded it to FY25 numbers. So over a cohort of 4 years or 4-4.5 years, we remain committed to chasing that

HDFC Life Insurance Company Limited

April 17, 2025

Page 12 of 22

number. You said 16%, 17%? Yes, absolutely. But if you ask me this quarter, next quarter, or immediate when there's global volatility, we will still grow faster than the sector, no doubt about it, but it's difficult to pin a number amidst that much of volatility. But definitely over cohorts of four years, yes. And same thing for margins as well. Over a four -year period, all things being equal on the regulatory outlook, margin should start moving a little bit upward. And once our investments are made to the extent that we want to, our tech transformation is out of the way, then yes, it should slightly move up.

Moderator: We will take our next question from the line of the Dipanjan Ghosh from Citi.

Dipanjan Ghosh: Hi, good evening. So, Vibha, in your opening commentary, you mentioned about product optimization at HDFC Bank. So, if you can elaborate on that in terms of what are the strategies around that and while your counter -share has remained constant, are you seeing any VNB

accretion at the bank or you expect to see going ahead? Second question is your agency growth has been quite strong for the past few quarters, especially fourth quarter. So how should one think of that broken up between productivity improvement and how much of it is led by the new agents which have been added let us say in the last 12 to 24 months? And lastly on the persistency side, your ULIP persistency in the early buckets have improved gradually over the past few quarters and years? So I just wanted to understand in terms of what are the levers that are really driving this?

Vineet Arora : In the HDFC Bank product mix, the initiative that we are taking now and we have started doing that since the last few months is to improve our mix of ULIP and some of the initiatives that we mentioned earlier about adding more sum assured into ULIP, more protection into ULIP or going for more longer term ULIP products are the initiatives that we have been taking. So that even if our ULIP remains at a slightly elevated level, we could still make it more profitable. I think those are few changes and a few more are going to be taken into the next year as we go along by adding more riders and protection. That is something that we expect will help us improve the margins in the HDFC Bank channel.

Coming to the agency channel, the growth has been largely from the sustained agents and efficiencies. The expansion to new branches and the new FLS and the new agents that we would have got from these branches, would have given us about 5% of this business. There is a segment of BAU agents getting hired in the existing branches and that is something that we have been doing. I am not considering that as inorganic, but the inorganic portion would be about 5% of the business.

Vibha Padalkar: On the last question on persistency on unit linked, we have done a lot of things, big and small on that. Right from early warning indicators wherein we believe this is likely to result in poorer persistency, we will probably probe further right at the beginning when underwriting that policy and then taking it onto our books, as well as ensure that SI/ECS mandates are enabled and de - tagging does not happen. There is an extra hand holding to explain to the customer, especially

Page 13 of 22

when there is a fair bit of volatility and there is an intention to surrender. Also keeping a watch when a customer possibly asks repeatedly for what their fund value is and so on. Use of data analytics has also helped us to ascertain propensity to surrender and likelihood. I think that is where we have taken some tough calls, where a particular profile of the customer is not suitable for unit linked product and especially amidst a very volatile environment.

Niraj Shah: So, we will continue these efforts and continue to monitor, Vibha spoke about softening market, the surrenders are actually lower in such markets. And typically we do see in an environment where the markets are doing extremely well, we do see some higher levels of surrender. So that is something that we do track on a regular basis. Stepping into the next 12-odd months, given the equity volatility and the elevated ULIPs that we have written in the past 12 months to 18 months, we will definitely keep a very close eye on customer behavior in terms of how they respond to the volatile equity environment. But some of the building blocks, Vineet and Vibha spoke about, we will obviously continue to work on this.

Moderator: We will take our next question from the line of Shreya Shivani from CLSA.

Shreya Shivani: Hi. Thank you for the opportunity and congratulations on a good set of numbers. I have just one question on the outlook we have for a four-year cohort and how we can grow. Towards that, I have a question for the protection book. This is obviously the overall protec

tion book. This book

has stayed at about 17.6 -17.7 Bn APE for past three years and I understand it is the group protection which has declined while we have done much better on the individual protection. But towards our 16% -17% topline growth outlook for the next couple of years and particularly given ULIPs is going to be volatile next year, what is our view on the group protection bit and how much can this 17 billion business scale up possibly in FY26 apart from just the retail portion of protection?

Vineet Arora: So our view on group protection; this year we saw the disbursement in the MFI segment getting impacted and we do expect maybe the next one or two quarters to remain muted on the MFI and then it should pick up. So group protection should start coming back in the second half of the year. On the retail protection, there are two ways to grow the retail protection. One is obviously through the retail products by itself, which is term products and the various versions of it. And the other is by increasing the sum assured on the investment plans or by attaching more riders on the investment plan. And so these are the multiple methods for us to do this and we are trying to work on all of them. Some show success in different channels in different pockets. But I think largely we are quite confident that the protection growth will continue.

Shreya Shivani: So, in the group protection bit, I understand the MFI portfolio, but even on your employer-employee, the GTI bit, that also, what is our outlook? I mean, I understand there was a price war or a competitive intensity this year, but how is things around it?

HDFC Life Insurance Company Limited
April 17, 2025

Page 14 of 22

Niraj Shah: So, Shreya, just to complete, Vineet was talking about, one of the segments on the credit life side, the other two segments are doing reasonably well. We expect that to continue in the next year as well. Housing is reasonably stable, other loans are doing quite well. So that is likely to continue into next year as MFI stabilizes. Group term, we have been fairly clear in our approach. These are 12-months renewable contracts. So we basically enter into arrangements which are feasible from our perspective. And we will continue to be fairly calibrated in our approach on that. So we don't really have any targets that we run with on this business. We try and renew the policies that we have written if they are feasible and our approach on new business is very similar as well.

Vibha Padalkar: Also, I want to add here, while we are looking at overall company, we have had pockets of major green shoots in protection. For example, in my opening comments, I mentioned about in agency channel wherein protection has grown by over 50%. Within that, if I were to look at my variable agency channel, protection mix is touching about 14%. On the other hand, if you look at bancassurance, it's around 4%. So, even 4% in bancassurance going up to 6% on 50% of our business can mean a fairly meaningful uplift on protection except that as you know the ticket size is much smaller and so it will take a little bit longer to show up as a percentage of overall APE but growth certainly as long as we continue to punch above company level growth slowly but surely and most importantly with the right pricing. And on our terms, we should be able to grow retail protection brick-by-brick.

Shreya Shivani: Got it. And just one follow up over here. The reinsurance terms and conditions continue to be stable. There is no movement on that side, right, for any of our portfolio protection book?

Niraj Shah: Not in the recent past, but like we managed our pricing, the reinsurers would do the same. And

as we get deeper into India, the experience will be different from how the protection journey started in the top 10 cities. So all of that will have to be factored in, not just by us, but by the reinsurer a

s well. That will be a BAU activity that will happen from time -to-time, but nothing in the recent past.

Moderator: The next question is from the line of Supratim Datta from Ambit Capital.

Supratim Datta: My first question is on the margin bit. You have done very well with the ability to improve inherent margins like you pointed out. But just wanted to understand what other levers are remaining to further improve it from here? So, you talked about HDFC Bank and you know what you're doing there, but are there other channels, other products where you can still improve inherent margins? That's the first bit.

Secondly, on project INSPIRE, now it has been, you have been at this project for nearly one year now. Just wanted to understand, do you have a sense of, what could be the savings from a margin perspective from this project? If you could quantify some opportunity.

HDFC Life Insurance Company Limited

April 17, 2025

Page 15 of 22

Lastly, on agency, you have made significant investments in agency and you are currently again undertaking a transformation project there. I want you to understand how does all of this get impacted if open architecture comes in agency because they're having some talks in the industry. So just wanted to understand how you are thinking about that?

Vibha Padalkar: I will take the first question on margins. Supratim, obviously, I can't share everything that we are doing on margins, but we do have quite a few levers and we will do it judiciously because it's always a toggle between your topline, quality of business and the actual margins itself - all three are important. So just margin for the sake of margins is not that difficult. Similarly, topline for the sake of topline is not difficult either. It's delivering all these three in tandem which is what is a lot more involved process. But as we have demonstrated time and again, there are many aspects, but the most important aspect here is pricing discipline. And that's something we try not to be swayed on. And I've talked about this almost on every call, whether it is on term pricing, if you see on any of the online platforms, you'll see almost a 40% cheaper term for similar kind of a product and similar kind of a customer profile, perhaps with lesser underwriting. Now all of that will come and bite us down the line which it often does on margin. So that temptation is something that we want to reduce. I don't think we can always eliminate but reduce quite substantially. That's one. Second is again pricing discipline on interest rate guaranteed products, especially the likes of annuity. You'll find annuity rates in the market at a higher than the underlying products that one can lock into - so negative spread. That again is not going to be margin accretive. Also, on the interest rate, as the movements happen we have a method and implementation rigor immediately in terms of new policies that are being sold, say on a non-par product. So that becomes very critical in us being able to deliver the margins. Cost control, of course, is a given. So we have many initiatives running so that our cost of servicing a policy steadily goes down. We have had positive operating variance on our operating assumptions in our embedded value walk for as long as I can remember. So that becomes very important that maintenance cost continues to go down and thereby giving us the fuel to be able to not increase acquisition costs very substantially because then there is a funding by the maintenance cost structure. So that and then other things I think are talked about earlier on riders or longer term policies and so on. So a combination of all of these things is important.

We are possibly to the best of my knowledge, the only company that has channel CEOs that have not just sales targets, but they have topline, bottom-line targets and quality of business and largely run their channels as if they're

a standalone company. Only thing missing is the corporate avatar, but otherwise they run their own. This is two pronged wherein there's ownership on what kind of business is being sourced, as well as nimbleness and reaction to market conditions. As you grow as a large company, delay in reactions will mean loss of business opportunity. So that has also worked very well. We are into this process now in the third year, and that has also helped big time in each of the channels being very close to company level margins and there's no subsidy or a perpetual subsidy between one channel and other one.

HDFC Life Insurance Company Limited

April 17, 2025

Page 16 of 22

Vineet Arora: Yes, so on INSPIRE. We started about a year back and this is a long-term project, so we will continue for some more time. The objective of getting into this kind of a program is twofold.

One is obviously to create a strategic moat for ourselves, when we work with partners, agents, corporate partners, etc., the integrations will be so seamless that the experience for their

customers will be fantastic. That's one clear reason. Second is, like you said, there could be some cost efficiencies coming in because a lot of things could become more automated and seamless and we can handle more capacity, more volumes with maybe the same number of people and the same number of employees. The third one, which we also see playing out and the important part is the entire science around how can we work with our existing customer a lot more and how can we work with our partners to get more new business coming in. And the new business would depend on how much seamlessly we are able to work on the data and make it more intelligent for them to happen. So it could be converting a new policy or it could be even recommending the right ticket size for the right customer or adding the right level of protection on that new business. So all these are smart data decisions which could happen now with a lot of data coming into one place and getting more organized. So there are multiple benefits. Difficult to quantify as a percentage. But there are multiple benefits starting from saying that we should expect better retention of partners, we should expect better topline, and we should also expect some more efficiencies to happen.

Supratim Datta: And on the open architecture for agents?

Vineet Arora: So, like I said better retention of partners, I also meant agents there, because the moment we have a much better experience for the agents, for their customers, lot more seamless integration and helping him generate new business, new leads etc. – if we can do that through technology. This really helps us to bring that moment. On the open architecture of agents, it is not about whether an agent will go and work with multiple brands and divide his business, but is about being a company which is able to give the best of the services and products. We do expect to remain the most preferred company with every agent.

Moderator: We will take our next question from the line of Sanketh Godha from Avendus Spark.

Sanketh Godha: Thank you for the opportunity. So my question is that the two new product launches that is Click2Achieve Par and SAGA, just want to understand, on overall basis these two products are margin accretive for the company as a whole? Point number one, because we believe that par products seem to have a little lower margins compared to non-par and given in the fourth quarter par did much better compared to non-par, just wanted to understand will these two new products add more to the margins or par will eat into ULIP. That's point number one.

And then second, just wanted to understand that can these two products in a way cannibalize any other product. For example, SAGA is a product which could have an implication on your regular pay deferred annuities because that is kind of also an accumulation

and then you promise

HDFC Life Insurance Company Limited

April 17, 2025

Page 17 of 22

annuity. So just wanted to understand how you see these two products to play out in near future?

And the second thing is on ULIP rider attachment, which you also alluded that in HDFC Bank that might lead to better margin kicker. So just wanted to understand at the company level, what is the attachment rate now in ULIPs with higher sum assured and then at HDFC bank, what is the difference? And so what is the scope still available to improve the overall margin?

Niraj Shah: Yes, thanks Sanketh. So a couple of things. One is in par, like you rightly said, the margins might be slightly lower than non-par at the base level. But if the products are more longer term, then the margin delta is not as much as it has been in the past and that's something that we are seeing now. Second, the delta between unit linked and par margins is also now coming down dramatically with two things. One is higher levels of sum assured and second is in terms of improving persistency.

So what we have tried to do over the last couple of years is to try and get more and more product mix agnostic while it's never possible to be completely agnostic but we are trying to see if we can have more flexibility in the way we operate and we demonstrated that in the last couple of years with unit linked being significantly elevated compared to the past with minimal dilution in terms of margins. So that is something that we will continue to do as we go forward with higher levels of protection attached to unit linked as well as improving persistency over the medium to long term. That is one.

Participating products definitely are improving as well in persistency over the last 3 to 4 years.

And that also leads to better outcome for the customer as well as for the company. As the agency business starts scaling up, which it has been, that gives us fixed cost leverage, agents are able to have more and more conversations around longer-term products as we have seen in the product mix. And that is something that also helps in that journey from a perspective of margins.

On your question on SAGA. So we don't see any cannibalization really. In some sense, it opens up a new segment. So you're right, there is a deferred annuity product that we have. That's also a non-par product. This is a pension non-par product. So as such, the economics remain the same. It does help in opening up a new customer segment. To just give you a very broad example, just a data point, for deferred annuity average customer age is about 55-57 years. In SAGA, the age could potentially go down to low 40s or early 50s. So it opens up a new segment of customers

who are willing to basically save regularly for the next few years and need income only many years down the line. And are able to actually put in money on a regular basis rather than on a one-time basis. So that's something that we have started to see more and more of with this very efficient product design. And we don't expect it to cannibalize. But as such, even if it does, it doesn't really matter because it falls in the same category while allowing us access to a new customer segment.

Sanketh Godha: And the attachment differential between the company and the HDFC Bank on ULIP?

HDFC Life Insurance Company Limited

April 17, 2025

Page 18 of 22

Niraj Shah: Sorry, we are not getting into that kind of detail, but like Vineet mentioned, the endeavor is to obviously try and make the category a lot more meaningful for the customer as well as for us as a company. The efforts are not restricted to HDFC Bank, it applies to the entire organization across channels, across all banking partners, we would make that same attempt to try and increase the rider penetration.

Sanketh Godha: Okay. And maybe the last one. The tech transformation what we are trying to do. So the full

benefit of it is how far away? Is it 12 months or 24 months away? I understand it's an ongoing project, but because you are doing it on full-fledged basis right now. So meaningful impact should get reflected. So just wanted to understand whether it's 12 months away or 24 months away for our company to gain in terms of productivity, margins, etc.?

Niraj Shah: So I will just give you a very basic answer in terms of how are we actually looking at making this kind of investment. Vineet and Vibha spoke about it from a business lens. What we try and do is to basically do a very simple cost benefit analysis. Let's say we do not have any of these investments, how would our BAU technology expense span out over the next five years? And how much incremental expense are we going to incur because of this? And are there any benefits that we are seeing out of it in terms of ability to cross-sell more or in terms of manage risk better to improve margins and productivity? When we started this exercise about a couple of years back we spoke about nine streams. Collectively, these nine streams, all of them are CBA positive which basically tell us that through the entire CAPEX period as it moves from CAPEX to operating expenses, each of these will realize a positive value for the company. That's how we approached it because it's difficult to take a call on a one-year basis, but if you were to play it out over a 3 to 5 year period, then all of them make sense to us from an investment perspective.

Moderator: We will take our next question from the line of Nitin Jain from FairView.

Nitin Jain: Yes, I have just one question. So can you explain what has gone behind subdued outlook for the first half of FY26?

Vibha Padalkar: It's not so much subdued as much as we are calling out the base effect. So, in first half of FY25, we had a fairly robust growth of almost 30%. And it's that base effect we are calling out.

And then, of course, subdued part is in the sense that whatever is happening macro-economically; in terms of the volatility that we are seeing, possible consumption slow down and also what the RBI governor recently did in terms of downward movement of GDP estimates.

Niraj Shah: I will just add it. It was a story in two halves for FY25, we expect the same to happen in FY26

as well. It is just that the dimensions could be different. I think APE growth is likely to be more back ended. VNB growth may not be as back ended as APE growth given the base effect. So that is how we expect it to be, but we will see. And I think, like Vibha mentioned in the call, that the environment is very volatile. So, while we have an outlook on the basis of which we are

HDFC Life Insurance Company Limited

April 17, 2025

Page 19 of 22

going to plan our resources for the year. But we will have to be a lot more dynamic in terms of how we make some of these investments, as well as the outlook can change as we progress through the year, depending on how the overall environment is shaping up.

Vibha Padalkar: And so, we are continuing to invest. We are also saying that we should grow faster than whatever the sector grows. So, if we get it completely wrong or if the outlook changes for the better very dramatically, then of course we will still be pegging ourselves to the sector.

Nitin Jain: And if I can, just add one more to this thing. So, you mentioned that the margins will be range bound. So, would it be possible to quantify that, quantify the range, I mean, approximately?

Niraj Shah: We like to retain that flexibility to be able to operate because like we saw in the early part of the previous year, we absolutely took all the growth that we could, even though the product mix was dilutive to margins because that does help us engage more deeply with customers over a period of time. We will continue the same approach while we expect the macro environment to be different.

nt in FY26 both on equity and interest rates . That will move product mix in a different direction, we understand or we believe from FY25 . But as such , a narrow band is what we'd like to stay within. We don't really have a target that we are chasing in terms of where we want to land or be at the end of the year . VNB growth is what we will be basically looking for and that will basically depend on where the topline and where the margins could land based on product mix. So, it's going to be more focused on driving VNB growth.

Moderator: We will take our next question from the line of Aditi Joshi from J.P. Morgan.

Aditi Joshi: I have one question , if you look at our operating ROE in the last two years that has broadly been on the downward trend . So, going forward, what will be our efforts in order to make recovery in that? And just one more if I can . One of your competitors said that they have raised some capital to support the solvency, in anticipation and order to have some cushions in case anything worse comes off the RBC capital regime. But I think in the past we have communicated that RBC in general will be leading to the release of capital. So just wanted to have a double confirmation. Do you still think that RBC will still lead to a release of capital?

Niraj Shah: If you look at Slide #6 of our investor deck, you will basically find that EVOP has actually compounded at about 19% odd for the last 5 years and 18% for the last 9 years . So that's something that we look at. The EVOP has a little bit of a denominator effect as well because embedded value has grown faster than the EVOP in the past few years because of the way the markets have been. So, we do track both of these, but in terms of the absolute value generated in rupee terms, the compounding has been in the 18% to 19% range, and that's what we will continue to track .

Now about the subordinated debt that we have raised, we do expect to continue to optimize on that as we move into the next couple of years as well. We will have the retirement of one of the HDFC Life Insurance Company Limited

April 17, 2025

Page 20 of 22

first tranches of our sub-debt in the next couple of months. And we will look at our position and see if we want to replenish that. That option will always be available.

Eshwari Murugan: On the proposed RBC framework, we expect that the calculation of the capital requirement will be more objective and it will look at all the risks in the company and also give rewards to companies which are managing the risk in a much calibrated and efficient manner. From that perspective, we believe that we will be one of the companies who will benefit from the movement to the RBC framework . And in all our discussions with the regulator, regarding timelines as well as the next state of assessment, we believe that the regulator is also thinking on similar lines . We don't expect any adverse impact because of the RBC framework. In fact, we expect the position to be much better.

Moderator: We will take a next question from the line of Prayesh Jain from Motilal Oswal.

Prayesh Jain: Yes, hi. Just one question. There is a marginal increase in non -par sensitivity to interest rates . Anything to read out there as to what is the reason for that? And how do we see that?

Eshwari Murugan: The interest rate sensitivity has been range bound. I don't think there is any material change. And what is important to notice is that the margin will be better in a lower interest rate scenario. And that is what we are always monitoring because of the interest rate guarantees given on non-par savings products, decline in interest rate is something that we want to have protection against. So these are the two aspects we look at. One is the sensitivity is range bound, and the other is that increase in interest rate is the one which gives us a negative impact, whereas our concern is on the decline in

in the interest rate, which gives us a positive impact.

Prayesh Jain: Right. Just one more, if you look at the product mix shifting towards non -par, possibly group term and group term products will also increase . Your ULIP margins have gone up. Par, you mentioned that the new products are margin accretive . Then in FY26, you said that the incremental margins will be utilized in investments. But it could be, as we have been trying to ask you, whether it could be 100 basis points, 200 basis points. If the margins expand by 200 basis points from the FY25 levels, would it entirely be consumed or do you have a threshold of the amount of investments that you need to do?

Niraj Shah : So hard to say because investments are upfront. So that is something which is a little more definitive and clear. Investments in people, in branches, and in technology, all of them in some sense we are committed to it. So that is something that will happen . We may make some adjustments depending on how the environment is shaping up . But that's in some sense a commitment. How the product mix will evolve, of course, we will try and drive as much balance as we can, as we have in the past. But we will also have to be cognizant of how the environment moves . Inherent margins, Vibha and us, all spoke about efforts that we will make to try and improve inherent margins. Some of that of course is dependent on the competitive intensity as well, so we have to take cognizance of that . So, hard to say how much of margin uplift can

HDFC Life Insurance Company Limited

April 17, 2025

Page 21 of 22

actually come through from product mix and how much of it will get subsumed in investments ? Also, increasing our customer penetration is equally important. So from that perspective, growth is something that we will look at to ensure that we are able to then balance between these three things. So like we just mentioned repeatedly on the call, aspirations remain to grow faster than the sector, to try and keep our margins range bound. That basically gives us the flexibility to expand our franchise and in whichever direction it kind of goes, whether it's tier two, tier three, getting deeper into that, opening up new customer segments, or being able to navigate in a different environment. So as such, we don't want to really be bound by how many basis points with which the margins can expand or contract in a near term period. We have already spoken about our aspirations on a 4 to 5-year period - it's doubling or near doubling. So we keep that as a frame of reference for us.

Moderator: We will take our last question from the line of Neeraj Toshniwal from UBS Securities.

Neeraj Toshniwal: Yes, hi. Two questions. One on the timeline of these investments. So at what point can we see again margins or VNB expanding faster than APE, first. And second is on the product side, on the SAGA product. How many of the customers are actually choosing variant 2 with a higher guarantee and whether the margins are higher on those products compared to variant 1? So just wanted to understand because that kind of is similar to your whole life non-par guaranteed product, the variant 2, if people choose more of the maturity option. So just these two questions.

Niraj Shah: Yes, so again, nothing further to add on the investments and the impact of that on margins, I think. Like I said, the commitment is made. We will navigate through product mix depending on the environment and try and do justice to the capacity that we are building in terms of resources. And we will come back to you every quarter in terms of how that's moving. As far as SAGA is concerned, early days, it's moving well. I think both these options are pretty much half and half in terms of how the uptake is so far. But I think we will wait and see how that develops. We are also monitoring various aspects within that in terms of how many folks are bas

ically

taking the guaranteed annuity upfront, what kind of deferral period are they choosing, what kind of coverage are they choosing, single or joint. All of these things are still in early days. It's still kind of developing.

Neeraj Toshniwal: But is the margin higher in the variant 2 versus variant 1, looking at the product structure?

Niraj Shah: It's fairly similar, it's not something that is dramatically different. We have also been asked this question on protection, on ROP versus non-ROP. It's not very different for us because we price it accordingly.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference back to Vibha Padalkar for closing comments.

HDFC Life Insurance Company Limited

April 17, 2025

Page 22 of 22

Vibha Padalkar: Thank you for joining us today. Please reach out to the Investor Relations team for any follow-up queries. Good evening.

Call: Jul 2025

July 22, 2025

Ref. No: HDFC Life/CA/2025-26/29

Listing Department Listing Department

National Stock Exchange of India Limited BSE Limited

Exchange Plaza, Plot No C/1, Block G, Sir PJ Towers,

Bandra -Kurla Complex, Dalal Street,

Bandra (East), Fort,

Mumbai - 400 051 Mumbai – 400 001

NSE Symbol: HDFCLIFE BSE Security Code: 540777

Dear Sir/ Madam,

Sub: Transcript of earnings conference call for the quarter ended June 30, 2025

We wish to inform you that pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of the earnings conference call with analysts and investors held on Tuesday, July 15, 2025, to discuss the financial performance of the Company for the quarter ended June 30, 2025.

The said transcript is also hosted on the Company's website at

<https://www.hdfclife.com/aboutus/investor-relations>.

This is for your information and appropriate dissemination.

Thanking you,

For HDFC Life Insurance Company Limited

Nagesh Pai

Company Secretary & Compliance Officer

Encl.: As above

Page 1 of 17 HDFC Life Insurance Company Limited Q1

FY26 Analyst Conference Call

July 15, 2025

HDFC Life Insurance Company Limited

July 15, 2025

Page 2 of 17

Vibha Padalkar: Good evening all and thank you for joining us for our earnings conference call for the quarter ended June 30th, 2025. Our results, along with the investor presentation, press release and regulatory disclosures, have been made available on our website and the stock exchanges.

Joining me on today's call are Niraj Shah, Executive Director and Chief Financial Officer;

Vineet Arora, Executive Director and Chief Business Officer; Eshwari Murugan, Appointed

Actuary; and Kunal Jain, Head - Investor Relations, Business Planning and ESG.

On a macro-economic context:

FY26 has commenced on a steady note, even as the broader global environment remains uncertain, shaped by trade frictions, geopolitical tensions and divergent growth trajectories across markets. India continues to display relative resilience, though recent high-frequency indicators suggest a mixed picture. On one hand, flows into capital markets have been strong, supported by investor confidence. On the other, trends in consumption and early corporate earnings point to pockets of caution. In this context, life insurance remains a compelling choice, anchored in long-term savings, risk protection and financial discipline. Our product and distribution strategy is well-positioned to serve evolving household priorities, and we will continue to assess and adapt our outlook as the year progresses.

Moving on to business performance:

Q1 FY26 began on a strong note, with healthy growth across topline, value of new business and steady margins. Individual Annualized Premium Equivalent (APE) grew by 12.5% year-on-year,

translating into a robust 2-year CAGR of 21%. We outperformed both the overall industry and the private sector, resulting in a 70 bps increase in our market share at the overall level to 12.1%, a new milestone for us, and a 40 bps gain within the private sector, taking our share to 17.5%. Over 70% of new customers acquired in Q1 were first-time buyers with HDFC Life, underscoring our customer acquisition strength and deepening presence across Tier 1, 2, and 3 markets. Growth during the quarter was led by higher average ticket sizes, supported by traction in select Unit linked and Par products. As the year progresses, we expect a more balanced contribution from both ticket size and policy volumes.

Moving on to product mix:

Our product mix remained well-balanced with ULIPs at 38%, participating products at 32%, non-par savings at 19%, term at 6% and annuity at 5%. Contrary to initial expectations, demand for ULIPs remained strong, supported by sustained strength in equity markets. However, our ULIP mix remains lower than the industry and broadly range-bound. We anticipate a gradual shift, rather than a sharp swing in favour of traditional products over the course of the year. Participating products have gained traction, driven by refreshed propositions and heightened

macroeconomic uncertainty. Both our new offerings, Click 2 Achieve Par Advantage, as well as relaunch of an existing retirement product, have gained significant traction. The refresh also enabled sharper, need-based selling across older age cohorts and deeper Tier II/III markets in select channels.

Non-par savings has temporarily moderated for us in this quarter, as we fundamentally believe in staying away from irrational pricing. We remain confident that this segment, of which we have been the pioneers of, will bounce back buoyed by a steeper yield curve. Our non-par annuity business registered a healthy growth of 25% in terms of new business premium.

Retail protection continued to grow faster than the company average, delivering a robust growth of 19% on a YoY basis and a strong 2-year CAGR of 23%. Credit protect also saw a recovery, aided by higher disbursements, improved attachment rates and expansion into new lending segments. Whilst the

MFI segment remained soft, the pace of debt-growth slowed amongst larger partners, thanks to a more stable regulatory backdrop and favorable base effect.

Retail sum assured grew in double digits and registered a 30% CAGR over two years. We maintained our leadership position in overall sum assured, reinforcing our position as a market leader in protection.

Moving on to financial and operating metrics:

In line with our outlook at the start of this year, the Value of New Business (VNB) for Q1 FY26 stood at ₹ 809 crore, a growth of 12.7% YoY and a 2-year CAGR of 15%, with new business margins steady at 25.1%. We are pleased that a 30 bps downward impact of the revised surrender regulations as well as investments into augmenting our Proprietary channel and Project Inspire, was offset by a better product profile.

As indicated, we are consciously reinvesting any margin gains into building long-term capability. As we deepen presence across Tier 2 and 3 markets, we continue to front-load investments in distribution and technology. With 117 branches added in FY25 (taking our total to 658), and incremental assets from Project Inspire getting rolled out through FY26, we remain focused on scale and efficiency. We expect to maintain margins through the year, balancing short-term dynamics with our long-term agenda of sustainable and profitable growth. Embedded Value increased to Rs. 58,355 crore, with an operating return on EV of 16.3% on a rolling 12-month basis, a more representative view that smoothens out Q1 seasonality. Solvency remains robust at 192%. Profit after tax grew 14% to Rs. 546 crore, driven by a 15% growth in back-book profits.

Renewal collections registered robust growth of 19% YoY. Persistency metrics remained healthy, with 13th and 61st month persistency at 86% and 64% respectively. 61st month HDFC Life Insurance Company Limited

July 15, 2025

persistency improved across cohorts, supported by stronger retention in long-term savings products. The 13th month metric remains stable sequentially and in line with actuarial assumptions.

On distribution highlights:

All channels recorded healthy growth. Counter share within our parent bank held steady. Our focus remains on enhancing this channel's economics through a multi-pronged strategy: diversifying product mix, driving cross-sell and upsell, leveraging the bank's digital assets, and elevating customer experience. We recorded healthy growth in other bank partnerships as well. Our a agency channel delivered a 2-year CAGR of 10%. Post the changes in Surrender Regulations, industry-wide growth in agency has been uneven. The channel maintained a healthy double-digit protection mix and profitable growth. We have initiated an Agency Transformation Program aimed at boosting activation, productivity and long-term viability. Agent additions remain strong, with 23,000 new agents onboarded in Q1 FY26. Business from branches opened in the last 18 months now contributes a high single-digit share, in line with our expectations. We continue to focus on improving profitability at a branch level.

As part of more meaningful disclosures, we have now grouped brokers and non-bank corporate agents under the 'non-bank alliances' category. Our distribution strategy remains focused on broadening reach and recalibrating our market approach to unlock newer opportunities.

Moving on to regulatory updates:

Over the past few years, the life insurance industry has seen a series of regulatory changes aimed at enhancing customer transparency and strengthening sectoral governance. Throughout this period, the industry has demonstrated resilience, with underlying value pools continuing to grow steadily. Encouragingly, recent commentary from policymakers indicates a shift toward a more stable and consultative regulatory environment. Specific concerns, such as mis-selling, are being addressed through industry -

wide efforts, including our own focus on right-selling and process improvements. As one of the leading insurers, we remain aligned with the broader regulatory vision and continue to proactively strengthen our disclosures, effective sales practices, and customer experience. We believe such balanced regulation will support long-term growth and deeper penetration, particularly as bancassurance and open architecture become key levers for expanding insurance access.

Among other updates, we are pleased to share that MSCI has upgraded our ESG rating from 'A' to 'AA', placing us amongst the highest rated insurers in India and the region.

While the external environment remains dynamic, our fundamentals have held strong; anchored in a balanced product mix, a diversified distribution footprint and a consistent focus on HDFC Life Insurance Company Limited
July 15, 2025

Page 5 of 17

innovation, customer centricity and disciplined execution. Our aspiration is to continue to outpace industry growth whilst sustaining our position amongst the top 3 in India. As we mark 25 years of serving Indian households, we have planned a series of initiatives through the year to engage with our stakeholders and reaffirm our commitment to being a trusted partner in financial protection. Thank you, once again, for your continued trust and support. For a detailed overview of our results, please refer to our investor presentation. We are now open to any questions from the participants.

Moderator: We will now begin the question-and-answer session. The first question is from the line of Avinash Singh from Emkay Global.

Avinash Singh: Good evening. Thanks for the opportunity. A couple of questions, first one is on margin. If we look the shift of around 16 % between par and non-par mix, the margin is still holding up, it's a commendable performance. Is it kind of supported by the product level margin changes, due to higher rider attachment, changing PPTs, or due to some support from yield curve movement? If I look at that context, a quarter earlier, in your call, you were sounding more confident about margins than APE growth in the first half. But on that note, the margin outcome has not come that great. I mean, if I look at product mix, of course, great. But what changed since Q4 results to Q1 that led to this higher acceptance or demand for par.. Second question is on persistency. I noticed a sharp improvement in 61st month, but let me focus on the marginal worsening of persistency in 13-month. So, if you can help in understanding, what has led to this marginal deterioration in 13-month persistency? And on the note, with the sharp improvement in 61st and maybe some bit of worsening in 13th, is that contributing meaningfully positive towards operating variances?

Vibha Padalkar: Yes, so I will take the in-between question of what I was sounding like last quarter. If I recall, I was saying that margins will remain range bound and growth at that time seemed like it's going to be somewhat muted because of the macroeconomic scenario, which I think will probably continue for another quarter as well based visible slowdown in consumption as well as the tariff situation still being up in the air. So, I think we have delivered well. In fact, if you look at slide 14, which shows the margin walk, we started off with a handicap at the beginning itself of 25.0% really being 24.7 % because of the impact of surrender charges. So, there has been an expansion of margins of 40 basis points to get to 25.1%. That is one. And second is, something that I had mentioned earlier, last year first quarter, we grew by 31%. So, again there was a base effect, which we had called out. And so, against that base effect, growth of 13% is very much along expected lines. But just the mathematics of that will mean that there is a fixed cost absorption and the impact is 0.6%, which should, as the

year pans out, that fixed cost absorption's negative impact should disappear. So, I think very much in line is how I see things. Niraj, over to you in terms of the shift in mix. HDFC Life Insurance Company Limited
July 15, 2025

Page 6 of 17

Niraj Shah: So, we have maintained a pricing discipline. Vibha spoke about it to some extent on the call as well. The shift in non-par mix, as you know, is basically a result of some of that. The environment is still fairly upbeat as far as equity thought process of customers is concerned, which is reflecting in the unit-linked mix, which is steady. We managed to maintain our pricing discipline on the non-par side. The mix has come down because of the equity environment as well as, letting go of some business because of irrational pricing. We expect the mix to inch up as the year progresses and as some of this pricing calibration happens in the industry. As far as unit-linked mix is concerned, while the mix remains similar, the level of protection we have been able to attach has increased. So, that has helped us improve our inherent margins in unit-linked while the mix has remained the same. And the participating products are inherently longer term. So, the margin extraction on par has also improved compared to what we have had in the past. So, at a very broad level, what's happened is that the delta between segments on margin has come down over the last couple of years. And that is something that helps us maintain a fair bit of flexibility on product mix as we go forward as well.

Vibha Padalkar: Yes, and one other point, just going back a quarter, we had expected some moderation in unit-linked. There were many things on the political front also happening. There was a lot of

uncertainty that was just an overhang. But that does not seem to be the case and unit-linked still has fairly robust demand. So, that is a reality. And like Niraj said, we have worked on some of the product profiles to increase the inherent profitability of some of these products.

Eshwari Murugan: On the persistency, in the 13-month we have seen a drop of around 1% mainly because of the proportion of large ticket sizes which has reduced post the changes in the taxation. And this is already accounted for in our assumptions because when we look at assumptions, we see the experience by various parameters of which premium size is one of them. So, we already knew that the persistency is going to be lower and that is why you see that the operating variance is still a small positive, it is not a negative, which would have been the case, if we have allowed for higher assumptions. On 61st month, yes the improving persistency is mainly coming from the product we sold 4-5 years ago, and we have been seeing a gradual improvement in the persistency 13th, 25th and so on. That is definitely going to give a better profitability and that is also factored in our assumption. Hence, we don't see any big operating variance in either direction when you look at our EV walk.

Moderator: Our next question comes from the line of Shreya Shivani with CLSA.

Shreya Shivani: I have two questions. First was on the ULIPs itself. Just on the basis of interaction with other industry participants, your performance on the ULIP front has been quite different. As rightly mentioned by one of you, you're attaching more protection over here, probably that's still pushing more ULIP sales? But can you help us understand that has there been any change in the ULIP product design that you were selling till 4Q that you're probably selling right now? Why people are still buying more ULIPs from you when others are reporting a ULIP slowdown? My second question is from the public disclosures for the full year. I think you broadly touched on it, but I HDFC Life Insurance Company Limited

July 15, 2025

Page 7 of 17

just wanted to get a better

color on the mortality variances that went negative in FY25, negative 10 crores or so. And even the persistency and other operating variance for you has been declining for three years. So, any comment on this or what segment is impacting mortality and also the persistency?

Niraj Shah: I will start with the unit-linked and pass it on to Eshwari for the second question on the variances.

On unit-linked, it's all relative, right? For us, while the product design keeps getting refined from time to time in terms of taking customer feedback and adding new features, that is a continuous process at our end. But as such, when you're talking about maybe on a relative basis, I think for us unit-linked historically has been in the mid -20s. In the last couple of years, it has been elevated to the mid -30s or late-30s. So, we have kind of maintained that. And I spoke about our ability to get more flexibility under our product mix because of some of these changes. So, for some of the others, maybe the levels at which the unit-linked was previously was a lot higher. So, compared to that, maybe it has moderated but for us as such the levels have been fairly calibrated even last year. So, while it was higher for us compared to what it has been historically for us it's still been a lot lower than for some of the peers in the sector.

Shreya Shivani: And in the immediate quarter there has been no change in product design or anything of that sort, right?

Niraj Shah: Nothing which has influenced the mix really. I think we have continued to make changes, but nothing more recent that I can think of which has contributed to any change. And the mix has been fairly similar. In fact, Q4 last year if I recollect unit-linked mix was higher than 40%. That has moderated down to 38%. But on a YoY basis, it is similar.

Eshwari Murugan: On the operating variance, in FY25 there is a 10 crore negative mortality variance, but it's a very small proportion when you look at the overall EV of ~55,000 crores. And as I explained the previous answer, when we look at the experience, we look at the expense of various parameters, and that is already factored in our assumptions. So, we don't expect a big positive or negative variance. And as we have been doing this exercise for a long period, we have got quite evolved in how we look at the experience and how we allow for it in our assumptions. That's why you will see that the variance is coming down because all of that is already reflected in the VNB or in the embedded value. And earlier when we had good persistency in unit-linked over the last 2-3 years that gradually improved, we didn't allow for all of it in our embedded value because we wanted to see the trend and ensure that it is sustainable, which is why you had a big positive persistency variance. But having seen the trend for the last 2-3 years, we have now captured it in the embedded value. That's why variance is expected to be small, but broadly positive over the year.

Shreya Shivani: That is useful. Just one follow up. The mortality variance was because of which segment? Any particular product segment or geography? HDFC Life Insurance Company Limited

July 15, 2025

Page 8 of 17

Eshwari Murugan: No, nothing material. As I mentioned, we look at various parameters, some cohort you would have had some variances. But if it's something material, we immediately take interventions, like

the repricing or looking at some of the due diligence we do at underwriting, et c.

Moderator: Our next question comes from the line of Supratim from Ambit.

Supratim: My first question is on the group protection side. This has been a category which has been declining for around six quarters, but this quarter there has been around 20 % growth. Now, could you help us understand what is really driving this growth? Are you seeing any recovery in growth in credit life segment? If you could

help us understand dynamics here, that would be very helpful.

Then if I move to the agency channel, that again, this quarter that growth in that channel has slowed down. I understand that you are planning at new initiatives of activating regions, but if I see over the last five quarters, the growth has been on and off. Is this channel being driven by any promotional activity, such kind of one-off activity, which is resulting in the growth being so volatile?

Vineet Arora: The first one around the entire group, see the group protection largely is dependent on our MFI as well as the non-MFI segment on the CP business. We have continued to see the downward trend of MFI happening this quarter as well. But we were able to more than compensate for that downtrend through the non-MFI business. And this non-MFI business has been both by additional lines of businesses in the same partner as well as by acquisition of some new partners. So, I think the impact of MFI is now reduced, given that the de-growth of MFI was more than compensated. So, that's the reason why you are seeing the growth coming back in the group business. The other question was around agency channel. So, on the agency channel, like Vibha mentioned that we are doing a big transformation exercise and we are seeing some green shoots of those channels coming in. It's not a one-off promotional driven activity. This quarter, our feeling and whatever market intelligence we have, is that there has been an impact overall on agency channel across the industry. However, given that volatility, we have been able to really come back and outperform with respect to how the industry has gone. So, our agency market share has moved up in this quarter, and we expect that trend to continue.

Supratim: Vineet, just two follow-ups here. So, if you could help us split out the protection product by MFI and non-MFI, what would be the mix? And when you're talking about this transformational exercise in agency, what would this entail? If you could give us some pointers, what would this involve that would be helpful?

Vineet Arora: Yes, so on the protection side, see now with the degrowth of MFI happening over the last nine months now, and maybe another quarter before the base effect starts to kick in, we would be now at about maybe a mid-teens kind of number in our MFI business and the remaining business would be non-MFI. So, that's how the mix would be at this point of time. HDFC Life Insurance Company Limited
July 15, 2025

Page 9 of 17

In agency, the exercise is more around bringing in the basics of agency, bringing a lot of technology so that we can monitor a lot of ground level activities and how training, activation, and support, etc. is happening. Some changes around the agency life cycle for agents and around our partners on the variable side. So, some of that has gone in. So, a lot of fundamental tweaks etc. in the agency program that we have.

Moderator: Our next question comes from the line of Nitin Jain from Fair View Private Limited.

Nitin Jain: So, my first question is on the product mix. So, the contribution for non-par has increased significantly YoY while par has gone down. How do you see this panning out over the rest of the year and what kind of impact do you anticipate it to have on the margin? And my second question is regarding your commentary last quarter on the FY26 outlook. So, it was more along the lines that H1 could be from slow to muted and growth will pick up H2 onwards. So, are we still holding on to that or are there any changes to that?

Vineet Arora: So, I think going to the first question, it was the other way around. Non-par mix has come down in this quarter and par mix has gone up. Like Niraj mentioned in an earlier answer was that non-par has seen a lot of aggressive pricing in the market. And we did vacate some space deliberately on t

he non-par segment. That's where the non-par mix has come down while we made sure that we were able to compensate for this through the par products. From a margin perspective, they are both in a similar range, so it becomes a margin neutral exercise from our end *. So, I think that is something that we could look at. The other one was around our commentary of growth and how do we see it. In April, our view was that there would be some slower growth happening at least for the H1 given the uncertainty around the geopolitical landscape and some macro indicators that were there. We also expected ULIP to be slightly muted, but as things have panned out, ULIPs did remain in traction. And the industry growth was actually slower this quarter. We saw that happening in the industry. Given our business etc., we were able to outperform the industry in the first quarter. So, I think our view still remain that the industry will be slightly slow for the first H1, but we do expect that we will continue to outperform the industry.

*This comment was clarified by Niraj Shah in the subsequent queries on page number 12 and

13, where he elaborated, " There is a difference between par and non -par margins. Non -par margins are higher than company average. Par margins are closer to company average than it was maybe 5 years back ."

Niraj Shah: I will just maybe add quickly to the second point Vineet mentioned. The industry had a very high base last year on H1 . And that holds true for us as well. So, that mathematically will be the case in H1 . And on the first bit, the product mix, I think, will probably start converging. Non-par is likely to end up in the mid -20s as the year progresses and par will probably come down slightly but will still be upwards of 25 % odd. That's something th at's in line with what we have HDFC Life Insurance Company Limited

July 15, 2025

Page 10 of 17

been trying to actually achieve as well. All the product segments being between one-fourth to one-third from a savings perspective.

Nitin Jain: So, just to clarify, do we anticipate growth to pick up from H2 onwards?

Vineet Arora : So, seem s to be positive, it should pick up. One is the bas e effect of last year when the growth in H2 was actually slower than the growth in H1. So, mathematically, it should look better.

Second is , I think as the fundamentals of the economy move, growth will improve, that would be something that we will also have to discover along the way. But so far, we believe that H2 should be better than H1.

Nitin Jain: And margins will continue to be range bound like within the 25 -27 band ? Or do we see a gradu al uptick as the year progresses?

Niraj Shah: We do expect margins to be range bound for this year. We have taken a slightly longer term view, three years. We do see expansion definitely. But from this year perspective, I think especially given that the growth at an overall level is likely to be relatively softer compare d to last year. Last year we were talking about 18 -20% kind of growth. This year is likely to be lower than that. So, the fixed cost absorption as such, while it will even out through the year, it will still be slightly lower than last year. Our investmen ts like we mentioned continue. So, product mix-related upliftment will actually get in some sense neutralized by some of these aspects. So, I think that's not our objective for this period. VNB growth in line with topline growth will continue to be objecti ve for this yea r. But from a three to five year perspective, certainly there is scope for expansion.

Moderator: Our next question comes from the line of the Dipanjan Gosh with Citi.

Dipanjan Ghosh: Just two questions from my side. First, in terms of non-HBank channels, what has been the growth rate, your counter share in terms of the product mix at HDFC Bank and some of the channel partners. And second, since the few quar

ters you have been mentioning in terms of

improving the unit economics of the business or the product profile of the business at HDFC Bank. So, where are we on th is journey and if you can kind of detail out the steps that you're taking in terms of cross -selling , upselling or utilizing some of the digital channels of the bank ?

If you can give some color on that .

Vineet Arora: Yes, first is I think our partnership with all the bank partners, including HBank (HDFC Bank) and non -HBank partners is strong and we have seen steady market share in all of those relationships. Our mix of products in non -HBank partners is likely better than HBank relationship, but the entire number of channels and digital interventions in HBank is also giving us a lot of traction. And we saw that happening in the Quarter 1. We have done more digital integration with HBank , and we hope all those things will also give us an impact in Quarter 2 to improve our mix with HBank . To your second question on unit economics, our endeavor on HDFC Life Insurance Company Limited

July 15, 2025

Page 11 of 17

improving the profile of every product that we are doing, including adding more riders and higher sum assured in ULIPs, t hat's playing out very clearly for us and all the unit economics are working very well at a product level as well as every investment i n the resources that we do. So, I think that's something that is a BAU for us and we continue to improve on those factors as we go along.

Dipanjan Ghosh: Yes, so just to follow up on the second part, I think the question is more directed towards HBank in terms of your product profile and in terms of your economics at that channel, are you seeing improving trajectory?

Vineet Arora: Yes, so the product profile, like I said, in HBank is better than what we had last year. And it is looking upwards in terms of having our mix becoming more p ar and improving our term product as well. A lot of digital integration that we have done have also helped us improve our term share in that entire channel. The other part is about how every unit is tracked ; we track units in various ways. One is product method in which we trying to improve the inherent margin of every product. Second is at a branch level, how do we interact with the partner and improve branch level share of business and productivity. Those reviews are also very constant and BAU . We track branches in different cohorts of less than 50%, greater than 50%, and what kind of market

share we have in each of these branches. And those numbers are looking better than what they were last year. So, branches which had a share of less than 50 % for us are now much lower than what they were about a year back. And these are the numbers which are helping us improve unit level of productivity for the sales employees.

Vibha Padalkar : And just to add there, is a conceptual alignment with the bank that they should, along with us, be selling a lot more of protection than the current 3%-4% kind of levels . And some of our other channels are anyway at a much higher percentage of protection. So, very definitive steps and conversations have already happened.

Moderator: Our next question comes from the line of Pra yesh Jain from Motilal Oswal.

Prayesh Jain: Just one question on how the product mix and margins can move, let's leave aside the benefit of operating leverage and getting into costs. What I heard from the call is that the product level margins between non-par and par are not meaningfully different. So, even if the share of non-par increases, we wouldn't see any product mix benefits coming in the second half in terms of margins ? And how would you then look at or whether do you think that the share of ULIPs can go down and that can bring in some benefits to margins from the product mix perspective.

Obviously , I understand that you mentioned that any benefits o

n product margins or any b enefit

of product mix will be utilized to absorb the fixed cost or invest into growth but just from product mix perspective can you elaborate as to how should we think about just product mix benefiting the margins? HDFC Life Insurance Company Limited

July 15, 2025

Page 12 of 17

Niraj Shah: So, Prayesh , a couple of thin gs. One is, I think what Vineet was allu ding to was what I had said earlier on the call, that the delta of profitability within product segments is reducing compared to what it was a few years back for us. Because every product category is now more profitable than what it was, maybe with the exception of maybe protection, where margins used to be in three digits a few years back . But g iven the way the pricing environment is in the industry, it is healthy but not the way it used to be. As far as the par and non-par mix is concerned, we expect the mix to become a little more moderate where the par mix is likely to come down a bit, non-par mix is likely to be higher than where it is at this point in time. So, non-par is still definitely more profitable t han par. It is just that the delta which used to exist around six years back when we introduced the non-par category was a lot higher compared to what it is today. So, that is really the crux of what we were saying. And as the mix changes the way we expect it to over the next three quarters, you could expect some profitability enhancement coming from that mix shift.

Prayesh Jain: And just on this fixed cost absorption thing , at the end of Q4 you were expecting relatively muted growth for Q1 and I thin k the growth has come in better than your expectation and so do you think that you would invest more and utilize that benefit of higher growth that has come in the first quarter ? Or do you think that the margins can expand?

Niraj Shah: I think what we had said in April was that last year was a very high growth here for the sector and for us , we and sector grew at 18 % or thereabouts. Given the whole macro situation and the uncertainty we expected this year to be relatively softer. That's exactly what's h appened in Quarter 1. So, is the growth very different from what we were anticipating? Not really. Because , one is on an absolute basis and second is mathematically because of high base last year , the growth in H1 was likely to be lower than H2 for us in a ny case and that's exactly how it started .. We did mention that our aspiration would be to continue to do better than the sector. We have managed to do that. We still see growth to be lower than last year, but hopefully the quarters , in volume terms , becom e bigger as we go forward because of the way the business pans out as the quarters progress. As far as fixed cost leverage is concerned, again, it's relative. Vibha mentioned there is a negative 60 basis points impact because of lower volumes compared to volumes of the quarter in the previous year. This is what is likely to get erased as the year progresses. The 60 basis points negative is something that, hopefully if things move according to plan, then it should be close to zero. But we'll have to wait an d see how that goes.

Moderator: Our next question comes from the line of Sank het Ghoda with Avend us Spark.

Sanketh Godha: Thank you for the opportunity. Again to harp on that same point ,. you're saying par and non-par margin at the current juncture are broadly similar. So, if ULIP margins are lower than the company average margins in general, then you are saying that at the 25 .1% margin that you are reporting, there is a fair probability that par and non-par will be upwards of 25 .1% at produ ct level, broader indicator I am saying. So, in future, you will be indifferent whether the growth comes from par or non-par in that sense. So, basically from a company's point of view, there is no active reason to change to non-par to just boo

st the margi ns. HDFC Life Insurance Company Limited

July 15, 2025

Page 13 of 17

Niraj Shah: Sanketh, there is a difference between par and non-par margins . The difference is not as high as it used to be 4 to 5 years back. But the difference is still very much there. Non-par is higher than

company average. Par is closer to company average than it was maybe 5 years back. Unit-linked certainly is lower than company average but is slowly now moving upwards, it's now converging towards par because of better persistency as well as higher level of sum assured. So, the delta in margins across all the segments is very much there. Protection is still the most profitable product followed by annuity depending on the way we price the products at least, followed by non-par, par and then unit-linked. It's just that the delta across each of these segments is lower than what it used to be 3 to 4 years back. And the mix certainly will determine what the margins end up at. So, if the non-par mix improves in the remaining three quarters, it will definitely give a upside to the margin compared to what you're seeing today.

Sanketh Godha: Basically in the waterfall of 100 bps improvement due to a better margin profile mix, is predominantly because of your ability to attach higher sum assured or higher riders to the unit linked? That's a very simple assumption to make? - Assuming that par grew at the expense of non-par, at least in the current quarter.

Niraj Shah: Unit linked are certainly one part of it, it's also protection also again, I guess in decimals it doesn't show up, but the mix has gone up compared to last year. Credit protect also has grown in this period. Annuity is a lot higher compared to last year. I think it's over 20% growth in this period. So, a lot of these things are margin accretive as you know in terms of segment and each of them have contributed to the product profile. So, product profile has all of these aspects apart from the inherent margins of the segment itself.

Sanketh Godha: And last one, how much of ULIP has higher sum assured? Maybe if you can give a little data around.

Niraj Shah: So, we don't really get into that specifically, given a lot of these things are not the way we make public disclosures, but it's now becoming a very meaningful part. It is higher than what it was last year. It is now becoming a lot more meaningful than it was when we started the journey 2 years back.

Moderator: Our next question comes from the line of Nidhesh Jain with Investec.

Nidhesh Jain: Thanks for the opportunity. My question is on NOP (number of policies) growth. Our NOP growth is still quite weak, though we have done quite fairly well on APE growth despite our base. But NOP growth is bit weaker. A couple of years back, when NOP growth for the sector started to decline, we had entered into a growth problem. So, how do you see NOP growth panning out going forward?

Vibha Padalkar: So, Nidhesh, you're right if you look at just on Quarter 1 basis. However, on a two-year CAGR basis, we have grown at about 10%. I am reasonably confident that rest of the year, as we HDFC Life Insurance Company Limited

July 15, 2025

Page 14 of 17

progress, NOP growth should come back. If you were to look at every cohort that is above 1 lakh ticket size, we have grown fairly well, but in some of the lower ticket sizes, based on some of the experience that has panned out, we have consciously gone back to the drawing board, re-looked at some of our assumptions, pricing, and that happened towards May-June of this year. So, that's really what is impacting it, but NOP growth should come back.

Vineet Arora: Just reiterating what Vibha has said. So, certain lower ticket size segments is where we have deliberately gone slower on NOP growth, putting in some models to figure out which are the profitable segments to pick up, while in all

other segments we have seen an increase in NOP growth. So, that's not a challenge. And we expect this to also even out.

Nidhesh Jain: And the second question is on competitive intensity in non-par and annuity. What actually is driving that? Because post the surrender value norms, we thought that competitive intensity from unlisted players will reduce given the surrender assumption, etc. But it seems like the competitive intensity on pricing has further increased in Q1.

Niraj Shah: Yes, I guess in some sense what has happened is some players are becoming more calibrated and some, at least the way we see it, have become more aggressive. So, in balance, I think the intensity is still fairly strong. And I think as far as single-premium annuity products are concerned, it's a little more straightforward to understand. And as far as non-par products are concerned, there are other aspects there in terms of how the surrender value builds up across different products. So, some of this also plays a role there and is something that we need to be watchful of. And as we have said in the past as well, our long-term proposition really is something that we will focus on, given the way the interest rate environment is likely to move in the rest of the year, this (non-par) category will definitely be a lot bigger than what it is at this point in time from a mix perspective. We have some launches planned as well that also does help move demand. We have had launches in the par product like Vibha mentioned. So, some of that also does move demand. So, while we have to deal with whatever pricing environment is there in the marketplace that's not necessarily always been the issue from a demand and product mix perspective. Competitive intensity has been high in the past as well, but non-par product mix has been in the mid-30s right through this entire period. So, we will continue trying to do different and new things, and stay away from just pricing game.

Moderator: Our next question comes from the line of Nischint Chawat he with Kotak Institutional Equities.

Nischint Chawathe: Thanks for taking my question. Just curious, what is our moat in the non-bank alliances? And especially, I think as I see the product mix, the share of ULIPs is fairly high in this segment, especially where it is a multi-insurer shop. So, one might just be a little bit more careful in terms of persistency in these channels.

Vineet Arora : So, in the non-bank alliances there are two categories that we have merged, and we have combined all the corporate agents together. I think there is some partners who are higher on HDFC Life Insurance Company Limited

July 15, 2025

Page 15 of 17

ULIP and do more ULIP, and that's the mix which has gone up in the first quarter. Overall, the mix is fairly in line with what the organization mix is, as far as ULIP is concerned. It is not that it is very high on the non-bank alliances. What also happens is that at a unit or partner level, especially in non-bank alliances, our commercials are completely aligned to what the margins of the product are expected to be or what kind of expense that we can charge to those people.

So, think from that angle, this does not really impact the margin.

Vibha Padalkar: And I want to add here, Nischint, that you'll be surprised to find that some of our channels are operating at slightly higher than the company level margins, despite some of the product mix that you see on slide 17. It is a function of two or three things. One is, like Vineet said, at what commercials does it make sense? It obviously can not be same commercials agnostic of whatever is being sold. Second is that what kind of persistency is that channel delivering because like Niraj mentioned earlier, it can have a very different outcome on the fortunes of a unit-linked product for the company. Some channels are ab

le to deliver much higher levels of persistency.

So, it is a combination of these things and it is now getting more nuanced, it is not necessarily that unit-linked will lead to a poorer outcome on margins and that is what we calibrate on a daily basis at a channel and sub-channel level. And philosophically, each one of our channels will and do operate very close to company level margins. So, some of these things, the channel CEOs do very well in terms of need of the channel and where demand is, what could be evangelized through the system in terms of rider attachments and so on. For a particular channel, maybe fully underwritten, say protection product maybe fine as long as there is straight through processing, for another channel, that's a lot more sensitive to price, that might not work and so on. So, many nuances on that as against just a unidimensional impression that slide 17 in our presentation gives.

Niraj Shah: And also just to add to what Vineet and Vibha mentioned, if you look at the mix, I will just highlight maybe two differences. If you look at non-par mix, it's 27% for non-bank alliances versus 19% for the company. And if you look at term, it's 14% versus 6% for the company. So, this itself tells you the kind of ability to have product mix which is very different from what you see in some of the larger banks. And that really definitely helps in terms of maintaining overall profitability at the levels that we want.

Nischint Chawathe: And these are all multi-insurer shops, right?

Niraj Shah: Absolutely, all of them.

Vibha Padalkar: Actually, other than direct, all other channels out of the four quadrants on slide 17, are multi-insurer shops. Agents also realistically might be multi-insurer.

Moderator: The next question comes from the line of Mohit from Centrum. HDFC Life Insurance Company Limited

July 15, 2025

Page 16 of 17

Mohit: My question is on retail protection. So, have we seen any repricing in the retail protection? And we had introduced three protection products past year, Ultimate, Super, and Elite Plus, how has the performance been for those products?

Niraj Shah: So, I think all the products that you spoke about are doing quite well. They were targeted at different segments that we did not have solutions for earlier. So, all of them have started to scale up and are doing quite well. As far as pricing is concerned, I think it is more gradual, business, as usual, granular approach. To answer it clearly, there is no big-bang change that we have seen. But as Eshwari mentioned earlier, as we go deeper into India, we can expect different customer experience. That customer experience needs to be either priced for or it needs to have a different underwriting process or a combination of both. That's what we are kind of trying to do over the last few years. And it's a continuous learning process as we get more data, access to more information, we are able to make the process more frictionless, but still be able to assess the risk. At the same time, getting more surrogate information to be able to make our assessment. And at the same time, you referred to some of the new products that we have launched. Some of it has actually helped us address that in terms of getting through to different customers, for some customers process is important, for some pricing is important and for some flexibility in terms of how their coverage shapes up for the year is important. So, a lot of these things play a role and pricing is one aspect, but not necessarily the only thing really required. And the other aspect of pricing is in terms of the reinsurance capacity has been reasonably stable. In fact, we are

seeing some enhancement in capacity. They are willing to take a slightly longer -term view in terms of increasing penetration. The pricing is definitely a lot more sustainable now compared

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to what it was probably 3 to 4 years back from a reinsurance perspective and that is going to actually be a good development from the perspective of sustainable growth of the sector.

Moderator: Our next question comes from the line of Aditi Joshi from JP Morgan..

Aditi Joshi: My question is broadly related to the channel side. The agency channel has somewhat suffered across the industry from the surrender regulations and given this quarter 's trend , the growth could be higher in the other channels like banks. But going forward, do you think this trend is likely to be continued or we can see some pickup in the Banca channel, especially given that agency could remain at this level of growth for a while ? So, just some color or how you're thinking about the growth across the channels will be helpful.

Vineet Arora : So, I think for the year, we are looking at all channels growing at very similar levels. In fact, given the investment that we are doing in agency, we expect it to grow faster than the other channels during the remaining months for the year. So, as the impact of all the investments and all the transformation and exercise comes in, we should see better growth coming in the agency channel as compared to others. Overall for the year, I would say all the channels, we are expecting them to grow at a similar number. HDFC Life Insurance Company Limited

July 15, 2025

Page 17 of 17

Aditi Joshi: So, especially on the bank side and you even split this as HDFC Bank and others, , you think it is basically only the base effect that is showing up as a low double -digit growth this year or how are you thinking about that?

Niraj Shah: So, we did mention that the counter -share expansion in HDFC Bank happened in Q1 and H1 of last year. That is something that is now steady. So, the growth that we get from HDFC Bank is going to be more reflective of how the bank grows, which has been fairly steady in this period.

Other banks that Vineet spoke about earlier, we continue to obviously compete in intense open architecture while maintaining our overall approach of growth , profitability and risk. And that is something that will develop as the year progresses. But all the channels are growing. Agency, we spoke about , our aim for the agency business is what Vineet spoke about as well . But as far as the banks are concerned, I think all of them are growing reasonably well.

Vineet Arora: Yes, I think some general volatility , in any of the banks , keeps on happening based on some competitive pressure and what we might do tactically for a shorter period of time in that particular relationship. But overall, for the year, we do not expect it to vary much and every channel is expected to be in the same range.

Moderator: Our next question comes from the line of Nitin Jain from Fair View Private Limited.

Nitin Jain: My question is on the growth that we have seen in Q1. So, we have certainly done better than the industry in Q1, which is also reflecting in the market share gain. But have we also done better than our own internal expectation that we had at the beginning of the year, given that we have a high base for H1? And if so, are we a little more upbeat about FY26 growth or there is no change from the view that we had at the beginning of the year?

Vibha Padalkar: Yes, Nitin, this is very much in line with our expectations at the beginning of the year because if you were to look at a 2-year CAGR basis, it is 21.5% growth and that you will agree is a fairly handsome number even versus some of the buoyant periods that the sector has seen. So, yes, I think very much in line and also in terms of margin delivery , digesting the 30 basis points impact of surrender charges and so on, we have seen in a way underlying margin expansion of 40 basis points. And VNB growth also on a two -year CAGR basis is 15%.

Moderator: As there are

no further questions from the participants, I now hand the conference over to Ms.

Vibha Padalkar for closing comments.

Vibha Padalkar: Thank you for joining us today. Should you have any follow -up questions, please feel free to contact our Investor Relations team. Wishing you a pleasant evening. Thank you. HDFC Life Insurance Company Limited

July 15, 2025

Call: Oct 2025

October 24 , 2025

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Dear Sir /Madam ,

Sub: Transcript of earnings conference call for the quarter and half year ended September 30, 2025

We wish to inform you that pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of the earnings conference call with analysts and investors held on Wednesday, October 15, 2025, to discuss the financial results of the Company for the quarter and half year ended September 30, 2025.

The said transcript is also hosted on the Company's website at <https://www.hdfclife.com/aboutus/investor-relations>.

This is for your information and appropriate dissemination.

Thanking you,

For HDFC Life Insurance Company Limited

Nagesh Pai

Company Secretary & Compliance Officer

Encl.: As above

Page 1 of 20 HDFC Life Insurance Company H1 FY26

Earnings Conference Call

October 15, 2025

HDFC Life Insurance Company Limited

October 15, 2025

Page 2 of 20

Vibha Padalkar: Good evening all and thank you for joining us for our earnings conference call for half year ended September 30th, 2025. Our results, along with the investor presentation, press release and regulatory disclosures, have been made available on our website and the stock exchanges.

Joining me on today's call are Niraj Shah, Executive Director and Chief Financial Officer;

Vineet Arora, Executive Director and Chief Business Officer; Eshwari Murugan, Appointed

Actuary; and Kunal Jain, Head - Investor Relations, Business Planning and ESG.

Macroeconomic Context:

FY26 has progressed on a stable footing for life insurance, even amidst persistent global uncertainty driven by geopolitical tensions, trade disruptions and uneven growth across economies. Closer home, the Indian economy continues to demonstrate resilience, supported by stable GDP growth and encouraging signals from rural markets, helped by a generally good monsoon and improving farm incomes.

While early festive trends have lifted sentiment, high-frequency indicators present a mixed picture. Urban demand remains patchy, and some consumption indicators have moderated. In this evolving macro environment, we remain focused on disciplined execution and delivering sustainable long-term growth.

The recent GST revisions are a constructive structural shift aimed at simplifying compliance and improving affordability. We have ensured that the full benefits of the GST exemption are passed on to our customers. With product pricing now more attractive to customers across segments, we expect to see stronger demand over the medium to long term. While the withdrawal of input tax credit may result in short-term margin pressure, we are confident, similar to the surrender value regulation changes, of managing this effectively over the next 2-3 quarters through operational adjustments and close distributor engagement.

Stepping back, the life insurance sector remains structurally well-positioned, anchored by long-term savings demand, increasing financial awareness and a deepening protection mindset. Our diversified product suite and balanced distribution architecture equip us well to navigate near-term transitions while staying aligned with the sector's robust long-term growth potential.

Business Performance:

H1FY26 concluded with topline performance broadly in line with expectations. Individual Annualized Premium Equivalent (APE) grew 10% year-on-year, translating into a healthy 2-year CAGR of 20%. We outperformed both the overall industry and the private sector, resulting in a 90 bps increase in overall market share to 11.9%, and a 30 bps gain in private market share to 16.6% for H1FY26.

HDFC Life Insurance Company Limited

October 15, 2025

Growth was broad-based, with several encouraging trends. Tier 2 and 3 markets clocked faster growth compared to Tier 1 cities, reflecting our continued success in expanding reach beyond metros. Over 70% of new customers acquired in H1 were first-time buyers with HDFC Life, reflecting our ability to deepen reach and tap into new customer segments as we incorporate our learnings into our customer onboarding process, underwriting approach and product offerings. Business momentum was driven by a combination of factors i.e., higher average ticket sizes, sustained traction in ULIP and Par products and resilient demand across income segments. Growth in number of policies remains at a healthy 2-year CAGR of 9%.

Renewal collections grew by 18% year-on-year. Persistency ratios were stable, with 13-month and 61-month persistency at 86% and 62% respectively. These trends reflect the underlying product and tier mix.

Product Mix:

Our product mix in H1FY26 remained well-balanced and aligned with evolving customer preferences and market dynamics: with ULIPs contributing 42%, participating products at 29%, non-par savings at 18%,

term at 7% and annuity at 4%.

ULIPs continued to witness strong inflows, driven by a combination of positive equity market sentiment and a steady customer appetite for market-linked returns. Our ULIP offerings are designed not only to capture this demand but also to provide enhanced protection benefits via higher sum assured multiples and flexible rider options.

Participating products maintained steady demand, supported by recent launches and a preference among customers for lower-risk instruments amidst macroeconomic uncertainty.

We are beginning to see a pick-up in demand for non-par savings products, supported by the steepening yield curve and higher customer appreciation for long-term guaranteed solutions. While we have seen varied pricing approaches across the industry in recent months, we expect a more balanced environment going forward, particularly as stakeholders absorb the full implications of the GST changes. Our own approach remains grounded in long-term sustainability and customer value.

The annuity segment, meanwhile, continued its strong momentum, delivering 16% growth in overall new business premium.

Retail protection grew 27% YoY, outpacing overall company growth. Our newly launched Click 2 Protect Supreme combines comprehensive life, illness, and disability protection with flexible payout options and value-added features like Smart Exit and income boost. We are also seeing

HDFC Life Insurance Company Limited

October 15, 2025

early signs of improved demand post-GST changes, and are working on multiple initiatives to drive awareness and adoption of affordable protection. While it's early days, on retail protection, growth post GST changes was more than 50% in the month of September.

In credit protect, trends in the MFI segment showed signs of revival, with growth resuming in September. Other segments continued to see steady progress driven by improved attachment rates, wider coverage across lending partners and new partner additions.

Retail sum assured grew at a healthy double-digit rate, with a 26% CAGR over two years. We continue to maintain leadership in overall sum assured, underscoring our strength in protection-led propositions.

Financial and Operating Metrics:

New business margin in H1 prior to factoring the GST impact was 25%. Post GST, new business margin for H1 was broadly at FY25 levels, at 24.5%. This translates to VNB growth of 12% pre-GST and reported growth of 10% on YoY basis and a 2-year CAGR of 14% for H1FY26. New business margin in H1 was impacted, as expected, by the withdrawal of input tax credit under the revised GST regime. Around 80% of the business in September was issued post 21st September. This, along with the effect of surrender regulation changes from previous year also weighed on margins vs the previous year. The margin impact was partially offset by higher share of protection and improvement in inherent product margins.

We are actively implementing a series of measures to neutralize the GST-related impact on a run-rate basis over the next 2-3 quarters. We expect to see restoration of a more normalized VNB growth next year i.e. FY27, led primarily by top line expansion. In our view, the GST reform is a momentous, forward-looking change with the potential to structurally expand long-term demand and deepen life insurance penetration in India.

Profit after tax in H1, rose 9% YoY to ₹994 crore.

Embedded Value stood at ₹59,540 crore, with an operating RoEV of 15.8% on a rolling 12-month basis. The solvency ratio was at 175%, reflecting a combination of dividend payout, repayment of ₹600 crore subordinated debt in Q2, writing more protection business and the GST impact.

We plan to raise up to ₹750 crore in subordinated debt in one or more tranches in H2. The fund raise is expected to enhance solvency by around 7%.

We are pleased to share that our Assets Under Management (AUM), including that of our wholly owned

subsidiary HDFC Pension Fund Management, has crossed the ₹5 trillion milestone; a significant landmark in our 25-year journey.

HDFC Life Insurance Company Limited

October 15, 2025

Page 5 of 20

Distribution Highlights:

All channels recorded healthy growth during the period. Our counter share within HDFC Bank remained stable, while partnerships with other banks also showed healthy expansion.

The proprietary channel achieved strong double-digit growth in Q2. Agency channel has delivered a robust two-year CAGR of nearly 20% in H1FY26, maintaining a healthy double-digit protection mix and driving profitable growth. Agent additions remained healthy, with over 50,000 new agents onboarded on a gross basis in H1 FY26, of which 80% were from Tier 2 and 3 geographies. Our focus continues to be on enhancing profitability at the branch level alongside broader agent activation initiatives.

Other updates:

Our Indian subsidiary, HDFC Pension Fund Management, continued to deliver robust performance, registering a 37% year-on-year growth in assets under management and maintaining its leadership with over 43% market share. Its AUM nearly reached Rs 1.40 lakh crore as on 30 September 2025.

Our people remain central to our sustained success. We continue to invest in nurturing a supportive, inclusive and empowering workplace - one that fosters innovation, collaboration and a strong sense of belonging. We are proud to be recognised for our employee-centric practices:

■ Named among the Best Companies for Women in India 2024 (BFSI)

■ Honoured as an Exemplar of Inclusion in the Most Inclusive Companies Index 2025,

by Avtar & Seramount - for the second consecutive year

These accolades reflect the culture we are building, one where every individual can thrive.

To sum up:

As the external environment evolves, we remain confident of the long-term growth potential of life insurance in India. The recent GST reform, while necessitating some recalibration for industry stakeholders, is a structurally positive step - it makes life insurance products more affordable for customers. We remain optimistic about our growth trajectory for H2, with sustained demand across segments and improving consumer sentiment. With a resilient business model, a trusted brand, and a history of disciplined growth through cycles, HDFC Life is well-positioned to grow ahead of the industry.

HDFC Life Insurance Company Limited

October 15, 2025

Page 6 of 20

As we mark 25 years of serving Indian households, our commitment to providing financial protection and building lasting value is stronger than ever. We thank you for your continued trust and support.

For a detailed overview of our results, please refer to our investor presentation. We are now open to any questions from the participants.

Moderator: We will now begin the question-and-answer session. The first question comes from the line of Avinash Singh with Emkay Global.

Avinash Singh: Two questions, first one is on capital. If I see sequentially, solvency ratio has dropped 17 percentage points, I would think nearly 6-7 percentage point impact would come from some retirement of your sub-debt, some part of it will be growth and partly, it could also be due to yield curve movement-led MTM adjustments on some of the hedging positions. Are there any other elements here? And more importantly, is this the capital level comfortable to support your growth? Do you have any plan to raise sub-debt or any other way to augment the capital? So, that is on capital and growth.

Second, on GST and margin, if I were to just glance through the sensitivity given, i.e., how VNB changes if there is a 10% increase in acquisition cost and maintenance, that's on a ceteris paribus basis. But the impact, looks meaningful, 18% cost increase on nearly 50-60% of costs that are non-salary related. So, there is a reasonable amount of acquisition cost and maintenance going up.

So, that is where

e my question is, as you pointed out that, over the next two-three quarters, you will be doing the adjustments to overcome this impact. So, is there a possible way out unless, the distributor also shares the burden? Because, if this burden is to be absorbed only by product changes or to be absorbed by you, it looks a bit on the higher side. So, are distributors going to part of this burden sharing? Will they sort of share some bit of this load as well?

Vibha Padalkar: So, I will take the second question first, Avinash. On the distributors, a quick conversation. See, it is not only the distributor. It is four or five things that we will do to neutralize it. And we have to be equitable between different stakeholders to be able to do it.

You have mentioned distributors, I think, given changed economics, some of that will certainly happen. We have demonstrated that with surrender charges also. At the same time, we will be pragmatic about it.

There will also be conversations with all our vendors, because only around 50% of the input tax issue is due to commissions. There are others like outsourcing costs, technology costs, and so on. And we will have these conversations with those vendors also.

HDFC Life Insurance Company Limited

October 15, 2025

Page 7 of 20

Then we also have a focus, along with the distributors, not only about commercials, but also on what product mix can we jointly focus on. Even more so than what we were doing, perhaps before GST. So, that is an uplift in terms of unit linked with higher levels of mortality, riders, longer-term par. Every product has some further that we can extract on margin. So, that also will happen.

We will also look at new products. Is there something that is topical, variable annuity, for example. So, there might be some new-to-market products that can also get us that fillip. And the last point is overall growth, because what we are missing in all of this is that growth is expected to come in a big way. We have already seen 50%+ growth in the month of September on retail term. As we start evangelizing the monumental impact of GST exemption to the customer, hopefully even in other parts of our business, we start seeing that kind of uptick. So, obviously we can't get into each of the specifics because these are all inter-say conversations, but all of this is something that we have already started working on and many of these things we already are done and dusted with.

Niraj Shah: As far as solvency is concerned, the starting position was 192% in June, you mentioned a couple of elements. There are a couple of others which we would like to highlight. Starting with the dividend payout that we had done earlier in the year, that has about a 4.5% impact. Subordinated debt, we retired, about Rs. 600 crores, so that has around a 6% impact.

The GST impact, we have articulated about 150 basis points impact on solvency. And as far as the rest of it is concerned, it is a function of higher growth on the longer-term individual protection products. That has caused this, as well as the new business strain is embedded into this number.

So, historically, if you look at our solvency levels, they have been in the 180%-185% band. We are reasonably comfortable running at that level. We do plan to raise about Rs. 750 crores of subordinated debt in this quarter. So, that should kind of get us to the levels that we are reasonably comfortable with. And as we know that this is a fairly conservative solvency regime and as we graduate to the risk-based capital solvency regime over the next 12 to 18 months, I think the solvency position will appear to be a lot more robust than what it appears at this level. While the regulatory requirement is 150%, we believe 170%-185% is a fairly good number to operate with.

To your earlier point also on the sensitivities that you referred to on acquisition costs, I think the numbers all kind of tie-in. We have

talked about 0.5% impact for half year. That is basically, it is about 15% of the period's business. So, you could actually take a gross impact of around 3% for the year. That is what we basically have indicated with our disclosures. And if you were to

HDFC Life Insurance Company Limited

October 15, 2025

Page 8 of 20

tie in the acquisition cost sensitivities, given what Vibha spoke about, not all the costs are impacted from an input tax credit perspective.

So, keeping in mind the composition of our business in individual and group, as well as some of the acquisition costs not having got impacted at all, it kind of ties in with the impact that we are talking about on an annualized basis of 3% with a 10% increase in acquisition costs. So, that is broadly our thought process around this number.

Moderator: The next question comes from the line of MW Kim with J.P. Morgan.

MW Kim: I have two questions. The first question is about the business growth opportunities in Tier-2 and Tier-3 cities. Following the GST tax removal, the insurance products have become more affordable to the public, and the company has been an early mover in developing the business in

Tier-2 and Tier-3 cities. With growing brand awareness and initial success in these regions, what is the company's target for the sales contribution from those regions over the next five years?

So, I just want you to quantify on this impact.

Next question is about the asset liability management. We have observed that the company's embedded value and new business value margin sensitivity to the interest rate movement has decreased over the past six months. So, given the current macro volatility, could you elaborate on whether this reduced sensitivity has come at a higher cost or if it remains manageable through the asset management solutions? Additionally, is the bond market sufficiently developed to serve as an effective hedging tool for your asset liability management needs?

Vibha Padalkar: On the first question, Tier-2 and 3 is about two-thirds to 70%, it is somewhere in that range on an APE basis. On a number of policies, it is slightly higher. We expect it to continue similarly because if we were to look at the underlying growth rates, while Tier-2 and 3 is slightly at a higher clip, my ticket sizes are a little bit lesser. So, that is how I think we will see it panning out over the five-year time horizon.

Vineet Arora : I think you also asked about impact of GST on this mix. So, clearly, we have seen a lot of traction happening because of GST, more so in our term business. And we do expect that trend to continue, though it will be normalized from the kind of increase that we saw towards the end of September. We do believe it will get normalized as the things become more business as usual. But definitely in a product like protection, in which the GST impact is quite large and very visible, we expect that to contribute to this continued growth of business.

Niraj Shah: To your second point in terms of asset liability management, like you rightly mentioned, the sensitivities have been fairly range-bound and maybe even going down in the recent periods. It is basically a consequence of a couple of things.

HDFC Life Insurance Company Limited

October 15, 2025

Page 9 of 20

One is our hedging approach hasn't really changed too much. It has been broad-based in terms of duration-matching single premium products and cash flow-matching regular premium guaranteed products through a combination of external and internal instruments. So, that hasn't really changed too much in the past five to six years.

What has happened is that, like you alluded to in terms of, is it coming at a higher cost? Not necessarily. The reason for that is that as interest rates move, we alter our pricing and the cost of hedging is an intrinsic part of that pricing decision as well. So, it is not something that causes an additional dent to any of our

economic metrics.

Also, the broad-basing this hedging approach allows us to decide between each of these instruments from different points in time depending on how the economic aspect of a forward-rate agreement works from time to time. So, I think that is broadly how things have been.

Eshwari Murugan : Just to add to that, the sensitivity captures the impact of the interest rate movements on the shareholder assets and the assets with the policyholders which are over and above the best-estimate liabilities because on a statutory basis, we are required to hold higher assets and depending upon where these assets are invested and shape as well as the level of the yield curve, the sensitivity will be slightly different.

But as Niraj mentioned, it's always been range bound and very important to note that in an interest rate down scenario, our values are going to be higher which is what we primarily look at when we are hedging or matching our liabilities under the non-par guaranteed products. So, the interest rate up is an adverse impact on EV and NBM. That is because the assets are invested in bonds and when the interest rates go up, the value of the bonds reduces. So, only the excess assets are exposed to the risk. All the policyholder liabilities, they are perfectly matched by cash flow matching or by duration matching as mentioned in our Slide 17* of investor presentation.

*Slide 23, incorrectly mentioned as slide 17 in the call

Moderator: The next question comes from the line of Shreya Shivani with Nomura.

Shreya Shivani: Both my questions are around the GST only. Can you help me understand which products get impacted the most because of the GST, in descending order? So, you know, protection, ULIP, non-par, par, whatever it is.

Second is, I wanted the clarity on, if you do nothing, how much of a VNB margin hit on an annualized basis comes for you? And how much time should we build in for expecting that all the negotiations, etc., would get completed?

HDFC Life Insurance Company Limited

October 15, 2025

Page 10 of 20

Just one data keeping question. In your VNB walk, can you explain what is that impact of delay in pricing, that first bit in that chart?

Niraj Shah: We will just start with the last bit on the VNB walk. The starting position on a reported basis was 24.6%. And if you recollect in the previous quarters, there was a point in time when we had articulated the gap in margin due to lag in repricing. That is what we wanted to just restate here to basically say that once you neutralize that, the margin would have been 25% at the beginning of the period and end of the period is 24.5%. But on a reported basis, it is 24.6% to 24.5%.

Vibha Padalkar: So, just to interject here, we didn't want to start off with 24.6% is a limited point. We wanted to say that last year was, should have been 25.0% in H1.

Shreya Shivani: Yes, I remember you didn't reprice the products.

Vibha Padalkar: Yes, which is why we are saying that H1 margin last year was higher. So, actually the starting point is higher.

Niraj Shah: Second is you asked for the annualized impact. I just spoke about it a while back where we said that 0.9% for the quarter or 0.5% for the half year basically is representative about say one sixth of the business. So annualized basis, you would expect a gross impact of about 3%, which ties in with the earlier question around acquisition expense sensitivity.

So, that is on a gross basis. Of course, that is not something that we would want to maintain or stay with. So, our objective is to try and neutralize that over the next couple of quarters. On a run rate basis, we would be very close to where we want to be by end of the year. So, that is something that we would endeavor.

Lastly, in terms of impact of different product segments, I think at least from our perspective, given the market dynamics that we operate in, the biggest impact for us is on unit-

linked

products. And the rest of the products are in some sense fairly benign compared to the impact that we have on unit-linked products given the cap on charges. And that is something that we will try and solve for compared to some of the other business lines.

Shreya Shivani: Just to follow up, you said by Quarter 4 end, probably we would be closer to a more normalized VNB because we would have neutralized the impact, through all the negotiations that we are doing, right. That is what you mentioned?

Niraj Shah: Yes. So, FY 27, we would expect a fully normalized delivery. End of this year and beginning of next year is when the levels would be very close to where we would like them to be.

Vibha Padalkar: So, while we have set two to three quarters, we will try and wrap this up in two quarters.

HDFC Life Insurance Company Limited
October 15, 2025

Page 11 of 20

Moderator: The next question is in the line of Prayesh Jain with Motilal Oswal.

Prayesh Jain: Just extending the previous question on GST trend, you said gross impact is 3%. Now that obviously doesn't factor in the growth that can come in from this, right? So, if you look at the second half, even if you take the gross impact, it is about 3%. But obviously, even if you don't make any alterations to products or to commissions, you still will have some net benefit coming in from the growth, right? Is there a fair way to look at it?

Niraj Shah: Yes, you are right. It is just that we will again take you back to what we discussed at the beginning of the year. If you look at a VNB walk for quarter one as well as for H1, you do see a negative on the fixed cost absorption. Now that is because we are, like we have discussed in the past, capacitized for 16% to 18% growth. But currently we are, while growing faster than the sector, we are still at 10%.

So, we do expect some of this to kind of linger in the second half as well. We do hope to close the gap but we expect this to be a drag still. So, while H2 is likely to be on a higher growth compared to H1, there could still be some lag there. But we will see where we end, given how things are right now.

Prayesh Jain: The second question is on the non-par side. While you mentioned that the ULIP demand has been strong, but is this reduction in non-par is a strategy also, given that the competitive intensity has been high? Because we have seen with some other players the non-par share has been going up and there has been a decently strong demand on the ground for non-par.

So, is there a strategy wherein you are letting go of the business given the competitive intensity? And how do you kind of see this panning out, from where we are today in the first half, do you see the second half could be significantly higher? How should we think about this?

Niraj Shah: Yes, so I think we do expect some pickup in non-par to happen in the second half. And everything that you mentioned is right. We do see some aggression in pricing, which we try and stay away from. We obviously will try and continue to innovate on the product front to try and bring more relevant and interesting propositions to customers.

While we do that, in our case, till last year, the product mix was in the 30-odd percent range. It has come off from there. I think for some of the peers that you are referring to, probably they started on a much lower base compared to where we did. So, I think that is also something to consider.

Having said that, it is definitely a category that we expect to pick up in the second half from a demand perspective, especially given the way the interest rates have moved in the last three-odd

months. It just makes the category more attractive.
HDFC Life Insurance Company Limited
October 15, 2025

Page 12 of 20

Moderator: The next question comes from the line of Madhukar Ladha with Nuvama Wealth Management.

Madhukar Ladha: So just to re-emphasize, if you don't do anything, the

re will be a 300-basis point impact because

of GST, that will partly get offset with volume growth. However, fixed cost absorption may still be a little bit negative until the end of the year. So, that drag may still continue as far as the margins are concerned. Is that the right understanding?

Vibha Padalkar: Yes, so I just want to interject. Before all this GST happened on 3rd of September, what we had alluded to is that last year FY 25, we had ended at 25.6%. And we said that margins will be more or less range bound and VNB growth will be in line with top line growth because of investments in two areas that we had talked about. So, that was the starting point.

Now GST impact is there, we have called it out. And we are saying that we will end this year, over the next two quarters, neutralizing that impact. So, intrinsically, when we have said that we are going to hold the margins, also this negative impact is due to lower growth. So, we are capacitized to grow at about 16%-18%, but we said growth is in the early teens, and hence this is the carrying cost.

So, nothing changes on that front. Unless, because of GST in the second half, overall growth starts seeing a material uptick. We are seeing that in protection. It is early days, but if that were to come in sooner rather than later even on some elements of savings, then yes, that differential should go down fairly rapidly. But we are not factoring it as of now and will watch this space very closely.

Madhukar Ladha: I also see that that actually if you see your product mix that's moved more towards Par and ULIP, still the change in business profile is resulting into a positive impact on the margins. So, what exactly are we doing over here? And you had mentioned that we still have further levers on this count. So, I wanted to get a sense of, how much further margin improvement can come as a result of this and over, the next 6-odd months, what sort of driver could that be?

And second, on persistency, 13th and 37th months, we are seeing some dip in persistency. So, what would be the reason for that?

Niraj Shah: To your first point in terms of the levers as well as the product mix implication on margins. So, if you were to just look at from the broad categories' perspective, protection has grown at 27%, which is almost 3x that of the overall company growth. That obviously has played a significant role in terms of improving the margin profile from a product mix perspective.

Annuity has grown at about 16%. So, I think that also is a fairly significant contributor to that.

Par mix has gone up, which is a little lower than company average margins, but I think it is not really creating any dent.

HDFC Life Insurance Company Limited
October 15, 2025

Page 13 of 20

The biggest change that has happened is on the unit-linked front, where about one-fourth of the business that we now do is on higher sum assured. And that is something that absolutely meaningfully alters the margin profile of this product category for us. And that has actually more than made up for some of the product mix impact that you would impute from a unit-linked mix going up and non-par going down. It's more than got neutralized by this factor, apart from the protection growth and the annuity growth.

In addition to this, the flip side of non-par mix going down is basically pricing discipline, which adds to the inherent margin of the product. Of course, that's got helped with the way the interest rates have moved as well. So, all of these things have got the product profile to improve in spite of the product mix appearing the way it is.

Vineet Arora : I will just add one point here. I think you also spoke about what is the further runway for this margin increase. Now, you know, one of the parameters that we are looking at and when we are talking to distribution partners is also to enhance the contribution of this high sum assured and higher margin ULIP

to compensate for the entire GST impact. And as that discussion goes

forward and we are closing certain counters with that kind of discussion, we do expect mix of higher sum assured ULIP to even go up further. So, the mix of ULIP between the normal ULIP and the higher sum assured ULIP will also alter.

Vibha Padalkar: Another point is that, we have been investing and we have talked about it in our agency channel and growth for the quarter has been materially higher than overall company level growth. And margins from agency channel are comfortably also higher because of better product mix. So, just as that, even apart from product mix, even as channel mix continues to move in favor of

agency channel, some of that uplift should also come over the next 6-9 months.

Niraj Shah: On persistency, I think, just the headline number impact is really that of the mix shift in terms of ticket size. That is really the biggest delta between what you see on the 13th month at this point of time, apart from the mix shift that we have spoken about in terms of geographies. So, that is something that we are now building into our business model and we will work towards improving on that as we go forward.

Moderator: The next question comes from the line of Sanketh Godha with Avendus Spark.

Sanketh Godha: So, my first question, if you want to deliver say 15%-16% growth for the full year, the back calculated growth for second half comes to around 19-20% for you to deliver. So, just wanted to understand that the 19-20% growth, how confident you are to deliver in second half so that the 60-bps negative impact of fixed cost absorption can be fully neutralized? So, just wanted to understand the growth color there, given you might be going through a kind of disruption phase when you are negotiating commissions with the distributors. So, that is point number one.

HDFC Life Insurance Company Limited

October 15, 2025

Page 14 of 20

And the second thing I want to check is that your Banca channel growth seems to be flat for first half year-on-year. Bulk of the business comes from HDFC Bank. So, is it fair to say that the market share gain story largely played out till last year? Now, even to that extent, bank is still struggling to contribute anything to growth because the number of policies or premium in general is not growing in that channel. And if it is the case, when you see the revival in the particular channel to happen?

One more thing if I can add. See, the yield curve benefit, I believe, will play out in second half. So, is it fair to say that the non-par margins might look little better in second half compared to first half? And therefore, that could be a negating factor to all the GST-related issues on the margins.

Vibha Padalkar: So, on the first point on growth, Sanketh, I don't think we have alluded to the numbers that you talked about, 16%-19% kind of growth. We have talked about early teens because we are coming off a big base. And also, like we explained in Quarter 1, we can't be decoupled with whatever is happening in the lending environment, in bank growth, overall system-led growth in the BFSI sector and even otherwise. So, we are holding on to what we said, which is early teens growth. And we are on track. We have also said that we will grow faster than the sector and that we have comfortably done with market share expansion, like I mentioned in the call.

So, if your backward calculation says that we were to eliminate the drag due to lower fixed cost absorption, then yes, we will deliver the kind of growth you mentioned. And that is exactly what we are saying, that because of the overall system-led, or macro environment-led drag, we have under-absorption of cost.

So, we are retaining our outlook of what we said in first quarter and not factoring in any upside that could come through because of GST. We have factored in whatever downside, we have explained that. And there can

only be an upside due to higher volume. That is on point number one.

On point number two on HDFC Bank, we have more or less retained our counter share. See, like I mentioned in the past also, it is not difficult at all, it is our parent. For us to get to 70% or whatever that 'X' percentage share. But really what we are focused on is improving our margins while retaining the current share. And of course, down the line, we are getting more and more nuanced. Now, HDFC Bank also has grown in line with company-level growth. So, it is not really a drag. And on a two-year CAGR, it is a very respectable 20% growth.

Also, we are very selective in terms of what parts of what the bank sells we want to have a share in. And channel has delivered 40% growth on retail protection. So, we are getting more and more nuanced as to what do we want to sell rather than being agnostic between say Rs. 100 of unit-linked and Rs. 100 of protection just to show a higher wallet share. So, that is as far as the HDFC Bank relationship is concerned.

HDFC Life Insurance Company Limited

October 15, 2025

Page 15 of 20

Eshwari Murugan: On non-par, yes, you are right. The margins will be better given the increase in the yields at the longer end. So, that is a right conclusion.

Sanketh Godha: So, sorry, Eshwari, if you can say that if the yield curve holds up at the current level, maybe any positive rub-off you will have on margin delta because of the current shape of the curve, if it holds up for the entire half, second half?

Eshwari Murugan: Yes, if it holds up, we will have a margin delta, but then we just have to look at balancing it against competitive intensity.

Vineet Arora: Exactly. So, yes, if everything else remains the same and that is the only factor then margins will improve. But however, if there is competitive pressure to pass this on, then margins would come back to normal.

Vibha Padalkar: And also, some of the negating of the GST, you know, so many things like this will be in fray. But on a standalone basis, what you are saying is technically correct.

Moderator: The next question is from the line of Dipanjan Ghosh from Citi.

Dipanjan Ghosh: Good evening, everyone. So, just two questions from my side. One, in terms of your non-H Bank partnerships on the Banca side, can you give some color on how your counter share has been changing over the past 12 to 24 months? And just one small question in terms of timelines for the launch of the variable annuity product.

Vineet Arora: So, on the banks beyond HDFC Bank, we have seen a lower growth for the first 6 months. I would say first quarter we had a lower counter share in few of these banks, but towards the second quarter we have been able to recoup our counter share back to what it used to be. And as you know things are panning out, we are now pretty confident of retaining our counter share in these banks.

Vibha Padalkar: And also, some of these banks added more partners. So, it was not that we per se lost counter share. We just had more partners in the open architecture construct, but it has settled down.

Vineet Arora: Yes, I think it will settle down now. And second is, if you also look at our two-year CAGR on these bank counters, it is a healthy 22%.

Niraj Shah: On variable annuity, we are in conversations with the regulator. Hopefully, we should be able to launch it in the last quarter of this year.

Moderator: The next question comes from the line of Nischint Chawathe with Kotak Institutional Equities.

HDFC Life Insurance Company Limited

October 15, 2025

Page 16 of 20

Nischint Chawathe: This is essentially on solvency. How much leeway do we really have beyond the proposed issuance for further capital raise? I mean, if growth in the protection business continues to remain high and especially after getting some tailwinds from GST exemption, to what extent can we support growth and is there going to be any need to

raise equity? So, what are the tools available out there? t

The second is essentially if I look at your P&L statement, there is a reasonably sharp year-on-year decline in policyholders' surplus. So, what is driving this? And just a tiny one over there is your single premium commission rate has again significantly increased on a year-on-year basis.

Niraj Shah: So, on solvency, Nischint, I think, like we have maintained I think level close to 180-odd percent is reasonably comfortable for us to continue growing. At 175%, adding sub-debt of Rs. 750 Cr will take us to that level. Regulatory requirement is 150%. So, I think with this level of growth and product mix, I think we have a significant runway we can go a couple of years and not require equity capital.

Having said that, you are aware that risk-based capital regime is likely to get implemented in this period which will significantly alter the solvency profile of not just our company but the industry in a positive way. So, I think capital is unlikely to be any constraint for growth unless the growth trajectory is dramatically different and the product mix changes a lot faster than we think at this point in time. So, should not be an issue from that perspective.

On policyholder surplus, impact is largely a function of how the segments have done. On the participating front, it's been fairly stable. As far as the non-par is concerned, I think the lower business has actually improved the position there on the individual business. Credit life, which sits in the non-par segment, has grown at 15% in Q2. So, that will cause a strain in the shorter term. That is something that is reflecting here.

Similarly, individual protection has grown at 27%. So, that also causes a strain in the P&L. But that is something that will obviously be accretive from an economic perspective, but it will cause strain in this artificial P&L construct in which we don't have a matching concept. Similarly, the artificial solvency construct in which the requirements are not as per the risk in the product.

Nischint Chawathe: And just single premium commissions increase.

Vineet Arora: So, like Vibha also spoke in her opening remarks, we did see good growth coming in our CP business and we have also seen some green shoots in the last month on the MFI part of the CP business. So, that has shown us some good growth and also the growth in annuity has been healthy. Both of these have contributed to that single premium commission increase .

Moderator: The next question is from the line of Nidhesh Jain with Investec.

HDFC Life Insurance Company Limited

October 15, 2025

Page 17 of 20

Nidhesh Jain: My question is on distribution mix. Within distribution, we have seen very strong growth in the broker channel. So, what is driving that and how sustainable is the current run rate?

Vineet Arora: So, our growth in the broker channel has been due to maintaining our share in some of the broker shops as well as a large growth in the protection business happening through some of the counters. So, these two things have been contributing to our growth in the broker channel. And we do believe it is a very sustainable growth. Even the product mix at the broker channel is reasonably healthy and giving us good margins, better than company level margins. So, that is a sustainable business for us to continue.

Nidhesh Jain: So, the share of broker channel has now become around, I think, 9% of APE. So, you think that this share you will be able to sustain going forward?

Vineet Arora: Yes.

Moderator: The next question is from the line of Vinod Rajamani with Nirmal Bang. Please go ahead.

Vinod Rajamani: So, you spoke about changes that you can make on the product, whether it is a tenure extension, attaching riders, higher sum assured and so on. Also, some channel repricing. But just in terms of rider attachment, any data that you can share? How many products

currently do you have, in

which you have a rider attached? And what is the plan going forward as far as the rider attachment is concerned?

The second question I had was on the group side. The way I see it, group can be a natural hedge in terms of this input tax credit. So, is there something we can do on the group side to kind of mitigate some of the impact of this GST?

Vineet Arora: So, like we discussed, that our inherent margin on the products have gone up. And largely, it is because of adding elements of riders, a higher sum assured, and a combination of all of these factors, which helped us in taking the inherent margin up. Also, the factor that more longer-term products are being sold now, as compared to, let's say, earlier. And you can see that our sum assured growth has been healthy. And these are the ones which have really contributed to inherent margins going up.

Vinod Rajamani: Any data around how many riders are attached, like, to your products? And do you have a target in mind and so on?

Vineet Arora: So, I think how many riders are attached is not really a straightforward answer because there could be multiple riders or different kind of products which have different abilities for riders.

And some of the products have inbuilt riders, some of them have inbuilt protection, higher protection. So, there is no straight answer for saying that how many riders are attached. But like we said, that to enhance our margins, we do focus on higher embedded protection in savings.

HDFC Life Insurance Company Limited

October 15, 2025

Page 18 of 20

And the protection could come through higher sum assured or through riders or any of these elements.

Vineet Arora: So, the group is excluded from GST and it stays that way. There is no other implication on the group from GST perspective.

Vinod Rajamani: No, so my question was around since it acts as a kind of hedge, is there any strategy there to kind of, you know, to mitigate the impact of this GST change? So, what are we planning in the remainder of the year?

Vineet Arora: So, there is no mitigation for that. Group business itself is growing at a healthy pace and that business is, let's say, immune from this GST change.

Moderator: The next question is from the line of Neeraj Toshniwal with UBS.

Neeraj Toshniwal: Just wanted to recheck on the guidance. Vibha kind of mentioned that the starting point we were probably guiding for a flattish margin by the year end. Adjusting the impact for GST, if we are able to kind of pass on, are we still sticking to that particular guidance?

And second is on the like-to-like basis, obviously, the product level margin seems to have increased significantly because if I look at the product mix, has it been only driven by ULIP, higher sum assured, particularly in ULIP, or it is across the board in all the product categories you are seeing margin uptick or the major delta is coming only from ULIP?

Vibha Padalkar: So, we are seeing an uptick throughout. And there is something or the other in terms of features that we do try and be very nuanced upon and also work very closely with the distributors and construct products that will be meaningful to customers. So, we keep finding ways and regulations also change and so on. So, it is fairly dynamic. So, yes, ex-GST, we are not changing guidance. I mean, we don't like giving per se guidance given so much of volatility. But, yes, whatever we had mentioned in the first quarter, that holds and not taking into account any upside due to positive impacts of GST.

Neeraj Toshniwal: And on the yield curve movement, are we looking to readjust our IRRs basis upwards moving curve or we are not looking to fully pass on or here also it will be driven by competitive dynamics at play? How should one think about the growth of non-par saving in that construct in the coming quarters?

Niraj Shah: We launched this category, I think, about 6.5 years back. W

e keep repricing, I think, we have repriced upwards 20 times in this period in line with the way interest rates move. And, of course, like we discussed on the call, comparative dynamics also play a role there. And so, all of these things will, I mean, which function on a business as usual (BAU) basis, we will see what is feasible given the interest rate environment, what we are able to earn, as well as where the

HDFC Life Insurance Company Limited
October 15, 2025

Page 19 of 20

competitive pressures are in the categories. So, all of that will continue on a BAU basis. Nothing different that we will do in this period.

Moderator: The next question comes from the line of Gaurav Sharma with HSBC.

Gaurav Sharma: So, first question is on the product mix of the agency channel. I am seeing the sharp decline in the contribution of non-par savings from 40% last year to 21%. So, what explains this? And going forward, like, can we see the shift in the product mix that will support the margins also? And second is on the GST cut, the changes in commission structure. So, just wanted to know that if changes are communicated to distributors, whether it will be the similar type of cuts for all the distributors or it will be aligned to product mix? Like, if a bank is doing more of ULIP, so the cuts will be on the higher side.

Vibha Padalkar: See, on the first point on non-par, I think I explained also in the first quarter, whether non-par pricing or underwriting in term, pricing in term, they are all similar. And we will continue to build business at the pricing and underwriting, in terms of quality, both on mortality and persistency, the way we think will be the right level. And we will continue to withdraw a little bit when it gets somewhat irrational and we will, of course, regain lost ground when we think there is a little bit more rationality.

I think given GST, some of the rational behavior hopefully should percolate down. We have certainly seen that in term business. And we have really grown well on retail term, almost 27%, and sum assured and so on. So, we will replicate the same on non-par. Our overall growth in non-par in H2 should be higher than in H1.

As regards all these conversations with our partners, of course, these are all one-on-one conversations. And there are so many things in the mix. Nothing is one size fits all. And it will be just inter-say between us and them. Moderator: The next question comes from the line of Mohit Mangal with Centrum.

Mohit Mangal: My first question is that, we started Project Inspire about a couple of years back. So, will we continue to invest in that in the future like we did in, like, Financial Year '24 and Financial Year '25? Point number two, we saw a marginal decline in individual policies sold. So, do you see an uptake in H2?

Vineet Arora: So, I will take your first question, which is about Project Inspire. So, we have been on that road now for more than 12 months of groundwork and maybe 18 months including design. We have seen the first few outputs coming. The employees internally, operational teams have started using that platform also for, let's say, our group business first. We will continue to do that investment, take it to logical milestones of rolling out new journeys and everything else over the next 12 to 18 months.

HDFC Life Insurance Company Limited
October 15, 2025

Page 20 of 20

Vineet Arora: On the NOP side, we have consciously done a reduction of NOPs or new business policies from our lower ticket size segment where we had lower persistency etc. So, that is a conscious call. All other segments, which is greater than, let's say, Rs 50,000, have been growing healthy on the NOPs. And we do expect this to play out in the next 6 months as well.

Moderator: This is our last question. It is from the line of Harshal with Asian Market Securities.

Harshal: Two questions from my end. So, firstly on new business str

ain. So, this quarter, we have seen a very sharp increase in the new business strain, which has led to decline in underwriting profits. So, do we expect that trend to continue in the near future also?

And secondly, in terms of renegotiation with distributors. So, how do we see that playing across channels, particularly if you can give me some color on the online channels?

Eshwari Murugan: The new business strain has grown higher than the APE growth. That is mainly because of the GST impact on the business that was written in the last eight days, which contributed to about 15% of the business in H1. Since this business was written without any changes in the commission or any other features, the strain is a little higher. But going forward, we expect that the strain will reduce because of all the factors that we discussed on how to mitigate the impact of the GST changes. Without the impact, the NB strain would have grown at a similar rate to the business growth.

Vineet Arora: The online channels largely contribute a lot of protection business to us. And we have seen a clear uptick in the protection business from all the online channels as well as from the other

channels. In fact, since the GST change, the increase in the protection business and the interest of the customers also in the protection business has been quite healthy. I think we need to monitor this for the next maybe 60 days to see where does this normalize.

Moderator: I would now like to hand the conference over to Ms. Vibha Padalkar for closing comments.

Vibha Padalkar: Thank you for joining us today. Should you have any follow-up questions, please feel free to contact our Investor Relations team. Wishing you all a happy festive season. Good night.

Call: Jan 2026

January 22, 2026

Ref. No.: HDFC Life/CA/2025/26/61

Listing Department Listing Department

National Stock Exchange of India Limited BSE Limited

Exchange Plaza, Plot No C/1, Block G, Sir PJ Towers,

Bandra -Kurla Complex, Dalal Street,

Bandra (East), Fort,

Mumbai - 400 051 Mumbai – 400 001

NSE Symbol: HDFCLIFE BSE Security Code: 540777

Dear Sir/ Madam,

Sub: Transcript of the earnings conference call in relation to the financial results for the quarter and nine - months ended December 31, 2025

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of the earnings conference call with analysts and investors held on Thursday, January 15, 2026, to discuss the financial performance of the Company for the quarter and nine-months ended December 31, 2025.

The said transcript is also hosted on the Company's website at <https://www.hdfclife.com/about-us/investor-relations>.

This is for your information and appropriate dissemination.

Thanking you,

For HDFC Life Insurance Company Limited

Nagesh Pai

Company Secretary & Compliance Officer

Encl.: As above

Page 1 of 20 HDFC Life Insurance Company Limited 9M FY26

Earnings Conference Call

January 15, 2026

HDFC Life Insurance Company Limited

January 15, 2026

Page 2 of 20

Vibha Padalkar: Good evening, everyone, and thank you for joining our Earnings Conference Call for the nine months ended December 31, 2025. Our Results, along with the Investor Presentation, Press Release, and Regulatory Disclosures, are available on our Website and with the Stock Exchanges.

Joining me on today's call are Niraj Shah – Executive Director and CFO; Vineet Arora – Executive Director and Chief Business Officer; Eshwari Murugan – Appointed Actuary; and Kunal Jain – Head (Investor Relations, Business Planning and ESG).

On this call, we look forward to discussing our results, strategic priorities, and the outlook for the sector, as well as for HDFC Life.

The life insurance sector saw an acceleration in momentum during the third quarter, supported by recent policy reforms and a rising preference for protection-led solutions. The GST exemption acted as a meaningful catalyst, particularly for the protection segment, improving affordability and driving a pickup demand.

Against this backdrop, the industry reported year-on-year growth of around 10%, with HDFC Life growing faster at 11% on individual WRP. As expected, our growth in Quarter 3 outpaced H1, leading to an acceleration in the nine-month growth. This improvement was largely volume-driven, with a number of policies recording double-digit growth during the quarter. We expect this momentum to sustain into Quarter 4, supporting a balanced and healthy full-year outcome. Moving on to business performance:

Individual APE grew 11% year-on-year, translating into a healthy two-year CAGR of 17%. Our overall market share based on individual WRP expanded by around 20 basis points to 10.9% for the nine-month period. Growth was broad-based across geographies, with continued strength across Tier 1, 2, and 3 markets. We also sustained strong momentum in customer acquisition, with over 70% of customers acquired during the period being first-time buyers of HDFC Life's policies.

Moving on to product mix:

Our product mix in 9-month FY26 reflected evolving customer preferences and market trends, with ULIPs contributing 43%, participating products at 27%, non-par savings at 19%, term at 7%, and annuity at 4%. Retail protection delivered strong year-on-year growth of 42% for the period nine months ended FY26 and 70% in Quarter 3, significantly outpacing overall company growth. The mix improved meaningfully post the GST change, creating a clear demand tailwind.

HDFC Life Insurance Company Limited

January 15, 2026

The recent launch of Click 2 Protect Supreme has supported category expansion with a differentiated offering introduced at the right time, reflecting our ability to bring relevant and innovative products to market in line with evolving customer needs.

Protection share increased from around 7% in H1 to approximately 9% in Quarter 3 (Q3). Rider attachment remained strong, and including riders, protection contribution to retail business now stands in double digits at 11% in Q3.

While growth is expected to normalize over time, protection is likely to continue growing faster than the overall company. First-time buyers accounted for a higher share within protection at over 80%, with customers increasingly opting for higher sum assured covers. We also saw increased traction from previously underinsured segments, including self-employed profiles, underscoring the widening relevance of protection across customer cohorts.

ULIPs continued to see strong traction supported by favorable equity sentiment, while participating products remained steady demand. Non-par savings saw an improvement in Q3 compared to H1, as customers increasingly sought long-term certainty and guaranteed outcomes. While this trend is encouraging, driving a further pickup in Q4 remains a focus area, supported by a favorable

yield curve and the launch of innovative relevant product variants to strengthen momentum in this category.

Credit Protect rebounded strongly in Q3. The MFI segment saw a pickup aided by a favorable base, while non-MFI segments continued to deliver steady growth. Retail sum assured grew 33% over the nine-month period and 55% in Q3. This growth was supported by higher rider attachment and increased sum assured multiples in ULIP business, reinforcing the quality of growth and alignment with long-term protection objectives.

On financial and operating metrics, while underlying performance continues to be robust, you will recall that we were impacted by the new GST rollout from Q2 onwards, and in Q3, there is a one-time impact from changes under the new Labor Codes, thereby affecting both embedded value and profit after tax. The impact of the new Labor Codes amounts to Rs. 98 crores and has been reflected in embedded value relating to services rendered up to 31st December 2025. While a better product profile helped us expand margins by 110 basis points, there was an offset largely on account of GST impact. Our margins ended at 24.4%, translating into VNB growth of 7% year-on-year and a two-year CAGR of 11% for nine-month FY26.

On an adjusted basis, VNB growth, excluding the impact of GST and surrender regulation change, would have been 13% for 9M FY26 and 11% for Q3 FY26. The GST impact for the quarter was contained to less than 200 basis points, lower than the initial estimate impact of 300 basis points. We remain on track to largely neutralize the impact over the next couple of quarters.

HDFC Life Insurance Company Limited

January 15, 2026

Over multiple periods, we have consistently demonstrated the ability to recalibrate the business in response to changing external conditions. This flexibility has enabled us to protect margins, improve efficiency, and meaningfully mitigate the impact of regulatory and structural changes, including GST, Labor Code, and surrender value regulations.

Profit after tax grew by 7% to Rs. 1,414 crores. Excluding one-time Labor Code impact, underlying PAT growth for both nine months and quarter would have been 15%. Embedded value stood at Rs. 61,565 crores, with an operating return on embedded value of 15.6% on a rolling 12-month basis.

The solvency ratio remained strong at 180%, supported by the Rs. 749 crores of subordinated debt raised in Q3. In light of the expected implementation of the risk-based solvency regime over the coming quarters, we do not anticipate any requirement for further capital to support organic growth.

Renewal collections grew 15% year-on-year. The 13-month persistency ratio moderated by 200 basis points. While we have witnessed stress in certain profiles, the experience is largely cohort-specific and does not reflect a deterioration in overall portfolio quality, and mitigating steps have already been taken. We are pleased that the 61st month persistency remained strong at 63%, improving by 200 basis points year-on-year.

Moving on to distribution highlights:

Growth remained healthy across channels, supported by a diversified distribution architecture.

Counter share within HDFC Bank stayed broadly range-bound during the period. Retail protection and rider penetration within the channel has seen a healthy increase, underscoring continued emphasis on us driving profitable mix at HDFC Bank.

Other bank partnerships continued to perform steadily. While competitive intensity has increased there with wider adoption of open architecture, we continue to maintain a top 2 market share position across the majority of our partner banks. Growth in these partnerships has been

healthy on a two -year CAGR basis and remains aligned with our medium -term objectives. The agency channel delivered healthy double -digit growth both in Q3 and over the nine -month period. Gross agent a

dditions remained strong, with over 80,000 agents onboarded during 9M FY26. Our branch network has now crossed 700 branch es, reflecting the culmination of a multi -year expansion effort. As this network matures, our focus has shifted towards scaling productivity, improving activation, and enhancing branch -level profitability. We continue to work closely with our broker and no n-bank partners, with an emphasis on expanding reach, improving engagement, and selectively deepening presence across relevant customer segments.

HDFC Life Insurance Company Limited
January 15, 2026

Page 5 of 20

Moving on to other updates :

On the regulatory front, recent policy signals, including the increase in the FDI limit announced in the budget, are encouraging. Ongoing discussions around distribution -related frameworks are consultative in nature, with the intent of creating a balanced, sustainable ecosystem that aligns the interests of customers, distributors, a nd insurers over the long term.

To conclude :

We remain confident in the long -term prospects of the Indian life insurance sector, supported by strong structural fundamentals and a regulatory environment that continues to evolve with a clear focus on sustai nable growth, deeper insurance penetration.

Our near -term outlook remains constructive. We expect Q4 to build on the momentum seen in the last quarter, with growth in FY27 supported by continued strength in protection and sustained demand across savings segments. As we look ahead, our focus remains on disciplined execution while scaling responsibly.

For a more detailed presentation and discussion on our performance, please refer to our Investor Presentation .

Moderator: We will now begin the question -and-answer session. We take the first question from the line of Avinash Singh from Emkay Global.

Avinash Singh: The first one is regarding product mix. In an environment where bond yields have been kind of holding on, and also, we have seen yield curve movement where your ability to offer a better guarantee rate is higher, whereas the repo rate and all bank deposit rate have gone down , so, typically, one would expect a reasonable comeback in non -par. But if we see h ere, I mean, in your case, it is par that is still outperforming. Non -par is not showing strong growth, and that largely seems to be driven by the banca channel , if I look at the product mix. So , what is kind of putting you in a situation where you are not able , in an environment where one would expect non-par to bounce back ? The non-par is not bouncing back. So , that is one.

Second, just to clarify on Labor Code, this about Rs. 100 crore impact largely, I would say is due to gratuity shortfall, probably pertaining to your permanent and fixed -term employees. So , is this a one -time impact, and on a rolling basis or ongoing basis, there should be no further impact to expect ?

Vibha Padalkar: Second question I will take first. Yes, it is a one -time impact and should not have any material impact on an ongoing ba sis.

HDFC Life Insurance Company Limited
January 15, 2026

Page 6 of 20

Niraj Shah: I think we started seeing some encouraging signs, as we had mentioned in the previous interaction, that we do expect in Quarter 3 (Q3) non-par to start picking up. It has happened now. In Q3, I think the non -par mix is in the 20% range. We had close d H1 at about 17-odd percent . So that has been a meaningful shift that has started to happen, and we expect more of that to happen in the coming quarter as well. So , we have had a couple of new product introductions, and like you rightly mentioned, the macro environment as such is conducive to a long -term guaranteed product of this nature.

However, we still maintain that the momentum in unit -linked continues fairly strong, as you can see from the nine -month numbers, as well as for the quarter, the unit -linked mix continues to be

upwards of 40%. So , that is definitely still very much visible and continues. On the non -par side, some traction has already started, and we will see more of that as we go forward as well. Also, we do see the intensity of competition in terms of aggressive pricing still there on the ground. We are fairly calibrated, like Vibha mentioned in her initial comments about the kind of business that we are happy to take on board. So, we obviously are tryin g to do whatever we can through new product introductions, energizing the salesforce, and using the macroeconomic

environment to put through more of this product, but at the pricing which makes sense to us and risk management that we are comfortable with.

Moderator: We take the next question from the line of Shreya Shivani from Nomura.

Shreya Shivani: My first question is if you can help us understand if your negotiation with the distributor on GST cut, etc., are completed, and from 1st January, have they moved on to new terms and conditions? Is it completed or not?

My second question is the really good performance of persistency on the 61st month. What I find conflicting, or maybe I am not understanding it better, is that if that trend has improved, then we should be seeing positive, like a bigger benefit in our operating variances, right? But that operating variance seems to be negative. I may be wrong, that maybe it reflects after some time, or if you can just help me understand what's going on over there.

And my third question is on the retail protection product that you have sold. I know you have mentioned the sum assured has been high, etc. Now, the math shows that the gross margin on some product is much higher to achieve whatever margins you have achieved for nine months and in the third quarter.

So, is it in the retail protection or even in the ULIP, the rider attachment continues to be high, and that is why overall VNB margins you have been able to achieve what you have achieved?

Vibha Padalkar: On the first one, yes, short answer, negotiations were completed. And it's moved on in terms of what we said that we would do. On the third question, the bettering of margin profile, happy to HDFC Life Insurance Company Limited

January 15, 2026

Page 7 of 20

share, is almost across all products, including some what you said, but it is also in unit-linked, it is also in par, it is everywhere.

Eshwari Murugan: The improvement in the 61st month persistency has given us some positive operating variance. The overall operating variance is negative, mainly because of lower 13th month persistency, while some of the reduction or the lowering of the persistency has been factored in our assumptions because these assumptions are based on ticket size, and the reduction in persistency is mainly because of lower ticket size.

We do see a further drop from the last quarter, and this is mainly coming from the business written in the last two to three months of last year. And we are seeing some lower collection, and that is why there is a negative operating variance. This could be because of some specific cohorts, and we have taken some measures as Vibha mentioned in her opening speech. And we hope that going forward, we will not be having some persistency stresses. But what has already happened, that is what is reflected in the negative operating variance.

Shreya Shivani: And just one follow-up on the distributor negotiations, while obviously the details can be left out, but is it fair to say, wide and across with every distributor the negotiations have been completed and whatever has to be passed on has been passed on?

Vineet Arora: Yes, as part of the GST strategy that we spoke about earlier, that we will take a couple of measures. The discussion with the distributors, all of them, are concluded, and we have moved on to the revised commercials.

Moderator: We take the next question from the

line of Rehan Syed from Trinetra Asset Managers.

Rehan Syed: I want to understand regarding the retail protection, growth has been very strong post-GST with a large share of first-time buyers. So, I want to understand how much of this demand do you believe is structured versus a temporary pull forward, and what is your steady-state target mix for protection over the next 12 to 18 months?

And my second question is around Project Inspire, would you share measurable improvements seen in Q3, specifically on issuance time, straight-through processing rates, claims turnaround time and cost per policy? And also, when do you expect full rollout across retail lines?

Vibha Padalkar: So, we don't really take a target as such. We want all our products and channels to grow well. Even in the past, even before GST, our protection, retail protection, and credit life, over the past three years, has been growing faster than company-level growth, and that is what we have been targeting. So, we were growing at least maybe 400-500 basis points higher than company-level growth. And now it is growing significantly faster.

HDFC Life Insurance Company Limited

January 15, 2026

Page 8 of 20

I think in steady state, difficult to say because there has been a lot of interest from new or first-time buyers, like we called out. I have no doubt in my mind that traction will continue. A catalyst is always required for people to focus. I think that catalyst has more than been provided by the government. To what extent this momentum continues, I can't say, but certainly, will it be significantly better than where we were as a sector before? I think so.

Vineet Arora: So, the first phase of Inspire, as we went, we have started going live on our group platforms, and

we are already seeing efficiency getting built on the Credit Protect side of the business. The next phase around retail will be at least, I think, a couple of quarters away when we start seeing some benefits there. But on the group side, we have started going live on Inspire, and we are clearly seeing benefits of straight-through processing and straight-through claims.

Moderator: We take the next question from the line of Madhukar Ladha from JP Morgan.

Madhukar Ladha: The operating variance that we see negative of about Rs. 70 crore, can you give us a breakup of that? How much is persistency, mortality, expenses? And also, on the VNB, there is a negative Rs. 60 crores because of expenses. Is this again related to Project Inspire? Or is there something additional?

And lastly, given we had a target of doubling the VNB over a period of four years, given that it is hit because of GST and all the multiple changes obviously happening on the business side, what do you think our target would be? Would you sort of revise any bit of that over the next three, four years? What are the goals in terms of top line and VNB growth?

Niraj Shah: So, to start with on operating variances, while we are not really giving specific breakouts, but like Eshwari mentioned, primarily it is on account of persistency gap that we are seeing, and we are trying to close down on. So, you can broadly think about it as a persistency that is from an operating variance perspective.

The VNB hit that you see of Rs. 60 crore is primarily due to the gap between what we capacitated to grow at. As we have said, 16-17%, we are trending for Q3 at 13% and around 11% for this year. So, it is a combination of all our investments in new branches, people in partnerships, as well as in agency, as well as some of the aspects that Vineet spoke about on Project Inspire. So, it is a combination of all of that.

As far as your question around doubling VNB growth every 4-4.5 years is concerned, that aspiration remains. Of course, you will appreciate that there have been a lot of changes that have happened in the last couple of years, regulatory,

starting with surrender value, more recently

GST, and now the Labor Code impact as well. So, all of that, of course, we need to kind of digest, and we have tried to do that. We have mentioned on the GST front, annualized impact of 300 basis points. We have brought it down to less than 200 in this period, and we will try and progressively bring it down and neutralize over three to six months.

HDFC Life Insurance Company Limited

January 15, 2026

Page 9 of 20

So, all of this is getting, in some sense, absorbed in the business fairly efficiently, and the product-level margins we spoke about is basically getting enhanced. With all the growth that's coming in, our aspiration to double VNB every 4-4.5 years remains the way it is. Of course, we will have to account for some of these big changes that have happened in the recent past.

Moderator: The next question comes from the line of Sanketh Godha from Avendus Spark.

Sanketh Godha: So, the measures which we took on GST on commissions or anything of that kind is already reflected in nine months and 3rd quarter margin, or do we see the benefit to play out in subsequent quarters? Just want to understand the point. Basically, Niraj, you just said that 300 bps impact you managed to reduce it to 200 bps. So, 200 bps is more partial because you might have done mid-quarter. Maybe the benefit will be more there in 4th quarter. That is one first question I had.

And the second on the margin gain, despite GST impact, will you attribute entire holding up of the margins from nine months to six months is predominantly because of the protection mix change, or your yield curve benefit also played a role meaningfully for supporting those margins?

Niraj Shah: Yes, second question first. It is a combination of protection as well as the yield curve going up, some benefit of that, as well as inherent margins in unit-linked products because of higher level of protection. So, like Vibha mentioned, it is a combination of all of these things across product categories.

As far as the GST impact is concerned, yes, some of these measures have happened mid-quarter after the GST change was announced towards the end of September. We put in place some of these measures with distributors, and you will see some part of it was factored in Quarter 3. You will see more of that in Quarter 4 and progressively from here on.

As far as the less than 200 basis points impact is concerned, yes, that also is something that you will see lower of as we go progressively. Our intent was to try and neutralize it over three to six months. So, Quarter 4, we would expect to see a much lower impact than we saw in Quarter 3.

Sanketh Godha: So, Niraj, structurally, will we be able to arrest the entire impact of GST to less than 100 basis points, maybe if I look at from FY27 perspective?

Niraj Shah: So, we said that FY27, we would like to start on a clean slate, having digested the GST impact completely. So, on a run rate basis in March, we want to get to that position. So, when we start Quarter 1, we would want to then peg ourselves to what we achieved in FY25. So, that is really what we are trying to achieve.

Page 10 of 20

Sanketh Godha: And lastly, on growth, we are a little lower than the industry, even in the 3rd quarter. And I believe that seems to be largely soft because of the bancassurance channel, which grew for nine months, by just 2%. So just wanted to understand if we end up at 11-12% growth in the current year, for the full year, then this bancassurance is coming back and we are getting into high teens or mid teens kind of a growth, is it possible in FY27, or how do we see the growth to play out maybe beyond the current year?

Vineet Arora : So, current year growth, yes, bancassurance channel has seen lesser growth for this year, but if you look at a two-year CAGR, I think the

growth is reasonably strong. And we do believe that the channel will continue to deliver good growth going forward. We also have done a lot of investment in proprietary channel around agency and all, and we are seeing results for that also coming in. So, we are quite optimistic about the growth into the next financial year that all channels would then be firing at the pace that they are supposed to fire.

Some of the portion, I think, which Niraj also spoke about, especially around non-par, is that some places in this quarter, we might have not participated to the extent that we could have participated because of the commercials that we wanted to participate at and the quality of business that we wanted. So, I think that is something that we keep on anyway playing tactically to ensure that we always have a good quality book.

Moderator: We take the next question from the line of Prayesh Jain from Motilal Oswal Financial Services Limited.

Prayesh Jain: Just extending on the previous question, in terms of Bancassurance, could you attribute the reason for the slow growth so far in these nine months? And also, the product mix, if we look at the Bancassurance channel, it is kind of still skewed towards the ULIP category. So, what are the factors that kind of impacting the segment?

Vineet Arora : So, like I said, there are multiple things, and it kind of depends on which partner and which bank are we looking at. There is an issue of mix. There is an issue of competitive aggression and some unrealistic pricing. And there is an issue of some banks going with multiple number of partners.

A large portion of this actually got played in Q3.

So, H1, though, remained reasonably strong, Quarter 3, we saw a lot of this playing out. And we will play this tactically. We will do the business that we feel is good business to do and we will do that. So, I think we are quite confident that the channel will, over a period of time, continue to deliver good growth.

Prayesh Jain: So, what gives you confidence that this play out, this kind of strategy of bank partners, kind of taking business further, will play out ahead? What exactly are the kind of strategies we are taking for this?

HDFC Life Insurance Company Limited
January 15, 2026

Page 11 of 20

Vineet Arora: So, we have seen this in the past also, that there could be tactical aggressive strategies being played by different players. And that has a life of its own. It cannot continue forever. So, it has a life of its own. Sequentially and two-year growth is what we do focus on, and we are quite confident that the CAGR over two years is good and is in line with what we expect it to be. Quarter 3 is one aberration where we see overall excessive competitive pressure. And as this competitive pressure kind of levels out, we will be back in the similar growth for this year as well.

Vibha Padalkar: I also want to add, it is not significantly lower. It is a shade lower. So, if I were to look at first quarter, at our overall growth, APE growth of 13%, Bancassurance grew 100 basis points lower. Okay. If I were to look at fast forward to Quarter 3 versus the 13%, it has grown 300 basis points lower.

So, this kind of cyclicalities is something, it might be a base effect. It might be something else that is happening. It might be because banks might have grown, but due to irrational pricing, especially if you are competing with unlisted players, you tend to have that, and I have called that out before.

A non-par product at a negative spread might not work, but no one can indefinitely be competitive either on pricing and/or on underwriting. And we have seen these cycles even amongst different players as counterparties with whom we are competing. Sometimes one is aggressive, sometimes another one is aggressive, and so on. So, it comes around. So, I just want to put in context that it is not, for example, 50%

lower. It is a shade here and there. And we have no doubt in our mind that this is a cycle. We have been here before. Like what Vineet says, there

will be some quarter here and there, and it is a matter of time before it evens out . And we do look at it on a two -year CAGR basis as well .

Niraj Shah: Yes, and maybe just to add to that, I mean, if you were to take a slightly longer -term time frame, maybe 6 to 12 months and beyond, I think the environment that we are stepping into is going to require a lot more calibrated business in terms of changes such as risk -based capital and movement to international reporting standards. Some of these will actually put out very clearly the consequences of some of the things that we discussed, so I guess more calibrated, balanced growth is something that I think we can all look forward to . And with that, we can expect the growth to continue to be fairly strong.

Prayesh Jain: The main thing is that the growth in our individual business has been lower than some of your peers in the recent quarter, in this quarter. So , can we come back to the industry growth or better than at least the peer growth in times to come?

Vibha Pada Ikar: Yes. I have no doubt in my mind , that is what we have been tracking. And while there will be some cycles up and down, we are talking about top line. I think , equally, we need to look at margins. You will appreciate that, along with quality of business. So , as a responsible listed HDFC Life Insurance Company Limited
January 15, 2026

Page 12 of 20

company that wants to build good quality business, we will continue to triangulate between this. All things being equal, like you see on term today, there is a reason why we are perhaps right up there in terms of retail term. And that is the overall objective and direction in which we need to head.

Same thing at our Bancassurance partners. It is not just the top line, but what is our wallet share of VNB? That also is something that we track very closely. And while we are not disclosing at a partner level, but our wallet share at key partners has continued to go up.

Prayesh Jain: The last question on VNB margins. Niraj, you mentioned that some of the actions have been taken. And so , from January, do you think if the product mix kind of remains the way it is, what we saw in Q3, you will probably have a 150-basis points improvement , if the product mix stays as it is and the growth is, say, similar to what we have seen in this quarter?

Niraj Shah: So, it is difficult to pinpoint a number, but as is visible in the VNB walk that we have, the new business profile already improved by 1.1% in this quarter. So , that was a combination of everything that we mentioned. So , we would expect something similar to kind of continue on these lines, at least directionally on these lines in Quarter 4 . And as Quarter 3 has been faster than H1 growth, we would expect to carry that momentum into Quarter 4 as well. So that should also help the overall profitability. While we have to, of course, continue to digest the impact of GST, and we will do that , but you could expect, as we had mentioned, the impact of GST to keep coming down and run off completely by the beginning of Q1 of next year.

Prayesh Jain: So, is it fair to say this 1.1% impact of GST will be a much smaller number in the next quarter in Q4? Is that a right way to think?

Niraj Shah: No, the 1.1% number that you see is actually of just 3.5 months, that is reflecting in this. So , for the third quarter, the impact was actually 190 basis points. And annualized basis, we had said was 300 basis points. So , you will have to keep that in mind , while we will obviously, when we talk to you in April, we will try and bring down this impact for the quarter on the lines of what we are talking about in the 100 -odd basis points kind of range . That is something that we try and execute.

Moderator

r: We take the next question from the line of Dipanjan Ghosh from Citigroup.

Dipanjan Ghosh: So, just two questions from my side. One, if I were to look at your product -level persistency, especially on a nine -month basis, it seems the non -par bucket is where we are seeing a little bit of a pain in the early buckets. So , in terms of the product category or the channel that is really driving this sort of a pain, if you can give some color on that.

And my second question is basically, if you were to kind of , let's say, think of the next one or two years, given the sort of competitive intensity that you see across the multi -architecture
HDFC Life Insurance Company Limited
January 15, 2026

Page 13 of 20

channels, what sort of confidence do you really have in terms of kind of managing your counter share at these channel partners?

Vibha Padalkar: So, I will take the second question on counter share. It is already in play. And at our largest distributor, HDFC Bank, it's been around for a while, several years. And all the new partners, like I said, we are in almost all relationships or material relationships, we are amongst the top two partners. And that is today as well.

Also keep in mind the point that Niraj was saying that as we move towards Ind AS, ability for some of this disruption due to more attractive economics and so on, as well as possibly looking

at rationalization of how distribution commissions are paid. So, a whole host of things up in the air that will hopefully lead to a little bit more long-term value-building proposition. And with or without that, we are fairly confident as a combination of being known as a product innovator, giving best value proposition, holistic proposition. Yes, we don't really see that as being a concern.

Eshwari Murugan: The non-linked persistency has dropped materially, you are right. But if you look at it, the persistency in the last 1-1.5 year had gone up significantly from the previous period, mainly because of very high-ticket size policies that got sold when the tax rules changed.

So, if we take that out, and that is already factored in our assumptions, because as I mentioned earlier, the persistency assumptions are based on ticket size. So, we knew that the persistency is going to be lower compared to the previous period. If we leave that out, then the persistency drop is not much, maybe around 60-70 basis points lower than what we would have expected. And as we have identified the cohorts where we see this reduction in persistency, and as we have taken measures, we are quite confident that the persistency will be comparable to what we expect in our pricing and in our margin computation. We may not see those high levels of persistency as earlier because the ticket size is much lower due to the changes in the tax rules.

Vibha Padalkar: And just to add, it even strengthened further because there was going to be this tax withdrawal. So, even the persistency or poorer persistency in the normal course of customer behavior reduced significantly because post that period, no other product was going to be as attractive because it was completely tax-free, even policies above Rs. 5 lakhs. And so, it is really the comparison is against a cohort that was a special cohort. This is a more normalized behavior pattern, and it is still, as you know, this is on Slide 28 of our Investor Presentation. You will see that even despite that, traditional savings, like Eshwari said, is marginally lower, but not significantly lower.

Moderator: We take the next question from the line of Ansuman Deb from ICICI Securities.

HDFC Life Insurance Company Limited

January 15, 2026

Page 14 of 20

Ansuman Deb: My question is on the commission discussions. So, especially with the regulatory discourse being rife on possible lowering of commissions, do we see any benefit, especially on the cost side of the Bancassu

rance distribution?

The second question is on persistency again. Just to understand better, there is no impact of this surrender charge hike or surrender charge impact on persistency, right?

Vibha Padalkar: On the Banca benefit, it is too early to say because we don't really know. I mean, I don't know in which direction finally some of the changes are going to materialize. However, if we hypothetically look at, say, a little bit more of back-ended commission, then to the extent of persistency, there will be aligned economics between customer, the distributor, and the insurer that should benefit overall in the orderly growth of the sector. But I think we will have to wait another quarter, perhaps, or thereabouts for us to really know what are the contours.

Eshwari Murugan: On the persistency, to recall the changes in the surrender value was done from October of last year. So, in the base that we have taken for persistency, only two months of business is having the surrender value or the changes in the benefits. So, it is not coming from these two months of business.

If you look at the initial collection trends, we don't see any difference between the business return in, say, October and November compared to the previous month. As we already alluded to, the drop in persistency is mainly on specific cohorts, and that is what we will want to address. We don't see any material change in the behavior or persistency due to the surrender value regulations yet. But yes, we will have to monitor the experience for some time for us to be very confident about it.

Moderator: We take the next question from the line of Kushagra Goel from CLSA.

Kushagra Goel: So, just two questions. One, I wanted to understand on the product pipeline. I remember last call we had mentioned something about the variable annuity product. So, if you could share more color on that.

Second was on the highest sum assured ULIPs. So, just wanted to understand. I think currently it is more than 1/4 of our mix for ULIPs. So, is that growing faster than the overall ULIPs growth? And also, what is the margin differential between the two variants?

Niraj Shah: Yes, so I think on the product side, we continue to bring in new products from time to time across different categories. In fact, the most recent one was on the protection front. I think, those products are doing extremely well. We have also had some introductions on the non-participating side. I was referring to that a little while back. We look forward to some of that panning out in Quarter 4 and beyond.

HDFC Life Insurance Company Limited

January 15, 2026

Page 15 of 20

Variable Annuity, yes, it is a very recent change, a very important regulatory change that has happened, which allows us to offer this kind of a proposition. We look forward to launching that sometime in the next couple of months. And while we do expect that product proposition to keep getting refined as we are able to use more and more hedging instruments over a period of time, but we do believe that it is a fairly strong proposition that we will come out with in the market. And we do expect some of our more discerning customers on the annuity side to start looking at that seriously. But I think we will talk about it once we have had some experience on that. Yes, the highest sum assured ULIP, like you rightly said, is about a little more than a fourth of our unit-linked business now, and the margin profile of that is a lot stronger than the base ULIP. We had mentioned this in the past as well. It kind of starts converging towards margins on the participating business, and it is fairly healthy and strong with a high level of persistency as the customers are aware of what they are really buying, given the kind of mortality outflow that happens on account of a product like that. So, it is something that is definitely working very well for customers, and it

is working well for the company as well.

Moderator: We take the next question from the line of Himanshu Taluja from Aditya Birla Sun Life AMC.

Himanshu Taluja: Can you just help me calling out, given the initial expectation that our GST impact would be much higher than what is currently so far visible around 110 bps, and probably in 4th quarter, we would see even much lower impact. What are the levers playing out for you to have this better outcome?

And second, can we say, given the next year, you want to start with a clean state, so probably strong likelihood of improving the margins and going back to our earlier trajectory of 25.5% to 26% VNB margin?

Niraj Shah: So, on the GST, as it was introduced end of September, and we had our opportunity to talk to you about it in October, what we had said is that we had assessed the impact at about 300 basis points on an annualized basis. And we said that we will attempt to bring it down progressively over two to three quarters. So, the first quarter, we managed to execute on the lines of what we had wanted to do to bring that 300 basis points down to near 200 bps. That is something that we managed to do in the 3rd quarter. Again, our aspiration is to try and bring down that impact to maybe odd 100 basis points in Quarter 4. We will try and execute towards that as well.

And basically, by the time we get into FY27, we basically want to put ourselves in a position to grow our margins from FY25 onwards. So, I think that is something that we will attempt to do.

And the initiatives, again, as we had called out, of course, the biggest catalyst is the GST change that has enabled the protection growth to be higher than what it was pre-GST. So, that is one thing that we expect that to continue.

HDFC Life Insurance Company Limited

January 15, 2026

Page 16 of 20

Second is also in terms of the embedded protection side in unit-linked products is something that we have seen sustained performance on that front now. That is also something that is helping the overall new business profile. Credit life as a segment, which is pure protection, is something that has started to do really well, 25% -odd growth in this quarter and 15% -odd for the period. With the credit growth in the overall system being now at fairly strong levels and expected to continue to improve as we go forward, that is also a business line which further calls on this front. As we start moving towards the growth numbers that we are capacitated for, the negative variance that you see on account of fixed cost leverage is something that we would expect to try and bring down over time as well.

So, multiple such things which will help us, apart from our basic thought process of balanced mix and diversified distribution and risk management being very important, should help us neutralize some of the impact around all the recent big changes that have happened, starting with surrender value changes followed by GST and now more recently the Labor Code. So, I think that is something that we will try and achieve.

Himanshu Taluja: But can we say probably mostly either the product mix change towards protection, credit life, or either product level margins within the ULIP segment has improved because of going into the higher ticket? Apart from this, because you are also calling out that are some of the discussions undergoing with our large distributor and probably how has been those discussions? Are you able to do so far, any impact rationalization or not? Can you just help me out to understand?

Niraj Shah: So, it is something we discussed. Vibha spoke about it. Vineet also mentioned. Early days. Like most of the conversations got concluded towards the end of Quarter 3. You will see the full impact of that coming through over the next few quarters. So, we executed what we wanted to. We have been selective on that as we have discussed. So,

that is something that will start playing

a role as well. Yes. Has it played some role in what we were able to execute in Quarter 3? Yes. But you will see more of that in Quarter 4 and beyond.

Moderator: We take the next question from the line of Nischint Chawathe from Kotak Institutional Equities.

Nischint Chawathe: One was going back to the persistency point. And yes, your data suggests that on a year-on-year basis, there was a decline in the early non-linked buckets. I think if I look at the trend in that bucket for last multiple years, it just looks like there is a steady decline, and it was not like there was a temporary bump for two years back, and it's gone down.

The other thing is, typically in the non-linked bucket, if you have lower persistency, it sort of tends to be little in the early periods. It normally tends to be slightly accretive for margins is what our understanding was, and probably one of the reasons why surrender value guidelines were kind of envisaged by the regulator. So, maybe if you could explain that, and I have one more question.

HDFC Life Insurance Company Limited

January 15, 2026

Page 17 of 20

Eshwari Murugan: So, we will definitely look at the disclosures to be able to explain to you how the persistency has actually gone up over the last year. When I say last year, the business written in March and Feb 2023, reflected in the persistency in FY24 and ahead because it is a rolling 12-month basis. So, definitely, the trend has been that it has gone up, and now it is coming down. So that we will probably explain to you offline.

On the impact of persistency on different products, it is a combination of multiple things depending upon how the benefits are structured and when these benefits are paid, the timing of the payouts, etc. So, it is not necessarily a uniform directional thing, but definitely better persistency improves the margin. That is right. We are just trying to see if we can explain how the trend has been as we speak.

If I recall, persistency on non-linked was in the range of 85% -86% before the impact of high-ticket size, non-par savings, products with very high guaranteed IRRs started influencing the persistency. Yes. In some of the ticket size, we saw persistency as high as 90% and sometimes more than that also.

Like, for example, if you look at the business written in March '23 with ticket size as high as Rs. 5-6 crores, the persistency has been 95%. So, definitely, that trend has been there, but it was visible in our public disclosures. We will definitely get back to you. So, the normal trend has been around 85% -86% if you exclude this one-off impact, while the current 84% is lower, but it is not much lower than what you see from last year. But as I said the last year is a one-off. And we are working to get to the normal level that we expect the non-linked persistency to be at.

Nischint Chawathe: And on the term business, now obviously there has been an impressive growth. But somehow on the Banca side, I guess there is still catch-up yet to be reflected in all the channels that are doing well other than Banca. So, anything specifically that we are doing over here, changing or probably need to change, realign incentives or anything that we can do to sort of improve protection in the Banca channel?

Vibha Padalkar: Nischint, actually, while it doesn't reflect as much because Banca overall volumes are also high, and savings also usually does well. So, the growth in protection in Banca in Quarter 3 has been more than 40%. So, like I said, ticket size-wise, it will take time because you have to sell 2.5 policies of protection for it to be equal to one policy of savings in Bancassurance. That is roughly the math. So, it will take time, but it is growing fairly handsomely there. And hopefully, it will start showing. It is not showing up right now on Slide 17 because of roundi

ng, but there is a lot going on over there.

And other thing is riders plus moving to, yes, high sum assured unit-linked. So, all of that, if I were to look at, and that is a point I made, we are looking especially at HDFC Bank as to what is our counter share on VNB, and all of this has helped us improve our counter share of VNB rather than just looking at top line.

HDFC Life Insurance Company Limited

January 15, 2026

Page 18 of 20

And you also mentioned incentives and so on. So, there is a lot of discussion that has already happened. There is buy-in at both ends to focus on this without, of course, disturbing whatever is going well. And we have also launched protection on a group platform, which this will not reflect. Also, in terms of over-the-counter retail platform. So, lots of things happening.

Vineet Arora: So, protection in bank might not be just looked at from term, even though term has also grown significantly in this quarter in the bank channels. But overall protection, if you look at it as a combination of term plus high sum assured ULIP plus riders plus the new initiatives that we are doing with the bank, it is quite in line with what the organization has achieved.

Moderator: We take the next question from the line of Vinod Rajamani from Nirmal Bang.

Vinod Rajamani: I had two questions. One on this hybrid high sum assured ULIP. So, what kind of sum assured multiple do you offer on the annual premium? Is it something in the range of 120 -125%, 25x of

the annual premium or lower than that? So, the concern I have on this particular specific product is there could be some substitution effect and so on if you offer very high sum assured as a multiple of annual premiums. The question is on this high sum assured ULIP.

The other question is, what aspirations do you have on this Tier 3, Tier 4 markets with all this agency rollout that is ongoing? So, any targets you have set in terms of what this will constitute in terms of the overall business mix going forward?

Niraj Shah: So, I will take the first question and pass it on to Vineet for agency and Tier 3, Tier 4. So, average sum assured on unit-linked products is in the 30x kind of a range, while there are customers who prefer to take even higher. But on an average, it is in the 25x -30x kind of a multiple, which is significantly higher than the 10x that we used to see at the portfolio level. Riders sit on top of this. So, it is a combination of high sum assured as well as riders that is actually making this category a lot more protection-oriented for customers and obviously margin accretive for us. We are fairly watchful in terms of how we offer this and are tracking persistency reasonably closely on this one. And that is a fairly calibrated manner in which we are approaching this. We are not so bothered about the substitution effect because we are fairly agnostic to how customers buy protection from us, whether it is through group credit life products or through return of premium products, pure protection products, or embedded savings. I think whichever way the customer wants to engage with us, we are happy to kind of provide that as long as they understand what they bought, and we get good quality of business through that.

Vinod Rajamani: But just one follow-up to that, Niraj, you are not planning to launch, say, 125x annual premium sum assured kind of product or this kind of super high sum assured kind of ULIPs?

HDFC Life Insurance Company Limited

January 15, 2026

Page 19 of 20

Niraj Shah: No, we don't see the need for that. While, I mean, on paper, we do have products which offer sum assured as high as 80x also, but we don't really see too many customers actually looking at that at scale. So, we are seeing a lot of rider uptake, which is, we believe, the better way to kind of buy this level of protection. Otherwise, of course, the pure-term protection products

are always there.

Vineet Arora: Just to take that point a little further, so we do not create any underwriting arbitrage between the categories. I think that is an important point, which could be happening in other places where very high sum assured might make sense on a ULIP platform. So, we are quite conscious of how we underwrite and not creating arbitrage between product categories. And that is why our approach that you see is more balanced between sum assureds and riders and what the customer needs.

Just coming to your question on the distribution depth into Tier 1, into Tier 2 and Tier 3 using agency. So, our aspiration for agency channel, I think, very clearly, is to make it grow much faster than the organization growth. We know that we have been behind on the proprietary channels for some time, and it is a catch-up to get to the rightful share that the agency channel needs to have.

So, I think that is clearly, I mean, we don't really want to put a number at this stage, but in the market, if you look at it, the agency channel should be contributing to maybe a greater than 25% share in the company.

Moderator: We take the last question from the line of Sanketh Godha from Avendus Spark.

Sanketh Godha: It is probably the same question on persistency. The deviation in the variance which we see is largely due to the products which you have sold maybe before the surrender norms came in? That is the way I should understand. And the second, whether this deviation you think is more transient or you need to make an assumption change so that it will have an overall impact on EV?

Eshwari Murugan: So, while we expect the impact to be transient because we have already taken measures to ensure that the persistency is back to the pre-change, see whether it is done as an assumption change or operating variance, the impact will be similar because it is only one year impact that is going to come. By the time we are at the end of this year, it will either be reflected in operating variance or in assumption change. It will not be a big difference, unlike other cohorts. If it is like the 49th month or 61st month, then it will impact a lot of business sold in the previous 3-4 years. But fortunately, this is only one year of business that will get impacted.

Sanketh Godha: And the deviation is predominantly in the products which were sold before surrender norms came in, right?

HDFC Life Insurance Company Limited

January 15, 2026

Page 20 of 20

Eshwari Murugan: Yes, because on the policy sold after the surrender value change, the experience is still emerging. It will generally take three to four months for the policyholders to pay the premium and be able

to reach the ultimate level of persistency. So , the trend indicates that it is not very different from the policy sold earlier. So , the deviation is mainly coming from policy sold prior to October 24.

Vibha Padalkar: Thank you for joining us today. Should you have any follow -up questions, please feel free to reach out to our investor relations team. Thank you and good night.

Call: Apr 2026

April 23, 2026

Ref. No: HDFC Life/CA/2026-27/1 1

Listing Department Listing Department

National Stock Exchange of India Limited BSE Limited

Exchange Plaza, Plot No C/1, Block G, Sir PJ Towers,

Bandra -Kurla Complex, Dalal Street,

Bandra (East), Fort,

Mumbai – 400 051 Mumbai – 400 001

NSE Symbol: HDFCLIFE BSE Security Code: 540777

Dear Sir/ Madam,

Sub: Transcript of Earnings Conference Call - FY'26

We wish to inform you that pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Conference Call with analysts and investors held on Thursday, April 16, 2026 to discuss the financial performance of the Company for the year ended March 31, 2026 .

The said transcript has been hosted on the Company's website at <https://www.hdfclife.com/aboutus/investor-relations> .

This is for your information and appropriate dissemination.

Thanking you,

For HDFC Life Insurance Company Limited

Nagesh Pai

Company Secretary & Compliance Officer

Encl.: As above

Page 1 of 24

HDFC Life Insurance Company Limited FY26

Earnings Conference Call

April 16, 2026

HDFC Life Insurance Company Limited

April 16, 2026

Page 2 of 24

Vibha Padalkar: Good evening, everyone, and thank you for joining our earnings conference call for the year ended March 31st, 2026. Our results, along with the investor presentation, press release, and regulatory disclosures are available on our website and with the stock exchanges. Joining me today's call are Niraj Shah, Executive Director and Chief Financial Officer; Vine et Arora, Executive Director and Chief Business Officer; Eshwari Murugan, Appointed Actuary; and Kunal Jain, Head, Investor Relations, Business Planning, and Strategy.

On the macroeconomic front, let me begin with the broader macroeconomic context. The global environment has become more uncertain in recent months, with heightened geopolitical tensions and disruptions in energy markets and global supply chains creating near-term headwinds. In such an environment, while near-term demand might be impacted, we believe the life insurance sector remains relatively well positioned given the essential role of long-term savings, protection, and guaranteed outcomes, especially during periods of uncertainty.

Moving on to business performance. During FY26, we continued to maintain our position amongst the top three insurers by individual WRP. Our private sector market share stood at 15.2% for 11 months FY26. We outperformed the industry in two key focus areas. The first one being retail protection, which grew 43%, and the second one being our agency channel, which also grew ahead of the sector.

Retail sum assured growth for 11 months was higher than the industry, reinforcing the quality of our business mix. Credit protect saw a healthy rebound in the second half of the year, driven by recovery in the MFI segment and robust credit growth, with the company retaining its leadership position in this segment.

From a top-line perspective, FY26 closed below our original expectation. Let me deconstruct this and outline our confidence in the medium-term trajectory. H1 growth for us was ahead of the industry, and quarter three was broadly in line with expectation. The slowdown was largely

concentrated in quarter four, driven by unabsorbed GST, temporary softness in bancassurance and deferment of demand in March due to global uncertainty.

However, our proprietary channels bucked the trend, delivering a healthy growth of 15% - 16% in quarter four as well as in FY26, and we thus delivered a full -year individual APE growth of 7% year-on-year. Our confidence to bounce back also stems from our customer acquisition metrics that remain healthy, with over 70% of new customers onboarded during the year being first-time buyers of HDFC Life policies, and that we insured over 46 million lives during FY26. Next, on product mix - Our individual APE composition for FY26 was unit-linked at 44%, non - par savings at 18%, participating products at 25%, term at 7%, and annuity at 5%. As in prior periods, product mix remained an important driver of outcomes during the year. You will notice that our term was 7% versus 5% of last year.

HDFC Life Insurance Company Limited

April 16, 2026

Page 3 of 24

Unit-linked demand remained resilient through most of the year, supported by customer appetite for market-linked participation. Importantly, the quality of our unit-linked business continues to improve with higher protection multiples and better rider attachment supporting margins. The 13th month persistency over the past two years has also improved. Both these metrics remain a deliberate strategic focus for us.

At the same time, non -par demand was softer than our expectations. We have maintained pricing discipline in this segment, and while this has had a near-term impact on volumes, it positions us better from a long-term value and margin standpoint. We have undertaken selective product refinements to improve competitiveness, and with

in a more favourable yield curve environment, we expect non -par savings to gradually recover.

Protection was a clear highlight during the year, with a growth of 43% supported by lower prices post-GST and a strengthened product portfolio. And this continued even in quarter four, when protection growth was 46%. Retail protection mix expanded by nearly 200 basis points YoY to 7.2% in FY26, and including riders, protection now contributes nearly 10% of our retail business.

We also saw an improvement in ticket sizes post -GST with customers opting for higher levels of sum assured. Retail sum assured grew by 28% YoY, and we also maintained our leadership position on overall sum assured, reinforcing the quality of our business mix.

Annuities were another area of meaningful progress. During quarter four, we launched Ajeevan Growth Nivesh and Income (AGNI), an industry-first variable annuity plan that combines lifelong guaranteed income with growth potential linked to the Nifty 50 Index. We believe this kind of product innovation opens up new customer segments, and we are encouraged by early traction. Annuity mix increased by almost 300 basis points YoY to around 8% of individual APE in Q4 FY26.

Looking ahead, we expect a gradual shift in the product mix as customers rebalance towards long-term savings and protection in an environment of greater uncertainty. We anticipate non - par savings to gain share relative to FY26, with protection and annuities continuing to grow ahead of the company average.

Moving on to financial and operating metrics. For FY26, value of new business stood at INR 4,034 crores, representing growth of 2% YoY. Value of new business growth, excluding the impact of GST and surrender regulations changes (SSV), would have been broadly in line with overall APE growth. New business margins for FY26, excluding impact of GST and SSV, would have been flat at 25.5%.

Post-GST and SSV impact, they were at 24.2%, a decline of 140 basis points versus FY25. This margin drop was driven by three key factors. First, the impact of GST and surrender value of 130 basis points. Second, the fixed cost absorption impact of 90 basis points arising from softer than expected top-line growth, particularly in Q4. And third, 40 basis points on account of

HDFC Life Insurance Company Limited

April 16, 2026

Page 4 of 24

strengthening of the persistency assumptions in line with the experience that we had disclosed in Q3. I'm happy to share that our experience in Q4 on persistency was better than what we had mentioned in Q3. These three negative items were offset by a better product profile that contributed 120 basis points.

On GST, the headwind on margins has been moderating in line with our guidance. The impact in Q4 was approximately 110 basis points, and we expect this to taper off further and be largely neutralized as we move into FY27. At a product level, underlying margins remain supported by

improvements in product profile, including higher protection and annuity contribution and better rider attachment.

The annual assumption review was undertaken in quarter four, as has been the past practice, which makes the YoY impact of 40 basis points more visible in that quarter. From a structural standpoint, the key levers for margin improvement remain intact: continued growth in protection, higher rider attachment, recovery in non-par savings, further enhancement in ULIP protection mix, lower fixed costs per policy, and operating leverage as growth normalizes. Based on these factors, we expect margins to improve.

Renewal collections saw steady growth at 15% during the year, reflecting the continued stability of the in-force book. On persistency, the 13th month ratio moderated by 200 basis points during the year, broadly in line with the evolving business mix. As mentioned in quarter three, this was driven by specific cohorts and does not reflect

a broad-based shift in portfolio quality.

We have taken necessary actions, as I had mentioned, and we are pleased to share that trend have stabilized in Q4. The 61st month persistency remained robust at 64%, improving by 100 basis points YoY, reflecting the continued strength of the long-duration savings book. Embedded value stood at INR 62,139 crores. Operating return on embedded value for the period was 15.0%, and this would have been 15.4% on a normalized basis. Profit after tax for the period stood at INR 1,910 crores. PAT excluding GST and labour code impact would have shown a growth of 16%. The board has recommended a final dividend of INR 2.10 per share in line with our dividend payout policy, aggregating to a payout of INR 456 crores.

Our solvency ratio stood at 177%. While we await clarity on the transition timeline to the risk-based solvency framework, we have taken board approval to raise up to INR1,000 crores by way of a preferential issue to our parent, HDFC Bank. This will add 900 basis points to our current solvency. Over the medium term, the move towards a risk-based solvency regime should ensure better alignment of capital with underlying risks and is likely to be beneficial for diversified franchises such as ours.

Moving on to distribution highlights. The ongoing build-up of our agency channel was a strong story for the year. Agency grew ahead of the company by 500 basis points, maintaining a strong protection mix. The channel is now beginning to deliver the returns on the multi-year

HDFC Life Insurance Company Limited

April 16, 2026

Page 5 of 24

investments we have made in branch expansion, talent acquisition, and investment in bespoke products and training, and this has helped improve our relative positioning within the industry. We have added more than 250 branches over the last 30 months, with business from these contributing to approximately 13% of the agency channel's top line. Our focus is now firmly shifting from expansion to productivity, activation, and the branch-level profitability. This should support a more sustainable and higher quality contribution from the channel going forward.

On the other hand, partnership channels experienced elevated volatility during the year, primarily driven by heightened competitive intensity. In response, we exercised fiscal discipline by stepping away from unviable business. Overall, while near-term growth has been influenced by the factors discussed, we believe our focus on continued investments in distribution, product competitiveness, partner engagement, and pricing discipline positions us well to deliver more sustainable and profitable growth as the environment normalizes.

Moving on to regulatory and industry developments. The industry continues to evolve in a direction that supports greater transparency, stronger conduct, and more sustainable long-term growth. We view the transition towards Ind AS based reporting as a positive structural development. Over time, this should enhance comparability, improve market discipline, and further align business models with long-term value creation.

With respect to Ind AS, we have approval from our board to seek forbearance for FY27. We will be applying to the regulator and are working towards full adoption from FY28. We believe this approach allows for a more calibrated transition, both operationally and from a reporting standpoint. Overall, the direction of regulatory evolution remains constructive, and we believe well-diversified and disciplined players are well-positioned to operate effectively within this framework.

Moving on to our subsidiaries. Our wholly-owned subsidiary, HDFC Pension Fund Management, continued to strengthen its leadership position with a market share of 43% and assets under management exceeding INR 1.5 lakh crore. Our other subsidiary, HDFC International Re, continues to deliver steady reinsurance

performance while scaling its GIFT City presence.

To conclude, we enter FY27 with the GST transition that is largely complete, the yield curve which is supportive for non-par, our agency channel is stronger today than it was a year ago in terms of reach, productivity, and quality of business. Protection portfolio is structurally larger and more meaningful than any other prior point in our journey.

As a result, our embedded value continues to reflect the compounding strength of a high-quality in-force book. Our aspiration to outpace industry new business and VNB growth remains unchanged. For a more detailed discussion of our performance and outlook, please refer to the investor presentation. We will now be happy to take your questions.

HDFC Life Insurance Company Limited

April 16, 2026

Page 6 of 24

Moderator: Our first question comes from the line of Avinash Singh from Emkay Global.

Avinash Singh: A few questions. The first one on growth. Yes, as we acknowledge there were multiple factors, some external and some internal. In this context, the particularly the factors which are affecting growth in HDFC Bank channel, be it the competitive intensity or maybe irrational pricing. How has particularly your wallet share within HDFC Bank channel behaved in Q4 vis-a-vis what it has been for the nine months? How has that changed?

And now what steps you are taking or what you are seeing competitor withdrawing or competitive intensity changing that gives you hope that okay, things will normalize or go back maybe to say in the past levels in FY27? So, this is the question more around HDFC Bank channel and what sort of things giving you confidence there in terms of your growth outlook.

The second one would be, there is a very small piece of business that is the participating group and pension. Now, in your GAAP filing, there is a kind of a sizable negative surplus or deficit in that par segment, even though the business size is very small. So, what exactly is the nature of this and why is there such a big deficit in this segment of business?

And lastly again related to this, the back book surplus is going in an impressive way even this year, it's 14%. But when I look at the new business strain, I mean given, there is a strong growth in individual protection but at the same time non-par savings have given way to par where typically the new business strain would be lower, but the overall new business strain at the company level is growing very, very strongly.

Is it something to do with the cost structure still remains a bit unfavourable? What sort of explains that? So, these are my three questions.

Vibha Padalkar: I'll take the HDFC Bank question and then pass it on to Eshwari on par questions. On HDFC Bank, see, I would be more worried if there were some very different product innovation or some massive digital, great technology initiative. Really on competition on price point, we don't believe that that is sustainable on a long-term basis, whether it's aggression on pricing and/or on underwriting. And clearly, it is visible on ground.

So, what will change? I think IFRS is a good segue into what I'm saying because onerous contracts start becoming very apparent. Also given that RBC possibly has now taken a back seat to IFRS, what all of us thought that RBC would get rolled out first, but if it gets delayed all of this aggression does consume capital as well. So, there's only so far that some of this can be bankrolled.

Plus, we haven't stayed quiet. We have introduced, like I said, products such as our AGNI product (variable annuity), some of the tweaks that we have done on even non-par, is what you will see being rolled out as we speak. Some of that will again go back in terms of our ability to capture the mind of customers, especially against these fairly elevated levels of volatility and

HDFC Life Insurance Company Limited

April

16, 2026

Page 7 of 24

some weaning away from the unit-linked playbook. So that is what gives us the kind of confidence.

Also, we are very granular in terms of discussions with our parent in terms of which are the branches wherein our share is lower than what might be at an acceptable level. Why is that happening? Is it because there is a flooding of additional people, and our manpower share? So, the correlation is fairly strong that where our manpower share is lower than 50% our counter share goes down. So, is there an optimal level of manpower given all AI and other digital assets? Is there a play to reduce manpower share overall for all three players and can we look at having more digital offerings? Or part of the journey being digital? And once that happens, I do believe that counter share, just given brand synergies, being a market leader in products, I think all of that, I can't share everything that we're doing, but that's what gives us the confidence.

Vineet Arora: I think Vibha covered most of it. Just the fact that we knew exactly where we let go of business

and we know what price point works for us. We do feel that aggression, you know, now that the GST burden on the margin and the cost is also more or less absorbed, it will be easier for us also to come back and have better price points. So, we feel that we will also be more competitive and we should be able to garner more share from these branches that we might have let go of earlier.

Vibha Padalkar: Yeah, and that's an important point. We are very cognizant of the opportunities that we let go because if ab initio it doesn't make commercial sense as to why are we selling this kind of product, then –we will take a back seat exactly like what happened in protection.

We did that and that has paid us very good dividends in terms of the pricing power. We had to bide our time. We did many things, some are behind the scenes which I don't want to call out. But many things on protection that today makes us get hold of the kind of profiles that we want to get hold of, rather than just market dynamics saying whatever protection of whatever quality business, let me get that in.

Moving away from that to controlling the narrative to step back to say what kind of lives and what kind of business do I really want, and to recalibrate too many things to get there. So that is really, we are in the process of doing similar kind of interventions on non-par and par like we did with protection.

Eshwari Murugan: So, on the participating fund, there are three, four things that have happened during the year. One is the impact of GST, which again is split into two parts. One is the existing business and the second is the new business. On the existing business, because there will be no ITC on the renewal commission and the expenses incurred for the maintenance of the policies, that impact has been taken into the reserves and that is having a negative impact in both life and pension. On the new business as well, because there is no ITC on the GST, that has been absorbed given that we are still looking at the design and the pricing of the par products in the context of the new GST law. So, this has been an impact as we will take some time to transition to new

HDFC Life Insurance Company Limited

April 16, 2026

Page 8 of 24

products. The third is, given the changes to the surrender value regulations from October '24 onwards, for all the participating policies regardless of whether they are going to surrender or not, we hold a surrender value reserve, which is also increasing the prudence.

Some of this will get released into the FFA going forward, but it has been a one-time impact all coming together in the same period. That is why we see a deficit in the participating fund.

Vibha Padalkar: We have plans to start contributing back to par FFA to grow that over the next couple of years.

Eshwari Murugan: We will be looking at all these structures to see what is the optimal structure to maintain the fund at an optimal level aiding growth as well as the existing business.

On the back book surplus, the E B surplus has grown by a lower amount again due to the same reasons. We have allowed for the loss of input tax credit on renewal commission and maintenance expenses on all lines of business. That has resulted in a lower E B surplus growth. On the new business, yes, the new business strain should have been lower given that we have done lower non-par. But if you look at the growth in protection business and the credit protection business, that has resulted into a higher strain. And also, on the unit-linked, we are writing with higher multiples and also higher rider attachments, that has got a higher reserving requirement and all of these have resulted in the new business strain growth being higher than the earlier years.

And the GST impact is there in both new business and E B. That is also one of the reasons for the new business strain being higher.

Vibha Padalkar: So just to summarize, GST impact and a good problem to have in terms of protection.

Avinash Singh: Vibha, counter share in HDFC Bank, in Q4 versus 9 months?

Vineet Arora: The counter share in HDFC Bank in Q4 was lower than what it was in 9 months. And clearly, for the reasons we have articulated already, we know what the reasons were. And we are completely in control of what we can do going forward.

Moderator: Our next question comes from the line of Suresh Ganapathy from Macquarie.

Suresh Ganapathy: Yes, so Vibha, again somewhat indirectly related to the first question itself. You know, in FY23, if you were to make a business projection of your VNB growth, you would have said 15% plus CAGR, right, for the next three years? I am looking at FY26 number, your CAGR has been just 3%, FY26 over FY23. So, it's actually not grown at all in three years' time. I am sure you were not expecting this kind of an outcome.

I know there have been a lot of changes, but unfortunately, the regulator is still talking about some commission caps, so many things are happening. Are you confident that with the GST cut, whether it is protection, the next three years will not see a single-digit VNB CAGR?

HDFC Life Insurance Company Limited

April 16, 2026

Vibha Padalkar: So, let me just walk you through . First, I'll give you the CAGR, but FY25 to FY26, FY25 we were at 25.6 %, right? And if I were to back out GST and SSV, the surrender value impact, then my starting point would have been 24.3%. Again st, 24.3%, I was at a similar kind of a number, 24.2%.

Note: The correct way to interpret the impact of GST and SSV versus previous year margins is to exclude GST and SSV impact from FY26 margins. New business margins for FY26, excluding impact of GST and SSV would have been 25.5% i.e., flat versus FY25 margin of 25.6%

Now to your more philosophical question, because of three very large ticket things that have happened, which is starting from the 5 lakh and above being taxed, followed by surrender charges, followed by GST, business model changes have happened unfortunately with alarming regularity and fairly material.

I have high level of confidence in the medium term. However, here and now in one year or so, a little bit more difficult to say just as any business plan. However, the growth over the four - year period of 1.8x to 2x, I think that is still something that we will be gunning for. I think in terms of conversations, I think the only large ticket conversation in the media has been will something happen on distribution architecture ?

If that happens, I am very confident that yes, immediate like a

ll the other disruptions I've talked

about, there could be some disruption . Will we come out of it? Absolutely. I have no doubt in my mind that it will come. So , to summarize, on a normalized three -year VNB CAGR would be around 9 %, 10%, and there I am adjusting about INR1,000 crores between this FY23 and the GST impact in FY26.

Suresh Ganapathy: Even if I were to adjust for that, that is still way below your industry standard, right? If I look at FY10 to FY21 -22, you were the bellwether on the industry benchmark. All said and done , even normalizing for that, your growth has been weak, your VNB growth has been weak, and competition is not going away. People are going to be aggressive . There is no compulsory listing. So, we are in a tough industry in a way, right, both from a competition angle as well as from a regulatory angle.

Vibha Padalkar: So, on competition , again, I feel with IFRS, it's going to dramatically change the way and bring discipline - it's a proxy for listing in a way because listing or disclosures, unfortunately, if I was a bank then most of my competition is listed and there's only that much aggression one can exercise and that will be contained. While exactly like you mentioned, that is not the case now. But IFRS, regardless of whether you're going to be listed or not, there are going to be segment - level and even further nuanced disclosures that will very clearly show ab initio what are the loss - making or onerous contracts. What did one price for and what actually you're trending for ? So, this is going to be a tectonic change in how companies look at their business.

HDFC Life Insurance Company Limited

April 16, 2026

Now a Promoter might decide to ignore that . That is their prerogative. But given that these companies have promoters who have invested for many number of years, I'm sure they are wanting to see returns at the end of that patient capital infusion . So, I feel very enthused. It might not happen in FY27 because of most companies asking for forbearance, but certainly a year down the line , it should happen. And if disclosure is going to happen in FY28 , then I'm sure companies will start thinking as to, you know, at least internally looking at what their numbers are going to see.

We are also seeing positive trends in protection. You know, we went through the same story on protection and irrational competition and so on. Happy to share that that kind of irrational competition has started seeing some tempering. And that's why you can see our growth being right on the top as far as the industry is concerned on protection. Expecting the similar kind of some level of restraint happening on other parts of savings as well.

Niraj Shah: Suresh, just to maybe step back a little bit. You spoke about period from FY23 to FY26. Unfortunately, both the opening as well as the closing year had a lot of distortions . If you were to just dial back one year say the period from FY20 to FY24, the numbers fairly healthy at 15 %-odd. You go one period before that, it is in a similar kind of a zone. So , the thing is if we're looking at a long -term business building it from a three -to-five-year perspective, you know, the results could be non -linear in a shorter span of time.

But just from a business cycle perspective and everything that is coming in the next three to five years, we absolutely have no doubt as to why the sector and us within the sector not be able to get back to that compounding story that we are used to delivering. So , no real structural issues that we see whether it's in terms of the relevance of the products, customer demand as well as just the overall operating environment .

Suresh Ganapathy: Just one last question on Vibha, your tenure and the IRDA rule. Bit confusing. Can you just clarify when it ends? Is it a 15 -year rule applicable to you? What is the thing? Can you just clarify on that?

t?

Vibha Padalkar: Yes, so Suresh, when these regulations came in 2023, we had written to the regulator and we had received clarification then that the 15 years starts from when I became the MD and CEO.

My tenure, this current tenure ends in September of this year, and the Board will take a suitable call closer to that date.

Suresh Ganapathy: And you are five years, right, into the six years into the CEO tenure, right?

Vibha Padalkar: No, I will be completing a term of three plus five, so eight years by the time I finish in September.

Suresh Ganapathy: Okay, so logically speaking, another seven years left as per the IRDA, obviously the Board will take a call, right? Is that the interpretation?

Vibha Padalkar: The interpretation is that it's 15 years from when you get into the saddle as MD and CEO. That is what we had received clarification when we wrote to them in 2023.

HDFC Life Insurance Company Limited

April 16, 2026

Page 11 of 24

Suresh Ganapathy: Okay, but this is not cast in stone. I'm thinking can the regulator change their mind is what my question is.

Vibha Padalkar: I think that will be a question for the regulator.

Moderator: Our next question comes from the line of Madhukar Ladha from JP Morgan

Madhukar Ladha: First, if I just compare the IRRs on the non -par product in sort of the principal HDFC Bank channel offered by your competitor, the difference is quite substantial. Now, what I wanted to understand is if you were to offer higher IRRs, what would be the impact on your margins? Why can't we sort of offer a more competitive product and capture that counter share?

And can you quantify the operating variance and assumption change between the various elements like persistency, mortality, expenses, if you could give that split?

Niraj Shah: Yeah, so on the question on IRR, basically there are two things here. One is that like you rightly mentioned in certain categories and variants of products the difference is fairly substantial. And since we introduced this category to the market six or seven years back with multiple product innovations, the easiest thing to do is to offer a rate. So, if we could offer a rate which is the highest in the market at the economics that are making sense to us, we would have done that like you rightly said.

So, if we are not doing that, it basically tells you that the dilution on the economics is not acceptable at the prevalent rates that some of the peers are choosing to offer. The equally important thing is that given our position in the market if we end up doing something which is let's say very aggressive or irrational, it unfortunately vitiates the entire environment and it forces peers to do the same. So, then you get into a downward spiral from which the industry will never recover.

So, there's no point playing that game beyond a point. As we articulated earlier on the call, we are looking at things more granularly: customer segments, ticket sizes, product variants where we may choose to be more competitive in the coming year. And that will be again at levels that will make sense to us. We have said that we want to grow faster than industry and deliver VNB growth in line with that.

So, if we have to make sensible trade-offs between profitability and growth, we will definitely do that, but provided it is within a certain boundary conditions which really makes sense from a medium -to-long-term perspective. So that is really our approach. We don't see this to be a challenge from a medium -to-long-term perspective for all the reasons that we spoke about: the regulatory environment, movement to IFRS, risk -based capital.

It is not an endless road of capital being made available without any questions asked. So that is not going to happen. Given that situation, I think things will stabilize. We gave the example of protection -the same kind of story played out a few years back. We

have kind of bided our time

HDFC Life Insurance Company Limited

April 16, 2026

Page 12 of 24

and we are where we are in terms of the leadership in terms of sum assured on individual protection and overall, as well.

Vibha Padalkar: I want to come in here and I'm not making any specific reference to any company but for the broader sector. See, again I'm harping back to IFRS. You know, I could give 70 basis points higher on non -par, for example, like Madhukar you mentioned. But no one really knows, is this

lapse -supported product? Which means that you're hoping that customers don't pay their premiums down the line.

So, some of these things will start becoming a lot more apparent under IFRS because then you get to see the full story because if persistency stays good. And which it should because they have bought a product that is giving them 70 basis points higher. But your assumption that you make money is only if only X percentage of customers renew this. So, these nuances are really where the devil is in those details.

So, we can easily match this if we want to match it. But there is no way we are going to have a lapse -supported product, there is no way I mean we are in the business to sell policies and we are hoping that the customer stays vested in the policy till the very end. So, this is only one example but there are many such nuances: what will be the lump sum at the end, if they choose to surrender what is the surrender value that they or the nominee will get?

You know, and so on. There are many nuances to this because the corners will have to be cut somewhere else which are not very apparent. The headline item will be that the IRR is so much more. You know, it can't come out of thin air. It can either be bankrolled by the shareholder or wherein something else is there where corners cut.

These are the only two possibilities. Because if I look at expense ratios and persistency, not very different, if at all, worse than where we are today. So that is the limited point. This will normalize.

Madhukar Ladha: Got it. Maybe I can just squeeze in one more question. So, on margins, see on a Q-o-Q basis we were expecting about a 100 basis points improvement because, every quarter we were trying to lower the GST impact. That has not played out this quarter. Also, I am guessing it is partly because of the full -year assumption change that also would have impacted.

But given, you know, there is a negative expense drag also on the margins, negative sort of assumption change as well, how should one see margins shaping up in FY27 and beyond? I believe it is probably going to be difficult to maintain the earlier sort of guidance of 25.6%. Any comments around that would be helpful?

Niraj Shah: I think if we were to just go back to what we said three months back in terms of what the GST impact is likely to be. We started with 300 basis points, brought it down to 190 and now we are standing at 110 basis points. So as such, that is moving exactly in line with what we had spoken about and are working towards internally as well.

HDFC Life Insurance Company Limited

April 16, 2026

Page 13 of 24

And by the time we finish the first half of next year, we should be done with the GST impact and completely absorb it in our business model. Now coming to whether we can get back to the levels that we spoke about at the beginning of the year of about 25.5%, we can get to it. Are we in a tearing rush to get to that at the cost of growth? We are not.

Our objective will be to get to faster than industry growth and maintain VNB in line with that.

Along the way, environment stabilizes and we have the opportunity to expand margins, we will certainly do so. But the first goalpost really is to ensure that the VNB delivery is in line with APE growth next year.

And any sort of expansion on top of that, aided by product mix, scale, all of that is something

hanging

that is definitely on the table. While in H1 we were faster, Q3 we were largely in line, Q4 was certainly slower than where we want to be. And that is the impact that we need to absorb and we will as we as the growth normalizes.

So, we are not too concerned about the additional impact that we saw in Q4 on VNB growth and consequently on the full -year margins. We should be able to recover as the growth normalizes next year. So that is not something that we worry about as a drag getting into FY 27 and beyond.

If we're talking about a 3-year perspective, clearly there is room for margin expansion.

But again, it's going to be measured. Some of our investments now have started bearing fruit in terms of branch productivity as well as our expenses on the technology front. All of these are expected to increase productivity, efficiency and better risk management. With that, margin expansion is something that we should absolutely gun for, with protection becoming larger and larger part of our business as we go forward.

Vibha Padalkar: And just to summarize, if you see Slide 13 of our investor presentation, it is exactly what Niraj mentioned. If I ignore the GST, the one-time GST and surrender charge impact, we were very close to the same 25.6% of last year. And the drop is only because of these items. So, it was almost like margins were being held and the starting point is anyway 25.5%.

Madhukar Ladha: Sure, got it. And the assumption change and variance break up if that is if you could give that?

Eshwari Murugan: So, the assumption change is mainly on the persistency, the 13th month persistency had dropped during the year and this has been reflected in the assumptions both in embedded value and new business. So, it's mainly coming from persistency and that too 13th month persistency. All other

cohorts we don't have any material impact either in the assumption change or in the variance.

Moderator: Our next question comes from the line of Dipanjan Ghosh from Citi.

Dipanjan Ghosh: So, few questions from my side. First in terms of the Banca channel and more specifically on the non-HDFC Banca channels. Just wanted to get some sense of what's the direction or strategy when you kind of think of these channels? Is it more growth-focused or do you think the focus will be on more VNB counter share?

HDFC Life Insurance Company Limited

April 16, 2026

Page 14 of 24

And from the next two-year perspective, if you can give some colour on that. That's the first question. The second question is on the product pipeline and this is more in line with also the AGNI product that you have launched. You mentioned that there has been strong traction initially. If you can kind of quantify or give some colour around that? And also, in terms of the refinements on the non-par products that you have done, if you could kind of elaborate on that? And the product pipeline, alongside on the non-par and annuity side? I mean, if you can kind of sum it up?

Vineet Arora: I'll take the question on the non-HDFC Banca channels. So, the focus, for all channels for us is very clear that it is to go for growth subject to a certain VNB. And below a certain VNB, we choose at times not to participate in a certain segment or particular channel also. So, the focus remains same across channels and that is the reason why you would see that certain parts in Q4 we did slowdown in certain channels. And that I think remains consistent across channels. And same is the reason why you see a higher focus on our agency and the proprietary business where we have seen faster growth coming in.

Niraj Shah: On products Dipanjan, a couple of things. One is AGNI was basically the first variable annuity product that was introduced and it's absolutely contributed to our share of annuity mix increasing meaningfully in this period. And it was launched towards in the

last quarter, so we expect that

to become a full-stream product going into FY27 and beyond.

And as we understand more of the product category, we would want more potential for innovation in this category as the regulator allows us to use more instruments that will enable a better customer proposition while we manage our risks appropriately. It is a win-win from a customer perspective for anyone who is reasonably affluent.

We have launched this product at a ticket size of 25 lakh and above to ensure that the customer clearly understands what they are buying and it's not a completely guaranteed product. It is guaranteed up to a point, after which the customer participates in the upside because of the asset allocation that we are able to do in the product.

And that is something that we believe is here to stay from a customer who is reasonably affluent and savvy and is not dependent on the entire annuity stream to maintain monthly expenses. So that was really the thought process behind it and there will be a lot more to come in this space.

As far as non-par savings is concerned, I think a few things that we are basically looking to add to our flagship Click 2 Achieve series and a large part of it is to do with giving more flexibility to customers, looking at customer segments a little more granularly to see what we can do in terms of affording more options to customers as well as getting more competitive.

And over a period of time as the asset side of the market develops, there will be more options that will kind of come through in each of these categories. So, I guess a lot of things will be happening behind the scenes, which is just ready to take advantage of a more favourable interest rate environment as we step into FY27.

HDFC Life Insurance Company Limited

April 16, 2026

Page 15 of 24

And the volatility on the equity side so far has not really dampened unit-linked demand. But we will wait and see how that kind of goes on as we go forward. Asset allocation is currently unfortunately out of fashion, but that is something that we expect to normalize in the next 12 to 24 months. When that happens, with the suite of products that we have and more in the pipeline, we expect the category to do extremely well.

Dipanjan Ghosh: Thanks, Niraj. Just one small follow-up. This variable annuity product propositions, how are the margins in this product, I mean, compared to industry or company-level margins?

Niraj Shah: It will be higher than company-level margins.

Moderator: Our next question comes from the line of Shreya Shivani from Nomura.

Shreya Shivani: A couple of questions on the EV and VNB walk basically. Shouldn't the GST and Labour Code impact be an assumption change because it is a permanent change rather than a variance? Also, comparing to one of your peers, there is no impact of the yield curve movement on your VNB

walk. What is the thought process behind this if you can explain that?

And has the persistency assumption changes caused a sharp movement in your persistency sensitivity from your sensitivity analysis table? Just one question on the growth outlook on the competitive landscape etcetera to Vibha. I mean, one way of dealing with the competitive landscape is obviously what you're doing: going granular and trying to find a different kind of pricing for your products etc etc.

However, expanding beyond our obvious markets, expanding into deeper pockets or markets where only few players operate, isn't that something which we would be focused on from a long-term period? Not for FY 27, but if I ask you about next 5 years, shouldn't that be one of your strategies, knowing that the competitive landscape can be quite volatile in the urban Tier 1 markets?

Eshwari Murugan: So, on the EV walk, the GST impact is the impact on the existing business because there is no input tax credit on the renewal commission and the m

aintenance expenses. So that is a one-time

impact and it is external environmental impact, that is why it is shown as another operating change or variance.

The loss of input tax credit on the new business, which is part of the business model, is captured in the VNB which is within the embedded value operating profit or within the embedded value walk before the one-off. So, the one-off is actually only one-off; it's only one-time impact on the existing book. The thought process is that whatever is not within the internal environment or the business model of the company, that should be captured as a one-off operating variance.

Niraj Shah: And next year, all of this will sit in the VNB for next year. So, it will become part of the business model entirely. This year, since it happened mid-year, the back book had to do what it had to do.

HDFC Life Insurance Company Limited

April 16, 2026

Page 16 of 24

Eshwari Murugan: Yeah, the closing EV will be the opening EV for next year, and next year the entire impact, as

Niraj mentioned, if at all there is any impact that is not absorbed, will be in the VNB. In the NBM or the VNB walk, the net impact of changes in interest rate, changes in product pricing, product features, other assumptions etc etc is captured in the product profile.

The reason we don't call out economic assumption change separately is that it is not that during the entire year we will not do anything if the changes in the interest rates are going up or down. There will be lot of dynamic changes in the pricing. It will be very difficult to capture the impact of assumption change assuming that everything stayed the same.

So, the net impact, if the spreads have gone up and you've not repriced it to that extent, it will be an increase in NBM, that will be captured in the product profile. Similarly, if the interest rates go down and you still not repriced it for whatever reason, that will be a negative on that and that will be again captured in the product profile.

So, this is the thought process which we have been following for many years now; there is no change in the way we have been showing these impacts. Yes, on the persistency sensitivity, there are two things which are resulting in a higher sensitivity. One is the proportion of ULIP has gone up compared to last year.

Hence, higher sensitivity. And also because of the changes in surrender value regulations, even in the non-linked products, the persistency will have an impact on the EV or the margin because unlike earlier where there was some lapse profits or surrender profits if the policyholder didn't stay for the scheduled policy term, here there is going to be an impact on the margin, that's why there is a higher sensitivity.

Vibha Padalkar: To take your question on getting deeper into interior India, that's exactly what we're doing. And to remind you that one of the reasons for us to have acquired Exide Life was just that. Because we felt that that was not expressly our core competency. It was happening more because of some of our partners/distributors were there.

But we formulated an entire go-to-market strategy in Tier 2 and 3. And I'm happy to share that more than 72% of our customers acquired in this financial year, FY26, they were new to HDFC Life. And if I were to look at Tier 2 and 3, they grew faster than Tier 1. Also, if I were to look at say our agency channel, every metric, so our FC base, the financial consultant base, if you look at it, the growth there was 43% on a gross basis.

Our marketing collaterals, using of AI so that every local language and dialect is possible right from training to servicing. Even our ads if you see, for the first time this year, we have used, say like in West Bengal, we have used local leading personalities as against national.

So, we're already well on that path. Having said that, it's never all easy because we d

on't have

as much data on all the profiles. So, there will be two steps forward, one step back. But I think we are now in a position of reasonable amount of confidence that within Tier 2 and 3, what are

the profiles that we are comfortable underwriting, and that will only increase as we get more and more data.

Another data point is that as you know we've been opening branches, you know over 200 -plus branches over the past 24 to 36 months, and happy to share that in our agency channel, 13% of the business now comes from the branches that we opened in that time frame. So, we have a holistic strategy of exactly like you're saying, to be amongst the top three movers into that space rather than only operating in a more crowded metro salaried kind of space.

Niraj Shah: Maybe just one thing I'll add to what Vibha mentioned is that we are aware as we step into these smaller markets that the time for the branches to get as productive as in the larger markets is a lot higher, maybe 1.5x more. But we've not shied away from making all these investments.

So, it's just that the timeframe from which we get these returns is a little longer than we would get from a, you know, larger branch. So, both of these happen in parallel, and the trade-offs and basically the payoff periods from both of these can vary. But like you rightly mentioned, I think as you go deeper into India there is more sanity as far as the competitive intensity is concerned, given the obvious, you know, costs involved in going deeper as well as the brand recognition. We do understand that that is an advantage that that we have, and we plan to build on that as we go forward.

Moderator: Our next question comes from the line of Nischint Chawathe from Kotak Institutional Equities.

Nischint Chawathe: You mentioned that, the counter share at HDFC Bank in fourth quarter was lower than nine months, but if you could give any colour as to, what it was for the entire financial year? And, how does that sort of compare with the broad guidance of two-third counter share at HDFC Bank over the medium term?

Vineet Arora : Yeah, so we were in mid -60s the year before, and this year we would have closed at early 60s.

Nischint Chawathe: And how does the conversation go? Is it something that it kind of reverts over time or there could be some kind of downward revision to this? How does it work?

Vineet Arora: No, so conversations are not only around share because the share is in an open architecture platform and, it's on the ground in every branch and every segment, where we are competing like a normal insurance player. And basis that we know actually at a granular level which are the places which are the cohorts that, we would have let go of which led to this loss of share . And if we need to compete back, we also know what it takes to compete back. So, I think from that angle, it's not about a conversation; it's more about what business we want and what business we let go.

Nischint Chawathe: Sure, and I recollect at the beginning of last year, you budgeted for around I think 14% odd APE growth. Destiny had other plans, but, when you start this year given the uncertainties that are around, how do you budget, for FY27 growth? What would be like your starting point?

HDFC Life Insurance Company Limited
April 16, 2026

Vibha Padalkar: So exactly like you said Nischint, a 14% I think it was actually we had said 12 -13%, but okay, I think low double -digit growth is what we had said. Now with all this uncertainty and we have been here before in terms of when COVID was there and so on. I think we will just take it a month at a time in terms of planning. It is really volatile.

What we will attempt to do is grow slightly faster than the sector and while doing that focus on some of the headwinds that

we have on protection. We talked about some of the products like

AGNI. We will really focus on maximizing Tier 2 and 3 as well, the traction, because it is not as crowded as some of the other markets .

So, I think that's what we will focus on rather than trying to put a number, because a number means that you're going to invest resources and so on up front. I think it's a little bit too volatile a situation.

Nischint Chawathe: Fair enough. And just last one, do you think that this is the right environment for non -par to pick up over ULIPs given the way the bond yields have moved and, you could probably leverage that in terms of offering higher IRRs.

Niraj Shah: Yeah, absolutely. We've been waiting Nischint, but it's not happened given the flows continue on the equity side, which is again we have no problem with that , we'll take all the growth that comes in unit -linked as well given that we now have an operating model that works. But yeah, it's a bit puzzling to us as well that given the environment and given the uncertainty and the returns on the equity side in the short -term, customers are still ignoring asset allocation.

That is something which I guess like, we discussed earlier, we are ready with multiple product

options for customers and we absolutely believe this year I think the non-par take-up should be higher than what it was last year. It's a bit puzzling why it hasn't happened already.

Nischint Chawathe: But do you think the demand is elastic to IRRs?

Niraj Shah: No, we do not believe so. To some extent, yes, where in an extreme situation where I mean someone's putting 100 basis points more than me, of course they're going to buy that product. But the thing is if within a band of like in protection 15 %-20% up and down, it is not elastic, it is driven by multiple things including brand preference and as long as we're in the zone we are okay.

So, in IRR I'll give you an example of annuities. Annuities all the major players, three or four of us who are 90 %-odd of the market, are pretty much fairly close to each other because that is the pricing that makes sense. And the customers choose based on their preference and the distribution outreach of each of the players.

So similarly on non-par, I think maybe barring one or two players, you find everyone from a mix perspective being anywhere between 15% to 20% of their product mix is non-par. So that tells you that up to a particular point, pricing would matter. But once you're in a range, then

HDFC Life Insurance Company Limited

April 16, 2026

Page 19 of 24

multiple other things take over. So, it's not completely elastic to some extent, when there is an outlier pricing, definitely there will be some demand that gravitates towards it.

Moderator: Our next question is from the line of Supratim Datta from Jefferies.

Supratim Datta: So my one question is on the rider attachment. So, could you let us know what is the current rider attachment rate that you have, and you know how much further can this be increased?

And if the ULIP demand comes off and that's replaced by non-par, could you do the same thing as increasing the sum assured with non-par products as well? Would the similar strategy work there as well? And what proportion of the ULIP policies currently has this higher sum assured?

Niraj Shah: We have it highlighted in our investor presentation as well, about one-fourth of the unit-linked business that we sell comes with higher sum assured. And we started our rider journey about maybe 3 years back with a lot of education internally and putting our systems and processes in place to ensure a seamless experience for customers.

Even far back as a year ago, year and a half back, the rider APE was less than 1% of unit-linked premiums. Today it's at least 5x to 6x times that. And it is only increasing with the number of riders that we're able to bring to the ta

ble with customers opting for a combination of higher riders as well as higher levels of sum assured.

So, I think, as of now, we have all the options from a customer perspective whether they want to take higher level of protection in the base sum assured itself or they want to have the option of taking a rider. And that is something that I guess we'll continue as we go forward as well.

On the savings and non-par products, we have not seen a very significant take-up of riders yet, because the thought process there is a little more different compared to when someone is looking to buy a unit-linked product. We are trying to see how we can improve our attachment ratios on other than unit-linked products as well, but that's still work in progress.

On standalone protection, like Vibha mentioned earlier on the call, there is a fairly significant uptake of pure or non-return of premium products this year given the GST change. Return of premium is also doing reasonably well. It's just that the full impact of the GST price has shown itself in higher demand for pure non-ROP products. So, I think having a suite of these at scale definitely helps, depending on whatever choice the customer may want to make.

Supratim Datta: Got it. And you know at the overall APE level what would be the proportion of riders?

Niraj Shah: So, again, we have, I think spoken earlier and, on the call, 7% is our pure protection by itself in individual business, and adding riders it comes to 10%. So, I think you can attribute about three -odd percent of our APE to that.

Moderator: Our next question comes from the line of Sanketh Godha from Avendus Spark.

HDFC Life Insurance Company Limited

April 16, 2026

Page 20 of 24

Sanketh Godha: So Vibha or Niraj, the question is that you told that in fourth quarter you lost market share compared to nine months in bank. So, is it fair to say that the competitive intensity actually increased and that's the reason we lost the market share, and if given IFRS forbearance is accepted, are you confident that the growth might come back to mid-teens kind of a level next year?

Or whatever the pain has to be taken with respect to non-par unviable business, it has already been there in the current year, and on a lower base that should look little better going ahead, and

therefore the mid -teens growth can come. So, any colour on those lines will be very useful to understand the growth trajectory going ahead ?

Niraj Shah: So Sanketh, given the environment, difficult to put a number in terms of what growth comes ahead as far as the specific question in terms of within HDFC Bank competitive intensity increase in quarter four, yes. Do we expect that to continue into FY27 and beyond? We do not believe so for all the reasons we mentioned because sustainable growth, profitable growth, which is capital efficient, has to be done in a manner which kind of makes sense, even if you have a lower profitability threshold.

So, like we mentioned, we don't have to be, you know, present in all the segments at all points in time. There will be opportunities available to do a lot more granular work to get our counter share where we would like it to be. And that's something that we're already working on. We discussed geographies, we discussed kind of branches, we discussed customer segments. Whatever applies at an overall level will apply to HDFC Bank also in terms of our approach to get our counter share back up to where we would like to see it.

So, we're not going to be sucked into unreasonable things that are happening on the ground. We will push ourselves, definitely. We'll do our trade -offs between growth and profitability and keep challenging ourselves in terms of are we missing something which makes sense. We've done that in the past, we'll do that again. But anything that absolutely looks, you know, unmanageable from our perspective,

we will not step into even now. So that's our thought process.

Sanketh Godha: But given maybe the capital will come in and maybe sub -debt raise, will it give a bit of little more comfort or gunpowder to be little more competitive compared to what you were in the current year? Maybe there was a border case business you missed , you chose to not to do it, but with the capital, will that that thought process might change at the fringe level?

Vibha Padalkar: I think we have enough gunpowder to be competitive, but for different reasons, not necessarily because capital has come in. Capital has come in for growth in the normal scheme of things because RBC is likely to come after IFRS rollout has happened.

So, it's more to tide over that. There are quite a few things exactly like we did in the case of protection, which was really being nuanced on driving the narrative rather than being forced into doing things that we are not comfortable doing or don't see the end game in doing all those HDFC Life Insurance Company Limited

April 16, 2026

Page 21 of 24

things. So, you will have to just wait and watch because again not everything can be disclosed on a call like this.

But yes, we are not just sitting and waiting until the whole thing blows over, but yes, there are at least three or four things up our sleeve to manoeuvre the narrative in a direction that we want to. And just in terms of giving a little bit of colour is that we are looking very granular with in our data to see for which customers we can take not an aggressive but a calculated call, and which ones we absolutely want to avoid. So, it's not one size fits all.

Moderator: Our next question comes from the line of Prayesh Jain from Motilal Oswal Financial Services .

Prayesh Jain: The question is on HDFC Bank channel, and I think that's been discussed quite a bit, but just one more angle to it. Whether commission that the competitors are paying to HDFC Bank, does that also come into equation where the share has come down come down for us?

Second, when you say that the capital raise will give you additional solvency of 900 basis points, do you also build in the additional debt that you can raise via the bonds to build that capital?

And lastly, on commission regulations if any that comes through, then how would kind of things play out with your primary partner, which is HDFC Bank?

Vibha Padalkar: So, on commissions, everything is identical over here. We do calibrate product mix. So , we will choose the segments in which we want to be materially present. To give you an example, if unit -linked at a low sum assured multiple is the name of this game or lower premium payment term, then we might take a back seat like we have done. You know, like two premium payment term at full commercials and so on is something that don't see the end game in that.

So, it's not that the headline commercials are different, no they're identical. However, it's some of the nuances of products that could vary , that's point number one. And as regards the outlook in terms of commission regulations and so on, I think we will have to wait and watch. We have had, since you're asking specifically about our primary partner, it is not that we haven't been having conversations on what -if scenarios and they're fully aware, and they also sit at the Board. So, they're fully aware of many different possible scenarios and, you know, what might be viable, what tweaks might be required to business model and so on. Like I said, in the medium term, whatever it is, the demand for insurance is not a figment of our imagination. Exactly like the way demand really took off with this GST cut as far as protection is concerned . So that demand is certainly there. How one taps it through what kind of products in a new environment ,

if there is one, is something that we will quickly look at and collaborate with our partners for it

to be a win-win.

Niraj Shah: And Prayesh, if I could just quickly repeat your question on that solvency. You asked about whether there is capacity to raise sub-debt? Answer is yes. We could raise on the back of INR 1,000 crore of equity, INR 500 crore sub-debt, which will give us an additional 4% as and when we believe it would be required or we want to just exercise that option.

HDFC Life Insurance Company Limited

April 16, 2026

Page 22 of 24

Prayesh Jain: Yes, so together these two capital raise options could positively impact solvency by 1,300 bps, right?

Niraj Shah: That's correct. 1,300-1,400 bps, yes.

Moderator: Our next question is from the line of Vinod Rajamani from Nirmal Bang.

Vinod Rajamani: Yes, thank you for taking my question. So, I have one question on retail protection. So, what proportion of buyers would you say on retail protection are first-time buyers? Is there any sense that you're getting that the addressable new-to-insurance kind of pool, that pool is kind of thinning or is that getting a little saturated? How should we think of that? And what is the kind of sustainable quarterly protection growth rate into FY27?

Niraj Shah: Yes, so it is very encouraging to see that post-GST about 80% of the protection business is new to HDFC Life customers that we saw. And as Vibha mentioned in her opening comments, we're basically seeing fair bit of demand across different customer segments. And also, in terms of the choices that they're making in terms of taking full advantage of the GST cut to either buy more sum assured or so basically even after the changing price, we're able to maintain our average ticket size, which basically tells you people are buying a lot more cover with the same amount of money.

They could have chosen to buy similar cover with lower premiums, but the most customers have not chosen to do that. So that's a very good sign. With all of this as well, in spite of all of this, we are still fairly under-insured as a country and the customer segments that we believe require more insurance.

So, we're far from saturated. Customers are taking making different choices to buy protection. Some who are comfortable using the savings vehicle have these options that we discussed earlier in terms of riders or higher embedded sum assured. But a lot of young customers are taking pure protection products and the GST change has been a fairly big catalyst there.

Vinod Rajamani: The other specific question on the HDFC Bank channel. So, is the bank trying to kind of deprioritize non-par savings? I mean, if it's a trend which is kind of visible in terms of the fact that ULIP share has been increasing. So, does the bank kind of see it as competing with deposit holders and so on? Is that something which is being felt?

Vineet Arora: No, we haven't seen this kind of a let's say a completely deliberate kind of a move towards one particular product mix. The ULIP mix is mostly coming in from the demand from the customers and more of an easier sale, especially, certain segments like we spoke about when you're able to configure a shorter pay etc etc in ULIPs for certain insurance companies. So, I think that's the reason why you've seen maybe a larger skew happening in the ULIP side in HDFC Bank.

I have not really seen the reason that this might be competing with a deposit. And also, we have always focused on long-term guarantees, long-term products, which do not really fall into the

HDFC Life Insurance Company Limited

April 16, 2026

Page 23 of 24

bank's competing foray. I mean they work on a medium-term kind of assured returns and our products have always focused on much longer-term guarantees.

Moderator: The next question comes from the line of Tejas D'Cunha, an Individual Investor.

Tejas D'Cunha: I have two questions. What was the percentage contribution from

HDFC Bank channel in the

individual overall new business premium? And the second one, you mentioned that the MFI sector growing and catching up in Q4, what was the growth that was registered in Credit Life new business premium business?

Vineet Arora: MFI, I think we saw the growth coming back in quarter four. Quarter four MFI growth was there because there was also a subdued base last year, growth was in excess of 40% in Q4, while on an overall year basis, I think we saw business growth of about 13-odd percent. Slightly slower than our CP growth, but that's the full-year number in the MFI business. On HDFC Bank, our NBP contribution on received premium is approximately about 40-odd percent.

Moderator: The next question is from the line of Manj eet Buaria from Sa amya Advisors LLP.

Manj eet Buaria: Vibha, I had one question. Why did we not revisit our dividend policy and skip about INR 450 crores of dividend payout when we are simultaneously looking to raise INR 1,000 crores in a primary issue?

Vibha Padalkar: See, we do have a lot of retail investors, close to 9 -10 lakhs of retail investors on an average , there are pension funds also. When yo u look at banks, let's take that example. Banks come to the market to raise capital all the time, and they pay dividend. So, it's no different; it's just that in life insurance, the back book so far has largely funded normal growth. Now, protection here has been a lot higher than in the past 17-18 years that I've been associated with the sector. That's a good problem to have, however it requires capital. So, this is growth capital. If there was an issue in terms of some hole that is caused because of some i nefficiencies or something like that, then maybe what you're saying could be considered. But this is growth capital, no different from any other sector, and this is business as usual as far as existing shareholders are concerned, especially the retail shar eholders. I think that's how we had to triangulate; hence we've kept it flat. So, we've tried to balance the two objectives.

Manj eet Buaria: I understand that Vibha, but actually, you know, it's also indicative, right? The Board would not want to raise pri mary unless we are at a fair price. And given the way our valuations have tracked over the last few years, you're indirectly indicating that, we are already at a fair price. So, I mean, ideally you don't want to do that, right? I mean typically banks have raised a lot of capital, they've done it at much higher valuation multiples than their fair value multiples. But anyway, I was just curious about it. Thank you so much.

Moderator: The next question is from the line of Nid hesh Jain from Investec.

HDFC Life Insurance Company Limited

April 16, 202 6

Page 24 of 24

Nidhesh Jain: My question is on margin. So, this year, we had a negative impact of 110 basis points because of GST and 20 basis points of surrender s. So that should not recur next year. So, should our starting margin should be higher t han almost 130 basis points what we have shown in FY26?

Niraj Shah: So, Nid hesh, ye s, I mean the GST impact is something that we will neutralize in the first half of next year. Post that, it is completely baked into the business model and after that whatev er delivery happens should be on that basis. So, before GST, or rather I think end of quarter three we did mention that we'd like to get back to the levels of FY25 in the 25 -plus percent range. Can we get to it? We possibly can, but like I mentioned earlie r on the call, that's not something we're going to prioritize.

What we're going to prioritize is to get the growth back to the handle that we are comfortable with and deliver VNB growth at least in line with that. And if there is any potential and scope to expand margins beyond that, absolutely we will try and do that. But the priority will be to get growth back to where we would

like it to be .

Moderator: As there are no further questions from the participants, I now hand the conference over to Ms. Vibha Pa dalkar for closing comments.

Vibha Padalkar: Thank you for joining us today. Should you have any follow -up questions, please feel free to reach out to our investor relations team.